

On hoping you'll be wrong

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By Luci Ellis

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Forecasts are an assessment of the most likely outcome, not the preferred one. The ceasefire announcement was welcome, but whether it holds is highly uncertain.



- The economy does not care about your feelings, so forecasts must reflect what you think is the most likely outcome, not necessarily what you wish would happen. This distinction is especially salient

now. The outright fall in global fuel supply has different implications than other recent supply shocks, and the outlook for Australia and the world is rough.

- The ceasefire announced this week was obviously welcome, but the question is whether the Strait of Hormuz opens properly. The first 24 hours after the announcement were not promising. But if it does, that would be a better outcome than the baseline forecast update we released last week. We would be happy if our baseline forecast was wrong for this reason.
- The key issue for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

The thing about forecasting is that your preferences do not matter. A baseline scenario is simply what you think is most likely. It is not necessarily what you wish would happen. And of course things could play out differently. It is the role of scenario and risk-sensitivity analysis to articulate these other possible future states of the world.

The disconnect between what you hope will happen and what you think will actually happen is especially salient now. The near-term outlook for Australia is tough: higher inflation, with consumers again squeezed by some combination of higher interest rates, lower income growth and higher unemployment. Things are even worse for many other countries. Australia has been able to leverage its LNG exports to ensure we have – so far – not been left short of other fuels. Many lower-income countries do not have this advantage and have been facing the prospect of shortages and rationing; some of our neighbours in the Pacific are particularly hard-hit.

The economic shock from the Gulf conflict centres on global oil and gas supply. It is different from COVID, when the disruptions were all the way down supply chains. It also differs from the energy shock following Russia's invasion of Ukraine, where the Russian oil and gas supply did not disappear, it just needed time to be redistributed to non-European nations willing to buy it despite the sanctions; the peak decline in its oil output was estimated to be around 3 million barrels per day, but the disruption faded quickly. This time around, the oil and gas are not getting out of the Persian Gulf. Some production has been redirected through Saudi pipelines to other ports, but not all of it. Current estimates are that the net reduction of global production has been 8–9 million barrels per day for oil and one-fifth of pre-war global supply for gas. And at the same time, Russia's output capacity has been reduced by successful Ukrainian attacks on Russian oil infrastructure; news reports suggest this has cut global output by a further 0.7–1 million barrels per day.

The effect on prices from such a cut to capacity was always going to be severe.

News this week that a two-week ceasefire had been agreed was obviously welcome. Assuming it holds well enough to reopen the Strait of Hormuz properly – a big if given the attacks in the 24 hours following its announcement – it would be a better outcome than the baseline update we released last week, and one of the “risks on both sides” we contemplated when we released it. A lasting ceasefire and faster opening up of the Strait would put energy prices on a trajectory between the one we contemplated in last week's baseline, and the one underpinning the forecasts in the March Market

Outlook. A return to pre-war prices is unlikely in the short term, though, given the damage to oil and gas infrastructure in the Gulf states and in Russia.

Even if the ceasefire holds well enough that the Strait stays open, a key watchpoint is whether ships enter the Gulf during the next two weeks, not just whether those previously stuck there leave. If ships do not enter, the next wave of production will not be able to be shipped. Supply will sag again a few weeks later and prices will rebound, especially for refined product.

If the ceasefire does not hold, the reprieve on fuel supply will be brief. Trust between the parties is low and Iranian control of the Strait – even jointly with Oman – is an unstable equilibrium that is unacceptable to much of the rest of the world. Even if the ceasefire gets back on track after its rocky start, flare-ups later in the year cannot be ruled out.

The real question for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. On this there is less cause for optimism. While ‘temporary fuel levies’ are easier to unwind as fuel prices decline, for many products, list prices have been lifted significantly and a reversal seems less likely. Building materials are a particular issue, with the cost of building a detached home increasing as much as 10%, on our preliminary estimates. The lift in pricing has been widespread across industries and in some cases quite large relative to overall inflation trends. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

Our next forecast round, scheduled for release next week, will contemplate both the case where traffic through the Strait remains disrupted and one where the ceasefire holds.

If the ceasefire does hold, downside risks to growth diminish and inflation risks ease. Because of the downstream pass-through to other prices we are already seeing, though, the inflation risks do not disappear and the RBA is still likely to raise the cash rate further. Still, it would be a better outcome than our current published baseline. This would be one of the instances where we would be quite happy to be wrong.

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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
Euro Stoxx 50	5,633	-1.0%
UK FTSE100	10,349	-0.8%
VIX Index	25.78	6.7%

Commodities	Current	Change
CRB Index	381.38	-0.3%
Gold	4706.51	1.2%
Copper	12313	-0.4%
Oil (WTI futures)	112.95	0.5%
Coal (coking)	234.75	-0.6%
Coal (thermal)	138.50	0.4%
Iron Ore	106.35	0.0%
ACCU	36.13	-4.3%

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	-0.01
90 day BBSY	4.37	0.02
180 day BBSY	4.85	0.01
1 year swap	4.64	-0.02
2 year swap	4.65	-0.05
3 year swap	4.63	-0.10
4 year swap	4.68	-0.02
5 year swap	4.70	-0.03
6 year swap	4.73	-0.03
7 year swap	4.78	-0.02
8 year swap	4.82	-0.02
9 year swap	4.85	-0.02
10 year swap	5.04	-0.10

Government Bond Yields	Close	Change
Australia		
3 year bond	4.66	-0.06
10 year bond	4.98	-0.05
United States		
3-month T Bill	3.60	-0.03
2 year bond	3.79	-0.06
10 year bond	4.29	-0.04
Other (10 year yields)		
Germany	3.08	0.09
Japan	2.42	-0.01
UK	4.90	0.07

Sydney Futures Exchange	Current	Change
10 yr bond	4.97	-0.05
3 yr bond	4.64	-0.05
3 mth bill rate	4.18	0.00
SPI 200	8,775	0.1%



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Financial Markets

Financial markets have been particularly volatile as investors weighed the likelihood of two extreme outcomes in the US–Iran conflict – a ceasefire agreement or a further major escalation. Ahead of Trump's imposed deadline for Iran to accept a ceasefire and reopen the Strait of Hormuz, he warned that “a whole civilisation will die tonight, never to be brought back again”. Reports indicated these remarks disrupted negotiations between the two nations, which are mediated by Pakistan. Trump confirmed he was engaged in “heated negotiations”, while the Pakistani Prime Minister described the talks as “progressing steadily, strongly and powerfully”. Pakistan requested a two-week extension for discussions, but Trump has yet to respond. Meanwhile, the US continued to strike Iran, hitting Kharg Island, a hub for Iran's oil exports, but not targeting major energy infrastructure there.

- US equities traded deep in negative territory for a while, but hopes for a ceasefire deal saw the S&P500 recover losses and finish the session broadly unchanged. European benchmark indices closed in the red ahead of the US rally – the Euro Stoxx 50 fell 1.0%, and the FTSE100 lost 0.8%. Asian markets were mixed – the Nikkei 225 was steady, while the Hang Seng dropped 0.7%. The domestic ASX 200 outperformed, gaining 1.7%. Tech stocks led the advance, with other major sectors also trading bringing positive returns.
- US Treasuries rallied, with yields heading 2–7bp lower. The largest gains were at the front end of the curve, while the 10Y yield fell 4bp to 4.29%. Earlier, Gilt and Bund yields rose sharply, catching up with Friday's move in Treasuries. The UK 10Y was 7bp higher, while the German equivalent climbed 9bp. Australian yields declined 5–6bp across the curve, and futures indicate a further drop at today's open.
- In FX markets, the late-day shift towards risk saw the DXY retreat by 0.3%, while other major currencies strengthened. The EUR and GBP appreciated 0.4–0.5%. The AUD was among the top performers, rising 0.8% to 0.6970.
- With several different war scenarios in the Middle East remaining likely, oil prices were mixed. Brent futures for June eased to \$103.0, while the active WTI contract for May rose 0.5% to \$113. Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to \$144.42, the highest level since records began in 1987, reflecting the lack of supply. Among other major commodities, gold gained 1.2%, while iron ore remained little changed.

International Data

The NY Fed Survey of Consumer Expectations indicated a notable increase in near-term US consumer inflation

Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
12:00	NZ RBNZ Policy Decision 8/04/2026	2.2%	2.2%
19:00	EZ PPI Feb	-0.6%	0.7%
19:00	EZ Retail Sales Feb	-0.2%	-0.1%
04:00	FOMC Meeting Minutes from 18 March	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

expectations. The one-year ahead measure rose by 0.4ppt to 3.4%yr, last seen at the end of December. Longer-term inflation expectations – which will be closely followed by policymakers at the Fed – were also higher. The three- and five-year indicators edged up 0.1ppt to 3.1%yr, having been stable at 3% for some time.

Durable goods orders decreased by 1.4%mt in February – a third consecutive decline after a 5.4%mt increase in November. The drop was accounted for by volatile aircraft orders – excluding transportation, orders were up 0.8%mt. Core orders – capital goods excluding aircraft and defence – increased by 0.6%mt, reversing a 0.4%mt decline in January. The two months together suggest a 0.7% increase in Q1, which is less than a third of the increase in Q4 – consistent with slowing demand before the conflict in the Middle East escalated.

US consumer credit flow rose to \$9.5bn in February – very close to the average levels in 2025 of almost \$9bn – suggesting broadly stable spending growth and appetite for risk at this point.

The latest comments from Fed officials suggested somewhat diverging assessments of the current economic situations. **New York Fed President John Williams** indicated that in his view the outlook for underlying inflationary pressures has not changed much. Meanwhile, **Chicago Fed President Austan Goolsbee** said he is cautious and nervous about the US economy, reiterating that higher oil prices could drive stagflationary shock, with inflation becoming persistent.

Having previously shown that the initial reaction of euro area institutional and individual investors to the war in the Middle East was negative but quite modest, the **Sentix survey** brought a much bigger decline this time – showing the headline index falling to -19.2, a very similar level to that seen after the Liberation Day US tariff announcement in April 2025. Both the current situation and expectations were much weaker, as the survey pointed out a surge in concerns about rising inflation, up to levels similar to the post-pandemic period.

Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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Q1 Job Vacancies: modest increase

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By [Luka Belobrajdic](#)
Economist, Westpac

15:31 April 02 2026

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The level of job vacancies rose between November and February, up 8.9k (2.7%) to 338k, remaining at levels comparable to the past year.

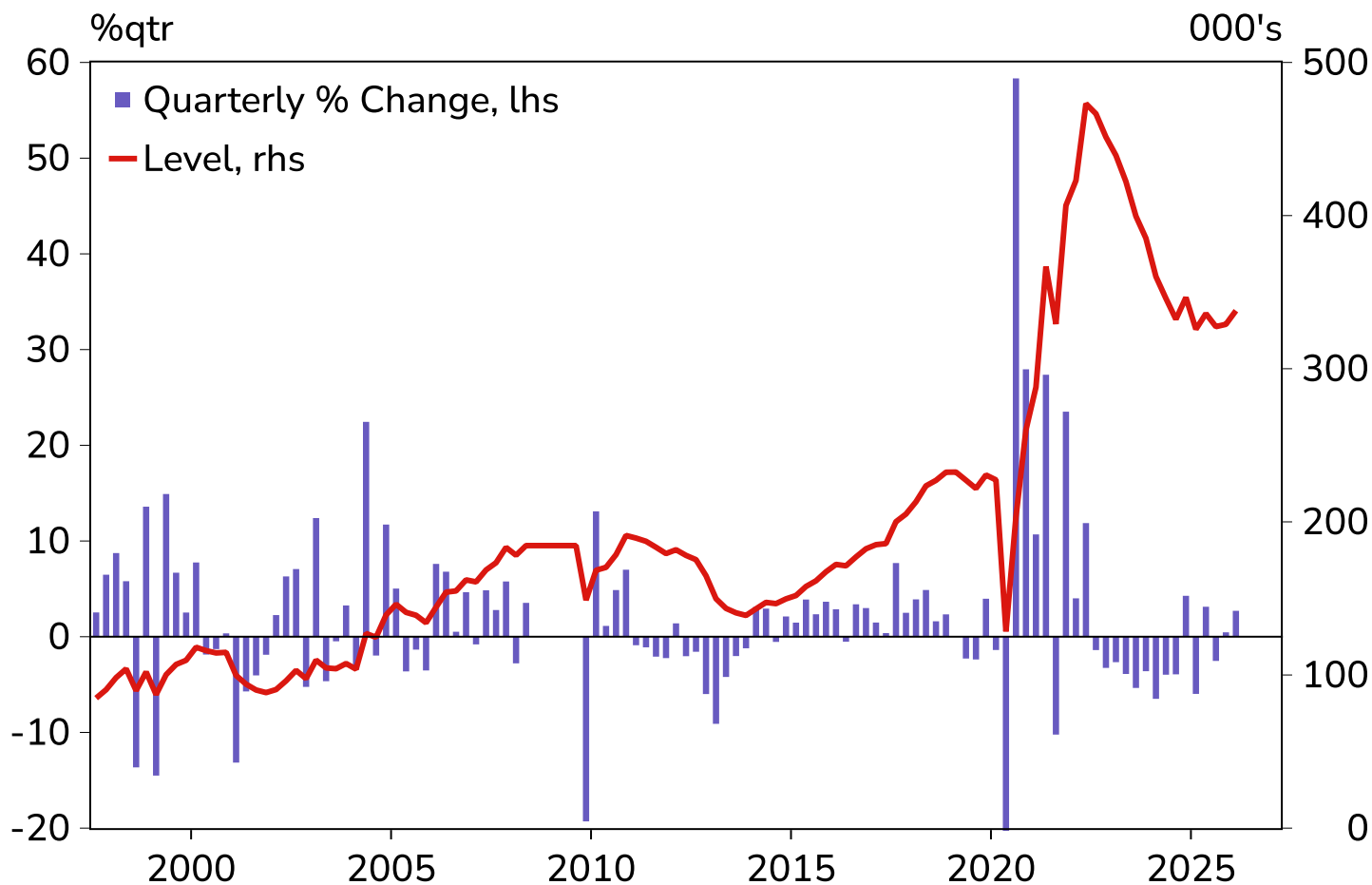


The number of job vacancies increased by 8.9k (2.7%) between November and February, slightly below our expectation. Of note, however, the Q4 2025 outcome was revised higher to 329k (327k previously). Today's result was broadly consistent with the recent strengthening evident in monthly

partials from other job vacancy and advertisement data. While the broad trends across these sources remain aligned, quarterly outcomes can differ given the varied nature and coverage of the underlying data.

Over 2022 to 2024, the stock of job vacancies were falling at a rapid pace from its peak as labour supply came back online after the pandemic. Over 2025, job vacancies were broadly steady: 326k in Q1, lifting to 336k in Q2, before returning to 327k in Q3 and recording modest growth to 329k in Q4. Today's outcome is the strongest since Q4 2024, though still well within the recent range, and leaves vacancies around 40% above pre-pandemic- levels.

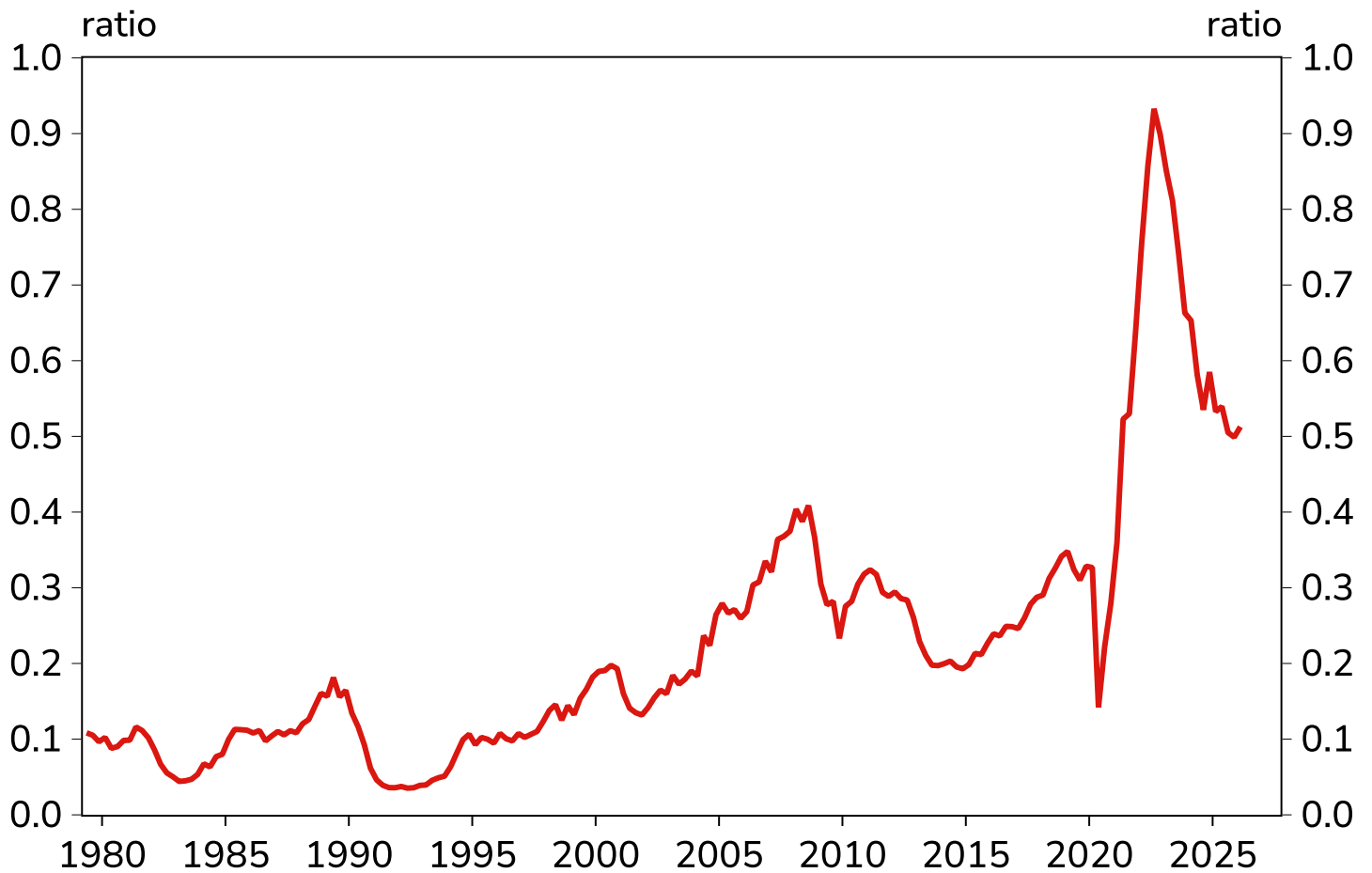
Job Vacancies



Source: ABS, Macrobond, Westpac Economics

In response to the unexpected moderation in unemployment over the December-January months, the vacancy-to-unemployment ratio - a key metric that provides a better perspective on the degree of 'slack' in the labour market - has edged higher. The ratio rose to 0.51 in February 2026, from 0.50 in November 2025. Importantly, it remains below its level in the same period last year (0.53), reinforcing the view that the labour market continues to gradually soften. This is still higher than the 0.20-0.35 range that prevailed prior to the pandemic, although this was a period characterised by a greater degree of labour market slack and below-target inflation.

Vacancy-to-Unemployment Ratio

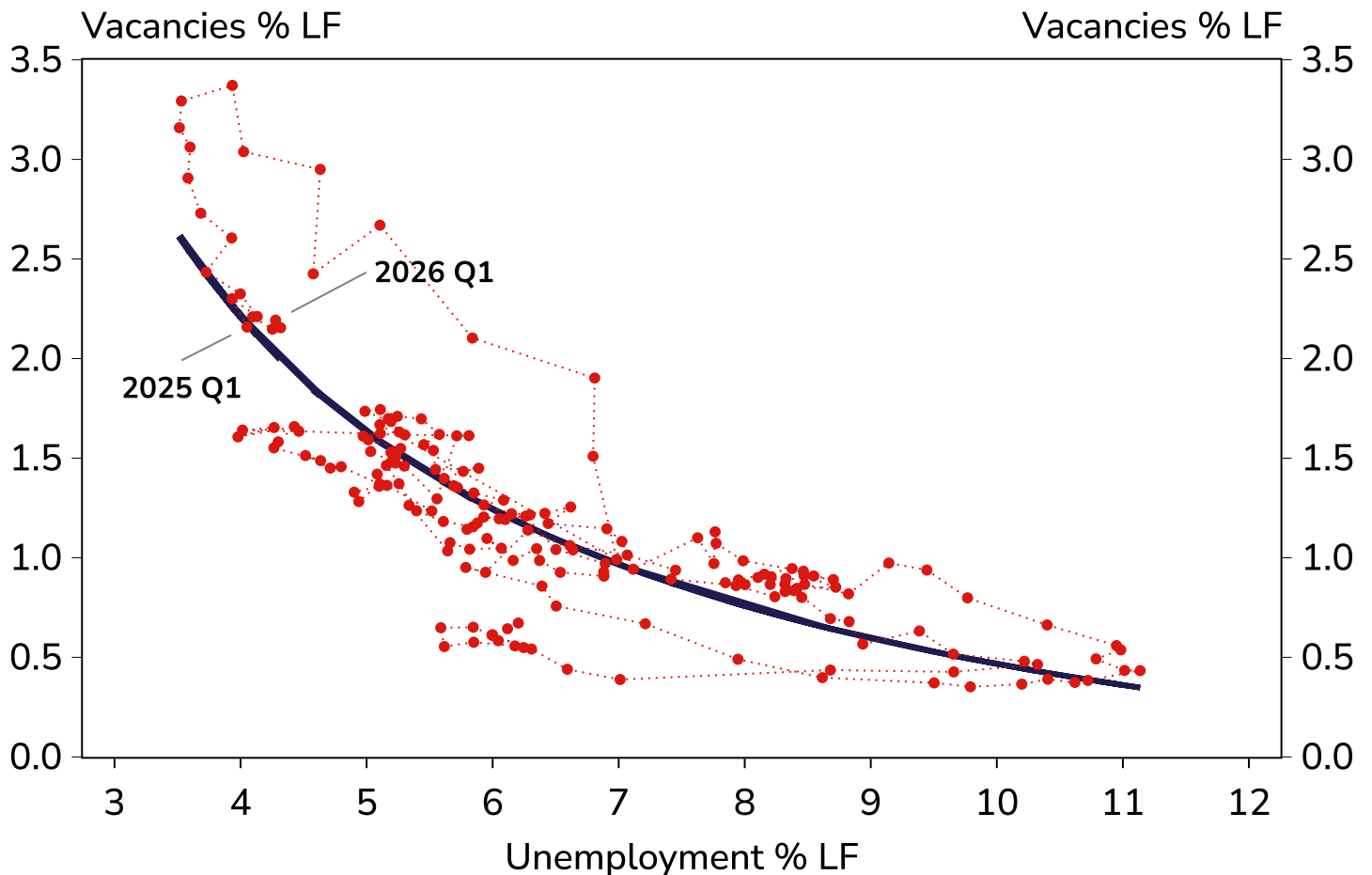


Source: ABS, Macrobond, Westpac Economics

To place the current vacancy-to-unemployment dynamics in context, the Beveridge curve provides a useful reference point by mapping the typical relationship between the vacancy rate (vacancies as a proportion of the labour force) and the unemployment rate over time. Over 2022 to 2024, the labour market was sliding down the 'steep part' of the Beveridge curve, where large falls in vacancies (due to strong jobs growth) came without much of a lift in the unemployment rate.

In the latest quarter, the vacancy rate recorded a mild increase, as the rise in vacancies more than offset ongoing growth in the labour force. At the same time, a brief easing in the unemployment rate at the start of the year saw the labour market operating more-or-less around the Beveridge curve. This suggests that the relationship between vacancies and unemployment continues to behave broadly as expected.

Beveridge Curve



Source: ABS, Macrobond, Westpac Economics

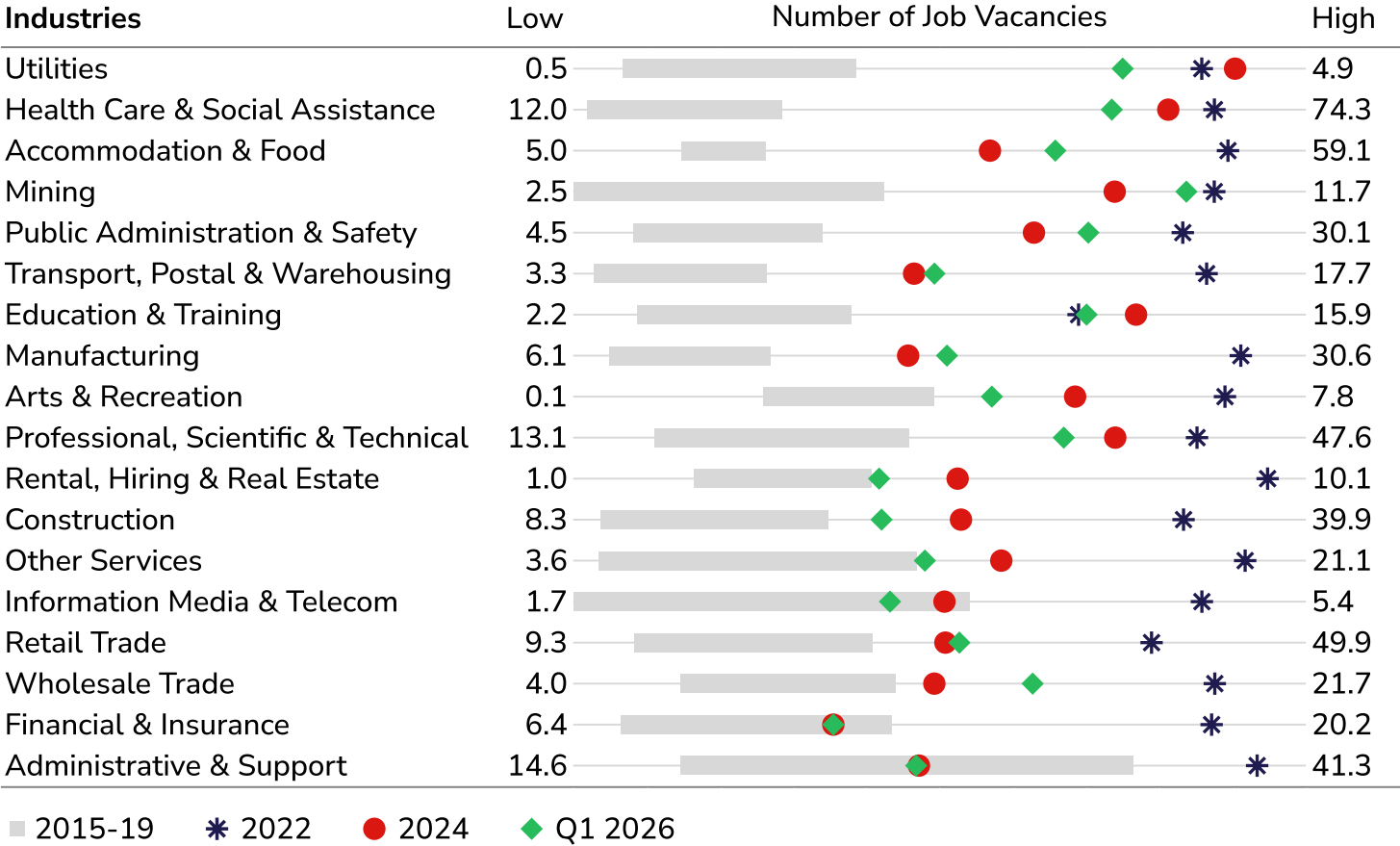
The start of 2026 saw a divergence in vacancy growth across sectors. Vacancies in the private sector (around 88% of the total) rose by 9.2k (3.2%) in Q1, while public sector vacancies (12% of the total) edged lower, falling by 0.2k (−0.5%).

All statistics mentioned below are not seasonally adjusted and hence may not add up to the seasonally adjusted statistics referenced above.

At the industry level, outcomes across private sector dominated industries were mixed. Construction recorded the largest increase in both level and percentage terms, with vacancies rising by 3.5k (19%). Retail trade vacancies increased by 2.9k (10%), consistent with firmer consumer conditions ahead of the escalation in Middle East conflict. Professional, scientific and technical services also posted solid gains, with vacancies up by 2.6k (7.7%). In contrast, administrative and support services was the weakest performing private sector industry, with vacancies declining by 1.6k (−5.6%).

The softness in public sector vacancies was broad based across industries with a significant public sector presence. Vacancies in public administration and safety declined by 0.7k (−3.0%), while health care and social assistance recorded the largest fall of any industry, down 1.8k (−3.0%). This aligns with our earlier observation that jobs growth in the 'care economy' has pulled back significantly after a monumental hiring effort over recent years.

Job Vacancies by Industry



Source: ABS, Macrobond, Westpac Economics

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1 April 2026

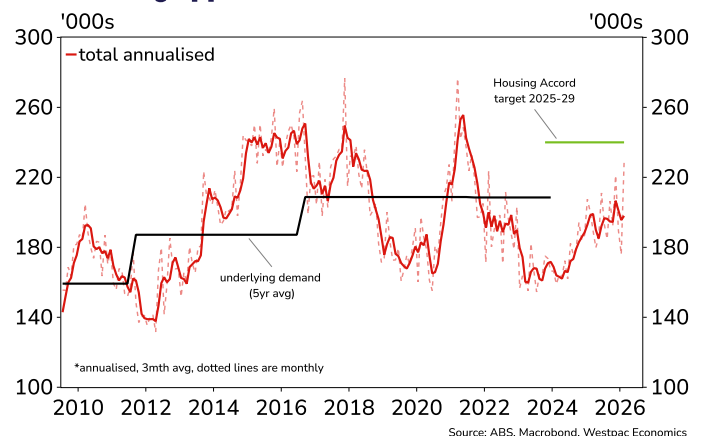
AUSTRALIAN DWELLING APPROVALS BULLETIN

Units take approvals higher

Key points

- Total dwelling approvals rebounded sharply in February, rising 29.7%*mt*. The annual pace lifted to 14.0%*yr*, marking the first positive read following the December–January low period.
- As in recent months, private unit approvals drove the headline outcome, surging 101%*mt*, with strength spanning both high-rise and low-mid-rise segments. Private detached house approvals were broadly flat, though underlying momentum remains positive on a smoothed basis.
- State-level outcomes remain uneven, with strength concentrated in Qld, NSW and WA, while Vic and SA lag.
- Looking ahead, further expected RBA cash rate rises throughout 2026, alongside likely softer dwelling price growth are likely to temper the near-term recovery.

Dwelling approvals



**Total dwelling approvals
29.7%*mt*,
14.0%*yr***

High-rise and low-mid-rise both support



Luka Belobrajdic
Economist

Total dwelling approvals rebounded sharply in February, rising **29.7%^{mt}**, following two consecutive monthly declines over the December–January period. The result was well above both our and the market's expectations, lifting the annual pace to **14.0%^{yr}**.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private unit approvals once again drove headline volatility, doubling in February after declines of 25%^{mt} in January and 30%^{mt} in December. The segment accounted for just under 47% of private approvals in the month, the highest share since December 2022. Strength was evident across both 'high-rise' and 'low-mid-rise' segments. High-rise approvals were the standout, rising 198%^{mt}, the strongest monthly outcome since September 2009, while low-mid-rise approvals increased 73%^{mt}. On a rolling three-month basis, high-rise approvals are now up 6.2%, while earlier weakness continues to weigh on the low-mid-rise segment, which remains 1.5% lower over the same period.

Private detached house approvals were little changed in February, recording a modest 0.2%^{mt} gain. January approvals were revised higher to 1.7%^{mt} (+0.6ppt), reinforcing the recent improvement in underlying momentum. On a rolling three-month basis, house approvals rose 3.3%^{qtr}, slightly below the revised 3.6%^{qtr} pace recorded in January, but still indicative of a gradual upswing.

A clear divergence across states persisted. On a rolling three-month basis, approvals were strongest in Qld (26.3%^{yr}), NSW (24.0%^{yr}) and WA (20.7%^{yr}). In Qld and NSW, annual growth is driven primarily by unit approvals, while in WA the bulk of the increase reflects strength in detached housing. In contrast, dwelling approvals growth remained comparatively weak in Vic (2.5%^{yr}), while SA recorded a contraction (–6.0%^{yr}).

In value terms, new residential approvals rose sharply on a rolling three-month basis (+35.9%), more than offsetting a modest decline in renovation activity (–1.2%). The value of non-residential approvals fell 4.4%, led by weakness in transport-related buildings. Overall, the total value of building approvals increased 14.4%^{mt} in February.

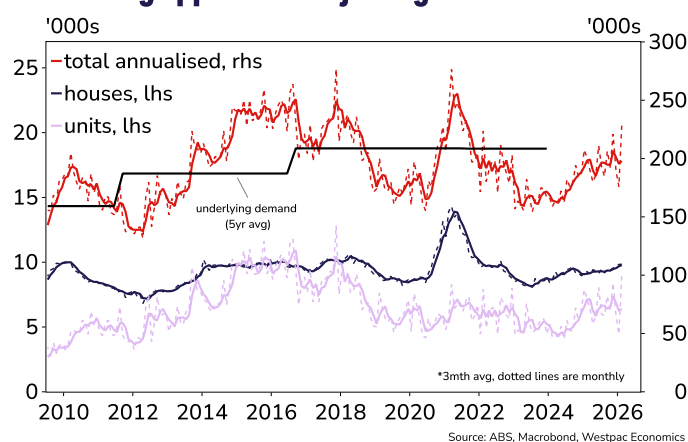
Looking ahead, further expected RBA cash rate increases across May, June and August, alongside softer dwelling price growth, are likely to temper the near-term recovery in dwelling approvals. While detached housing momentum has improved, volatility in unit approvals and broader affordability constraints suggest the recovery is likely to remain uneven.

Building approvals – February 2026

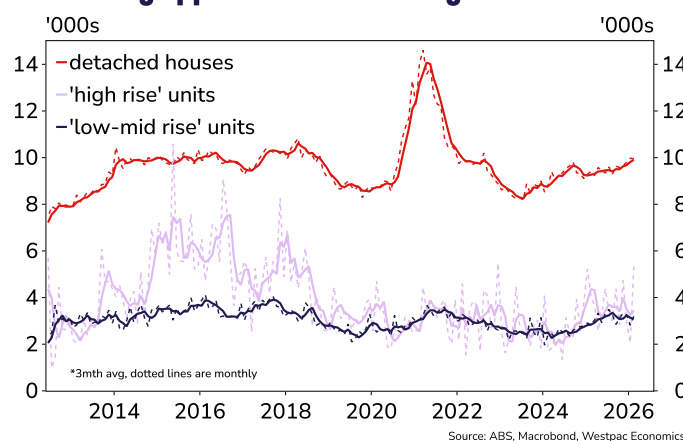
		3mth %chg*		%yr	
3mth avg	latest	Jan	Feb	Jan	Feb
Private houses	9,781	3.6	3.3	6.7	7.3
Private units	6,423	–4.0	–12.8	–4.8	–10.0
Public dwellings	293	4.6	–23.9	–16.2	7.3
Total dwellings	16,497	0.5	–4.2	1.4	–0.1
Total dwellings, mthly*	19,022	–7.2	29.7	–15.2	14.0
Renovations, \$bn	1.281	6.4	5.6	7.8	9.3
Non-res., \$bn	7.725	1.2	7.9	15.5	28.5

*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

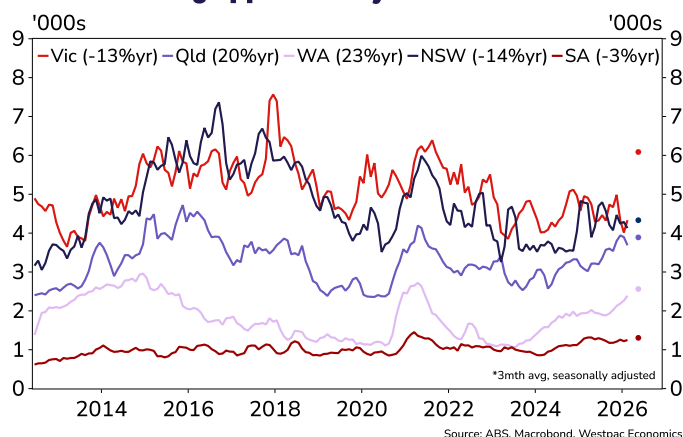
Dwelling approvals: major segment



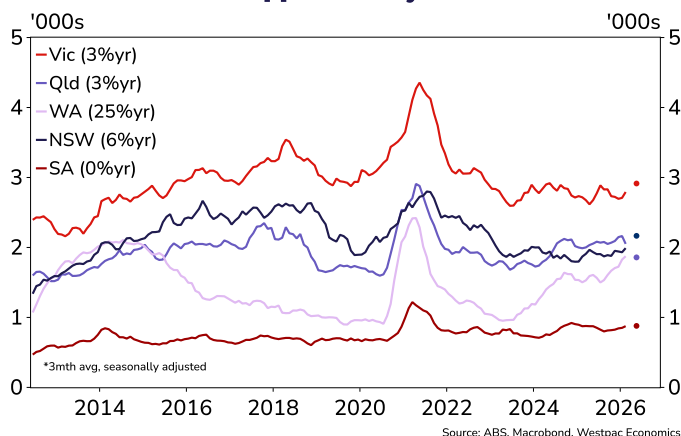
Dwelling approvals: detailed segment



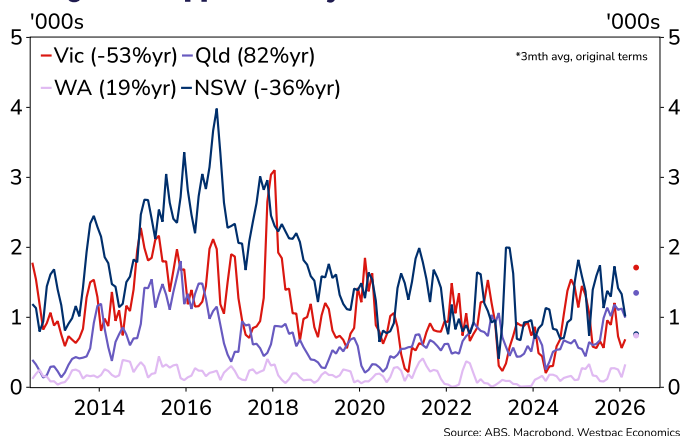
Total dwelling approvals: by state



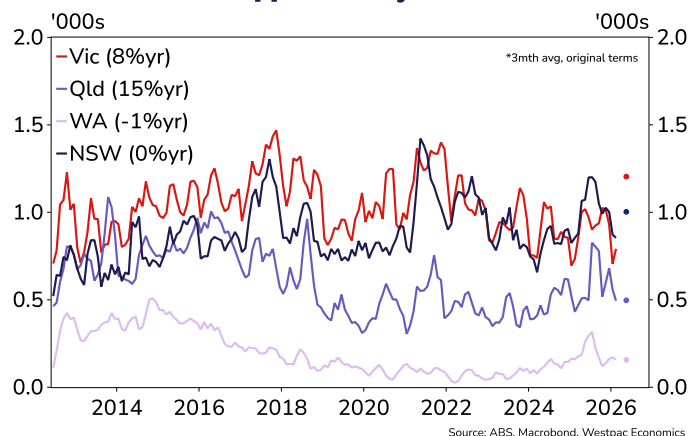
Detached house approvals: by state



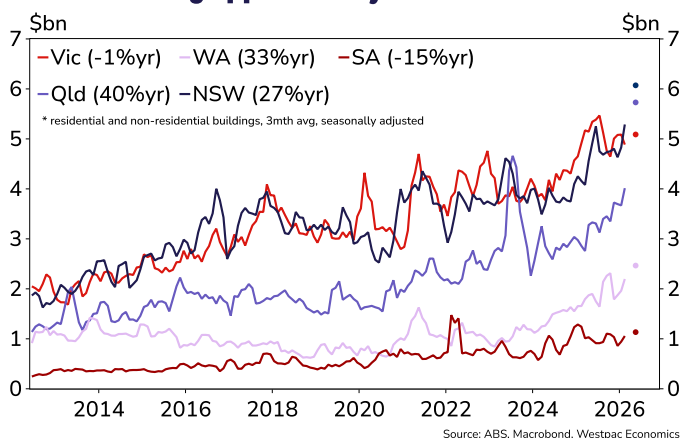
'High rise' approvals: by state



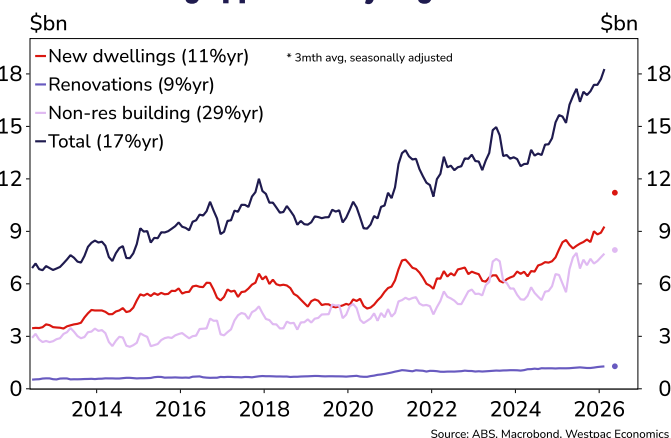
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment





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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
Euro Stoxx 50	5,633	-1.0%
UK FTSE100	10,349	-0.8%
VIX Index	25.78	6.7%

Commodities	Current	Change
CRB Index	381.38	-0.3%
Gold	4706.51	1.2%
Copper	12313	-0.4%
Oil (WTI futures)	112.95	0.5%
Coal (coking)	234.75	-0.6%
Coal (thermal)	138.50	0.4%
Iron Ore	106.35	0.0%
ACCU	36.13	-4.3%

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	-0.01
90 day BBSY	4.37	0.02
180 day BBSY	4.85	0.01
1 year swap	4.64	-0.02
2 year swap	4.65	-0.05
3 year swap	4.63	-0.10
4 year swap	4.68	-0.02
5 year swap	4.70	-0.03
6 year swap	4.73	-0.03
7 year swap	4.78	-0.02
8 year swap	4.82	-0.02
9 year swap	4.85	-0.02
10 year swap	5.04	-0.10

Government Bond Yields	Close	Change
Australia		
3 year bond	4.66	-0.06
10 year bond	4.98	-0.05
United States		
3-month T Bill	3.60	-0.03
2 year bond	3.79	-0.06
10 year bond	4.29	-0.04
Other (10 year yields)		
Germany	3.08	0.09
Japan	2.42	-0.01
UK	4.90	0.07

Sydney Futures Exchange	Current	Change
10 yr bond	4.97	-0.05
3 yr bond	4.64	-0.05
3 mth bill rate	4.18	0.00
SPI 200	8,775	0.1%



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Financial Markets

Financial markets have been particularly volatile as investors weighed the likelihood of two extreme outcomes in the US–Iran conflict – a ceasefire agreement or a further major escalation. Ahead of Trump's imposed deadline for Iran to accept a ceasefire and reopen the Strait of Hormuz, he warned that “a whole civilisation will die tonight, never to be brought back again”. Reports indicated these remarks disrupted negotiations between the two nations, which are mediated by Pakistan. Trump confirmed he was engaged in “heated negotiations”, while the Pakistani Prime Minister described the talks as “progressing steadily, strongly and powerfully”. Pakistan requested a two-week extension for discussions, but Trump has yet to respond. Meanwhile, the US continued to strike Iran, hitting Kharg Island, a hub for Iran's oil exports, but not targeting major energy infrastructure there.

- US equities traded deep in negative territory for a while, but hopes for a ceasefire deal saw the S&P500 recover losses and finish the session broadly unchanged. European benchmark indices closed in the red ahead of the US rally – the Euro Stoxx 50 fell 1.0%, and the FTSE100 lost 0.8%. Asian markets were mixed – the Nikkei 225 was steady, while the Hang Seng dropped 0.7%. The domestic ASX 200 outperformed, gaining 1.7%. Tech stocks led the advance, with other major sectors also trading bringing positive returns.
- US Treasuries rallied, with yields heading 2–7bp lower. The largest gains were at the front end of the curve, while the 10Y yield fell 4bp to 4.29%. Earlier, Gilt and Bund yields rose sharply, catching up with Friday's move in Treasuries. The UK 10Y was 7bp higher, while the German equivalent climbed 9bp. Australian yields declined 5–6bp across the curve, and futures indicate a further drop at today's open.
- In FX markets, the late-day shift towards risk saw the DXY retreat by 0.3%, while other major currencies strengthened. The EUR and GBP appreciated 0.4–0.5%. The AUD was among the top performers, rising 0.8% to 0.6970.
- With several different war scenarios in the Middle East remaining likely, oil prices were mixed. Brent futures for June eased to \$103.0, while the active WTI contract for May rose 0.5% to \$113. Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to \$144.42, the highest level since records began in 1987, reflecting the lack of supply. Among other major commodities, gold gained 1.2%, while iron ore remained little changed.

International Data

The NY Fed Survey of Consumer Expectations indicated a notable increase in near-term US consumer inflation

Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
12:00	NZ RBNZ Policy Decision 8/04/2026	2.2%	2.2%
19:00	EZ PPI Feb	-0.6%	0.7%
19:00	EZ Retail Sales Feb	-0.2%	-0.1%
04:00	FOMC Meeting Minutes from 18 March	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

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Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
Euro Stoxx 50	5,633	-1.0%
UK FTSE100	10,349	-0.8%
VIX Index	25.78	6.7%

Commodities	Current	Change
CRB Index	381.38	-0.3%
Gold	4706.51	1.2%
Copper	12313	-0.4%
Oil (WTI futures)	112.95	0.5%
Coal (coking)	234.75	-0.6%
Coal (thermal)	138.50	0.4%
Iron Ore	106.35	0.0%
ACCU	36.13	-4.3%

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	-0.01
90 day BBSY	4.37	0.02
180 day BBSY	4.85	0.01
1 year swap	4.64	-0.02
2 year swap	4.65	-0.05
3 year swap	4.63	-0.10
4 year swap	4.68	-0.02
5 year swap	4.70	-0.03
6 year swap	4.73	-0.03
7 year swap	4.78	-0.02
8 year swap	4.82	-0.02
9 year swap	4.85	-0.02
10 year swap	5.04	-0.10

Government Bond Yields	Close	Change
Australia		
3 year bond	4.66	-0.06
10 year bond	4.98	-0.05
United States		
3-month T Bill	3.60	-0.03
2 year bond	3.79	-0.06
10 year bond	4.29	-0.04
Other (10 year yields)		
Germany	3.08	0.09
Japan	2.42	-0.01
UK	4.90	0.07

Sydney Futures Exchange	Current	Change
10 yr bond	4.97	-0.05
3 yr bond	4.64	-0.05
3 mth bill rate	4.18	0.00
SPI 200	8,775	0.1%



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Financial Markets

Financial markets have been particularly volatile as investors weighed the likelihood of two extreme outcomes in the US–Iran conflict – a ceasefire agreement or a further major escalation. Ahead of Trump's imposed deadline for Iran to accept a ceasefire and reopen the Strait of Hormuz, he warned that “a whole civilisation will die tonight, never to be brought back again”. Reports indicated these remarks disrupted negotiations between the two nations, which are mediated by Pakistan. Trump confirmed he was engaged in “heated negotiations”, while the Pakistani Prime Minister described the talks as “progressing steadily, strongly and powerfully”. Pakistan requested a two-week extension for discussions, but Trump has yet to respond. Meanwhile, the US continued to strike Iran, hitting Kharg Island, a hub for Iran's oil exports, but not targeting major energy infrastructure there.

- US equities traded deep in negative territory for a while, but hopes for a ceasefire deal saw the S&P500 recover losses and finish the session broadly unchanged. European benchmark indices closed in the red ahead of the US rally – the Euro Stoxx 50 fell 1.0%, and the FTSE100 lost 0.8%. Asian markets were mixed – the Nikkei 225 was steady, while the Hang Seng dropped 0.7%. The domestic ASX 200 outperformed, gaining 1.7%. Tech stocks led the advance, with other major sectors also trading bringing positive returns.
- US Treasuries rallied, with yields heading 2–7bp lower. The largest gains were at the front end of the curve, while the 10Y yield fell 4bp to 4.29%. Earlier, Gilt and Bund yields rose sharply, catching up with Friday's move in Treasuries. The UK 10Y was 7bp higher, while the German equivalent climbed 9bp. Australian yields declined 5–6bp across the curve, and futures indicate a further drop at today's open.
- In FX markets, the late-day shift towards risk saw the DXY retreat by 0.3%, while other major currencies strengthened. The EUR and GBP appreciated 0.4–0.5%. The AUD was among the top performers, rising 0.8% to 0.6970.
- With several different war scenarios in the Middle East remaining likely, oil prices were mixed. Brent futures for June eased to \$103.0, while the active WTI contract for May rose 0.5% to \$113. Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to \$144.42, the highest level since records began in 1987, reflecting the lack of supply. Among other major commodities, gold gained 1.2%, while iron ore remained little changed.

International Data

The NY Fed Survey of Consumer Expectations indicated a notable increase in near-term US consumer inflation

Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
12:00	NZ RBNZ Policy Decision 8/04/2026	2.2%	2.2%
19:00	EZ PPI Feb	-0.6%	0.7%
19:00	EZ Retail Sales Feb	-0.2%	-0.1%
04:00	FOMC Meeting Minutes from 18 March	-	-

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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
Euro Stoxx 50	5,633	-1.0%
UK FTSE100	10,349	-0.8%
VIX Index	25.78	6.7%

Commodities	Current	Change
CRB Index	381.38	-0.3%
Gold	4706.51	1.2%
Copper	12313	-0.4%
Oil (WTI futures)	112.95	0.5%
Coal (coking)	234.75	-0.6%
Coal (thermal)	138.50	0.4%
Iron Ore	106.35	0.0%
ACCU	36.13	-4.3%

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	-0.01
90 day BBSY	4.37	0.02
180 day BBSY	4.85	0.01
1 year swap	4.64	-0.02
2 year swap	4.65	-0.05
3 year swap	4.63	-0.10
4 year swap	4.68	-0.02
5 year swap	4.70	-0.03
6 year swap	4.73	-0.03
7 year swap	4.78	-0.02
8 year swap	4.82	-0.02
9 year swap	4.85	-0.02
10 year swap	5.04	-0.10

Government Bond Yields	Close	Change
Australia		
3 year bond	4.66	-0.06
10 year bond	4.98	-0.05
United States		
3-month T Bill	3.60	-0.03
2 year bond	3.79	-0.06
10 year bond	4.29	-0.04
Other (10 year yields)		
Germany	3.08	0.09
Japan	2.42	-0.01
UK	4.90	0.07

Sydney Futures Exchange	Current	Change
10 yr bond	4.97	-0.05
3 yr bond	4.64	-0.05
3 mth bill rate	4.18	0.00
SPI 200	8,775	0.1%



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Financial Markets

Financial markets have been particularly volatile as investors weighed the likelihood of two extreme outcomes in the US–Iran conflict – a ceasefire agreement or a further major escalation. Ahead of Trump's imposed deadline for Iran to accept a ceasefire and reopen the Strait of Hormuz, he warned that “a whole civilisation will die tonight, never to be brought back again”. Reports indicated these remarks disrupted negotiations between the two nations, which are mediated by Pakistan. Trump confirmed he was engaged in “heated negotiations”, while the Pakistani Prime Minister described the talks as “progressing steadily, strongly and powerfully”. Pakistan requested a two-week extension for discussions, but Trump has yet to respond. Meanwhile, the US continued to strike Iran, hitting Kharg Island, a hub for Iran's oil exports, but not targeting major energy infrastructure there.

- US equities traded deep in negative territory for a while, but hopes for a ceasefire deal saw the S&P500 recover losses and finish the session broadly unchanged. European benchmark indices closed in the red ahead of the US rally – the Euro Stoxx 50 fell 1.0%, and the FTSE100 lost 0.8%. Asian markets were mixed – the Nikkei 225 was steady, while the Hang Seng dropped 0.7%. The domestic ASX 200 outperformed, gaining 1.7%. Tech stocks led the advance, with other major sectors also trading bringing positive returns.
- US Treasuries rallied, with yields heading 2–7bp lower. The largest gains were at the front end of the curve, while the 10Y yield fell 4bp to 4.29%. Earlier, Gilt and Bund yields rose sharply, catching up with Friday's move in Treasuries. The UK 10Y was 7bp higher, while the German equivalent climbed 9bp. Australian yields declined 5–6bp across the curve, and futures indicate a further drop at today's open.
- In FX markets, the late-day shift towards risk saw the DXY retreat by 0.3%, while other major currencies strengthened. The EUR and GBP appreciated 0.4–0.5%. The AUD was among the top performers, rising 0.8% to 0.6970.
- With several different war scenarios in the Middle East remaining likely, oil prices were mixed. Brent futures for June eased to \$103.0, while the active WTI contract for May rose 0.5% to \$113. Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to \$144.42, the highest level since records began in 1987, reflecting the lack of supply. Among other major commodities, gold gained 1.2%, while iron ore remained little changed.

International Data

The NY Fed Survey of Consumer Expectations indicated a notable increase in near-term US consumer inflation

Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
12:00	NZ RBNZ Policy Decision 8/04/2026	2.2%	2.2%
19:00	EZ PPI Feb	-0.6%	0.7%
19:00	EZ Retail Sales Feb	-0.2%	-0.1%
04:00	FOMC Meeting Minutes from 18 March	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

expectations. The one-year ahead measure rose by 0.4ppt to 3.4%yr, last seen at the end of December. Longer-term inflation expectations – which will be closely followed by policymakers at the Fed – were also higher. The three- and five-year indicators edged up 0.1ppt to 3.1%yr, having been stable at 3% for some time.

Durable goods orders decreased by 1.4%mt in February – a third consecutive decline after a 5.4%mt increase in November. The drop was accounted for by volatile aircraft orders – excluding transportation, orders were up 0.8%mt. Core orders – capital goods excluding aircraft and defence – increased by 0.6%mt, reversing a 0.4%mt decline in January. The two months together suggest a 0.7% increase in Q1, which is less than a third of the increase in Q4 – consistent with slowing demand before the conflict in the Middle East escalated.

US consumer credit flow rose to \$9.5bn in February – very close to the average levels in 2025 of almost \$9bn – suggesting broadly stable spending growth and appetite for risk at this point.

The latest comments from Fed officials suggested somewhat diverging assessments of the current economic situations. **New York Fed President John Williams** indicated that in his view the outlook for underlying inflationary pressures has not changed much. Meanwhile, **Chicago Fed President Austan Goolsbee** said he is cautious and nervous about the US economy, reiterating that higher oil prices could drive stagflationary shock, with inflation becoming persistent.

Having previously shown that the initial reaction of euro area institutional and individual investors to the war in the Middle East was negative but quite modest, the **Sentix survey** brought a much bigger decline this time – showing the headline index falling to -19.2, a very similar level to that seen after the Liberation Day US tariff announcement in April 2025. Both the current situation and expectations were much weaker, as the survey pointed out a surge in concerns about rising inflation, up to levels similar to the post-pandemic period.

Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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WESTPAC ECONOMICS

CEO100 SURVEY

GEOPOLITICAL & ECONOMIC UPDATE

Justin Smirk, Senior Economist

17 March 2026



Global economy and financial markets

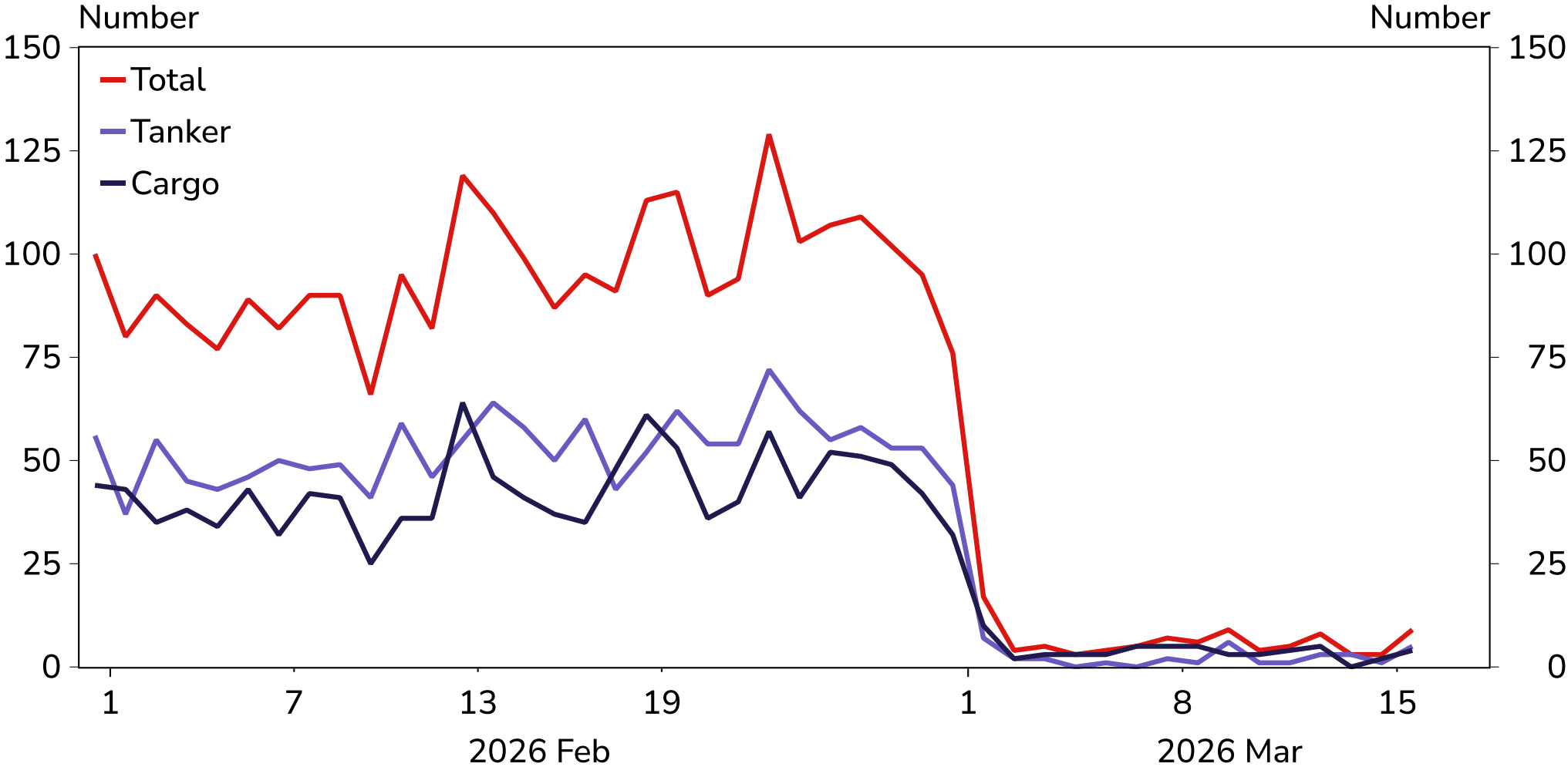
There is a war on!

- Oil, gas prices up, but the main issue is choking off of supply
 - Russian invasion of Ukraine had bigger price impact than current (so far), risk it goes higher
 - The longer this drags on, the bigger the issue, especially for emerging markets
- USD still overvalued but risk sentiment can shift abruptly
- A weaker USD dollar means a larger depreciation by the Kina against its major trading partners
- So far, US bond yields down a little since war broke out, but up in Australia
- Commodity prices, especially the ones that matter for PNG, are mostly higher since the war broke out

Insurance led closure of Strait of Hormuz



Strait of Hormuz Chokepoint Transit Calls

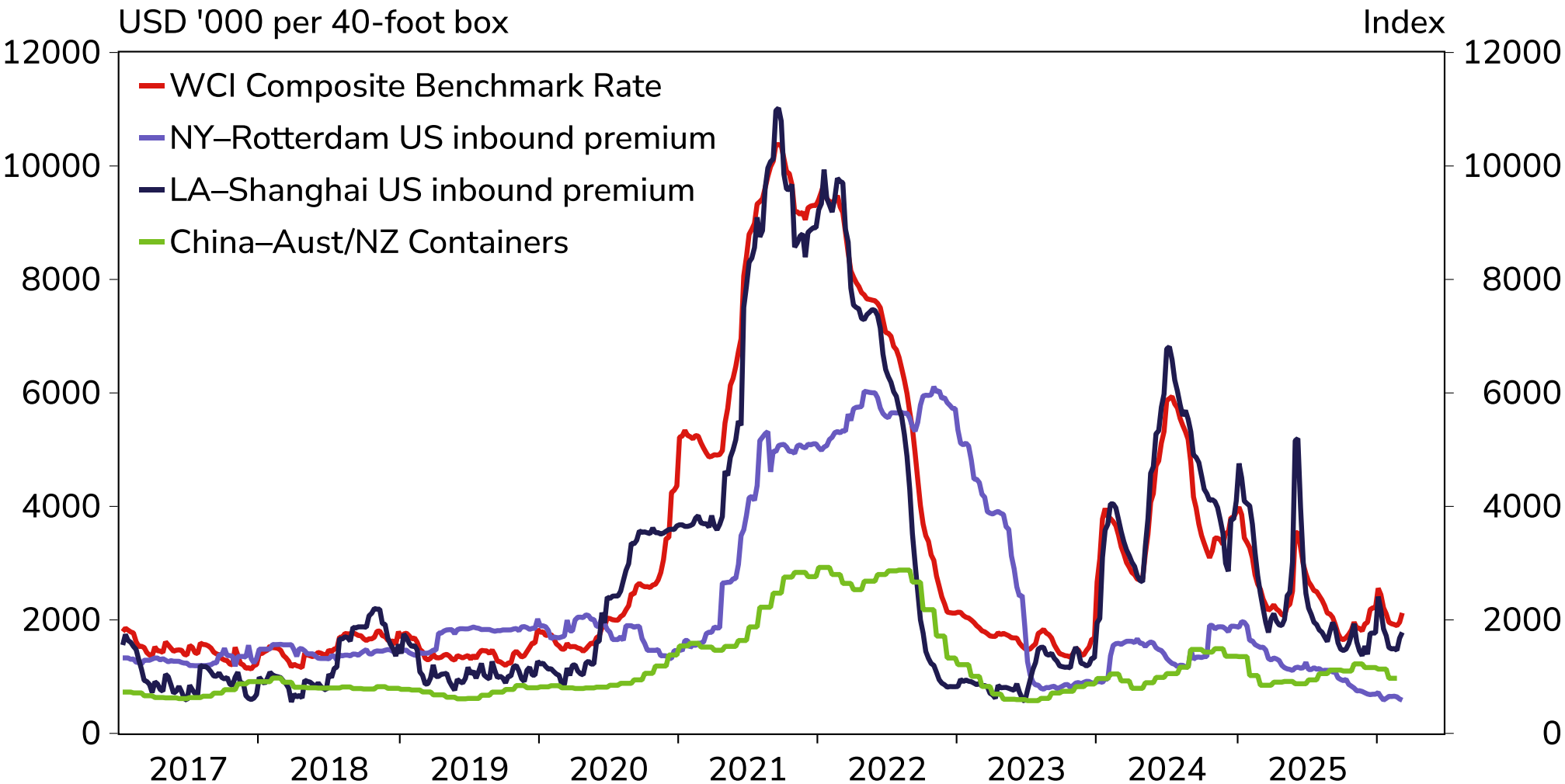


Source: IMF, Macrobond, Westpac Economics

Drone-led closure of Strait of Hormuz a key issue



Container Shipping Rates and Directional Premiums

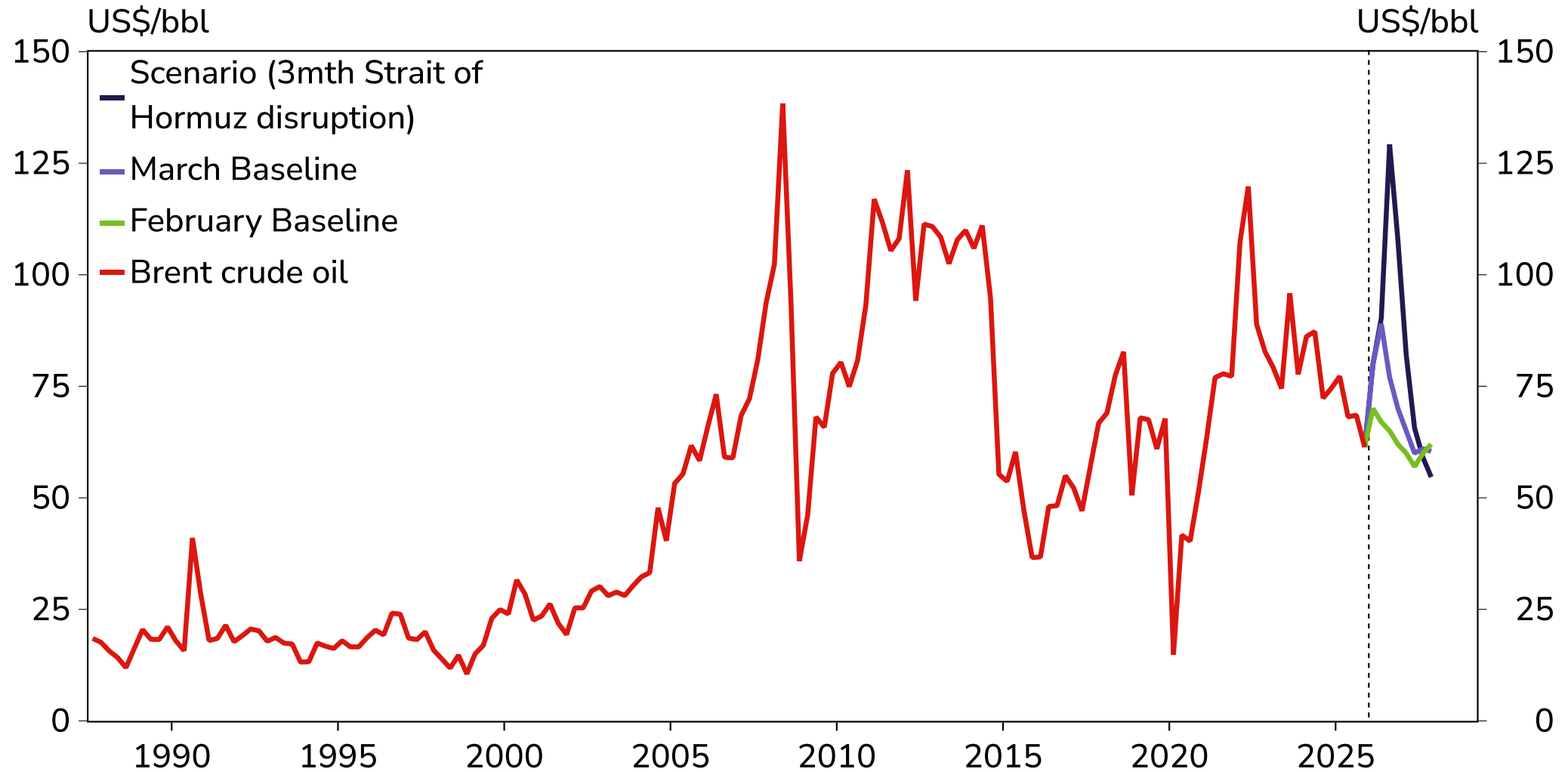


Source: MOT, Macrobond, Westpac Economics

...which could see oil prices go much higher...



Oil price scenarios

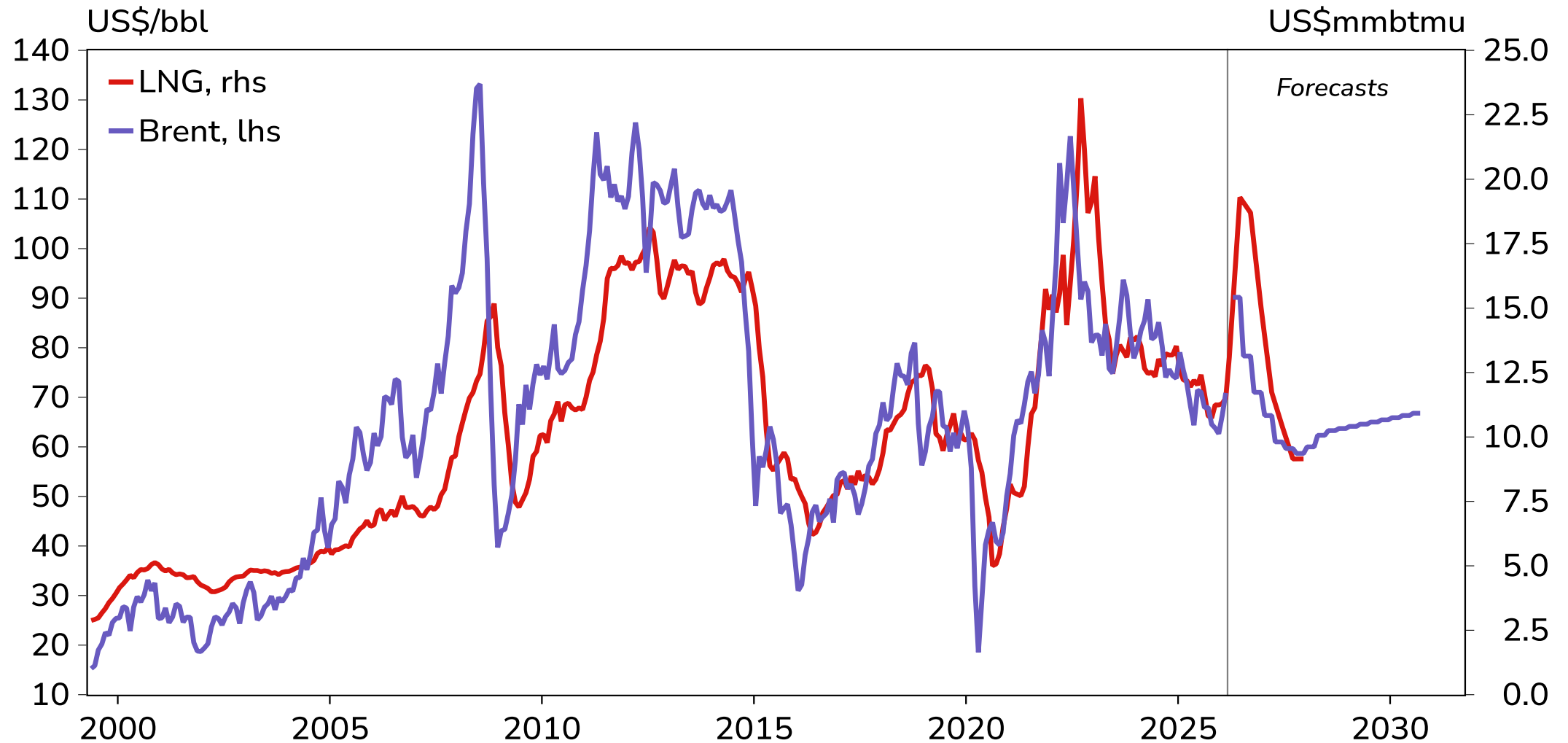


Source: EIA, Macrobond, Westpac Economics

...which could see oil prices go much higher...



Brent Crude remains the benchmark for LNG

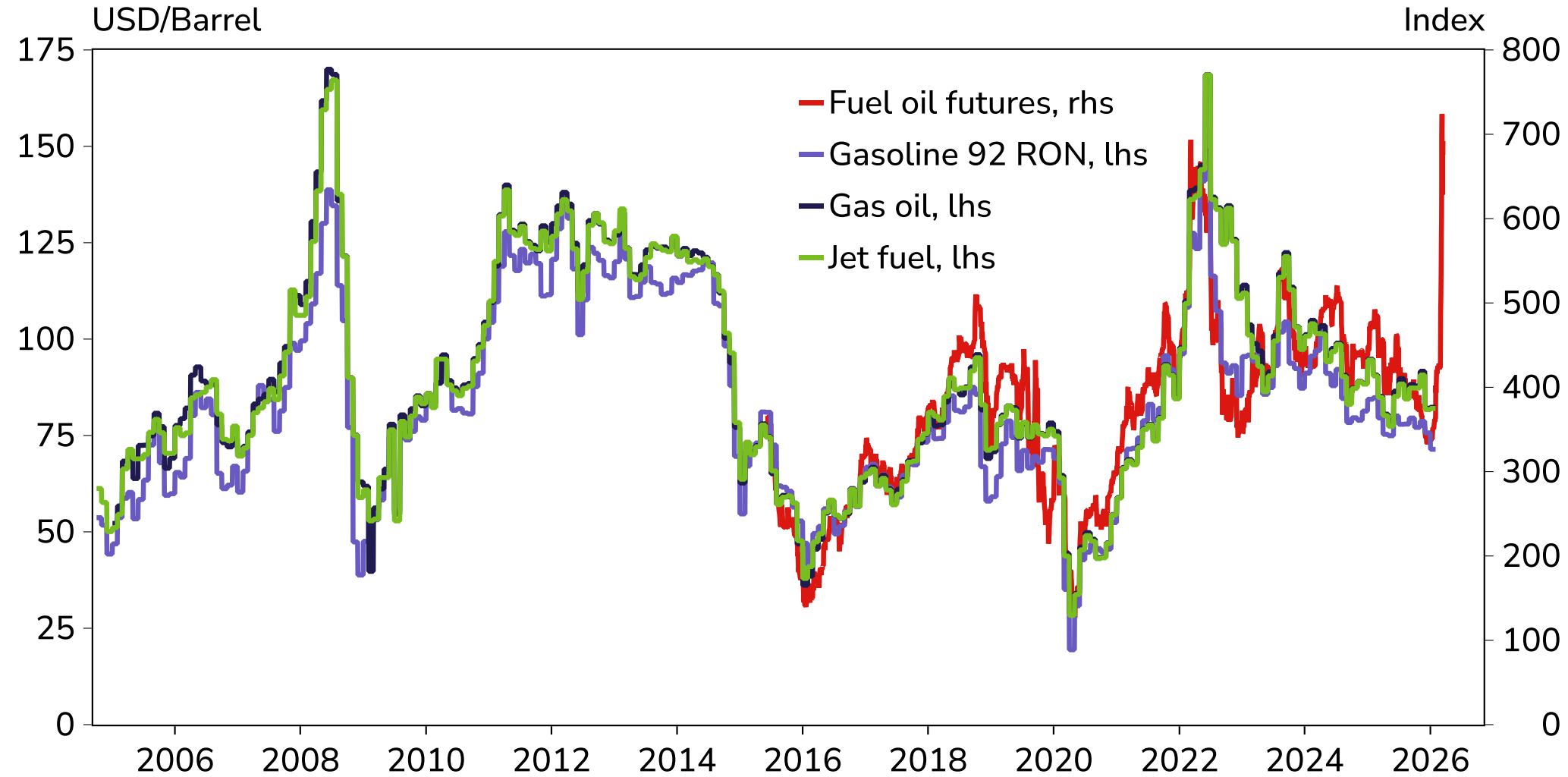


Source: EIA, Macrobond, Westpac Economics

War in Middle East spiking oil, petrol, LNG prices



Singapore refined fuel prices

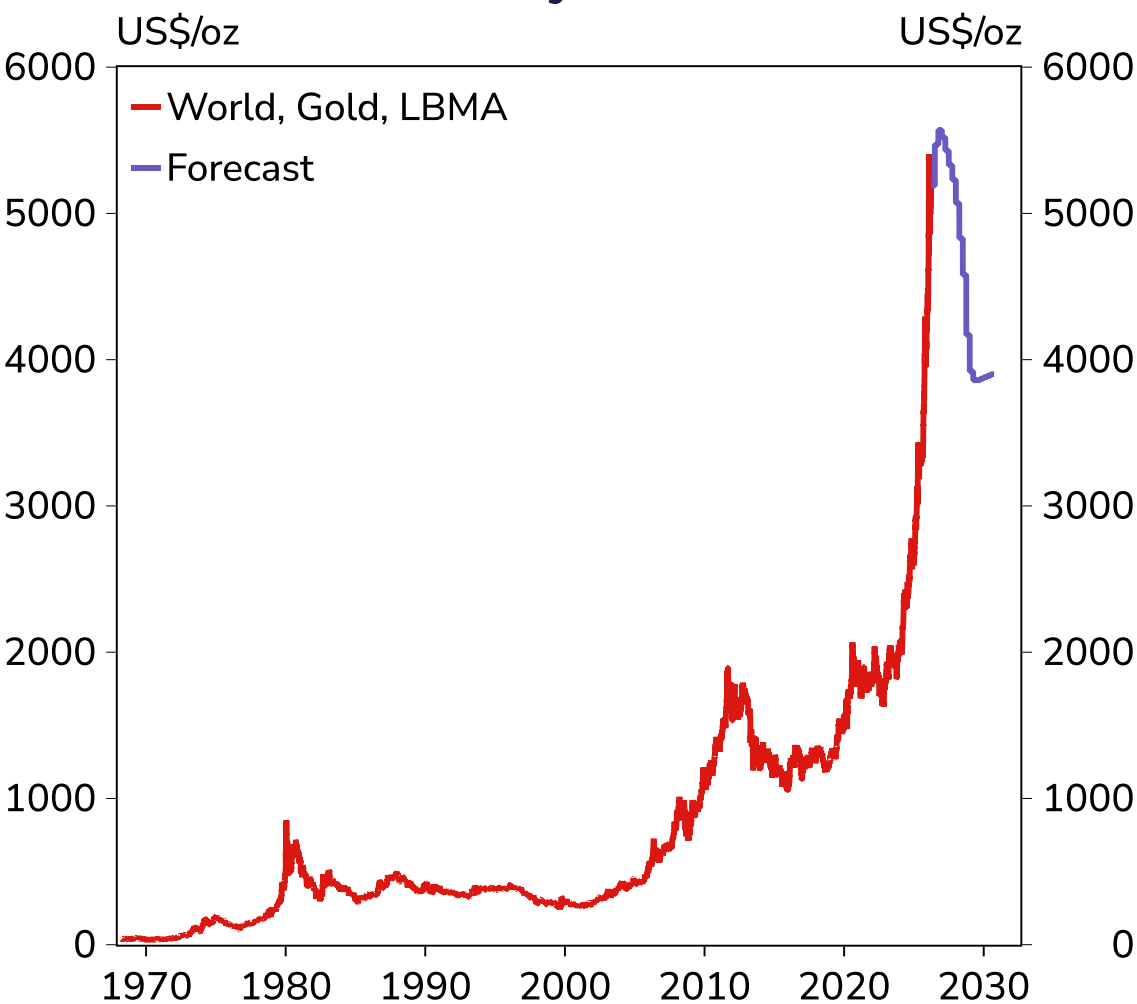


Source: SGX, OPEC, Macrobond, Westpac Economics

Export commodities doing well

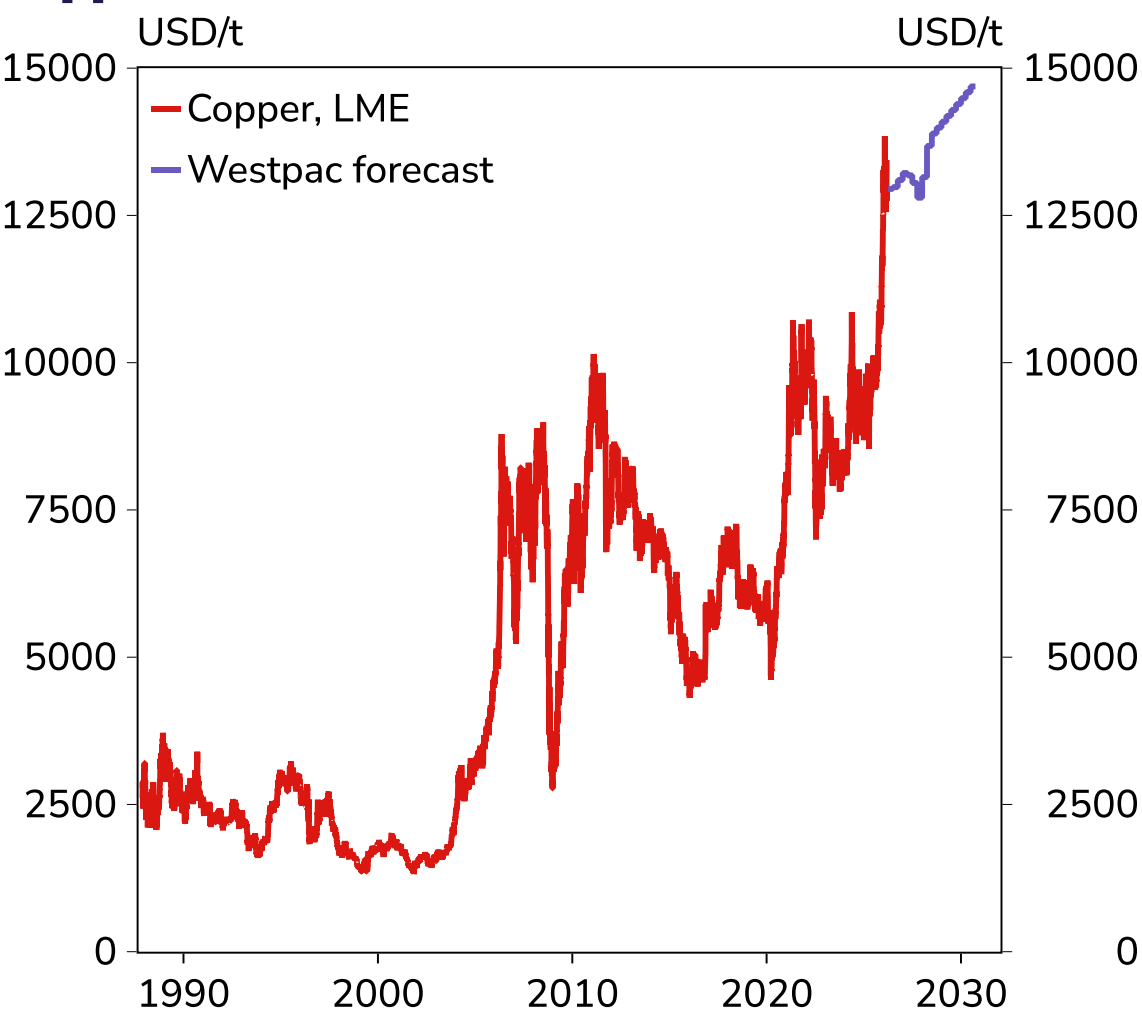


Gold continues the rally from 2024



Source: LBMA, FTSE Russell, Macrobond, Westpac Economics

Copper has a constructive outlook

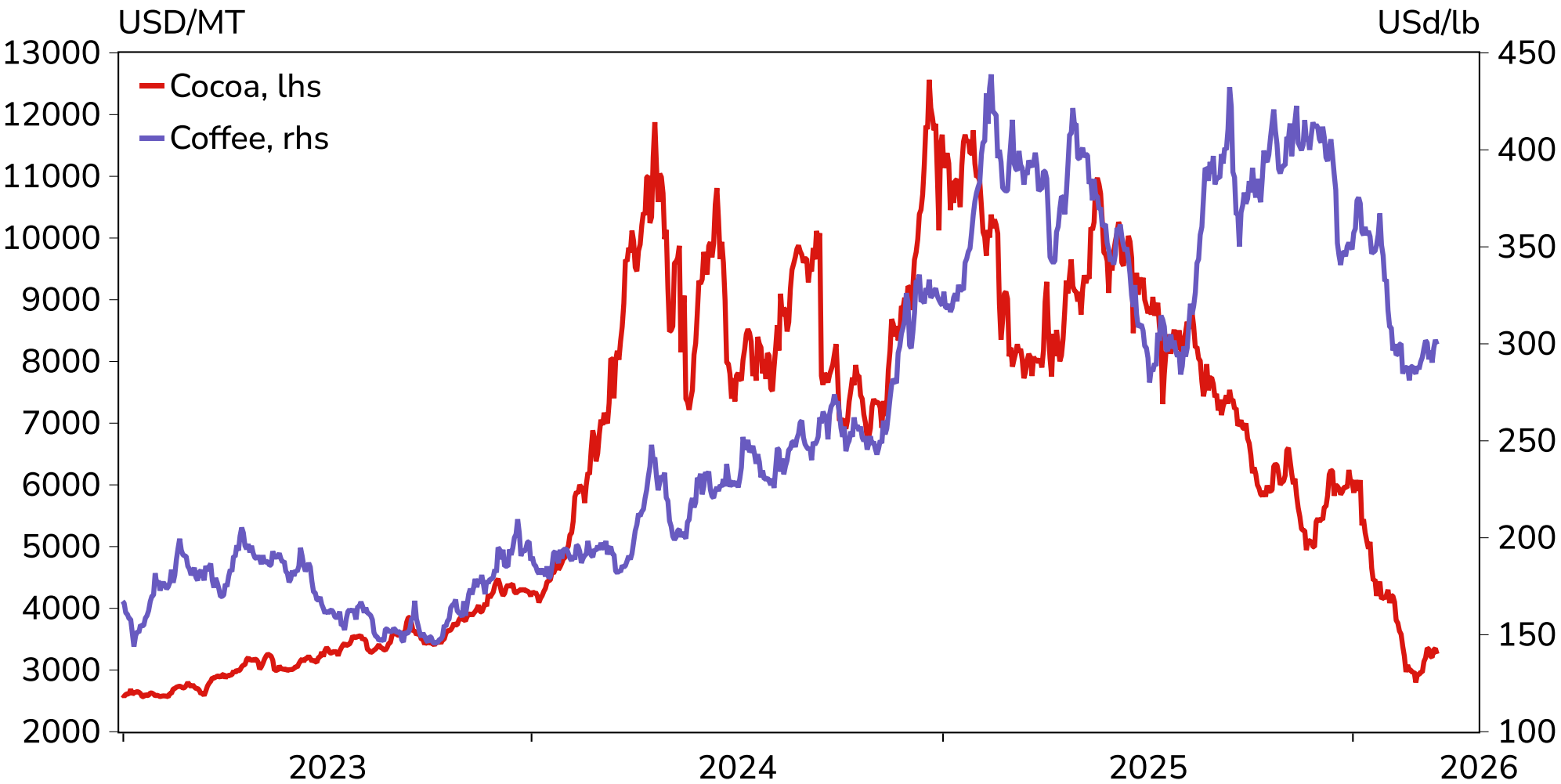


Source: LME, Macrobond, Westpac Economics

Local soft commodities are more mixed



Cocoa and Coffee

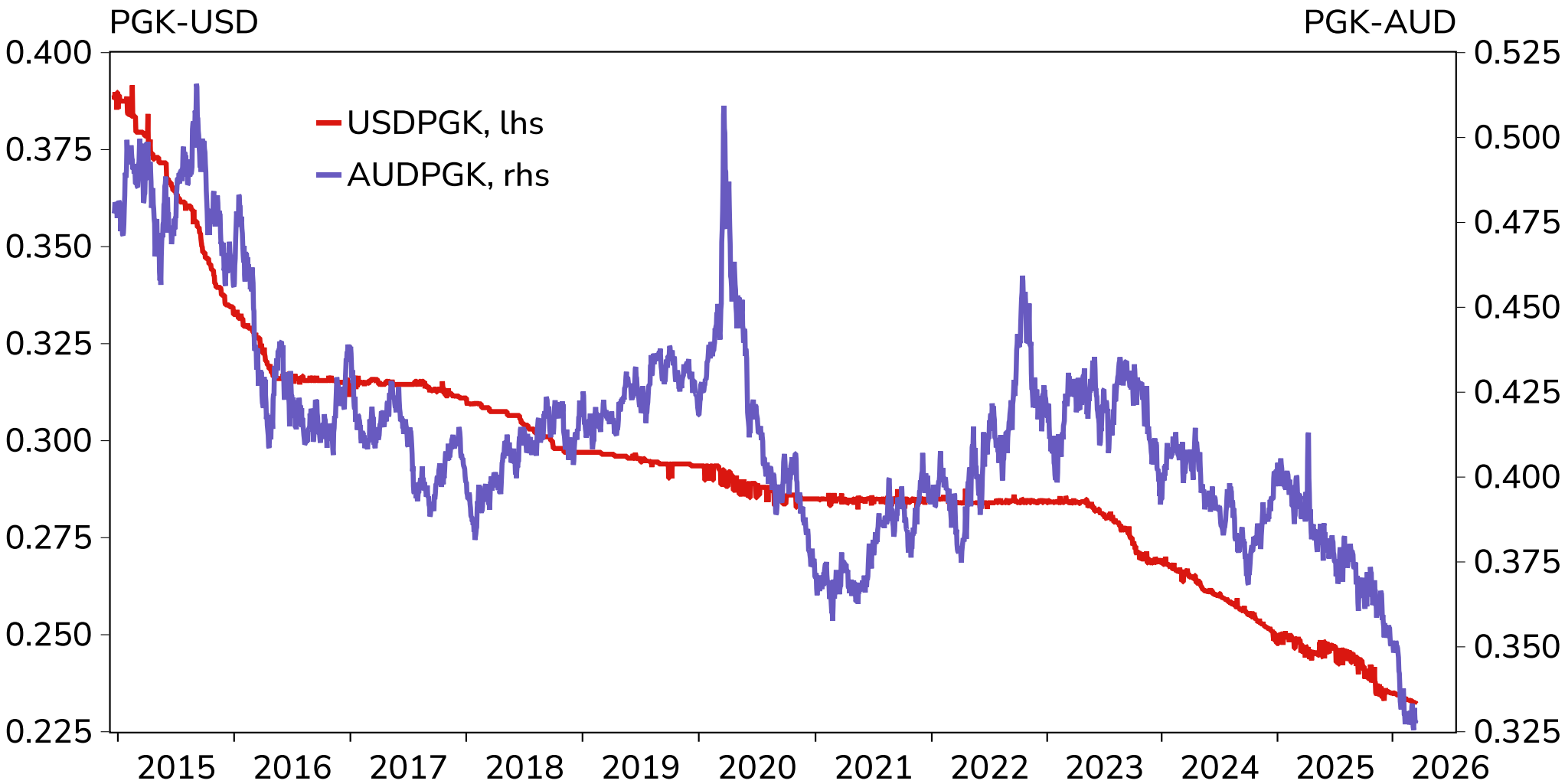


Source: Bloomberg, Macrobond, Westpac Economics

War still sees a weaker Kina against its trading partners



Kina Foreign Exchange Rate

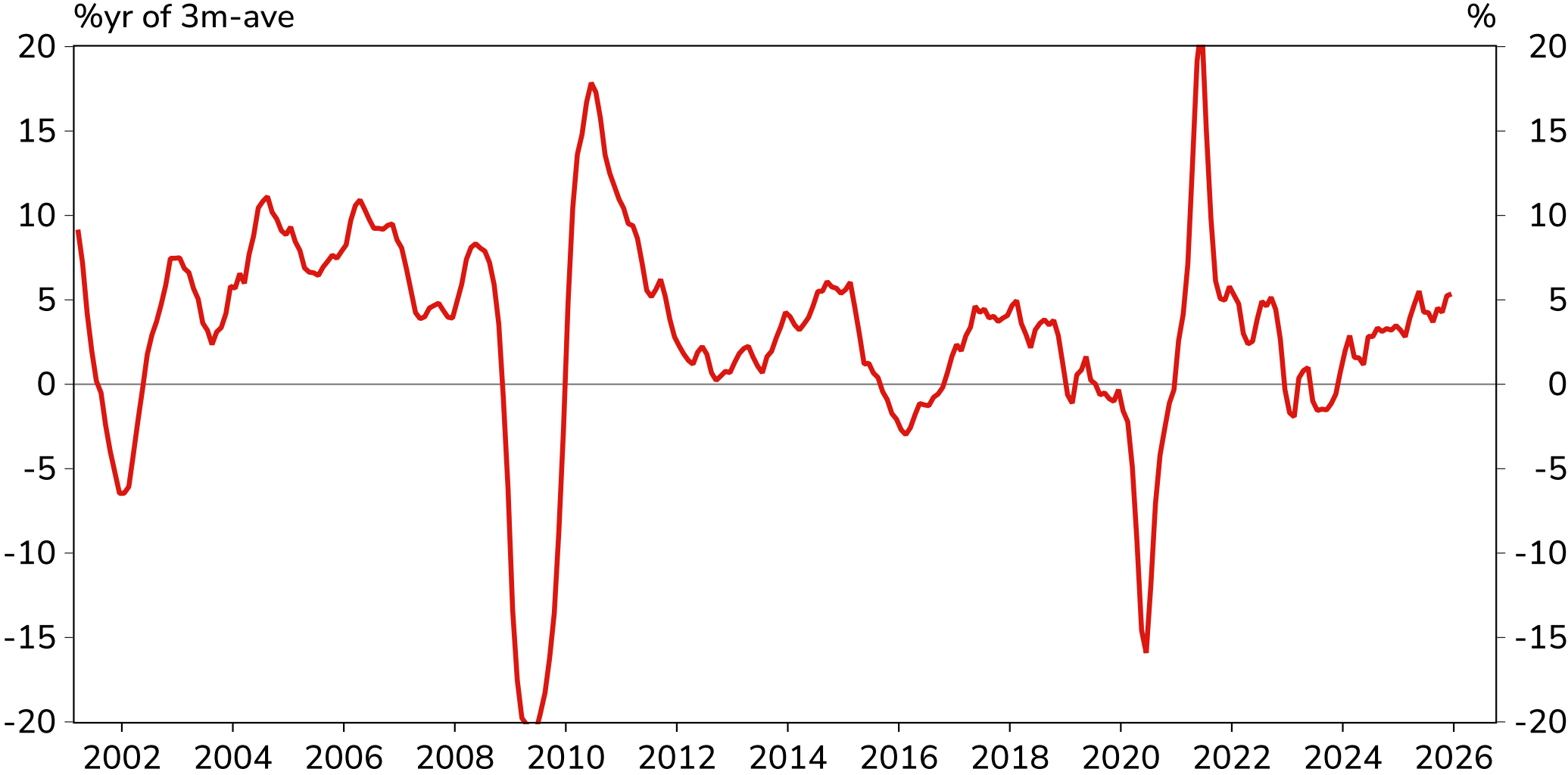


Source: , Macrobond, Westpac Economics

Global trade didn't falter after all



Growth in World Trade Volumes

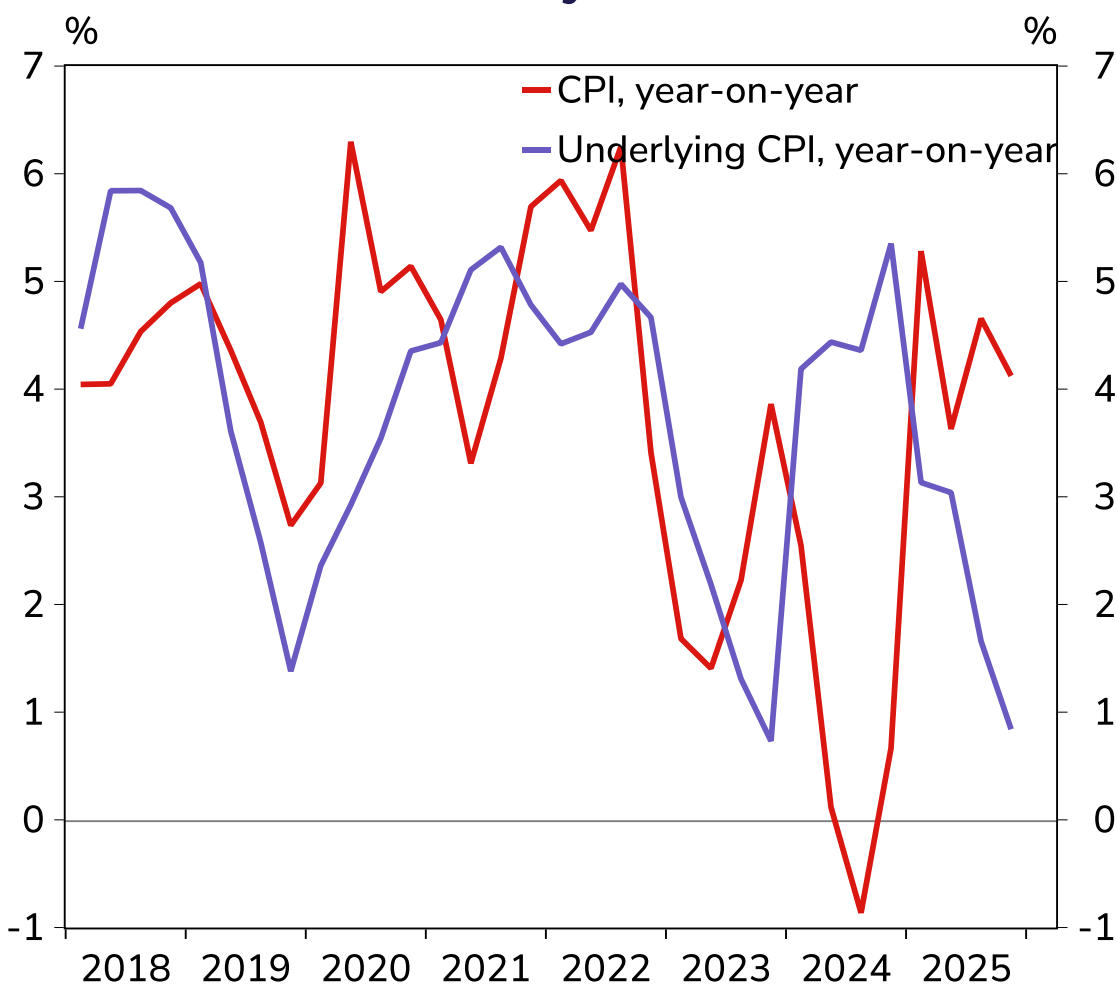


Source: CPB, Macrobond, Westpac Economics

Inflation surges in the highlands – volatility elsewhere

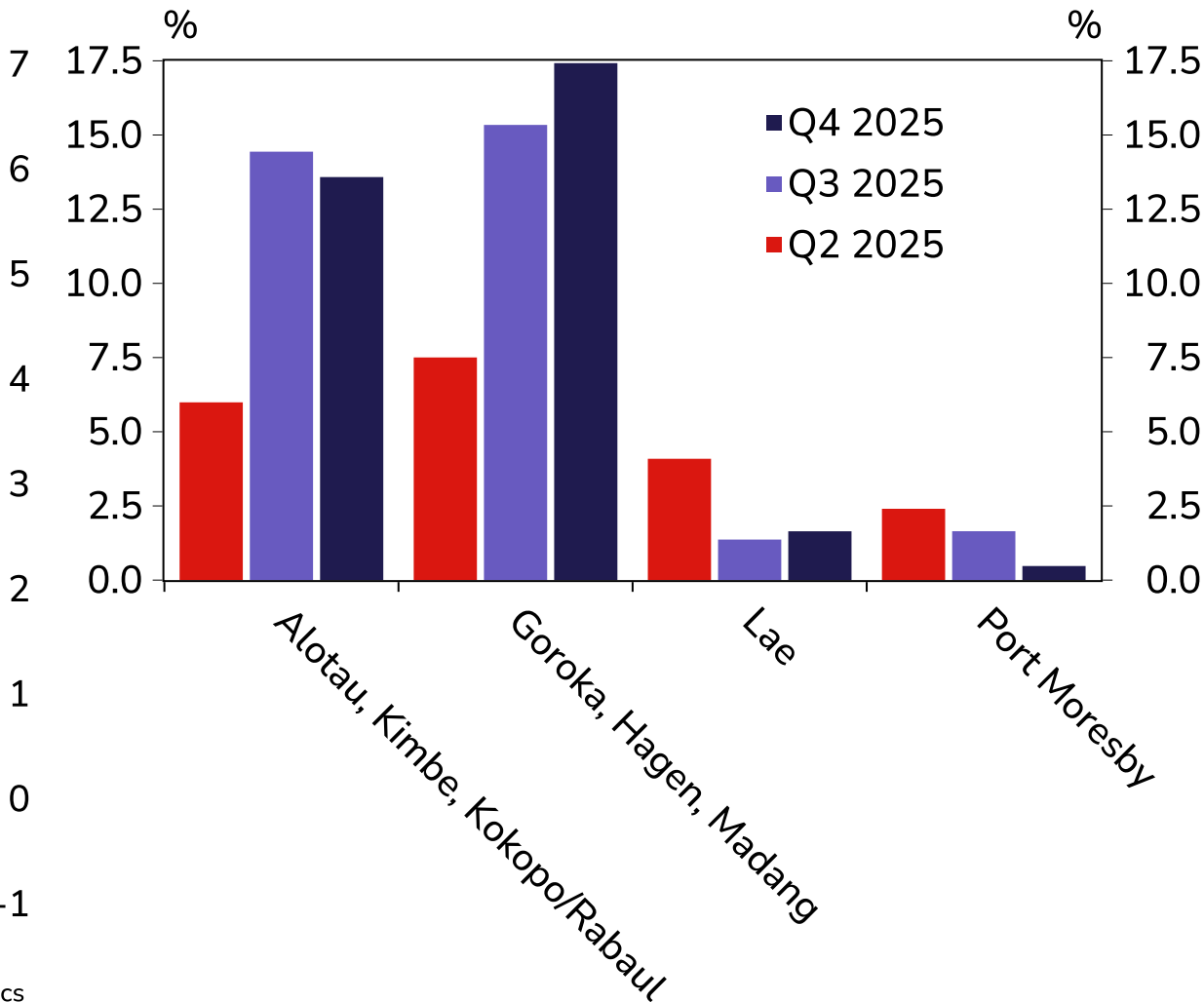


Core inflation falls to 2-year low at 2025-end



Source: NSO, Macrobond, Westpac Economics

Headline inflation in respective regions



Source: NSO, Macrobond, Westpac Economics



CEO100 Quietly Optimistic

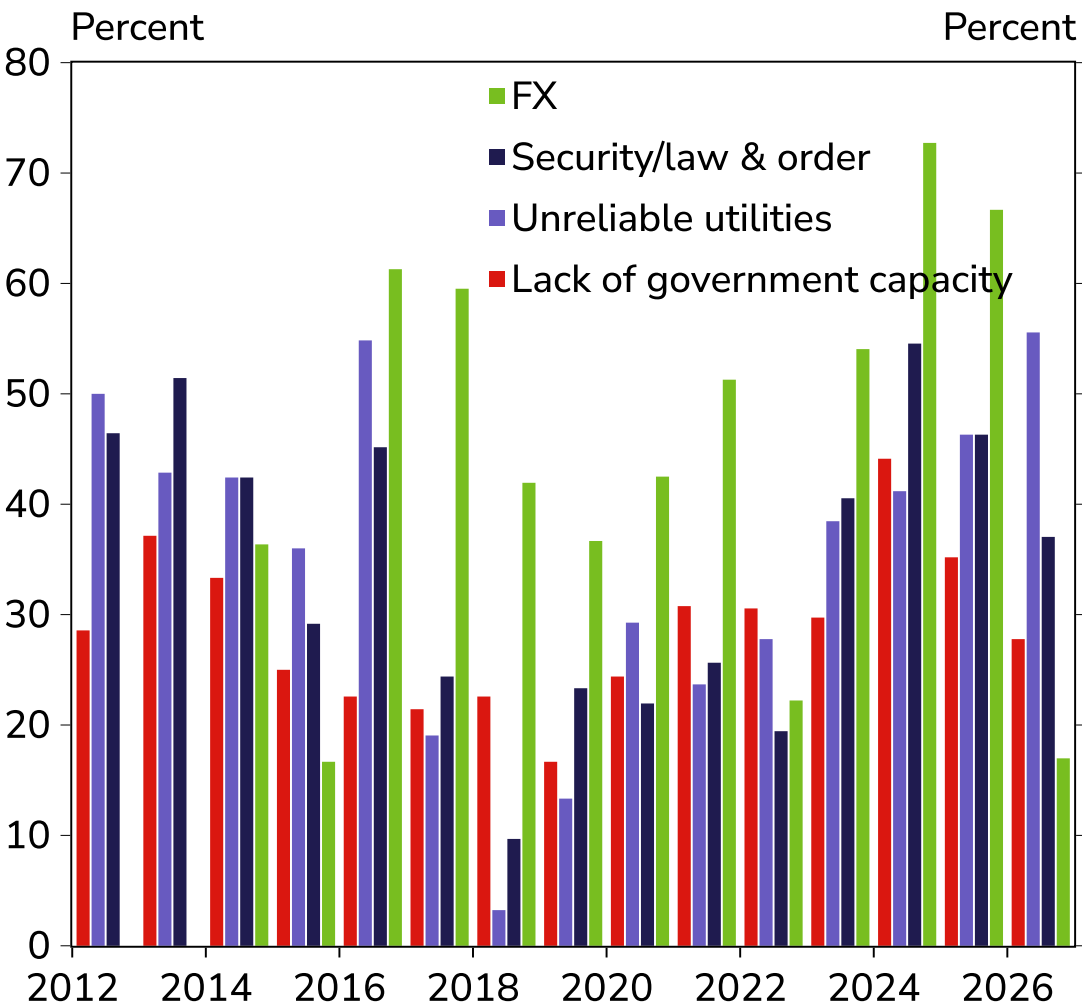
An economy needs power

- 1. Unreliable utilities, number three in 2025 and nearing historically high.
- 2. Security / law and order, number two in 2025.
- 3. Lack of government capacity, number four in 2025.
- 4. Shortage of expertise and skills, which has improved.
- 5. Inflation, concerns have eased but remains above average.
- 6. Regulatory uncertainty, sneaks in as FX drops out.

Top four mission critical concerns shifted this year

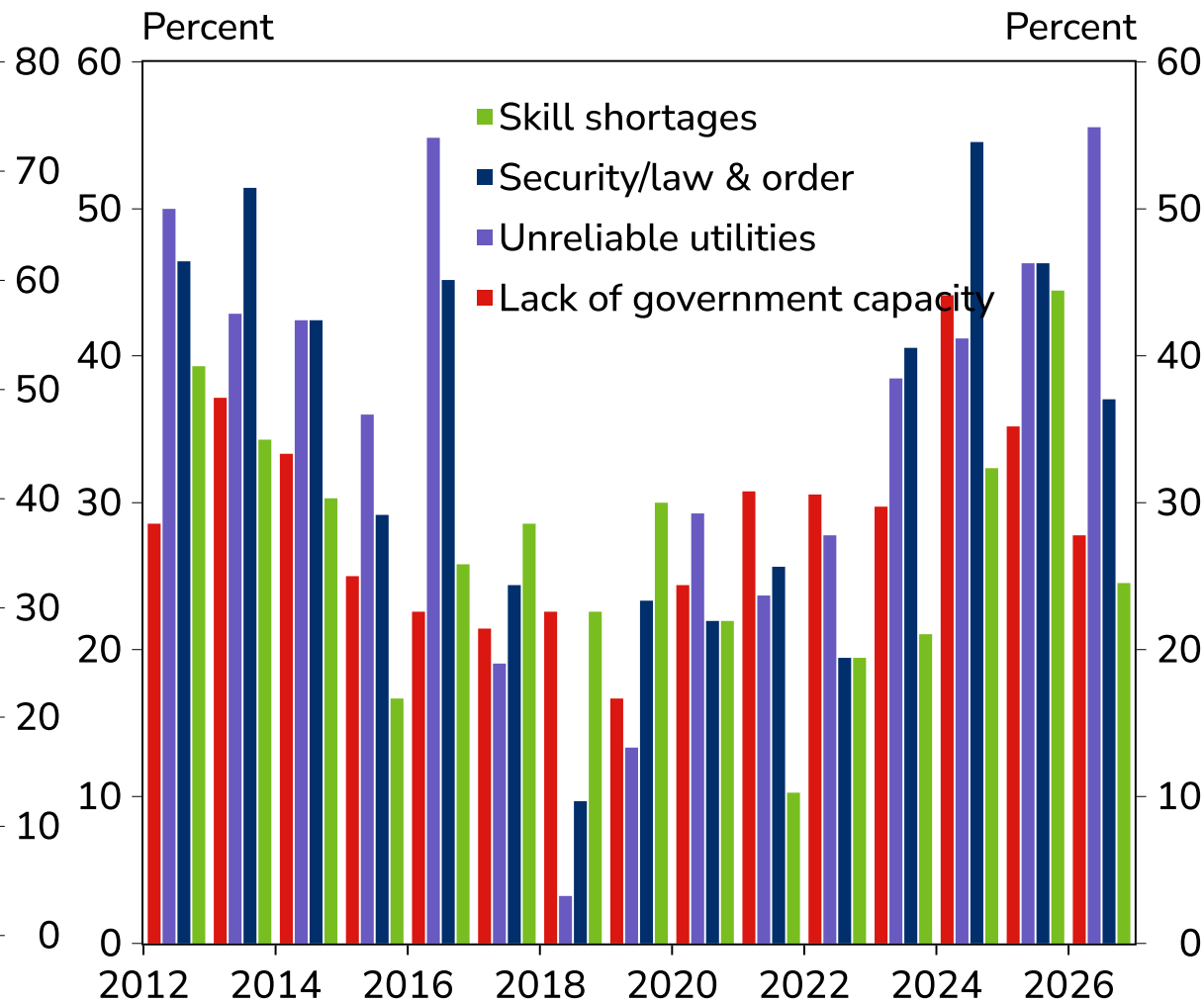


FX was the critical concern in 2025...



Source: Business Advantage, Macrobond, Westpac Economics

...to be replaced by unreliable utilities in 2026

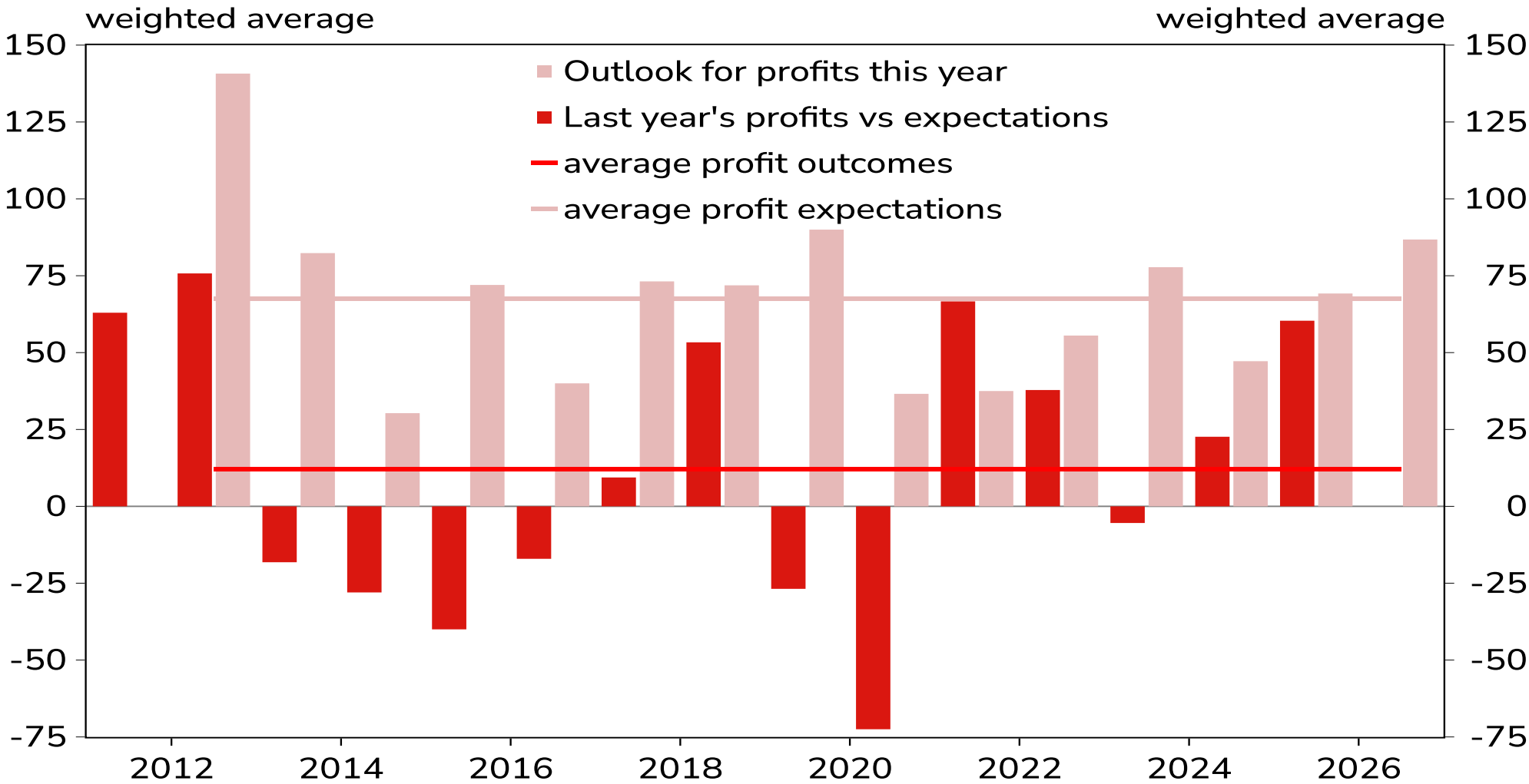


Source: Business Advantage PNG, Macrobond, Westpac Economics

We are seeing a trend improvement in profits



CEO 100 Profits: outcome vs expectation

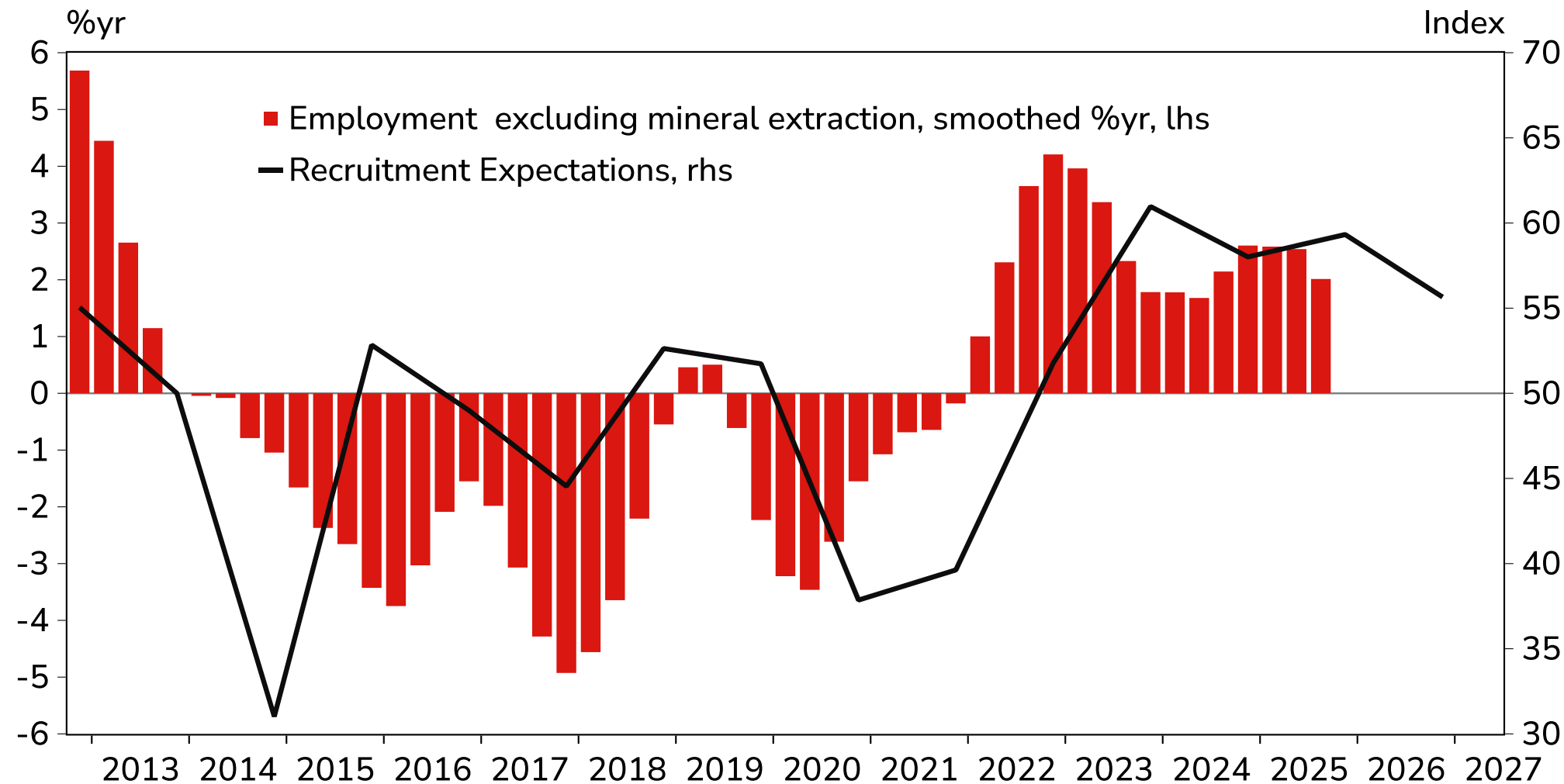


Source: Business Advantage, Macrobond, Westpac Economics

Expectations points to employment growth



CE0100 Recruitment vs non mineral employment

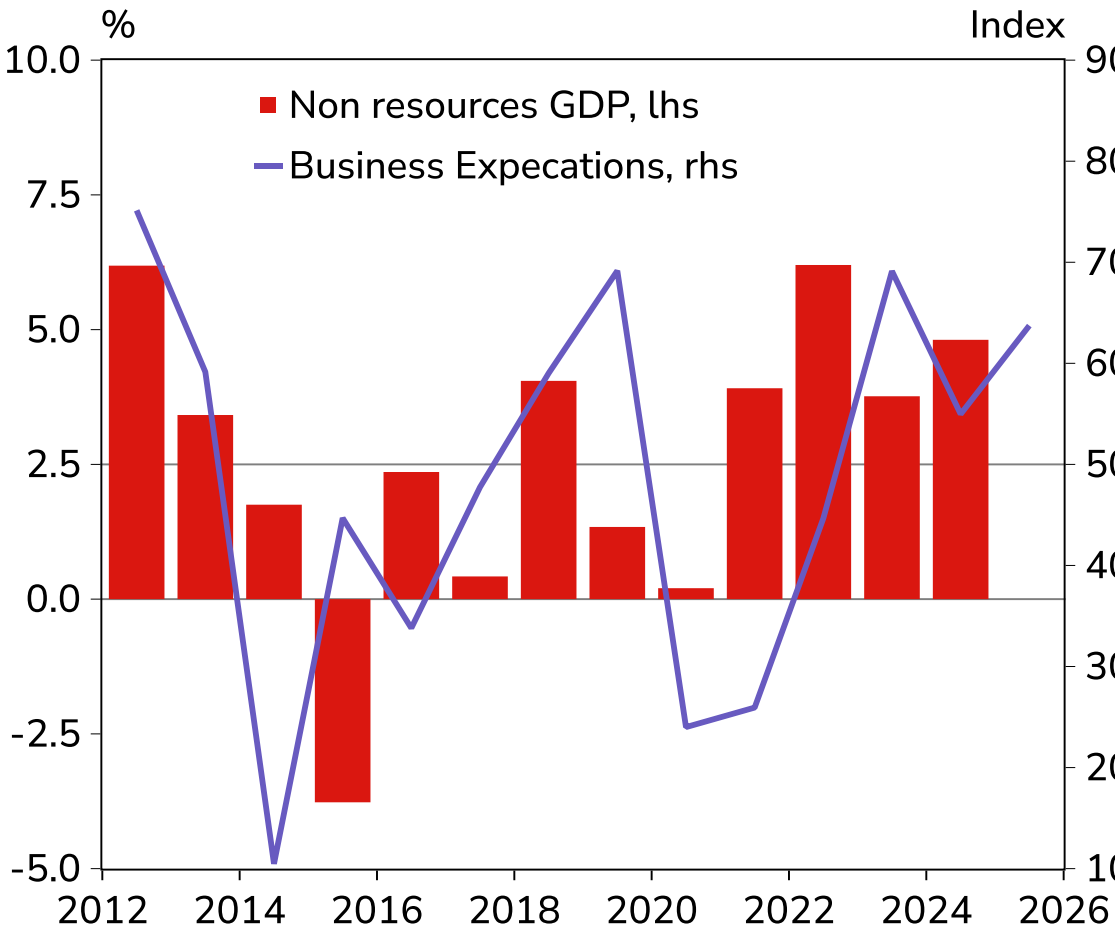


Source: Business Advantage PNG, Macrobond, Westpac Economics

Expectation rise as does business confidence

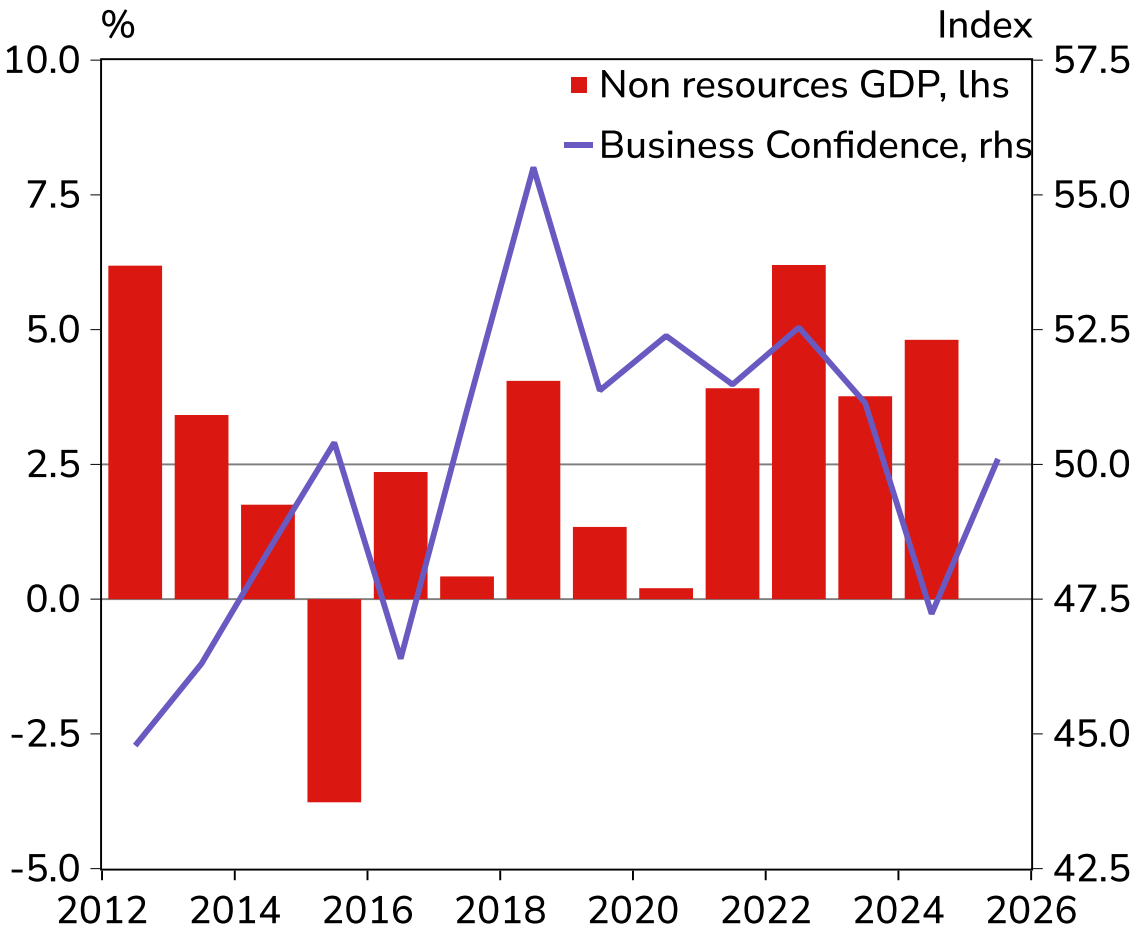


Westpac Business Advantage Business Expectations Index



Source: Business Advantage PNG, Macrobond, Westpac Economics

Westpac Business Advantage Business Confidence Index

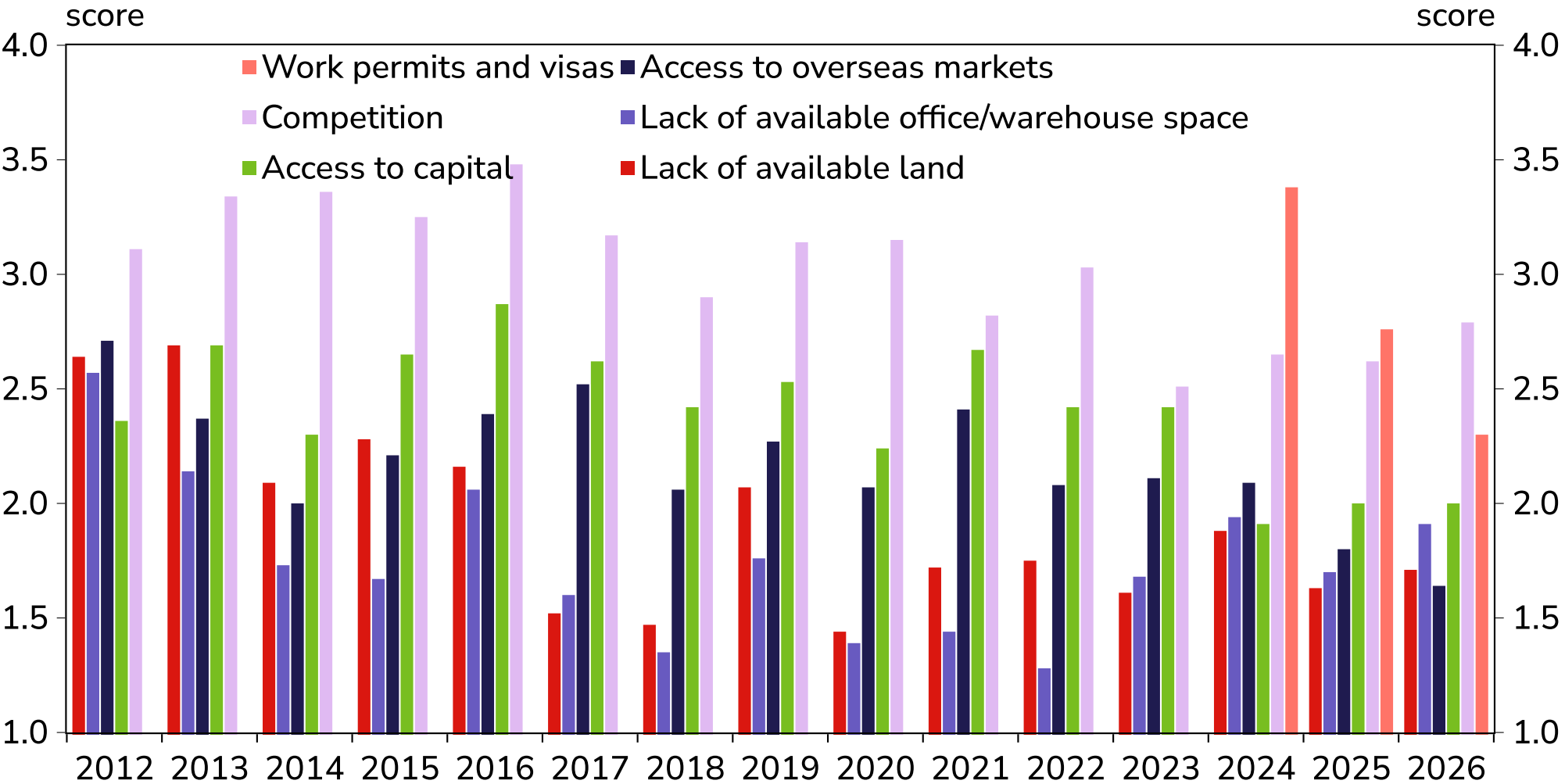


Source: Business Advantage PNG, Macrobond, Westpac Economics

There are more pressing concerns than land and capital



Six factor of least concern for PNG businesses



Source: Business Advantage PNG, Macrobond, Westpac Economics



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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
Euro Stoxx 50	5,633	-1.0%
UK FTSE100	10,349	-0.8%
VIX Index	25.78	6.7%

Commodities	Current	Change
CRB Index	381.38	-0.3%
Gold	4706.51	1.2%
Copper	12313	-0.4%
Oil (WTI futures)	112.95	0.5%
Coal (coking)	234.75	-0.6%
Coal (thermal)	138.50	0.4%
Iron Ore	106.35	0.0%
ACCU	36.13	-4.3%

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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30 day BBSY	4.11	-0.01
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3 year bond	4.66	-0.06
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3-month T Bill	3.60	-0.03
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Germany	3.08	0.09
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3 mth bill rate	4.18	0.00
SPI 200	8,775	0.1%



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Financial Markets

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Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
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Durable goods orders decreased by 1.4%mt in February – a third consecutive decline after a 5.4%mt increase in November. The drop was accounted for by volatile aircraft orders – excluding transportation, orders were up 0.8%mt. Core orders – capital goods excluding aircraft and defence – increased by 0.6%mt, reversing a 0.4%mt decline in January. The two months together suggest a 0.7% increase in Q1, which is less than a third of the increase in Q4 – consistent with slowing demand before the conflict in the Middle East escalated.

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Having previously shown that the initial reaction of euro area institutional and individual investors to the war in the Middle East was negative but quite modest, the **Sentix survey** brought a much bigger decline this time – showing the headline index falling to -19.2, a very similar level to that seen after the Liberation Day US tariff announcement in April 2025. Both the current situation and expectations were much weaker, as the survey pointed out a surge in concerns about rising inflation, up to levels similar to the post-pandemic period.

Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
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US consumer credit flow rose to \$9.5bn in February – very close to the average levels in 2025 of almost \$9bn – suggesting broadly stable spending growth and appetite for risk at this point.

The latest comments from Fed officials suggested somewhat diverging assessments of the current economic situations. **New York Fed President John Williams** indicated that in his view the outlook for underlying inflationary pressures has not changed much. Meanwhile, **Chicago Fed President Austan Goolsbee** said he is cautious and nervous about the US economy, reiterating that higher oil prices could drive stagflationary shock, with inflation becoming persistent.

Having previously shown that the initial reaction of euro area institutional and individual investors to the war in the Middle East was negative but quite modest, the **Sentix survey** brought a much bigger decline this time – showing the headline index falling to -19.2, a very similar level to that seen after the Liberation Day US tariff announcement in April 2025. Both the current situation and expectations were much weaker, as the survey pointed out a surge in concerns about rising inflation, up to levels similar to the post-pandemic period.

Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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7 April 2026

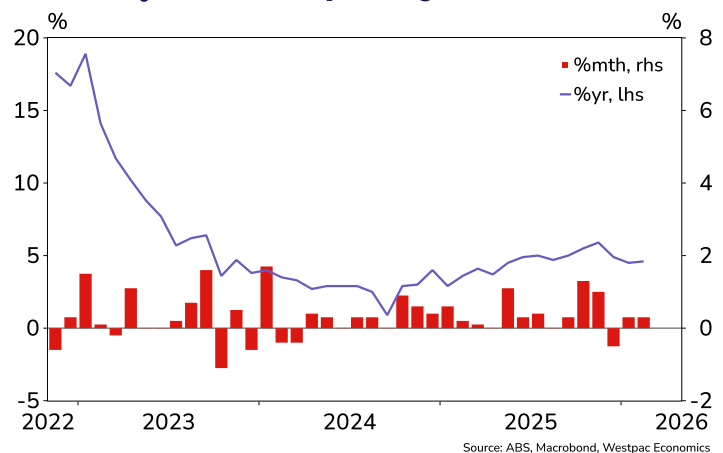
HOUSEHOLD SPENDING INDICATOR BULLETIN

Steady print amid softer signals

Key points

- Household spending rose 0.3%*mt* in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%*yr*.
- Services continued to drive overall growth, rising 0.5%*mt*, supported by holiday-related spending across recreation & culture, transport and accommodation. Goods spending reversed recent weakness to post a modest 0.1%*mt* gain.
- State outcomes were mixed. WA led the gains, with SA, Qld and Vic also recording increases. NSW was the only state to post a decline.
- Looking ahead, risks to the spending outlook remain skewed to the downside. Weaker consumer sentiment, ongoing monetary policy restraint and signals from our Westpac–DataX Card Tracker suggest spending growth is likely to moderate over coming months.

Monthly Household Spending Indicator Growth



**February
household
spending
indicator:
0.3%*mt*, 4.6%*yr***

Services spending supports in February



Luka Belobrajdic
Economist

The monthly household spending indicator rose 0.3%*mt* in February, matching January's outcome and in line with the average monthly pace recorded over the past two years. This was stronger than we had expected, with Westpac forecasting a -0.2%*mt* decline given weakness evident in our Westpac-DataX Card Tracker ([see here](#)). Annual growth edged up to 4.6%*yr*, with the January 2026 annual pace revised slightly lower to 4.5%*yr* (from 4.6%*yr*).

By broad category, services continued to drive overall spending growth in February. The segment rose by 0.5%*mt* to be 6.2%*yr* higher over the year, with the ABS attributing this strength to increased recreation and culture, travel, and accommodation spending. Goods spending reversed some of its recent weakness, posting a modest 0.1%*mt* gain (3.1%*yr*). Discretionary spending rose 0.5%*mt* after holding flat in January, while non discretionary spending was unchanged. Both categories are growing at an annual pace of 4.6%*yr*.

At the detailed level, gains were concentrated across five categories. Recreation & culture led the lift, rising 1.1%*mt*, followed by food, which increased 1.0%*mt*. Hotels, cafes & restaurants reversed some of last month's decline, up 0.4%*mt*. Health and clothing & footwear recorded smaller increases of 0.2%*mt* and 0.1%*mt* respectively.

Once again, the main drag on the month came from alcohol & tobacco, which fell -0.5%*mt*. While this category has detracted from spending in recent months, the February decline was modest relative to earlier volatility. Transport spending declined -0.4%*mt*, reflecting lower fuel prices earlier in the month, while furnishings & household equipment recorded a third consecutive fall (-0.3%*mt*), consistent with subdued housing turnover ([see here](#)).

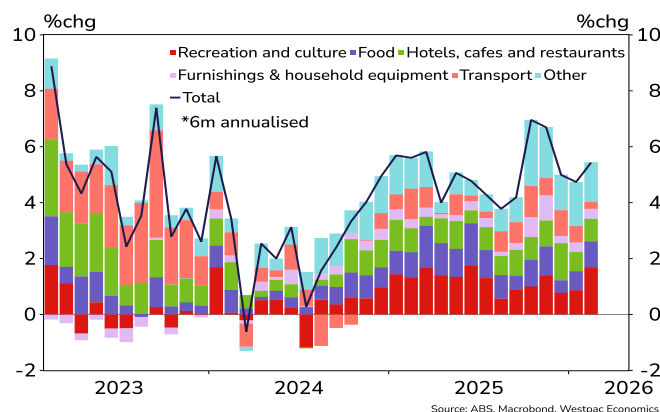
State outcomes were mixed. WA was the standout, with spending rising 0.9%*mt*. SA rebounded with a 0.6%*mt* increase following a -0.2%*mt* fall in January. Queensland and Victoria also recorded gains of 0.5%*mt* and 0.4%*mt* respectively. NSW was the only state to post a decline, with spending down -0.2%*mt* in February, leaving it with the weakest annual growth rate among the states at 3.3%*yr*.

Looking ahead, risks to the spending outlook remain skewed to the downside. Consumer sentiment has softened amid escalating conflict in the Middle East and ongoing monetary policy tightening ([see here](#)). In addition, our Westpac-DataX Card Tracker shows that monthly growth momentum has softened since February, especially in non-fuel card activity. Taken together, this points to a risk of further moderation in household spending over the coming months, despite February's firmer than expected outcome.

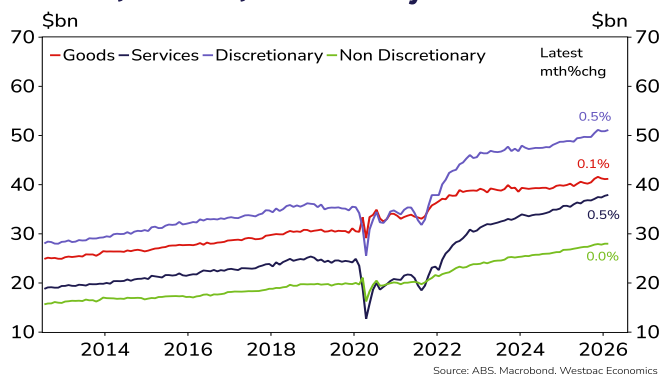
Household spending indicator – Feb 2026

	\$bn	% chg mth		% chg yr	
	Feb-26	Jan-26	Feb-26	Jan-26	Feb-26
sa	79.11	0.3	0.3	4.5	4.6
trend	79.15	0.3	0.2	4.9	4.7

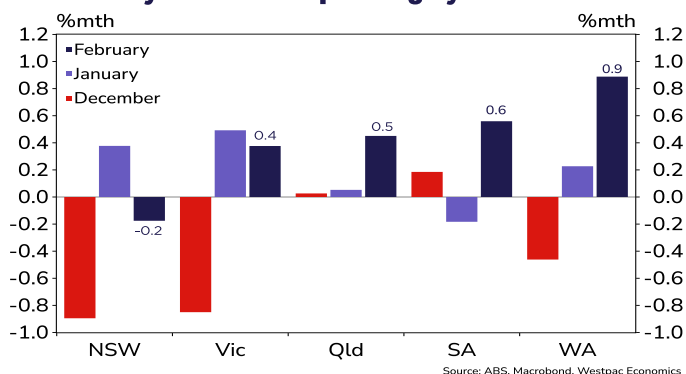
Source: ABS, Macrobond, Westpac Economics.



Goods, services, discretionary & non-discret.



Monthly household spending by state





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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	64.7	0.5%	30 day BBSY	4.11	-0.01
AUD/USD	0.6977	0.8%	90 day BBSY	4.37	0.02
AUD/JPY	111.36	0.8%	180 day BBSY	4.85	0.01
AUD/GBP	0.5247	0.4%	1 year swap	4.64	-0.02
AUD/NZD	1.2165	0.5%	2 year swap	4.65	-0.05
AUD/EUR	0.6015	0.4%	3 year swap	4.63	-0.10
AUD/CNH	4.7826	0.6%	4 year swap	4.68	-0.02
AUD/SGD	0.8948	0.6%	5 year swap	4.70	-0.03
AUD/HKD	5.4666	0.8%	6 year swap	4.73	-0.03
AUD/CAD	0.9690	0.7%	7 year swap	4.78	-0.02
EUR/USD	1.1599	0.5%	8 year swap	4.82	-0.02
USD/JPY	159.60	0.0%	9 year swap	4.85	-0.02
USD Index	99.64	-0.3%	10 year swap	5.04	-0.10

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,729	1.7%	Australia		
S&P 500	6,617	0.1%	3 year bond	4.66	-0.06
Japan Nikkei	53,430	0.0%	10 year bond	4.98	-0.05
Hang Seng	25,117	-0.7%	United States		
Euro Stoxx 50	5,633	-1.0%	3-month T Bill	3.60	-0.03
UK FTSE100	10,349	-0.8%	2 year bond	3.79	-0.06
VIX Index	25.78	6.7%	10 year bond	4.29	-0.04

Commodities	Current	Change	Other (10 year yields)		
CRB Index	381.38	-0.3%	Germany	3.08	0.09
Gold	4706.51	1.2%	Japan	2.42	-0.01
Copper	12313	-0.4%	UK	4.90	0.07

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	112.95	0.5%	10 yr bond	4.97	-0.05
Coal (coking)	234.75	-0.6%	3 yr bond	4.64	-0.05
Coal (thermal)	138.50	0.4%	3 mth bill rate	4.18	0.00
Iron Ore	106.35	0.0%	SPI 200	8,775	0.1%
ACCU	36.13	-4.3%			

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Financial markets have been particularly volatile as investors weighed the likelihood of two extreme outcomes in the US–Iran conflict – a ceasefire agreement or a further major escalation. Ahead of Trump's imposed deadline for Iran to accept a ceasefire and reopen the Strait of Hormuz, he warned that “a whole civilisation will die tonight, never to be brought back again”. Reports indicated these remarks disrupted negotiations between the two nations, which are mediated by Pakistan. Trump confirmed he was engaged in “heated negotiations”, while the Pakistani Prime Minister described the talks as “progressing steadily, strongly and powerfully”. Pakistan requested a two-week extension for discussions, but Trump has yet to respond. Meanwhile, the US continued to strike Iran, hitting Kharg Island, a hub for Iran's oil exports, but not targeting major energy infrastructure there.

- US equities traded deep in negative territory for a while, but hopes for a ceasefire deal saw the S&P500 recover losses and finish the session broadly unchanged. European benchmark indices closed in the red ahead of the US rally – the Euro Stoxx 50 fell 1.0%, and the FTSE100 lost 0.8%. Asian markets were mixed – the Nikkei 225 was steady, while the Hang Seng dropped 0.7%. The domestic ASX 200 outperformed, gaining 1.7%. Tech stocks led the advance, with other major sectors also trading bringing positive returns.
- US Treasuries rallied, with yields heading 2–7bp lower. The largest gains were at the front end of the curve, while the 10Y yield fell 4bp to 4.29%. Earlier, Gilt and Bund yields rose sharply, catching up with Friday's move in Treasuries. The UK 10Y was 7bp higher, while the German equivalent climbed 9bp. Australian yields declined 5–6bp across the curve, and futures indicate a further drop at today's open.
- In FX markets, the late-day shift towards risk saw the DXY retreat by 0.3%, while other major currencies strengthened. The EUR and GBP appreciated 0.4–0.5%. The AUD was among the top performers, rising 0.8% to 0.6970.
- With several different war scenarios in the Middle East remaining likely, oil prices were mixed. Brent futures for June eased to \$103.0, while the active WTI contract for May rose 0.5% to \$113. Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to \$144.42, the highest level since records began in 1987, reflecting the lack of supply. Among other major commodities, gold gained 1.2%, while iron ore remained little changed.

International Data

The NY Fed Survey of Consumer Expectations indicated a notable increase in near-term US consumer inflation

Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
12:00	NZ RBNZ Policy Decision 8/04/2026	2.2%	2.2%
19:00	EZ PPI Feb	-0.6%	0.7%
19:00	EZ Retail Sales Feb	-0.2%	-0.1%
04:00	FOMC Meeting Minutes from 18 March	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

expectations. The one-year ahead measure rose by 0.4ppt to 3.4%yr, last seen at the end of December. Longer-term inflation expectations – which will be closely followed by policymakers at the Fed – were also higher. The three- and five-year indicators edged up 0.1ppt to 3.1%yr, having been stable at 3% for some time.

Durable goods orders decreased by 1.4%mt in February – a third consecutive decline after a 5.4%mt increase in November. The drop was accounted for by volatile aircraft orders – excluding transportation, orders were up 0.8%mt. Core orders – capital goods excluding aircraft and defence – increased by 0.6%mt, reversing a 0.4%mt decline in January. The two months together suggest a 0.7% increase in Q1, which is less than a third of the increase in Q4 – consistent with slowing demand before the conflict in the Middle East escalated.

US consumer credit flow rose to \$9.5bn in February – very close to the average levels in 2025 of almost \$9bn – suggesting broadly stable spending growth and appetite for risk at this point.

The latest comments from Fed officials suggested somewhat diverging assessments of the current economic situations. **New York Fed President John Williams** indicated that in his view the outlook for underlying inflationary pressures has not changed much. Meanwhile, **Chicago Fed President Austan Goolsbee** said he is cautious and nervous about the US economy, reiterating that higher oil prices could drive stagflationary shock, with inflation becoming persistent.

Having previously shown that the initial reaction of euro area institutional and individual investors to the war in the Middle East was negative but quite modest, the **Sentix survey** brought a much bigger decline this time – showing the headline index falling to -19.2, a very similar level to that seen after the Liberation Day US tariff announcement in April 2025. Both the current situation and expectations were much weaker, as the survey pointed out a surge in concerns about rising inflation, up to levels similar to the post-pandemic period.

Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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Australia's Trade in Goods Account, February

#trade

#australia



By Mantas Vanagas

Senior Economist, Westpac

15:15 April 02 2026

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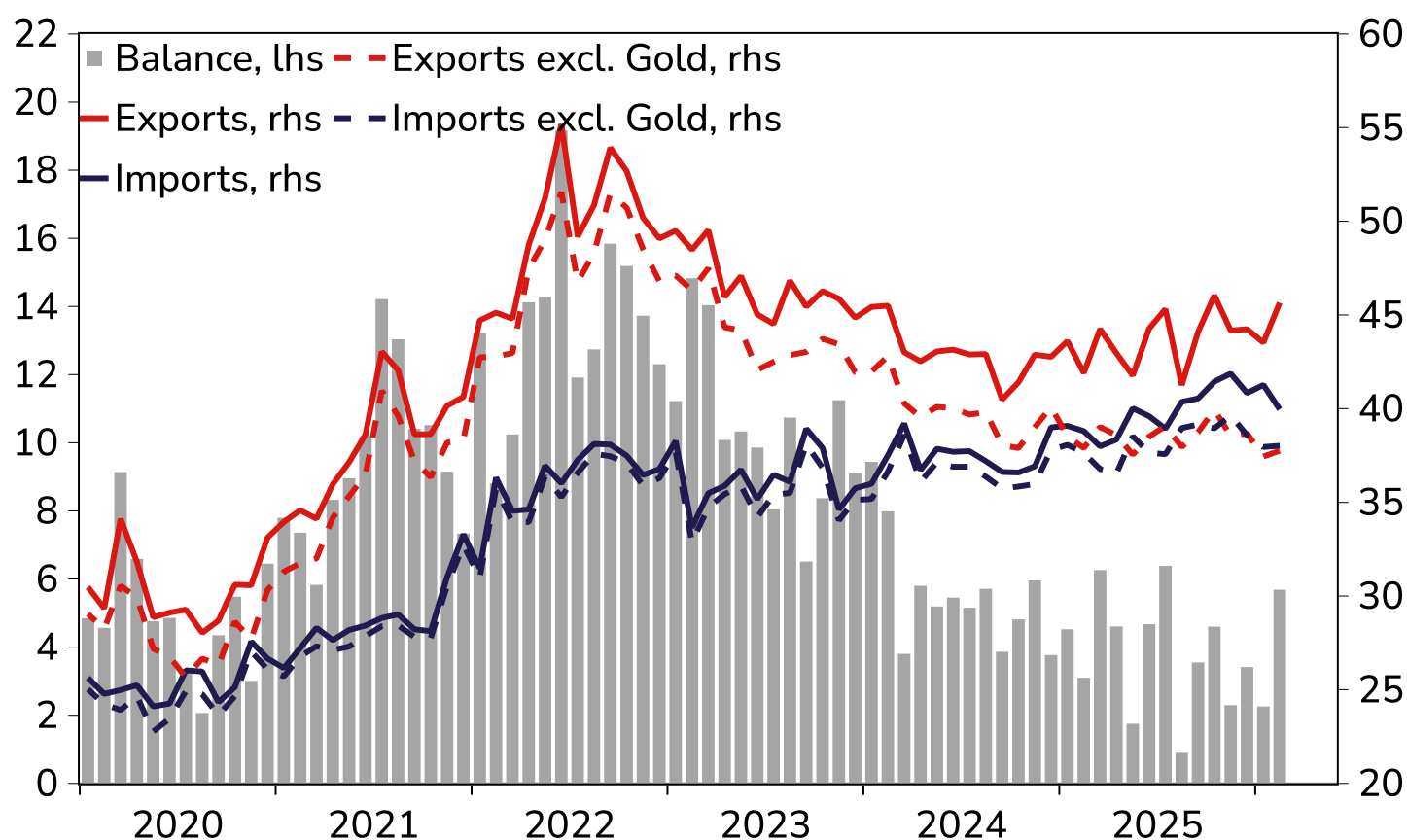
Sharp shifts in gold flows led to Australia's goods trade surplus widening in February. The impacts of the conflict in the Middle East, including on commodity prices, are likely to see volatility in monthly trade flows increase in March and beyond. Trade balance: \$5.7bn. Export values: up 4.9%_{mth}. Import values: down 3.9%_{mth}.



After a period of more stability recently, monthly trade figures saw volatility return, with the headline goods trade surplus jumping from \$2.3bn to \$5.7bn, marking the highest level in seven months. Significant fluctuations in gold inflows and outflows were the primary driver. Excluding gold, the goods trade balance remained close to zero. Importantly, this data predates the outbreak of the conflict in the Middle East, suggesting greater volatility in trade flows is likely as these impacts flow through in coming months. The sharp appreciation of the AUD – in trade-weighted terms up more than 3% in February – had minimal impact on trade flows.

Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

Exports

Export earnings surged nearly 5%*mt*. Gold exports reached a new record high and were almost entirely responsible for the increase. Most of this increase was likely driven by higher prices rather than volumes – this is consistent with our view that gold prices will deliver the federal budget a significant and underappreciated windfall ([see here](#)). Excluding gold, exports were up just 0.8%*mt*, remaining below last year's peak following sharp declines in January and November.

Major commodity exports fell 3.7%*mt*, led by decreases in iron ore and LNG shipments. ABS data show that exports of both iron ore and LNG fell in both volume and price terms. Production and shipment disruptions caused by Tropical Cyclone Mitchell, which impacted the Pilbara coastline, were partly responsible for the soft outcome during the month. Coal exports, by contrast, were broadly unchanged.

Rural goods exports surprised on the upside, rising almost 14%^{mt} – the steepest increase in over a year – offsetting the previous month's decline. Meat exports jumped by more than a quarter, suggesting that January's drop was likely a temporary retraction. We think that risks for meat exports remain skewed to the downside due to expected supply weakness, but such effects are likely to materialise more in the medium term.

By country, exports to major trading partners remained relatively stable. Hong Kong was an exception – exports there tripled due to a surge in gold shipments. Exports to the US showed little change, though larger shifts may occur in coming months, following the US Supreme Court's decision to rule previous tariffs under the IEEPA act illegal and subsequent adjustments to US import tariffs.

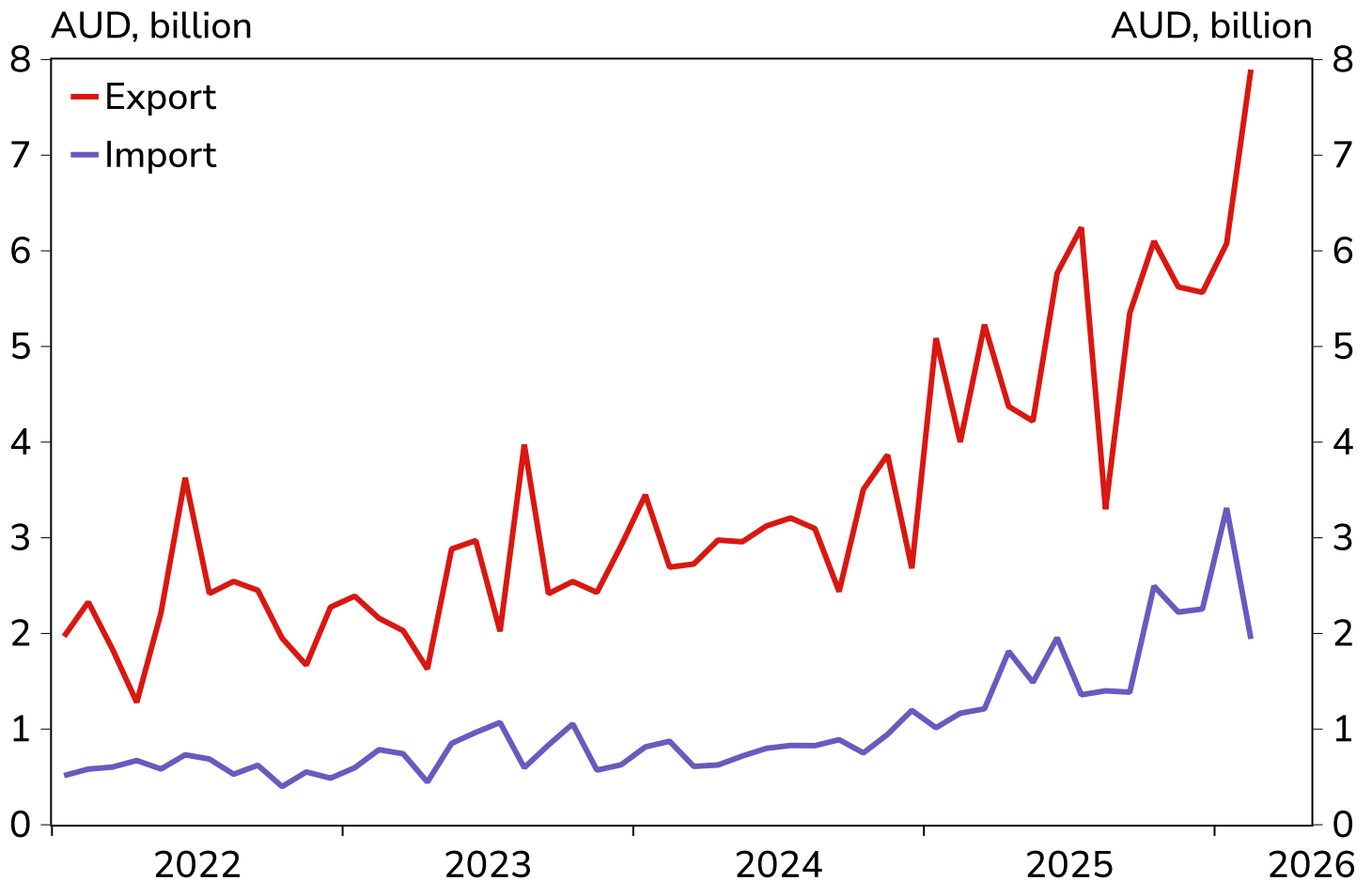
Imports

The import bill declined by 3.2%^{mt}. Similar to exports, gold – which dropped over 40% – played a significant role. Excluding gold, imports were almost unchanged. Nonetheless, major import categories experienced considerable swings.

Consumption goods imports rose 3.4%^{mt}, reversing a similar decline in January, with food and household electronics leading the way. Intermediate goods imports also strengthened notably, up 3.1%^{mt}. Capital goods imports fell 8.1%^{mt} – volatility seen in recent months for data processing equipment and aircraft imports was again the main driver.

Looking past the monthly volatility, imports for January–February were nearly 2% lower compared to Q4, with all three major components reporting declines. Price effects may have contributed, but following the significant jump in Q4, this suggests that domestic demand may have softened at the start of the year.

Gold trade flows (values)



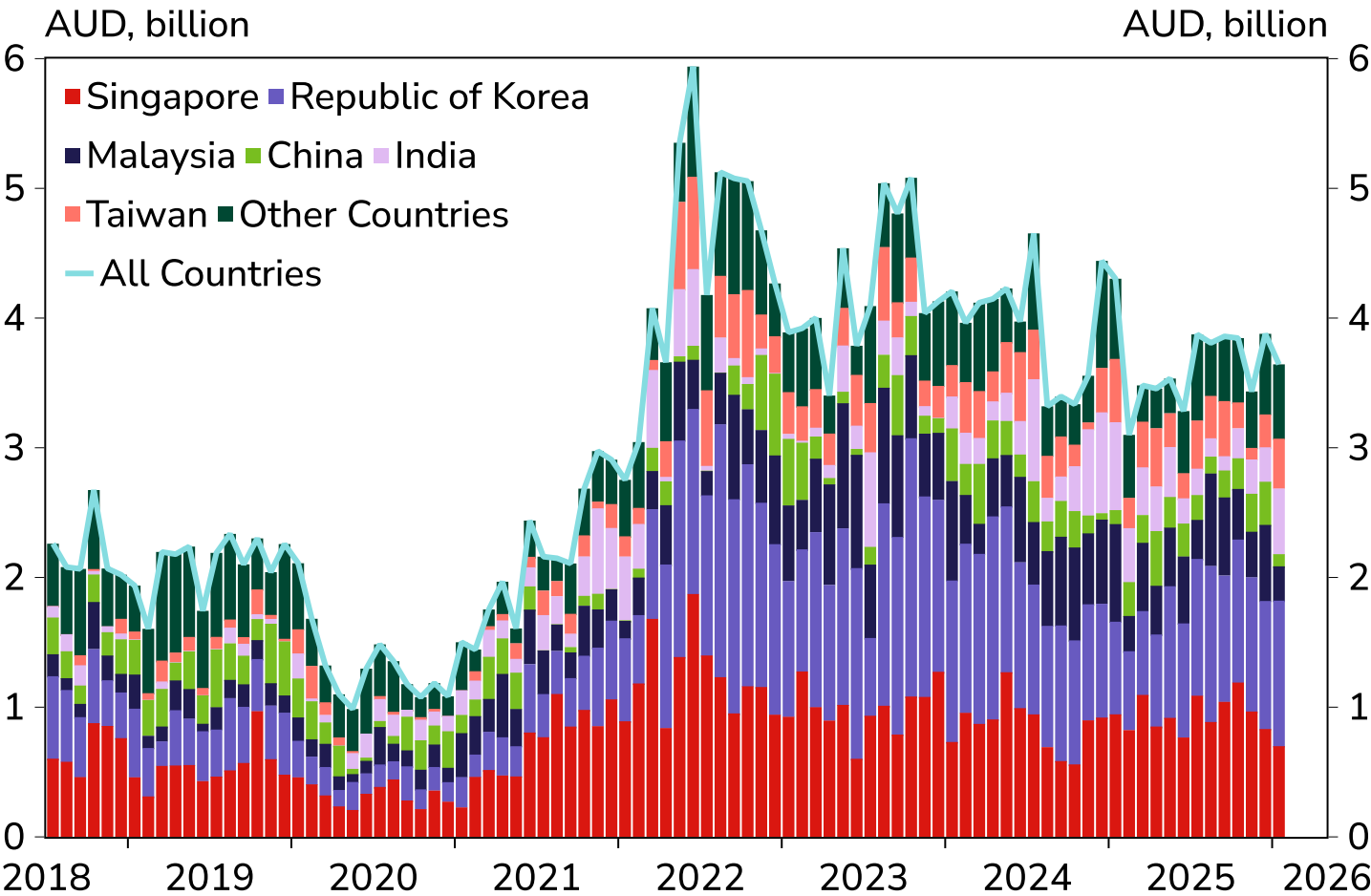
Source: ABS, Macrobond, Westpac Economics

Trade in the coming months

Over the coming months, monthly trade data will likely be shaped by the ongoing conflict in the Middle East. Price effects are expected to dominate, with the LNG (Japan/Korea benchmark) 80% higher since the end of February, and coal and iron ore prices also up significantly.

Beyond price movements, we might also see impact to trade volumes. Australia's direct trade with Middle Eastern countries is small representing around \$1bn in exports and around \$0.5bn in imports per month. However, indirect impacts via supply chain disruptions could be substantial. For instance, most refined oil products in Australia are sourced from Asian countries, which in turn import crude oil from the Middle East. Oil accounts for roughly 11% of total goods imports, and a sharp drop could significantly affect the economy, especially if certain regions begin to experience fuel shortages.

Australia imports - refined petroleum (monthly values)



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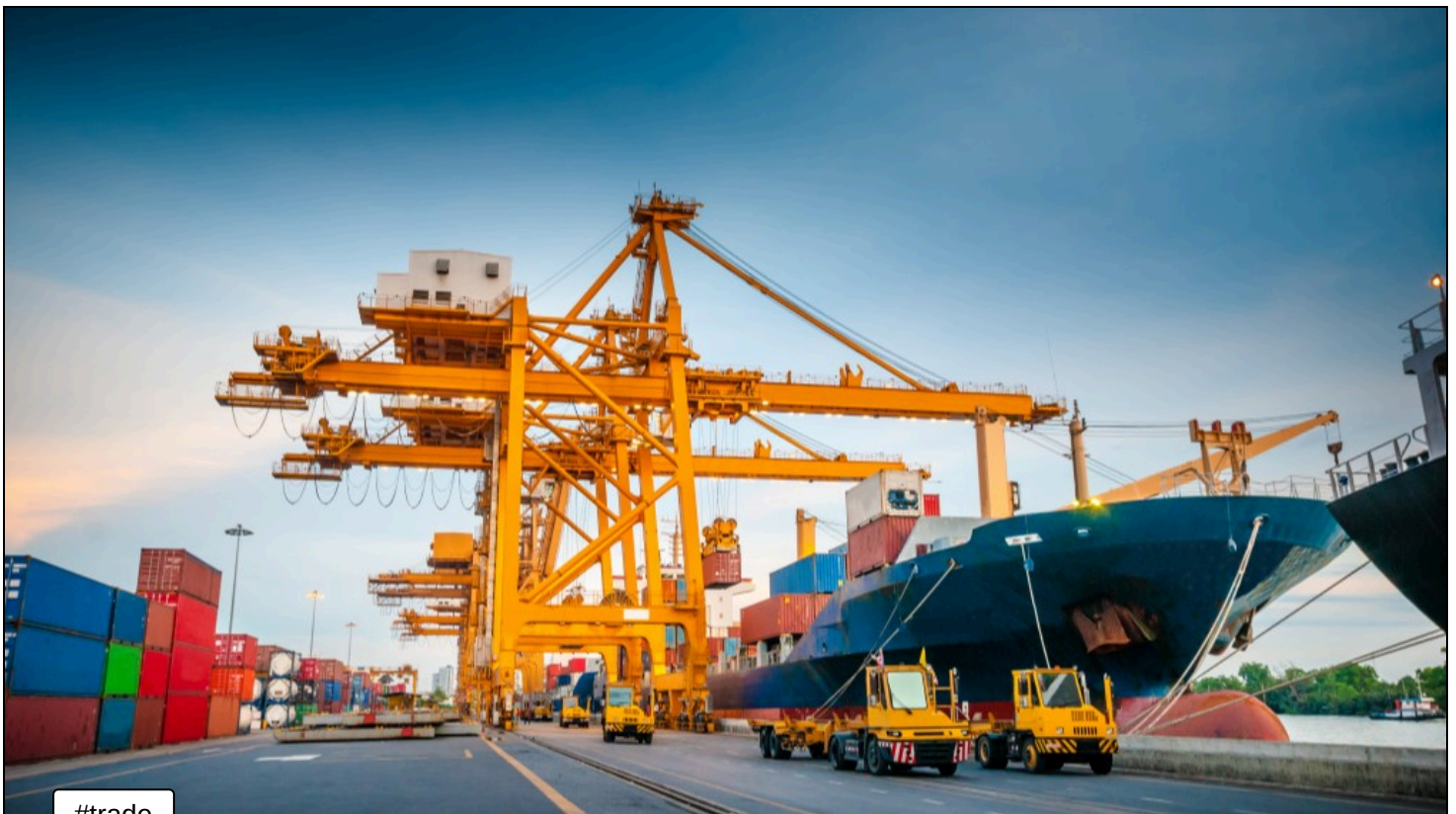


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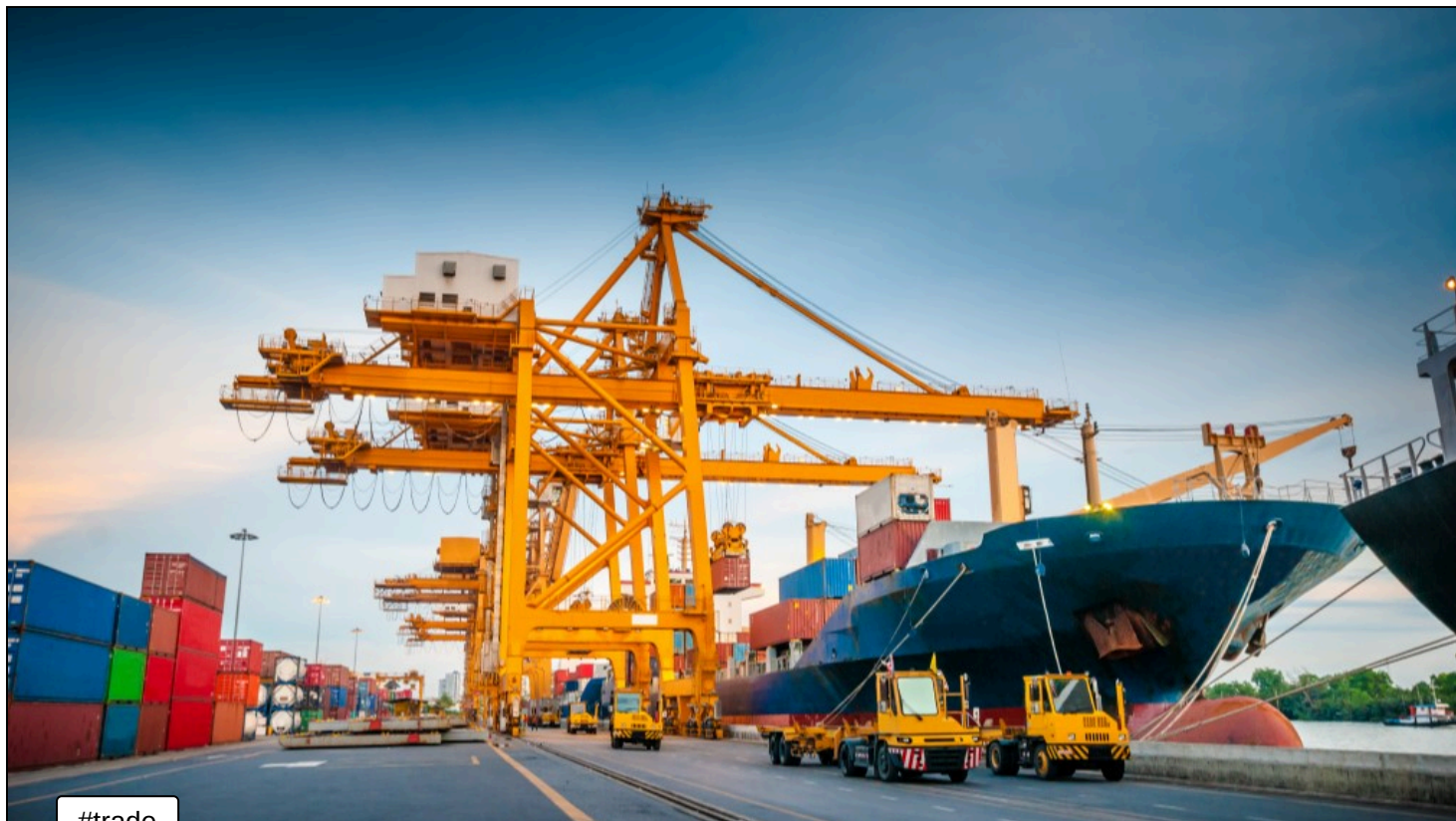


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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
Euro Stoxx 50	5,633	-1.0%
UK FTSE100	10,349	-0.8%
VIX Index	25.78	6.7%

Commodities	Current	Change
CRB Index	381.38	-0.3%
Gold	4706.51	1.2%
Copper	12313	-0.4%
Oil (WTI futures)	112.95	0.5%
Coal (coking)	234.75	-0.6%
Coal (thermal)	138.50	0.4%
Iron Ore	106.35	0.0%
ACCU	36.13	-4.3%

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	-0.01
90 day BBSY	4.37	0.02
180 day BBSY	4.85	0.01
1 year swap	4.64	-0.02
2 year swap	4.65	-0.05
3 year swap	4.63	-0.10
4 year swap	4.68	-0.02
5 year swap	4.70	-0.03
6 year swap	4.73	-0.03
7 year swap	4.78	-0.02
8 year swap	4.82	-0.02
9 year swap	4.85	-0.02
10 year swap	5.04	-0.10

Government Bond Yields	Close	Change
Australia		
3 year bond	4.66	-0.06
10 year bond	4.98	-0.05
United States		
3-month T Bill	3.60	-0.03
2 year bond	3.79	-0.06
10 year bond	4.29	-0.04
Other (10 year yields)		
Germany	3.08	0.09
Japan	2.42	-0.01
UK	4.90	0.07

Sydney Futures Exchange	Current	Change
10 yr bond	4.97	-0.05
3 yr bond	4.64	-0.05
3 mth bill rate	4.18	0.00
SPI 200	8,775	0.1%



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Financial Markets

Financial markets have been particularly volatile as investors weighed the likelihood of two extreme outcomes in the US–Iran conflict – a ceasefire agreement or a further major escalation. Ahead of Trump's imposed deadline for Iran to accept a ceasefire and reopen the Strait of Hormuz, he warned that “a whole civilisation will die tonight, never to be brought back again”. Reports indicated these remarks disrupted negotiations between the two nations, which are mediated by Pakistan. Trump confirmed he was engaged in “heated negotiations”, while the Pakistani Prime Minister described the talks as “progressing steadily, strongly and powerfully”. Pakistan requested a two-week extension for discussions, but Trump has yet to respond. Meanwhile, the US continued to strike Iran, hitting Kharg Island, a hub for Iran's oil exports, but not targeting major energy infrastructure there.

- US equities traded deep in negative territory for a while, but hopes for a ceasefire deal saw the S&P500 recover losses and finish the session broadly unchanged. European benchmark indices closed in the red ahead of the US rally – the Euro Stoxx 50 fell 1.0%, and the FTSE100 lost 0.8%. Asian markets were mixed – the Nikkei 225 was steady, while the Hang Seng dropped 0.7%. The domestic ASX 200 outperformed, gaining 1.7%. Tech stocks led the advance, with other major sectors also trading bringing positive returns.
- US Treasuries rallied, with yields heading 2–7bp lower. The largest gains were at the front end of the curve, while the 10Y yield fell 4bp to 4.29%. Earlier, Gilt and Bund yields rose sharply, catching up with Friday's move in Treasuries. The UK 10Y was 7bp higher, while the German equivalent climbed 9bp. Australian yields declined 5–6bp across the curve, and futures indicate a further drop at today's open.
- In FX markets, the late-day shift towards risk saw the DXY retreat by 0.3%, while other major currencies strengthened. The EUR and GBP appreciated 0.4–0.5%. The AUD was among the top performers, rising 0.8% to 0.6970.
- With several different war scenarios in the Middle East remaining likely, oil prices were mixed. Brent futures for June eased to \$103.0, while the active WTI contract for May rose 0.5% to \$113. Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to \$144.42, the highest level since records began in 1987, reflecting the lack of supply. Among other major commodities, gold gained 1.2%, while iron ore remained little changed.

International Data

The NY Fed Survey of Consumer Expectations indicated a notable increase in near-term US consumer inflation

Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
12:00	NZ RBNZ Policy Decision 8/04/2026	2.2%	2.2%
19:00	EZ PPI Feb	-0.6%	0.7%
19:00	EZ Retail Sales Feb	-0.2%	-0.1%
04:00	FOMC Meeting Minutes from 18 March	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

expectations. The one-year ahead measure rose by 0.4ppt to 3.4%yr, last seen at the end of December. Longer-term inflation expectations – which will be closely followed by policymakers at the Fed – were also higher. The three- and five-year indicators edged up 0.1ppt to 3.1%yr, having been stable at 3% for some time.

Durable goods orders decreased by 1.4%mt in February – a third consecutive decline after a 5.4%mt increase in November. The drop was accounted for by volatile aircraft orders – excluding transportation, orders were up 0.8%mt. Core orders – capital goods excluding aircraft and defence – increased by 0.6%mt, reversing a 0.4%mt decline in January. The two months together suggest a 0.7% increase in Q1, which is less than a third of the increase in Q4 – consistent with slowing demand before the conflict in the Middle East escalated.

US consumer credit flow rose to \$9.5bn in February – very close to the average levels in 2025 of almost \$9bn – suggesting broadly stable spending growth and appetite for risk at this point.

The latest comments from Fed officials suggested somewhat diverging assessments of the current economic situations. **New York Fed President John Williams** indicated that in his view the outlook for underlying inflationary pressures has not changed much. Meanwhile, **Chicago Fed President Austan Goolsbee** said he is cautious and nervous about the US economy, reiterating that higher oil prices could drive stagflationary shock, with inflation becoming persistent.

Having previously shown that the initial reaction of euro area institutional and individual investors to the war in the Middle East was negative but quite modest, the **Sentix survey** brought a much bigger decline this time – showing the headline index falling to -19.2, a very similar level to that seen after the Liberation Day US tariff announcement in April 2025. Both the current situation and expectations were much weaker, as the survey pointed out a surge in concerns about rising inflation, up to levels similar to the post-pandemic period.

Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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1 April 2026

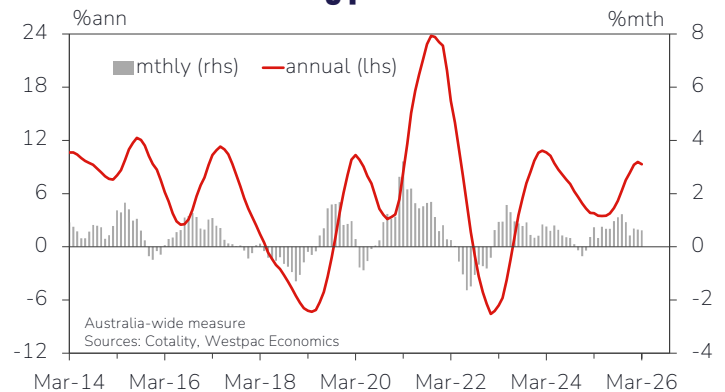
AUSTRALIAN DWELLING PRICES BULLETIN

Capital cities diverge further

Key points

- The Cotality home value index rose 0.6% in March, following gains of 0.5%*mth* in February, 0.6%*mth* in January and 0.4%*mth* in December. Annual growth was broadly steady at 9.3%*yr*.
- The March update confirms that the changed interest rate outlook has translated into moderation in price growth and a sharper pull-back in turnover.
- The slowdown remains concentrated in Sydney and Melbourne, where prices declined modestly in March and turnover has softened materially. In contrast, price growth continues to track a strong pace across the mid-sized capitals of Brisbane, Adelaide and Perth.
- With further interest rate increases expected over coming months, additional headwinds are likely, and the scope for renewed acceleration in price growth appears increasingly limited.

Australian dwelling prices



**March Cotality
home value
index: +0.6%*mth*;
+9.3%*yr***

Price growth holds, sales pull further back



Luka Belobrajdic
Economist

The Cotality home value index, covering the eight major capital cities, rose 0.6% in March, following gains of 0.5%*mth* in February, 0.6%*mth* in January and 0.4%*mth* in December. This follows a period of stronger growth of 0.9–1.2%*mth* across August to November last year. Annual growth was broadly steady in March, recording 9.3%*yr*.

The latest data continue to highlight a divergence across markets, with the changed policy rate outlook weighing most heavily on Sydney and Melbourne, where price growth has softened further. In contrast, price momentum remains firm across the other capital city's.

Note that, unless specified, figures in titles, tables and the commentary below are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. Figures shown in charts are in seasonally adjusted terms.

With March well clear of the typical seasonal softness seen over December and January, the latest read provides a clearer signal on underlying momentum. Prices rose 0.6%*mth* in non-seasonally adjusted terms, while the seasonally adjusted measure recorded a slightly softer 0.5%*mth* increase. The 3-month annualised pace held around 8.0% on a seasonally adjusted basis, down from a peak of around 14% in November.

Turnover fell sharply in March, with preliminary estimates pointing to a quarterly decline of around 9.1%, likely reflecting the impact of recent policy rate hikes on buyer sentiment. The decline was concentrated in Greater Sydney and Melbourne, although all capital cities recorded falls on a three-month basis. Annual growth in turnover has now slipped to -0.7%*yr*. Despite this weakness, sales continue to outpace new listings by a wide margin, indicating that supply conditions remain tight.

Auction clearance rates remained below long-run averages in Sydney and more materially below average in Melbourne. While both markets saw clearance rates touch recent lows during March, a modest recovery was evident toward the end of the month. Overall, the results remain consistent with a pronounced slowing in these markets. Note that clearance rates are only meaningful indicators for Sydney and Melbourne.

By dwelling type, the slowdown since late last year remains more pronounced for houses than units. In March, house prices rose 0.6%*mth*, compared with a 0.7%*mth* increase for units.

Cotality home value index: Mar 2026

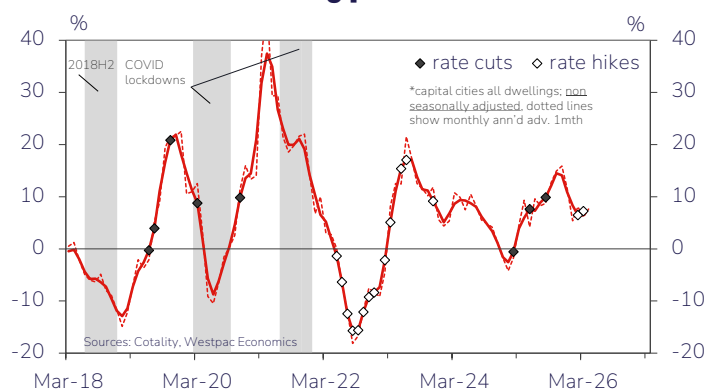
	%mth				%ann			
	Dec	Jan	Feb	Mar	Dec	Jan	Feb	Mar
Australia*	0.4	0.6	0.5	0.6	8.4	9.3	9.4	9.3
seas. adjusted	0.8	0.9	0.5	0.5	8.4	9.2	9.4	9.4
– houses	0.5	0.7	0.4	0.6	9.4	10.4	10.4	10.2
– units	0.3	0.3	0.7	0.7	5.3	5.8	6.4	6.5
Major capital cities								
Sydney	-0.3	0.1	-0.2	-0.1	6.1	6.6	5.8	4.8
Melbourne	-0.3	-0.2	-0.2	-0.2	5.1	5.1	4.5	3.4
Brisbane	1.6	1.6	1.7	1.8	14.7	16.0	17.6	19.0
Adelaide	1.7	1.2	1.2	1.2	8.3	9.4	10.7	11.4
Perth	2.0	2.3	2.3	2.5	16.5	19.3	22.0	24.3
Turnover^	3.2	-2.2	-6.0	-9.1	11.3	7.0	4.4	-0.7

* combined capital cities

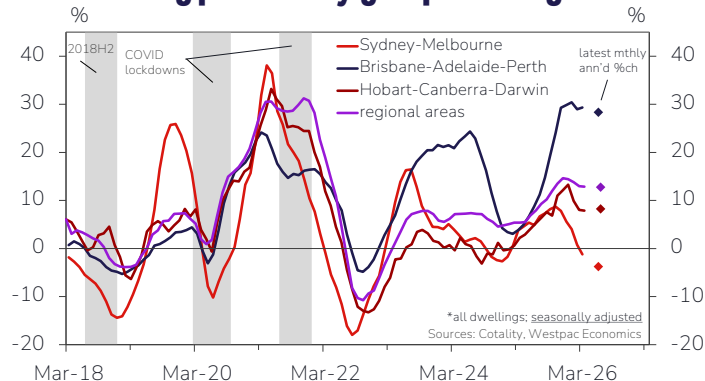
Sources: Cotality, Westpac Economics.

^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas



The March price results by capital city were as follows:

- **Sydney:** Prices declined a further 0.1%^{mth} in non-seasonally adjusted terms. The fall was driven by a 0.3% decline in house prices, while unit prices rose 0.3%. Annual growth slowed to 4.8%^{yr}, down from a recent peak of 6.6% in January.
- **Melbourne:** Prices recorded the worst result among the capitals, falling 0.2%^{mth}, led by a 0.4% fall in house prices. Unit price growth of 0.3%^{mth} was insufficient to offset this weakness. Annual growth remained the slowest of the major capitals at 3.4%^{yr}.
- **Brisbane:** Price growth accelerated modestly, reaching 1.8%^{mth}. Both houses and units contributed, increasing 1.7% and 2.0% respectively. Annual growth lifted to 19.0%^{yr}, the strongest outcome since July 2022.
- **Adelaide:** Prices rose 1.2%^{mth}, matching the pace of the previous two months. Annual growth edged higher to 11.4%^{yr}.
- **Perth:** Prices continued to rise strongly, increasing 2.5%^{mth} and 24.0%^{yr}, the strongest performance of any capital city. Both houses and units recorded robust gains of 2.5%^{mth} and 2.9%^{mth} respectively.
- Outcomes across the smaller capitals were positive, albeit mixed. Price growth accelerated sharply in Darwin

(+1.6%^{mth}, +19.7%^{yr}), they remained firm in Hobart (+0.8%^{mth}, +7.8%^{yr}), and Canberra (+0.4%^{mth}, +6.1%^{yr}).

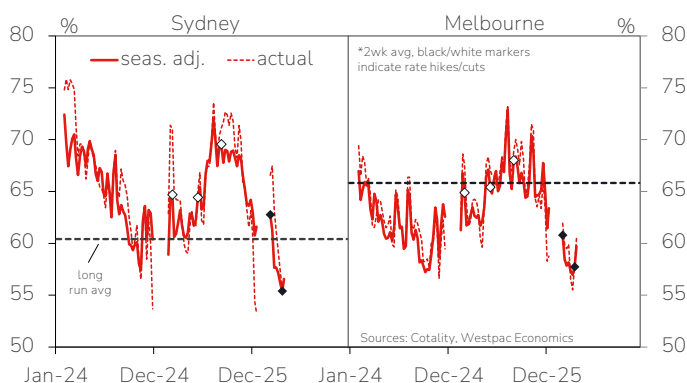
- **Regional markets** continue to outperform their respective capital cities in NSW and Victoria, though they still lag the pace of growth seen in the mid-sized capitals. Annual growth ranges from 8.0%^{yr} in regional Victoria, to 8.9%^{yr} in regional NSW, and 14.7%^{yr} in regional Queensland (which includes the Gold and Sunshine Coasts).

Overall, the March results confirm that national price growth remained elevated in March, driven by strong gains in Brisbane, Adelaide and Perth, while Sydney and Melbourne are providing a modest drag.

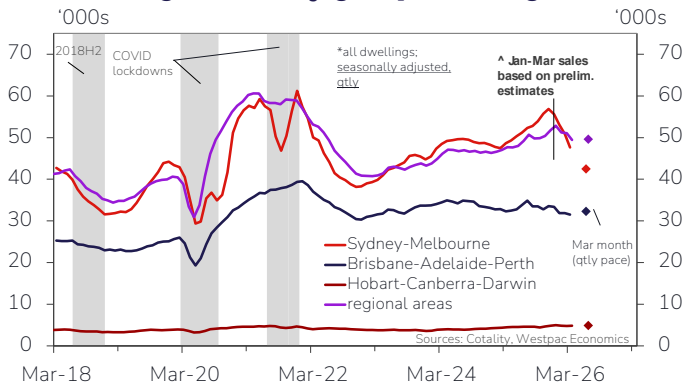
While turnover has fallen sharply following the recent dual RBA cash rate hikes, it remains early in the adjustment process. It often takes several months for the full effects of interest rate changes to flow through to housing market conditions.

Looking ahead, with further rate increases expected across May, June and August, and the economy facing a significant shock from an increase in global energy prices, additional headwinds in the Australian housing market with a further deceleration in price growth are looking increasingly likely.

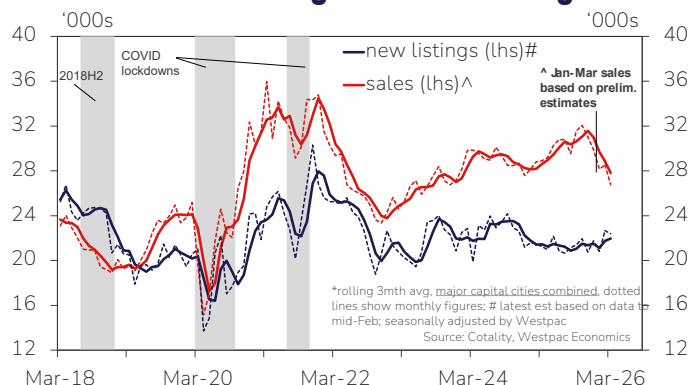
Auction clearance rates



Dwelling sales: city groups and regional areas



Australian dwellings: sales and listings

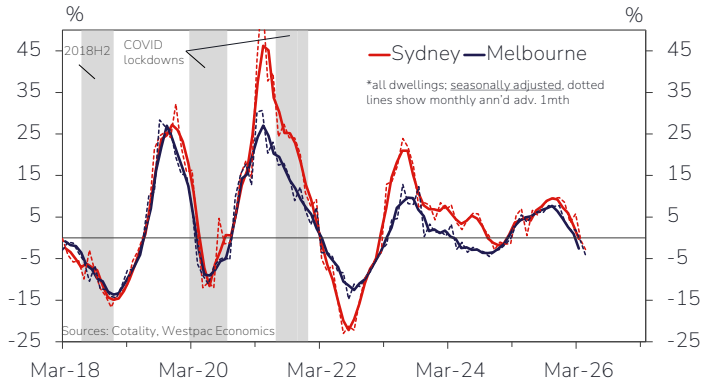


Australian dwelling prices: houses, units

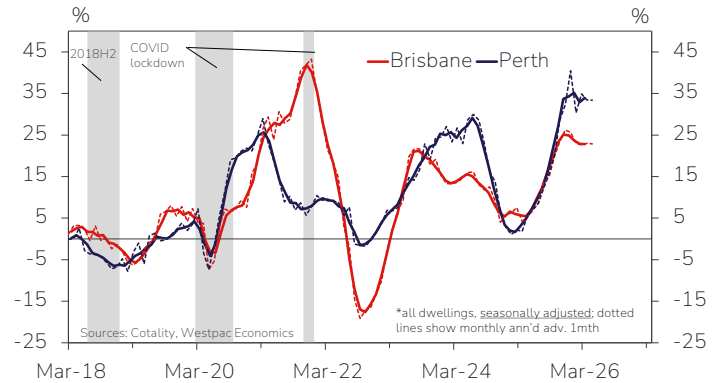


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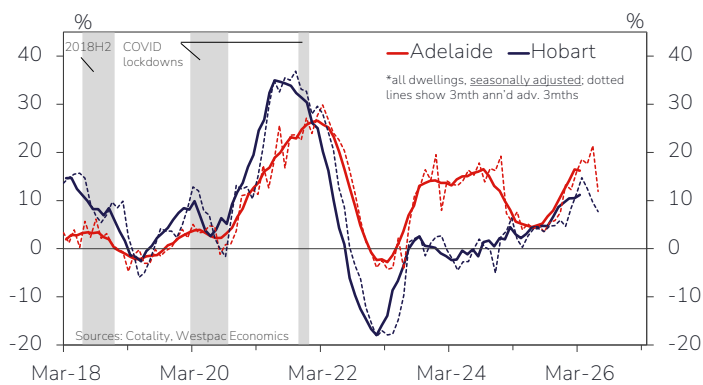
Sydney, Melbourne dwelling prices: 3mth ann'd



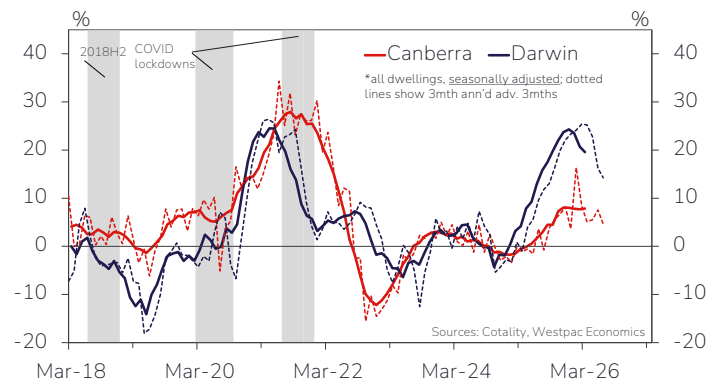
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
Euro Stoxx 50	5,633	-1.0%
UK FTSE100	10,349	-0.8%
VIX Index	25.78	6.7%

Commodities	Current	Change
CRB Index	381.38	-0.3%
Gold	4706.51	1.2%
Copper	12313	-0.4%
Oil (WTI futures)	112.95	0.5%
Coal (coking)	234.75	-0.6%
Coal (thermal)	138.50	0.4%
Iron Ore	106.35	0.0%
ACCU	36.13	-4.3%

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	-0.01
90 day BBSY	4.37	0.02
180 day BBSY	4.85	0.01
1 year swap	4.64	-0.02
2 year swap	4.65	-0.05
3 year swap	4.63	-0.10
4 year swap	4.68	-0.02
5 year swap	4.70	-0.03
6 year swap	4.73	-0.03
7 year swap	4.78	-0.02
8 year swap	4.82	-0.02
9 year swap	4.85	-0.02
10 year swap	5.04	-0.10

Government Bond Yields	Close	Change
Australia		
3 year bond	4.66	-0.06
10 year bond	4.98	-0.05
United States		
3-month T Bill	3.60	-0.03
2 year bond	3.79	-0.06
10 year bond	4.29	-0.04
Other (10 year yields)		
Germany	3.08	0.09
Japan	2.42	-0.01
UK	4.90	0.07

Sydney Futures Exchange	Current	Change
10 yr bond	4.97	-0.05
3 yr bond	4.64	-0.05
3 mth bill rate	4.18	0.00
SPI 200	8,775	0.1%



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Financial Markets

Financial markets have been particularly volatile as investors weighed the likelihood of two extreme outcomes in the US–Iran conflict – a ceasefire agreement or a further major escalation. Ahead of Trump's imposed deadline for Iran to accept a ceasefire and reopen the Strait of Hormuz, he warned that “a whole civilisation will die tonight, never to be brought back again”. Reports indicated these remarks disrupted negotiations between the two nations, which are mediated by Pakistan. Trump confirmed he was engaged in “heated negotiations”, while the Pakistani Prime Minister described the talks as “progressing steadily, strongly and powerfully”. Pakistan requested a two-week extension for discussions, but Trump has yet to respond. Meanwhile, the US continued to strike Iran, hitting Kharg Island, a hub for Iran's oil exports, but not targeting major energy infrastructure there.

- US equities traded deep in negative territory for a while, but hopes for a ceasefire deal saw the S&P500 recover losses and finish the session broadly unchanged. European benchmark indices closed in the red ahead of the US rally – the Euro Stoxx 50 fell 1.0%, and the FTSE100 lost 0.8%. Asian markets were mixed – the Nikkei 225 was steady, while the Hang Seng dropped 0.7%. The domestic ASX 200 outperformed, gaining 1.7%. Tech stocks led the advance, with other major sectors also trading bringing positive returns.
- US Treasuries rallied, with yields heading 2–7bp lower. The largest gains were at the front end of the curve, while the 10Y yield fell 4bp to 4.29%. Earlier, Gilt and Bund yields rose sharply, catching up with Friday's move in Treasuries. The UK 10Y was 7bp higher, while the German equivalent climbed 9bp. Australian yields declined 5–6bp across the curve, and futures indicate a further drop at today's open.
- In FX markets, the late-day shift towards risk saw the DXY retreat by 0.3%, while other major currencies strengthened. The EUR and GBP appreciated 0.4–0.5%. The AUD was among the top performers, rising 0.8% to 0.6970.
- With several different war scenarios in the Middle East remaining likely, oil prices were mixed. Brent futures for June eased to \$103.0, while the active WTI contract for May rose 0.5% to \$113. Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to \$144.42, the highest level since records began in 1987, reflecting the lack of supply. Among other major commodities, gold gained 1.2%, while iron ore remained little changed.

International Data

The NY Fed Survey of Consumer Expectations indicated a notable increase in near-term US consumer inflation

Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
12:00	NZ RBNZ Policy Decision 8/04/2026	2.2%	2.2%
19:00	EZ PPI Feb	-0.6%	0.7%
19:00	EZ Retail Sales Feb	-0.2%	-0.1%
04:00	FOMC Meeting Minutes from 18 March	-	-

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expectations. The one-year ahead measure rose by 0.4ppt to 3.4%yr, last seen at the end of December. Longer-term inflation expectations – which will be closely followed by policymakers at the Fed – were also higher. The three- and five-year indicators edged up 0.1ppt to 3.1%yr, having been stable at 3% for some time.

Durable goods orders decreased by 1.4%mt in February – a third consecutive decline after a 5.4%mt increase in November. The drop was accounted for by volatile aircraft orders – excluding transportation, orders were up 0.8%mt. Core orders – capital goods excluding aircraft and defence – increased by 0.6%mt, reversing a 0.4%mt decline in January. The two months together suggest a 0.7% increase in Q1, which is less than a third of the increase in Q4 – consistent with slowing demand before the conflict in the Middle East escalated.

US consumer credit flow rose to \$9.5bn in February – very close to the average levels in 2025 of almost \$9bn – suggesting broadly stable spending growth and appetite for risk at this point.

The latest comments from Fed officials suggested somewhat diverging assessments of the current economic situations. **New York Fed President John Williams** indicated that in his view the outlook for underlying inflationary pressures has not changed much. Meanwhile, **Chicago Fed President Austan Goolsbee** said he is cautious and nervous about the US economy, reiterating that higher oil prices could drive stagflationary shock, with inflation becoming persistent.

Having previously shown that the initial reaction of euro area institutional and individual investors to the war in the Middle East was negative but quite modest, the **Sentix survey** brought a much bigger decline this time – showing the headline index falling to -19.2, a very similar level to that seen after the Liberation Day US tariff announcement in April 2025. Both the current situation and expectations were much weaker, as the survey pointed out a surge in concerns about rising inflation, up to levels similar to the post-pandemic period.

Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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Still the lucky country: Conflict, Gold and Inflation to Lift the Budget

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By Pat Bustamante

Senior Economist, Westpac

10:27 March 31 2026

Share

Stronger commodity prices and elevated inflation are boosting nominal incomes and tax collections, driving a net budget improvement.

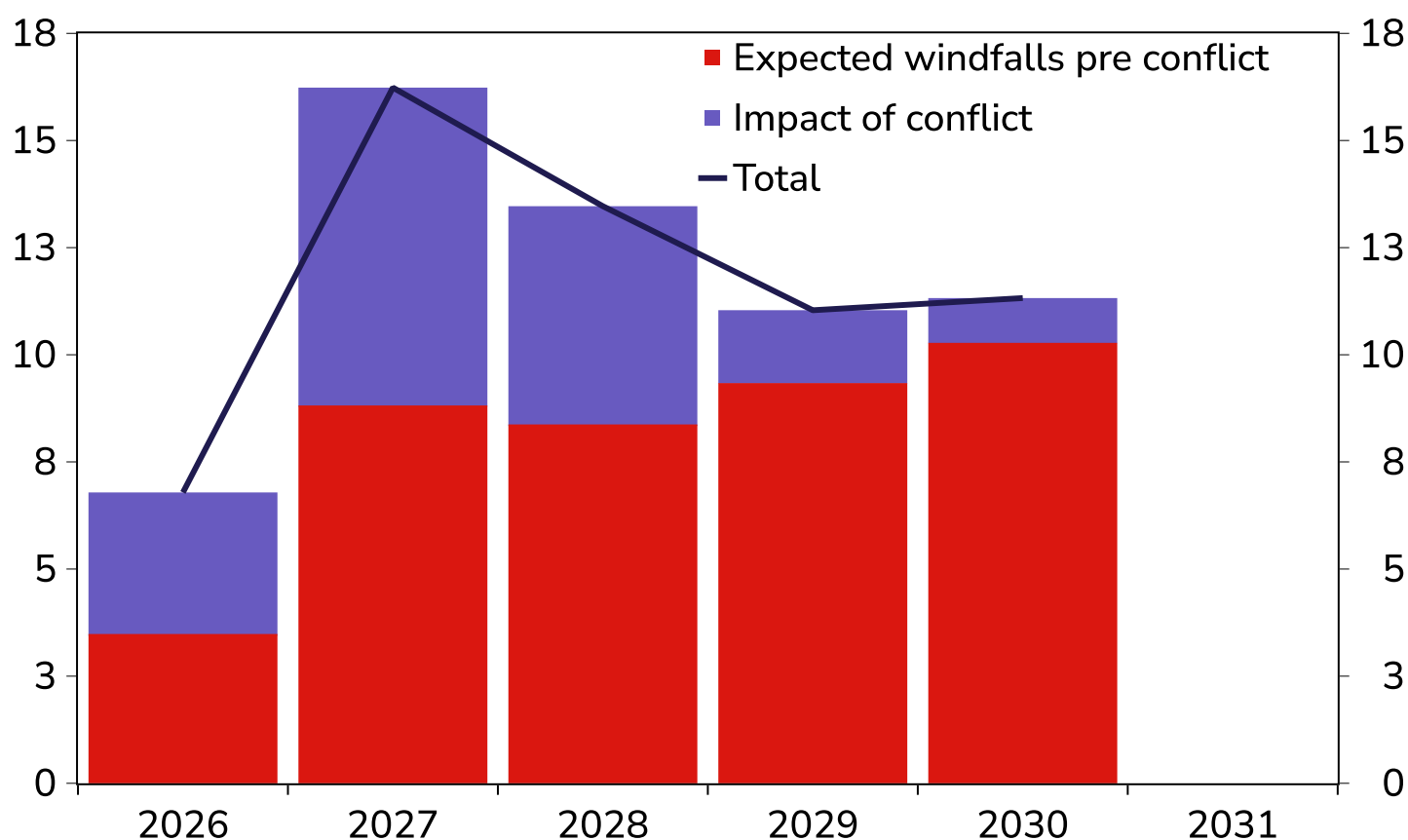


- Higher-than-assumed commodity prices are expected to deliver the Federal budget a windfall of almost \$60bn over the five years to FY30.

- Around \$20bn of this uplift reflects the impact of the Middle East conflict, particularly via higher coal and LNG export prices. This more than offsets the \$2.6bn cost of halving the fuel excise for three months.
- The run-up in gold prices since FY24 is estimated to add around \$19bn to Treasury revenues over the next five years. This broadly aligns with Department of Industry forecasts showing gold export receipts rising by around \$40bn in FY26 relative to FY24.
- Higher inflation and the cyclical upswing are boosting nominal incomes, consistent with the March monthly statements showing income and indirect tax revenue were around \$7.0bn and \$2.5bn ahead of MYEFO estimates, respectively. The inflationary impulse from the conflict is expected to provide further near-term support to revenues.
- We will provide a full update of revenue and expenses before the May Budget.

Expected company tax upgrades

Financial years, \$bn



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

The Federal Treasurer has warned that the economic fallout from the Middle East conflict could be “just as serious” as the GFC, the COVID-19 pandemic and Russia’s invasion of Ukraine. But there is a countervailing force: higher commodity prices and elevated inflation are lifting Treasury tax collections. Because the tax system operates in the nominal world, tax receipts can continue to rise even as real economic activity slows over the coming years, as we expect.

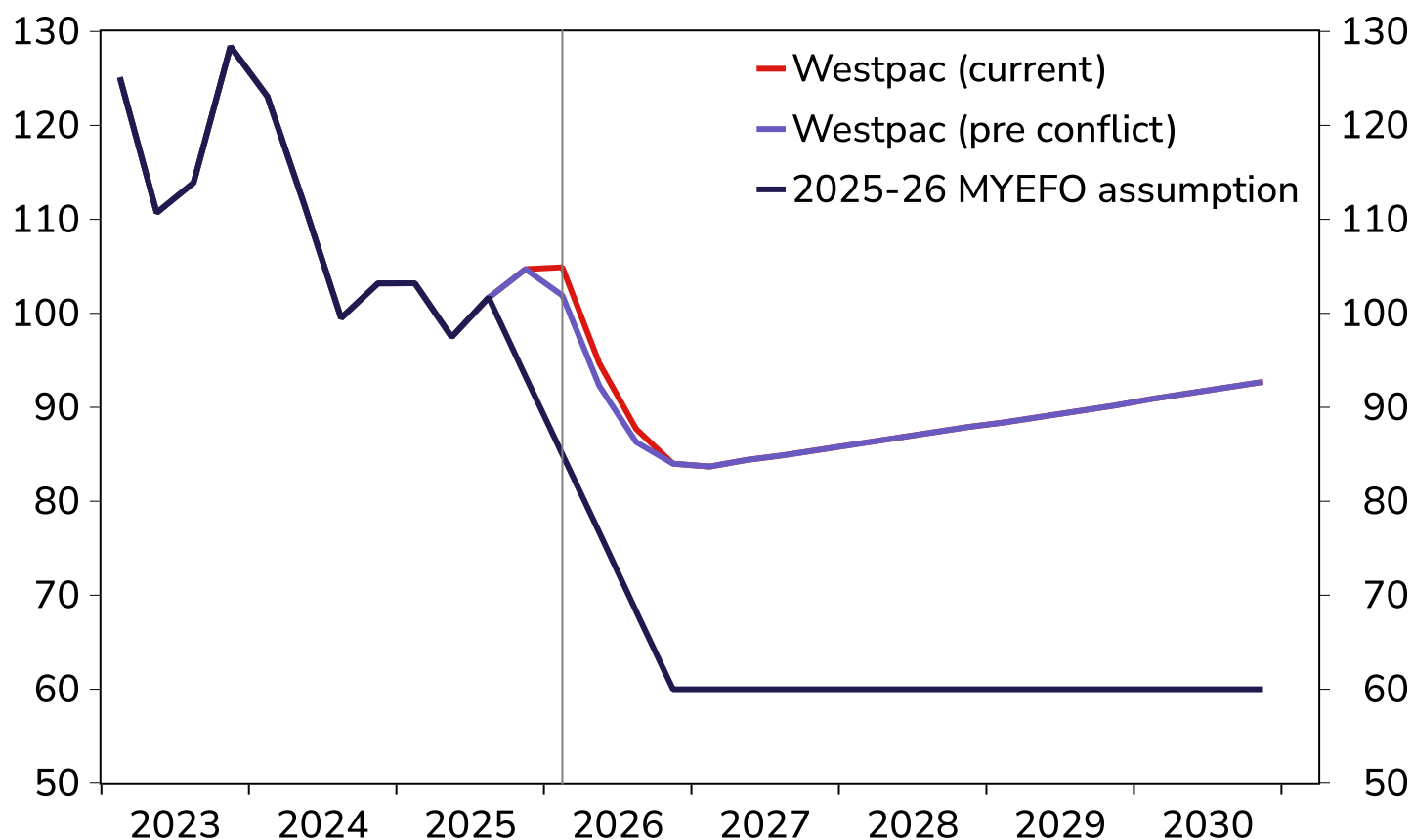
Using actual spot prices and Westpac commodity price forecasts, we estimate that **higher-than-assumed commodity prices will deliver the Federal budget a windfall of almost \$60bn over the five years to FY30.**

Relaxing some of the conservatism in budget forecasts

It is well known that Treasury's revenue forecasts remain highly conservative, anchored on commodity prices reverting to long-run assumptions. In practice, elevated prices had already proven more persistent before the conflict (see iron ore chart below), and the conflict itself has delivered a further lift.

Iron ore

\$US per tonne



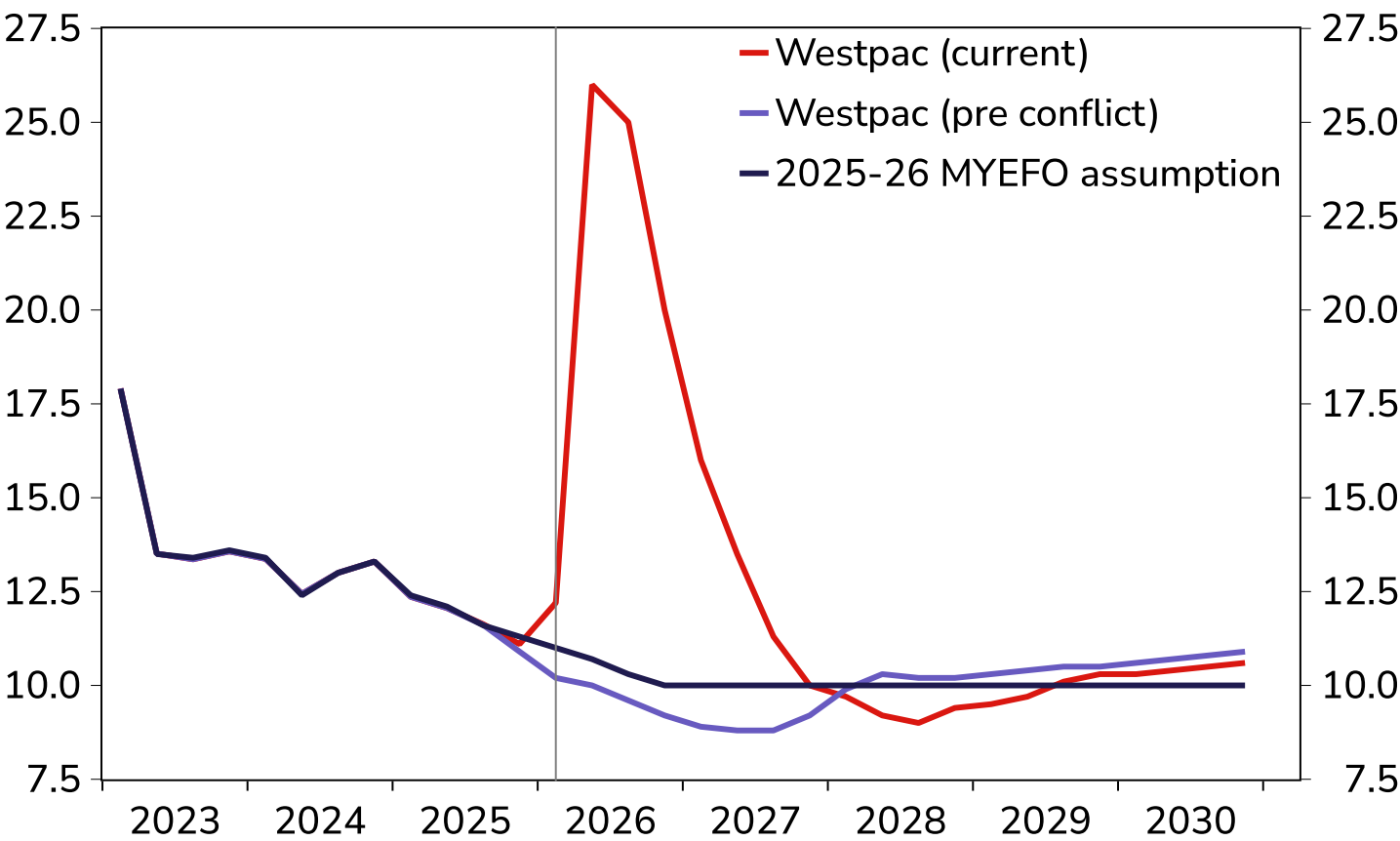
Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

The Middle East conflict also is pushing energy export prices higher, most notably for coal and LNG export prices. The longer the conflict persists, the greater the upside risk to commodity price forecasts.

At this stage, we estimate that around \$20bn of the total budget windfall can be attributed directly to the Middle East conflict, with the gains front-loaded over the next few years. This additional revenue more than offsets the estimated \$2.6bn fiscal cost of halving the fuel excise for three months, leaving a substantial net improvement in the budget position.

LNG export prices

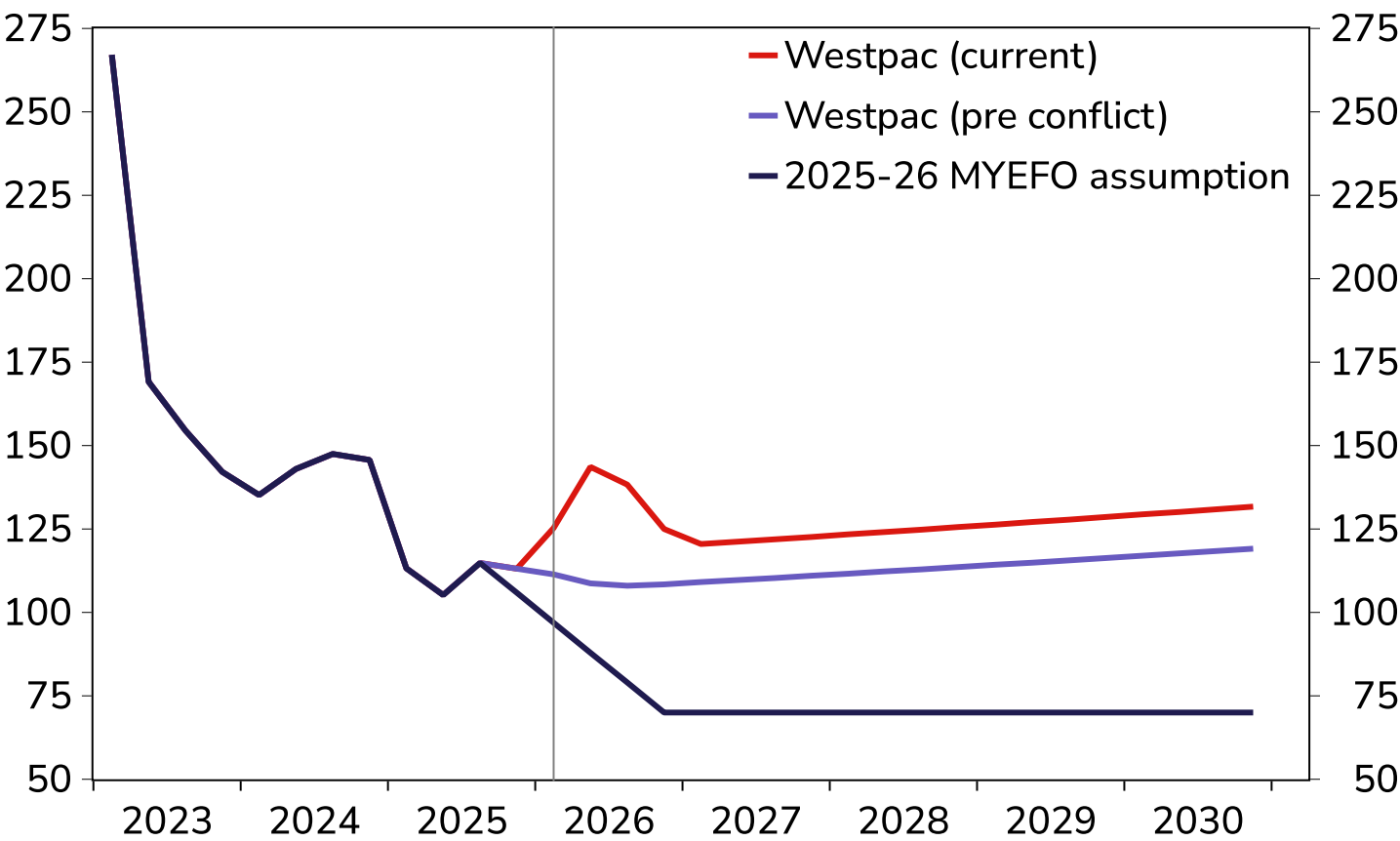
\$US per mmBtu



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Thermal coal

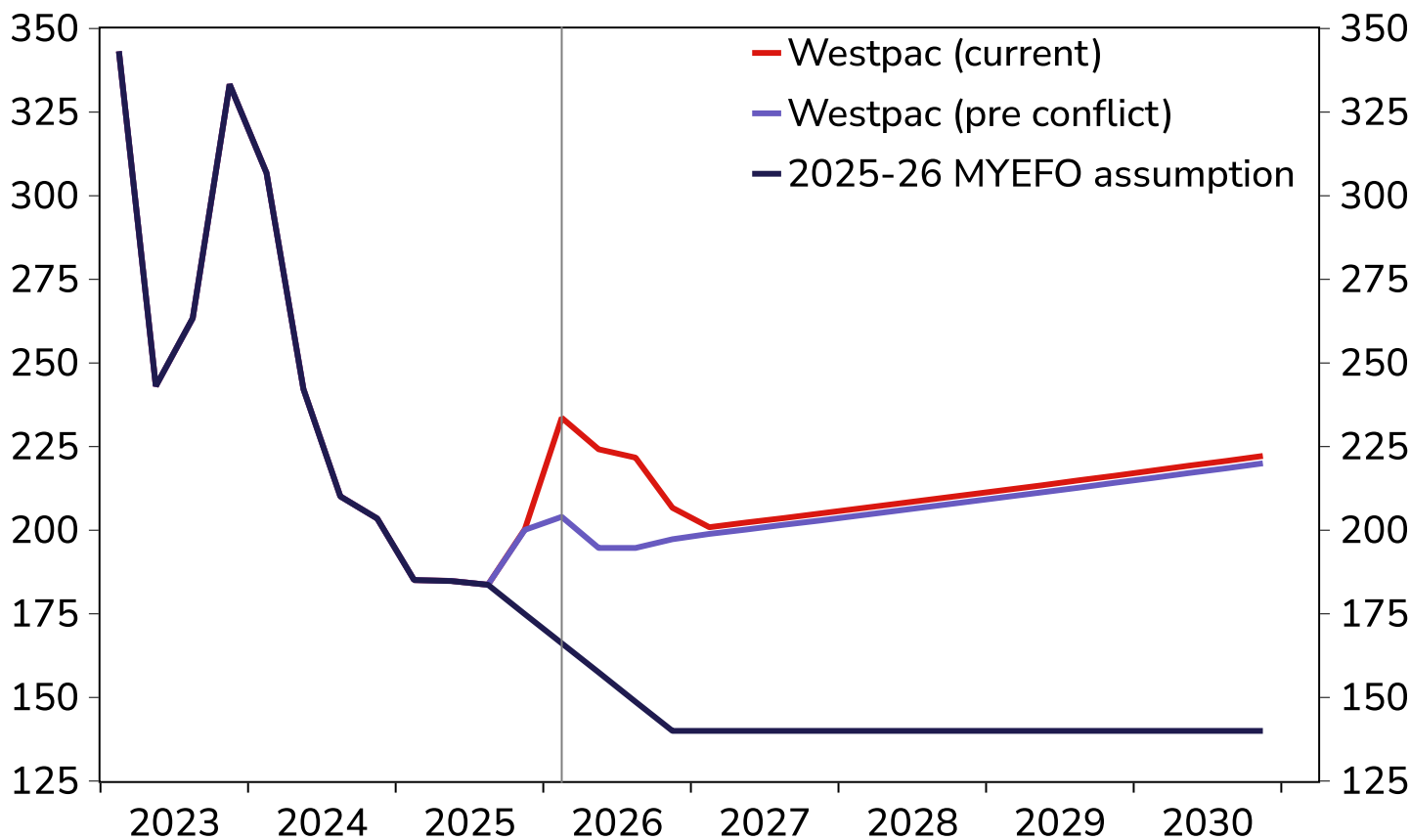
\$US per tonne



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Metallurgical coal

\$US per tonne

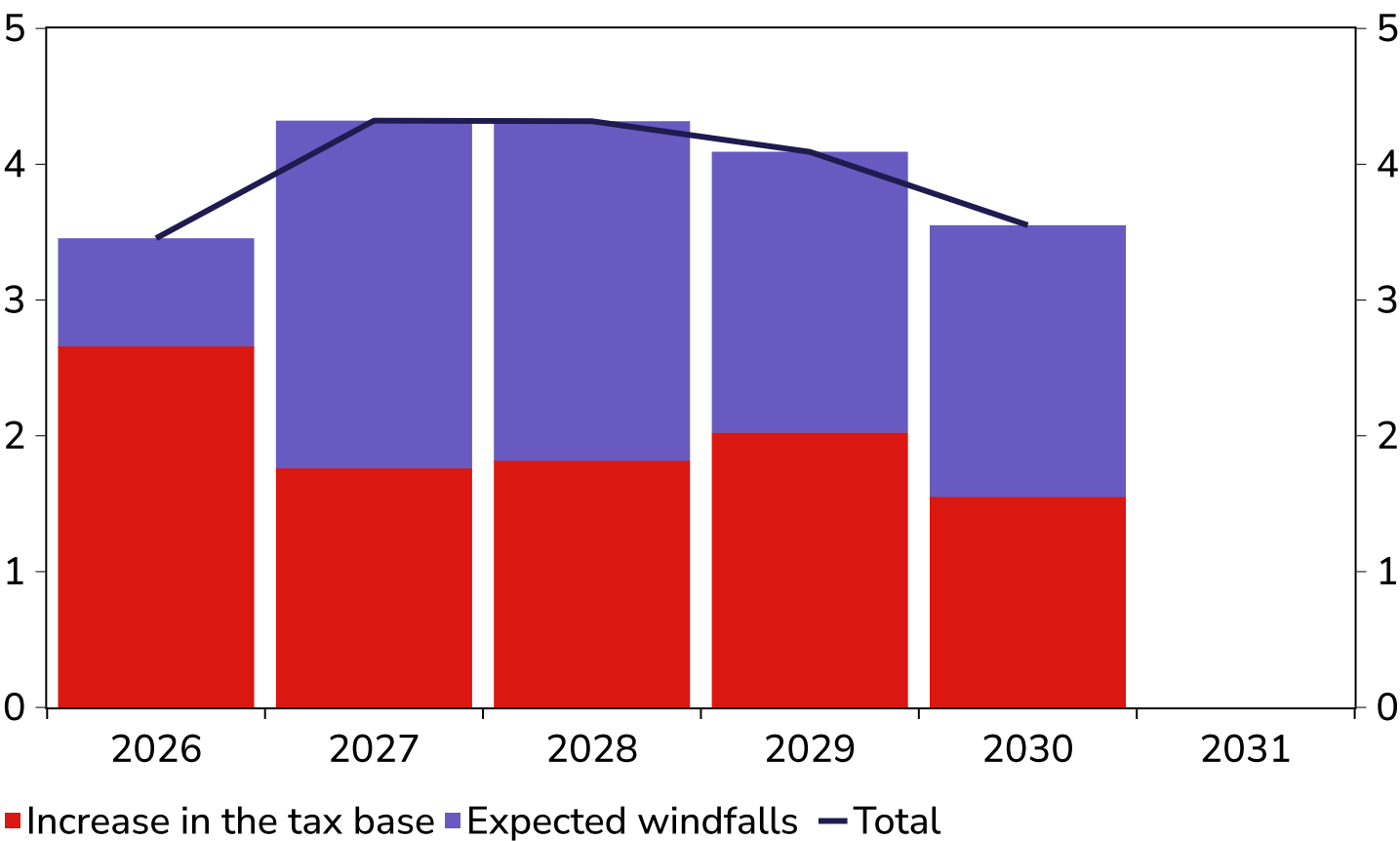


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Gold is also delivering an underappreciated windfall. Following the recent surge in prices, gold is expected to become Australia's second-largest export by value in FY26, overtaking LNG and coal. The run-up in gold prices since FY24 is estimated to add around \$19bn to Treasury revenues over the next five years. Despite recent volatility, the gold spot price is currently around US\$4,500 an ounce. That's almost double its level at the end of FY24. **We expect some of this revenue uplift to materialise as early as May 2026, when miners make large wash-up tax payments for the completed 2025 tax year.**

Expected tax upgrades due to gold prices

Financial years, \$bn

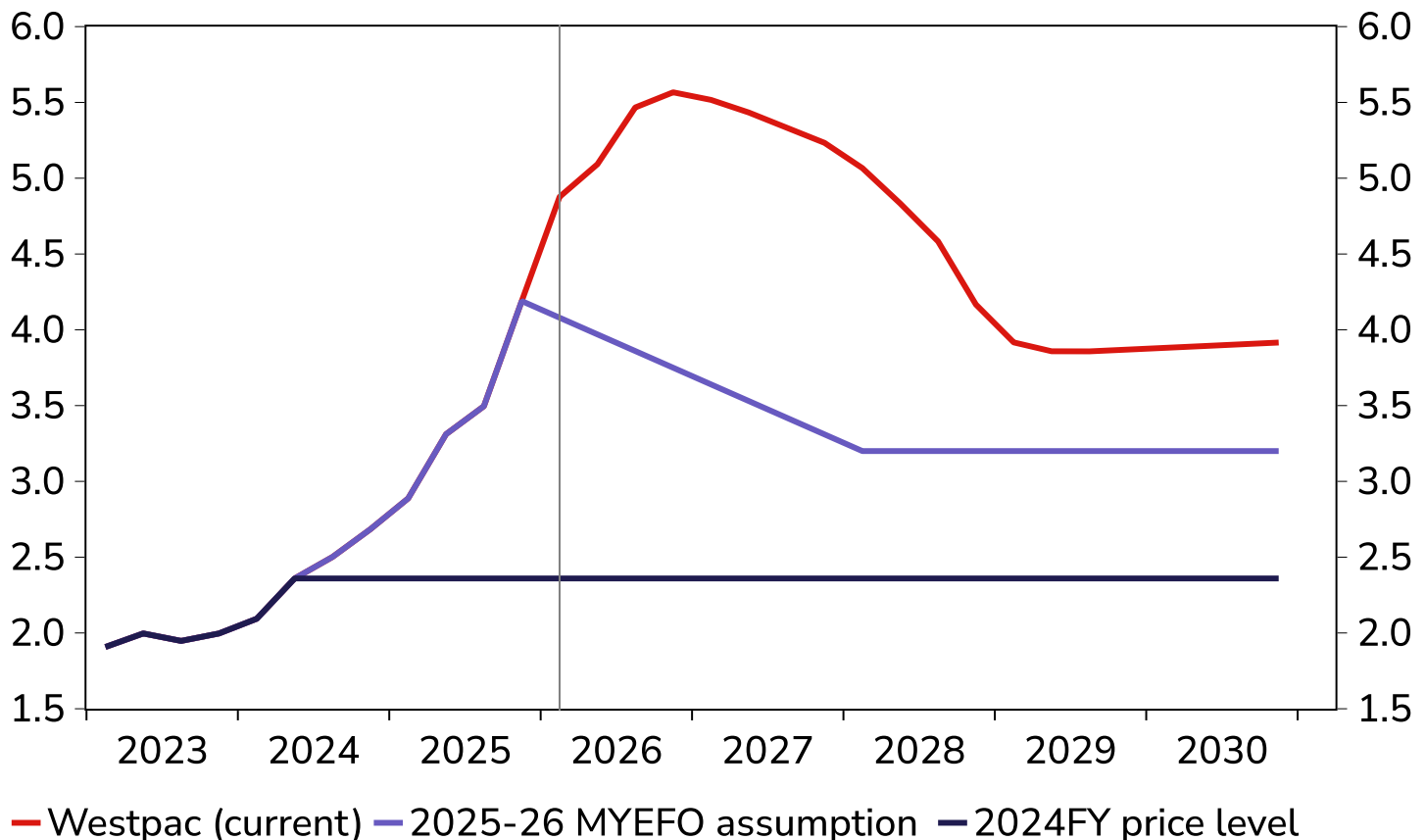


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

As Treasury marks commodity prices to market when updating its forecasts, we estimate that around half of this windfall has already been incorporated into the tax base and revenue forecasts. This is evident in the step-up from the FY2024 prices to those underpinning the 2026 MYEFO (see chart below). The remainder of the windfall is yet to be recognised and is expected to flow through in future budget updates, starting with the May 2026 Budget.

Gold price

Thousands, \$US per ounce



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

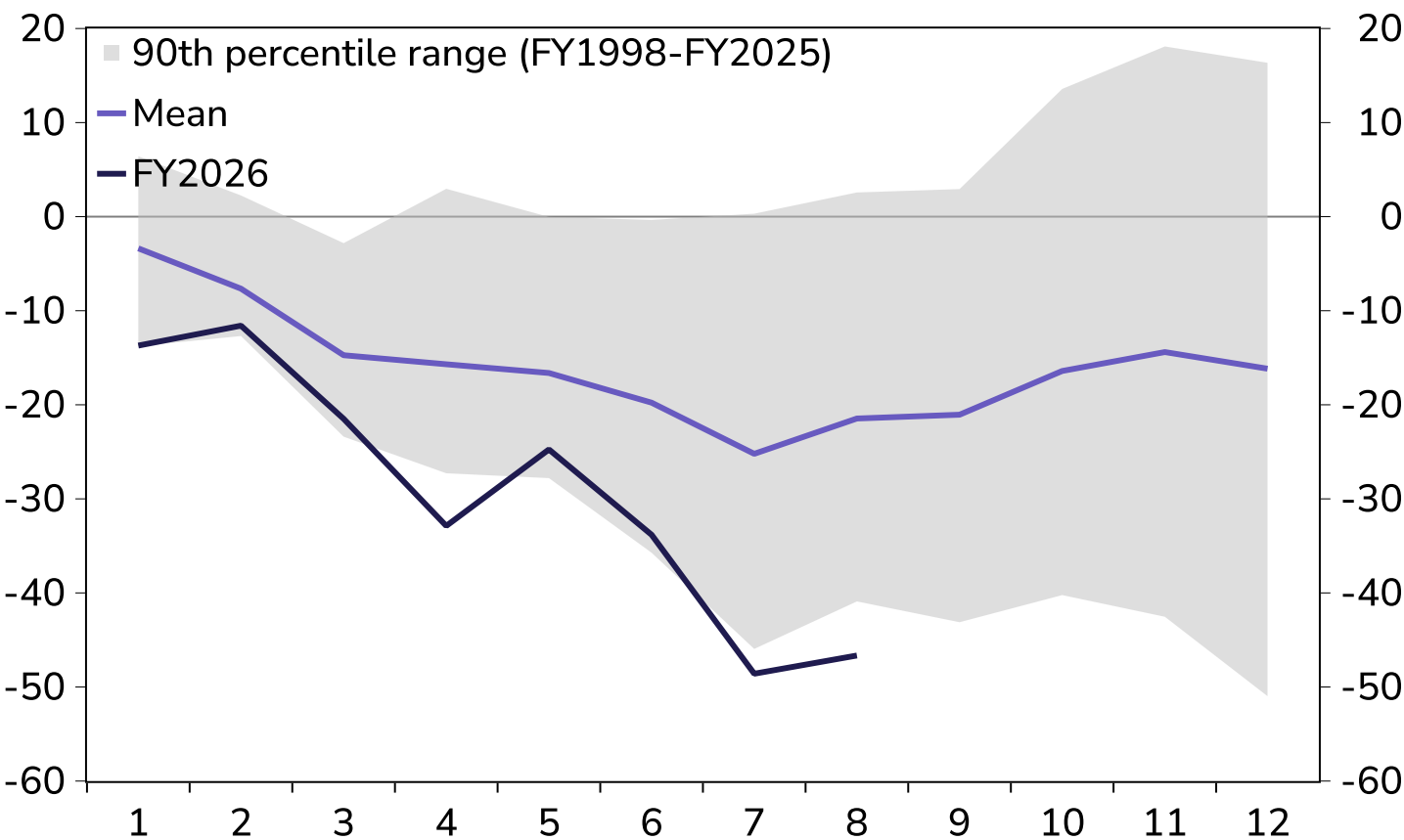
While the gold driven windfalls may seem modest in the context of the overall budget, this represents a genuinely unexpected positive surprise, one that is three times as large as the PRRT and almost as large as the fringe benefits tax base.

What about the other tax bases?

As we have previously noted, Australia's cyclical economic upswing coupled with elevated inflation are boosting nominal incomes and tax bases. This is consistent with the March monthly statements showing income and indirect tax revenue were around \$7.0bn and \$2.5bn ahead of MYEFO estimates, respectively. More broadly, the underlying balance was \$8bn ahead of MYEFO estimates, just a few months after the MYEFO document was published. Despite this, the budget remains deeply in deficit, with the FY2026 year to date position worse than the 90th-percentile outcome recorded over the FY1998–FY2025 period.

Federal government receipts & payments

UCB, Rolling YTD aggregates, \$bn



Source: Australian Department of Finance, Macrobond, Westpac Economics

Bottom line

While there will be some offsetting pressures on the payments side of the budget, we expect the revenue uplift to dominate, resulting in a net improvement in the budget position. We will provide a full set of bottom-line estimates ahead of the Budget, incorporating revenue and payments variations, as well as expected policy changes.

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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
Euro Stoxx 50	5,633	-1.0%
UK FTSE100	10,349	-0.8%
VIX Index	25.78	6.7%

Commodities	Current	Change
CRB Index	381.38	-0.3%
Gold	4706.51	1.2%
Copper	12313	-0.4%
Oil (WTI futures)	112.95	0.5%
Coal (coking)	234.75	-0.6%
Coal (thermal)	138.50	0.4%
Iron Ore	106.35	0.0%
ACCU	36.13	-4.3%

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	-0.01
90 day BBSY	4.37	0.02
180 day BBSY	4.85	0.01
1 year swap	4.64	-0.02
2 year swap	4.65	-0.05
3 year swap	4.63	-0.10
4 year swap	4.68	-0.02
5 year swap	4.70	-0.03
6 year swap	4.73	-0.03
7 year swap	4.78	-0.02
8 year swap	4.82	-0.02
9 year swap	4.85	-0.02
10 year swap	5.04	-0.10

Government Bond Yields	Close	Change
Australia		
3 year bond	4.66	-0.06
10 year bond	4.98	-0.05
United States		
3-month T Bill	3.60	-0.03
2 year bond	3.79	-0.06
10 year bond	4.29	-0.04
Other (10 year yields)		
Germany	3.08	0.09
Japan	2.42	-0.01
UK	4.90	0.07

Sydney Futures Exchange	Current	Change
10 yr bond	4.97	-0.05
3 yr bond	4.64	-0.05
3 mth bill rate	4.18	0.00
SPI 200	8,775	0.1%



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Financial Markets

Financial markets have been particularly volatile as investors weighed the likelihood of two extreme outcomes in the US–Iran conflict – a ceasefire agreement or a further major escalation. Ahead of Trump's imposed deadline for Iran to accept a ceasefire and reopen the Strait of Hormuz, he warned that “a whole civilisation will die tonight, never to be brought back again”. Reports indicated these remarks disrupted negotiations between the two nations, which are mediated by Pakistan. Trump confirmed he was engaged in “heated negotiations”, while the Pakistani Prime Minister described the talks as “progressing steadily, strongly and powerfully”. Pakistan requested a two-week extension for discussions, but Trump has yet to respond. Meanwhile, the US continued to strike Iran, hitting Kharg Island, a hub for Iran's oil exports, but not targeting major energy infrastructure there.

- US equities traded deep in negative territory for a while, but hopes for a ceasefire deal saw the S&P500 recover losses and finish the session broadly unchanged. European benchmark indices closed in the red ahead of the US rally – the Euro Stoxx 50 fell 1.0%, and the FTSE100 lost 0.8%. Asian markets were mixed – the Nikkei 225 was steady, while the Hang Seng dropped 0.7%. The domestic ASX 200 outperformed, gaining 1.7%. Tech stocks led the advance, with other major sectors also trading bringing positive returns.
- US Treasuries rallied, with yields heading 2–7bp lower. The largest gains were at the front end of the curve, while the 10Y yield fell 4bp to 4.29%. Earlier, Gilt and Bund yields rose sharply, catching up with Friday's move in Treasuries. The UK 10Y was 7bp higher, while the German equivalent climbed 9bp. Australian yields declined 5–6bp across the curve, and futures indicate a further drop at today's open.
- In FX markets, the late-day shift towards risk saw the DXY retreat by 0.3%, while other major currencies strengthened. The EUR and GBP appreciated 0.4–0.5%. The AUD was among the top performers, rising 0.8% to 0.6970.
- With several different war scenarios in the Middle East remaining likely, oil prices were mixed. Brent futures for June eased to \$103.0, while the active WTI contract for May rose 0.5% to \$113. Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to \$144.42, the highest level since records began in 1987, reflecting the lack of supply. Among other major commodities, gold gained 1.2%, while iron ore remained little changed.

International Data

The NY Fed Survey of Consumer Expectations indicated a notable increase in near-term US consumer inflation

Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
12:00	NZ RBNZ Policy Decision 8/04/2026	2.2%	2.2%
19:00	EZ PPI Feb	-0.6%	0.7%
19:00	EZ Retail Sales Feb	-0.2%	-0.1%
04:00	FOMC Meeting Minutes from 18 March	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

expectations. The one-year ahead measure rose by 0.4ppt to 3.4%yr, last seen at the end of December. Longer-term inflation expectations – which will be closely followed by policymakers at the Fed – were also higher. The three- and five-year indicators edged up 0.1ppt to 3.1%yr, having been stable at 3% for some time.

Durable goods orders decreased by 1.4%mt in February – a third consecutive decline after a 5.4%mt increase in November. The drop was accounted for by volatile aircraft orders – excluding transportation, orders were up 0.8%mt. Core orders – capital goods excluding aircraft and defence – increased by 0.6%mt, reversing a 0.4%mt decline in January. The two months together suggest a 0.7% increase in Q1, which is less than a third of the increase in Q4 – consistent with slowing demand before the conflict in the Middle East escalated.

US consumer credit flow rose to \$9.5bn in February – very close to the average levels in 2025 of almost \$9bn – suggesting broadly stable spending growth and appetite for risk at this point.

The latest comments from Fed officials suggested somewhat diverging assessments of the current economic situations. **New York Fed President John Williams** indicated that in his view the outlook for underlying inflationary pressures has not changed much. Meanwhile, **Chicago Fed President Austan Goolsbee** said he is cautious and nervous about the US economy, reiterating that higher oil prices could drive stagflationary shock, with inflation becoming persistent.

Having previously shown that the initial reaction of euro area institutional and individual investors to the war in the Middle East was negative but quite modest, the **Sentix survey** brought a much bigger decline this time – showing the headline index falling to -19.2, a very similar level to that seen after the Liberation Day US tariff announcement in April 2025. Both the current situation and expectations were much weaker, as the survey pointed out a surge in concerns about rising inflation, up to levels similar to the post-pandemic period.

Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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The epic blunder of fighting the last war

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By Luci Ellis

Chief Economist Westpac Group, Westpac

10:30 March 27 2026

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The Middle East conflict is not Venezuela, or Russia's invasion of Ukraine, or COVID. Policymakers should not use "the last war" as a template for the current one.



- The Middle East conflict and the resulting fuel crisis are not the same as previous crises and should not require COVID-style policy responses such as work-from-home mandates. Governments and other decision-makers need to avoid the temptation to "fight the last war". Nor should they fall into the

trap of “we must do something, and this is something”, when that something is ill-suited to the current problem.

- The focus should instead be on the key issue for the world economy: how the conflict maps into energy-supply disruption via the closure of the Strait of Hormuz and/or damage to oil and gas infrastructure in other Gulf states. Time is almost up on our initial assumption that the Strait would be closed for about a month, so we will shortly update our baseline forecast to reflect this. But the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already some tankers are being allowed through.
- This is a significant shock to the economy and a challenging situation for public policy. For the next few weeks, though, the appropriate monetary policy response is “wait and see”. The current crisis is not (yet) a financial crisis or a pandemic requiring immediate, potentially out-of-cycle, action. And conditions could be quite different in a month's time. Domestic conditions will continue to shape the RBA's decisions at its regular meetings.

“Fighting the last war” is a common cognitive trap: trying to make a current crisis fit a past one. We saw attempts to make COVID fit the GFC template by expecting borrower distress despite massive fiscal support and, in some quarters, to make the AI boom fit the COVID template of sudden mass job losses, at least in the US.

The current conflict in the Middle East is producing plenty of examples of this behaviour, again misguided. The US/Israel attack has not gone the same way as the US intervention in Venezuela, nor are the implications like those of Russia's invasion of Ukraine. The geographic pinch-point of the Strait of Hormuz shapes both the energy-price implications and the military ones. The context also differs significantly: the world is not emerging from a pandemic, with macroeconomic policy highly expansionary and other supply chains already disrupted.

The domestic context in Australia also differs in important ways, particularly the ceiling on east coast wholesale gas prices introduced after the 2022 episode. We are also four years further along with solar and battery installation. These changes mean that, for Australia, this is mostly an issue of fuel prices and availability, rather than electricity (as in 2022–23).

In addition, the current conflict bears little resemblance to the COVID pandemic, so policy responses should differ. We were surprised that work-from-home mandates have been seriously proposed. A fuel shortage is not a respiratory virus, and there is no reason to prevent or discourage workers from attending their workplace if they commute by foot, bicycle or public transport. Better responses would be to expand public transport coverage and frequency, encourage carpooling (including more extensive transit lanes), and cancel non-essential government travel. Only if those policies fail, or fuel shortages become so extreme that critical workers need to be prioritised, would WFH become an appropriate response.

Likewise, businesses are not facing a sudden loss of income as the community goes into lockdown. Income support measures should therefore be much more targeted, if they are needed at all.

The main similarity to the pandemic is stockpiling, as people fear downstream supply disruptions. Policy responses to address this make more sense than mandating work-from-home. Options include publicising the restocking of petrol stations that had run out of some fuels, as well as measures already taken such as temporary changes to fuel standards and the oil-for-gas supply deal with Singapore.

A kinetic war between US/Israel and Iran could drag on without necessarily having its current dramatic impact on global energy markets. For the rest of the world, the key issues are closure of the Strait of Hormuz and actual or threatened damage to gas and other civilian infrastructure in non-combatant Gulf states. But closure of the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already some tankers are being allowed through.

The immediate issue for the global and Australian economies is fuel availability. Higher prices will curb demand, but periods of localised unavailability will be especially disruptive.

The implications for macroeconomic policy depend on the broader effects on inflation and growth. The RBA was already hiking rates ahead of the outbreak of the conflict. Demand growth had picked up a little more sharply than they, or we, had expected. And with the economy no longer running with significant spare capacity as in the 2010s, even small upside demand or downside supply shocks show up in prices rather than being absorbed. More frequent policy adjustments should therefore be expected.

As highlighted by the RBA's counterparts at the RBNZ, policymakers should ordinarily try to look through the first-round, fuel-specific impacts on inflation from a shock like this. Second-round effects such as higher transport and materials costs flowing through to other prices may, however, require a response. A lift in inflation expectations is also a watch point. But if the supply-disruption element of the conflict fades over the next month or so, these effects will also be short-lived. While the forthcoming update to our baseline forecast is more severe than this, the risks around it are two-sided. It will therefore pay to wait to see which scenario plays out ahead of the May meeting. A May rate hike is still on the cards for pre-existing domestic reasons, but pre-judging the second-round effects on inflation, and the need for any hikes beyond the next one, is a much less secure strategy.

In particular, we do not expect an out-of-cycle RBA decision. These are rare: the last one was in March 2020, just ahead of lockdown, and the one before that was in 1997, both to cut rates. Even during the GFC, there were no out-of-cycle policy decisions. The decision tree facing the RBA also does not require one. May seems a long way away, but by then either things will have de-escalated, or the war will have escalated, drawn in Gulf states and worsened energy supply. De-escalation would see some of the inflationary shock soon moderate, weakening the case for further policy tightening. Escalation would be an even larger negative shock to global growth than we are already facing, but also inflationary. With the Board already split on the need to hike expeditiously, we see neither the need, nor the appetite, to bring forward that decision in either scenario. This is not COVID, and we do not expect policymakers to act like it is.

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8 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Ahead of today's deadline for Iran to accept the ceasefire deal and open the Strait of Hormuz, Trump threatened that "a whole civilisation will die tonight, never to be brought back again".

Pakistan, which is mediating the US-Iran negotiations requested a two-week extension for further talks. Hopes for a diplomatic resolution to the conflict supported the risk-on sentiment in financial markets.

US equities recovered earlier losses, with the S&P500 closing little changed. US Treasuries rallied, with yields heading 2–7bp lower. The AUD was among the top performers, rising 0.8% to 0.6970.

With several different war scenarios in the Middle East remaining likely, oil prices were mixed, but the Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to a new record higher reflecting the lack of supply.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6977	0.8%
AUD/JPY	111.36	0.8%
AUD/GBP	0.5247	0.4%
AUD/NZD	1.2165	0.5%
AUD/EUR	0.6015	0.4%
AUD/CNH	4.7826	0.6%
AUD/SGD	0.8948	0.6%
AUD/HKD	5.4666	0.8%
AUD/CAD	0.9690	0.7%
EUR/USD	1.1599	0.5%
USD/JPY	159.60	0.0%
USD Index	99.64	-0.3%

Equities	Close	Change
S&P/ASX 200	8,729	1.7%
S&P 500	6,617	0.1%
Japan Nikkei	53,430	0.0%
Hang Seng	25,117	-0.7%
Euro Stoxx 50	5,633	-1.0%
UK FTSE100	10,349	-0.8%
VIX Index	25.78	6.7%

Commodities	Current	Change
CRB Index	381.38	-0.3%
Gold	4706.51	1.2%
Copper	12313	-0.4%
Oil (WTI futures)	112.95	0.5%
Coal (coking)	234.75	-0.6%
Coal (thermal)	138.50	0.4%
Iron Ore	106.35	0.0%
ACCU	36.13	-4.3%

Data as at 7:45am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	-0.01
90 day BBSY	4.37	0.02
180 day BBSY	4.85	0.01
1 year swap	4.64	-0.02
2 year swap	4.65	-0.05
3 year swap	4.63	-0.10
4 year swap	4.68	-0.02
5 year swap	4.70	-0.03
6 year swap	4.73	-0.03
7 year swap	4.78	-0.02
8 year swap	4.82	-0.02
9 year swap	4.85	-0.02
10 year swap	5.04	-0.10

Government Bond Yields	Close	Change
Australia		
3 year bond	4.66	-0.06
10 year bond	4.98	-0.05
United States		
3-month T Bill	3.60	-0.03
2 year bond	3.79	-0.06
10 year bond	4.29	-0.04
Other (10 year yields)		
Germany	3.08	0.09
Japan	2.42	-0.01
UK	4.90	0.07

Sydney Futures Exchange	Current	Change
10 yr bond	4.97	-0.05
3 yr bond	4.64	-0.05
3 mth bill rate	4.18	0.00
SPI 200	8,775	0.1%



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Financial Markets

Financial markets have been particularly volatile as investors weighed the likelihood of two extreme outcomes in the US–Iran conflict – a ceasefire agreement or a further major escalation. Ahead of Trump's imposed deadline for Iran to accept a ceasefire and reopen the Strait of Hormuz, he warned that “a whole civilisation will die tonight, never to be brought back again”. Reports indicated these remarks disrupted negotiations between the two nations, which are mediated by Pakistan. Trump confirmed he was engaged in “heated negotiations”, while the Pakistani Prime Minister described the talks as “progressing steadily, strongly and powerfully”. Pakistan requested a two-week extension for discussions, but Trump has yet to respond. Meanwhile, the US continued to strike Iran, hitting Kharg Island, a hub for Iran's oil exports, but not targeting major energy infrastructure there.

- US equities traded deep in negative territory for a while, but hopes for a ceasefire deal saw the S&P500 recover losses and finish the session broadly unchanged. European benchmark indices closed in the red ahead of the US rally – the Euro Stoxx 50 fell 1.0%, and the FTSE100 lost 0.8%. Asian markets were mixed – the Nikkei 225 was steady, while the Hang Seng dropped 0.7%. The domestic ASX 200 outperformed, gaining 1.7%. Tech stocks led the advance, with other major sectors also trading bringing positive returns.
- US Treasuries rallied, with yields heading 2–7bp lower. The largest gains were at the front end of the curve, while the 10Y yield fell 4bp to 4.29%. Earlier, Gilt and Bund yields rose sharply, catching up with Friday's move in Treasuries. The UK 10Y was 7bp higher, while the German equivalent climbed 9bp. Australian yields declined 5–6bp across the curve, and futures indicate a further drop at today's open.
- In FX markets, the late-day shift towards risk saw the DXY retreat by 0.3%, while other major currencies strengthened. The EUR and GBP appreciated 0.4–0.5%. The AUD was among the top performers, rising 0.8% to 0.6970.
- With several different war scenarios in the Middle East remaining likely, oil prices were mixed. Brent futures for June eased to \$103.0, while the active WTI contract for May rose 0.5% to \$113. Dated Brent – a benchmark used in the physical market for more immediate delivery – surged to \$144.42, the highest level since records began in 1987, reflecting the lack of supply. Among other major commodities, gold gained 1.2%, while iron ore remained little changed.

International Data

The NY Fed Survey of Consumer Expectations indicated a notable increase in near-term US consumer inflation

Today's key data and events

Time	Event	Exp	Prev
9:50	JP Current Account Balance Feb	¥3479.8b	¥941.6b
12:00	NZ RBNZ Policy Decision 8/04/2026	2.2%	2.2%
19:00	EZ PPI Feb	-0.6%	0.7%
19:00	EZ Retail Sales Feb	-0.2%	-0.1%
04:00	FOMC Meeting Minutes from 18 March	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

expectations. The one-year ahead measure rose by 0.4ppt to 3.4%yr, last seen at the end of December. Longer-term inflation expectations – which will be closely followed by policymakers at the Fed – were also higher. The three- and five-year indicators edged up 0.1ppt to 3.1%yr, having been stable at 3% for some time.

Durable goods orders decreased by 1.4%mt in February – a third consecutive decline after a 5.4%mt increase in November. The drop was accounted for by volatile aircraft orders – excluding transportation, orders were up 0.8%mt. Core orders – capital goods excluding aircraft and defence – increased by 0.6%mt, reversing a 0.4%mt decline in January. The two months together suggest a 0.7% increase in Q1, which is less than a third of the increase in Q4 – consistent with slowing demand before the conflict in the Middle East escalated.

US consumer credit flow rose to \$9.5bn in February – very close to the average levels in 2025 of almost \$9bn – suggesting broadly stable spending growth and appetite for risk at this point.

The latest comments from Fed officials suggested somewhat diverging assessments of the current economic situations. **New York Fed President John Williams** indicated that in his view the outlook for underlying inflationary pressures has not changed much. Meanwhile, **Chicago Fed President Austan Goolsbee** said he is cautious and nervous about the US economy, reiterating that higher oil prices could drive stagflationary shock, with inflation becoming persistent.

Having previously shown that the initial reaction of euro area institutional and individual investors to the war in the Middle East was negative but quite modest, the **Sentix survey** brought a much bigger decline this time – showing the headline index falling to -19.2, a very similar level to that seen after the Liberation Day US tariff announcement in April 2025. Both the current situation and expectations were much weaker, as the survey pointed out a surge in concerns about rising inflation, up to levels similar to the post-pandemic period.

Local Data

In Australia, **household spending** rose 0.3%mt in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr ([see here](#)).



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ACCI–Westpac Survey of Industrial Trends

Australian Chamber of Commerce and Industry & Westpac Banking Corporation

258th report March 2026 (survey conducted from 27 January to 4 March 2026)

- Manufacturing conditions continued to accelerate in early 2026. The Westpac-ACCI Actual Composite lifted to a fresh cycle high of 59.3 in Q1 from 54.7 in Q4, its strongest result since September 2023. However, the data was recorded before the latest conflict in the Middle East, which threatens to unwind much of the long-awaited improvement in conditions.
- Underpinning the move was a surge in output growth, another solid lift in new orders, renewed expansion in employment and increased use of overtime.
- Such outcomes had been long foreshadowed by the Westpac-ACCI Expected Composite, which for some time was running well above the Actual Composite, reflecting very bullish expectations on the outlook from local manufacturers. The latest result suggests that the long-awaited improvement in conditions has finally arrived before the conflict, which will have changed conditions yet again.
- Indeed, official evidence shows that a genuine upswing in consumer spending was underway, supported by a recovery in real household disposable incomes. At the time, dwelling construction expanded at a robust pace and there are nascent signs that business investment was developing a broader base.
- Exports also continue to perform well, with a net 20% of firms reporting an increase in Q1. Solid demand for Australian agriculture goods, notably beef, across the US and Asia has supported rural goods exports, and while US tariff policy remains a risk, uncertainty has eased and its overall impact has been limited.
- That said, there are still numerous risks to bear in mind. Following the recent lift in inflation, the outlook for official interest rates has shifted materially – moving higher near-term, and remaining there for longer than previously expected over 2026 and 2027.
- As mentioned, this survey was largely in the field prior to the recent developments in the Middle East. While Westpac's analysis suggests a 'base case' scenario of a short-lived disruption will lead to a sharp but temporary lift in headline inflation, price pressures will be varied. Australian manufacturing, particularly refining and metal processing sectors, is exposed to upside risks around energy costs given its high energy intensity at around 88¢ spent on energy per dollar of gross value added. This is important given the starting point is already elevated for unit cost pressures.
- One of the more encouraging results was on employment, where a net 12% of firms reported an increase. This marks a welcome shift away from the two years of readings that were consistent with moderate job shedding, a trend that was also evident in official labour market data. That said, labour continues to be cited as "harder to find" versus three months ago by a net 28%, and on a relative basis, labour is cited as the single factor most limiting production by 24% of respondents.
- The accelerated expansion in output this quarter was met with a greater proportion of manufacturers operating at above average levels of capacity. Although firms are more optimistic on prospects for future hiring, the binding constraints of labour and materials may tighten capacity, hampering the ability of some firms to meet an increase in demand.

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This report was finalised on 20 March 2026.

The Survey of Industrial Trends produced by the Australian Chamber of Commerce and Industry & Westpac Banking Corporation is a quarterly publication.

It is Australia's longest running business survey dating from 1966, providing a timely update on manufacturing and insights into economy-wide trends.

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Net response or "balance" is calculated by the proportion of "ups" less "downs" on individual questions, thereby yielding the net balance. A positive balance indicates a net upward or improving trend and a minus balance a net downward or deteriorating trend.

The 258th consecutive survey was closed on Monday, 2 March 2026. A total of **437** responses were received, and provided a reasonable cross-section of Australian manufacturing in respect of industry groups and size of operation.

Key survey results

Westpac-ACCI Composites (seasonally adjusted)

	Q4 2025	Q1 2026
Actual – composite index	54.7	59.3
Expected – composite index	62.2	62.1

- In Q1, the Westpac-ACCI Actual Composite lifted to its strongest level since September 2023, when economic activity was rebounding in the wake of the COVID-19 lockdowns. At 59.3, it is decisively in expansionary territory.
- Underpinning the result was a surge in output growth, another lift in new orders and increases in both numbers employed and overtime.
- This outcome had long been foreshadowed by the Westpac-ACCI Expected Composite, which remains very bullish outlook at 62.1 in Q1. While actual outcomes are now catching up to expectations, in line with official data, material risks to the outlook remain.

Westpac-ACCI Labour Market Composite

	Q4 2025	Q1 2026
Composite index	48.6	51.4

- The Labour Market Composite continued to recover moving in early 2026, rising to 51.4 from 48.6 in Q4, its highest level since June 2019.
- Official data highlights the 'two-speed' nature of the labour market over recent years. Growth in the care economy as an immense support to total employment growth, while the market sector (driven by the private economy) cooled rapidly. Although these dynamics have started to normalise, jobs growth remains varied across these sectors.
- Given this sheer scale of this divergence, the Composite has proven to be a useful signal for market sector employment. The Composite suggests the employment recovery in this segment might be starting to pick up some steam.

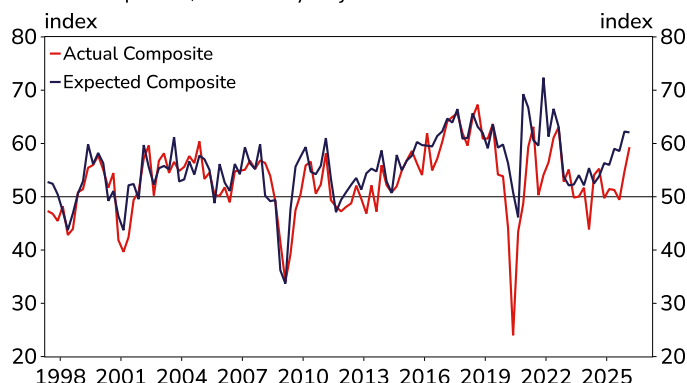
General business situation

	Q4 2025	Q1 2026
Net balance	18	22

- Manufacturing sentiment has staged an impressive recovery from the lows of 2024, when historic cost pressures and weak demand weighed heavily, and has since stabilised at optimistic levels.
- A net 22% of respondents expect the general business situation to improve over the next six months, up from a net 18% in Q4.
- Conditions on the ground are showing clearer signs of recovery, with a second consecutive quarterly rise in manufacturing gross value added in Q4. At the same time, the survey points to a rebound in output growth, while growth in new orders continues to recover at a solid pace.

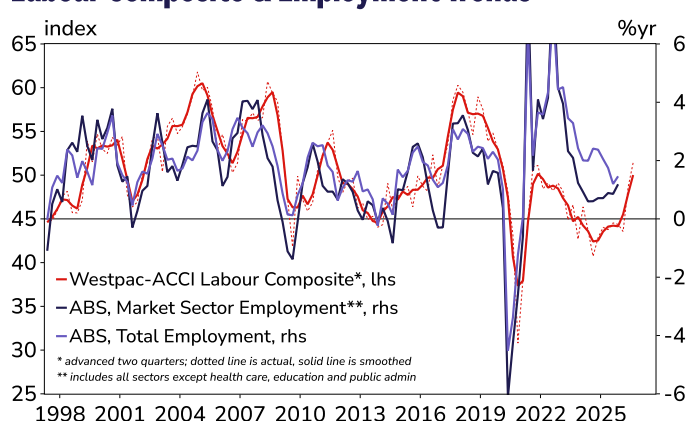
Westpac-ACCI Composite Indexes

Actual & Expected, Seasonally Adjusted



Source: ACCI, Westpac Economics, Macrobond

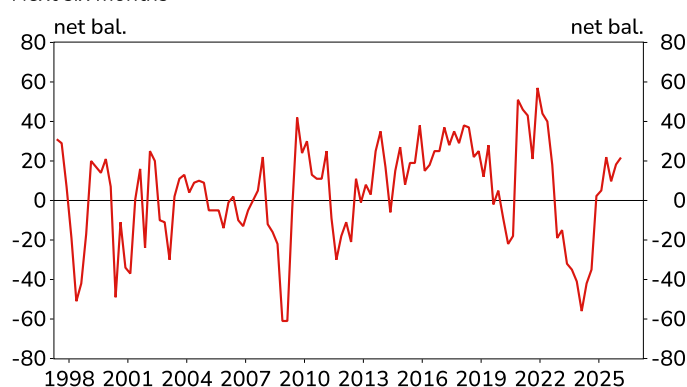
Labour Composite & Employment Trends



Source: ACCI, Westpac Economics, ABS, Macrobond

General Business Situation

Next six months



Source: ACCI, Westpac Economics, Macrobond

The business cycle & economic outlook

Manufacturing & the business cycle

- The Westpac-ACCI Actual Composite has a solid track record of predicting near-term domestic economic conditions and identifying turning points in the cycle.
- The Q4 National Accounts provided a more constructive picture around the recovery in private sector demand. An improvement in real disposable income is supporting consumer spending, though momentum remains uneven. At the same time, dwelling construction is expanding at a robust pace and there are nascent signs that business investment is developing a broader base.
- With an economic upswing underway, manufacturers are very optimistic. That said, inflation has picked up recently and the outlook for official interest rates has changed materially – higher and for longer than previously expected over 2026 and into 2027. The Middle East conflict also poses material upside risks for energy costs, which is a particularly acute issue for local manufacturing.

Australian & World manufacturing surveys

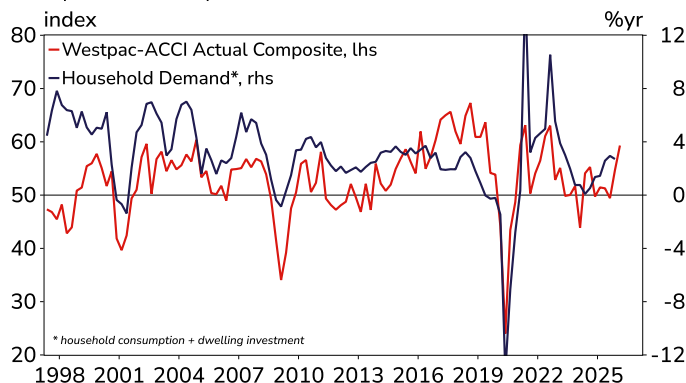
- Global and Australian manufacturing cycles tend to be synchronised, especially at major turning points. The Westpac-ACCI Actual Composite typically moves in line with global manufacturing conditions. That said, there can be some cross-country variation within manufacturing in any given cycle.
- Over the past quarter, there has been a clear improvement across the major economies. Manufacturing in the US has kicked into a higher gear at the start of this year, similar to Australia, with the ISM PMI lifting back into meaningful expansionary territory for the first time since 2022, at 52.4 in February. China has seen a comparable lift, with the RatingDog PMI rising to 52.1, while the Eurozone's HCOB PMI printed 50.8 in February.

Manufacturing & business investment

- The ACCI-Westpac survey has historically provided a broad gauge on equipment spending trends in the manufacturing sector. However, actual spending has persistently underperformed the investment intentions in this survey, suggesting that some plans may be failing to materialise.
- Official data has been more constructive recently, with six-month annualised growth in equipment spending moving back into positive territory. The National Accounts also points to some nascent signs of a broadening investment pulse, though it is still in its early stage.
- Looking forward, evidence of a sustained recovery in consumer demand provides a more supportive backdrop for investment. However, with the recent kick-up in inflation, 'higher for longer' interest rates will dampen growth.

Manufacturing & the Business Cycle

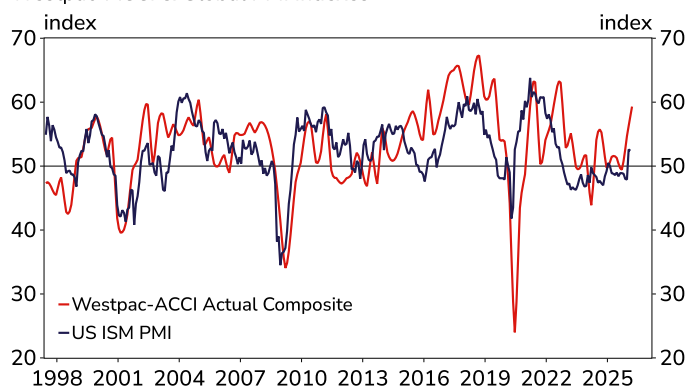
Westpac-ACCI Composite & Household Demand



Source: ACCI, Westpac Economics, ABS, Macrobond

Australian & US manufacturing surveys

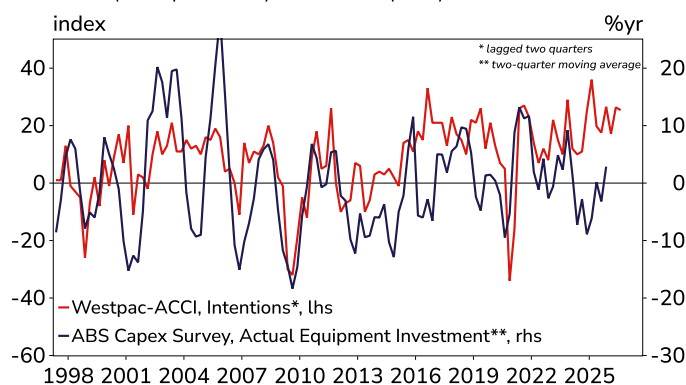
Westpac-ACCI & Global PMI Indexes



Source: ACCI, Westpac Economics, ISM, Macrobond

Manufacturing Equipment Investment

Intentions (Westpac-ACCI) vs. Actuals (ABS)



Source: ACCI, Westpac Economics, ABS, Macrobond

Activity & orders

Output (seasonally adjusted)

	Q4 2025	Q1 2026
Actual – net balance	17	31
Expected – net balance	34	26

- The survey reports that output growth continued to build momentum in early 2026, with a net 31% of respondents reporting an increase in Q1, up from a net 17% in Q4. This marks the strongest result since September 2022, when the economy was rebounding after the pandemic.
- Output growth also ran well ahead of new orders, resulting in a build-up of inventories. Expectations remain solid, albeit slightly lower, with a net 26% of firms anticipating another lift in Q2. While expectations have tended to run well ahead of actual outcomes over the past year, the latest result tentatively suggests the gap is beginning to narrow.

New orders (seasonally adjusted)

	Q4 2025	Q1 2026
Actual – net balance	12	18
Expected – net balance	33	33

- The survey shows that growth in new orders lifted again in Q1, with a net 18% of respondents reporting an increase, up from a net 12% in Q4 and slightly above the pre-COVID average of a net 16%.
- Rising new orders are consistent with the uptrend in domestic demand, driven primarily by the consumer but also supported by a robust pace of home building activity and more recently investment.
- Looking ahead, expectations remain very strong, with a net 33% of firms anticipating another rise over the next three months. However, while firms are beginning to lift headcount and overtime, future capacity constraints may limit whether these expectations are realised.

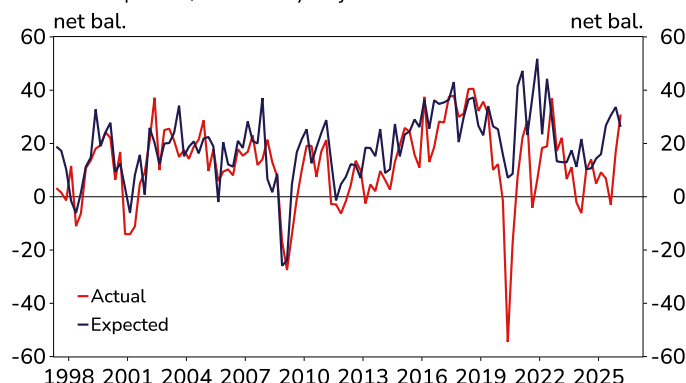
Exports

	Q4 2025	Q1 2026
Actual – net balance	9	20
Expected – net balance	25	31

- Manufacturers continue to report an incredibly constructive view on exports. On balance, a net 20% of firms reported an increase in Q1, up from a net 9% in Q4.
- Solid demand across our Asian trading partners has supported processed food and agriculture exports in particular. While US tariff risks remain, uncertainty has eased and the impact has been limited given Australia held a tariff advantage. Industry-specific tariffs have only had a limited impact on the primary metals to date.
- Expectations have strengthened further, with a net 31% anticipating a lift over the next three months. However, a stronger AUD and possible spillovers from the Middle East may weigh on growth in exports ahead.

Output

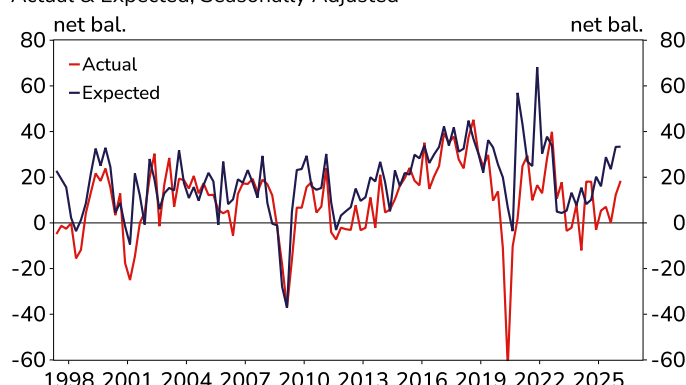
Actual & Expected, Seasonally Adjusted



Source: ACCI, Westpac Economics, Macrobond

New Orders

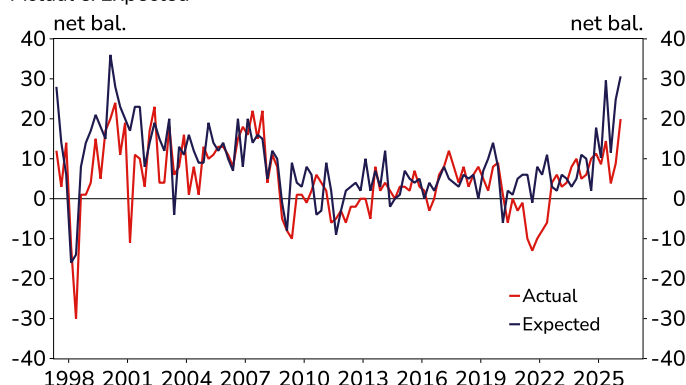
Actual & Expected, Seasonally Adjusted



Source: ACCI, Westpac Economics, Macrobond

Export Deliveries

Actual & Expected



Source: ACCI, Westpac Economics, Macrobond

Investment & profitability

Investment intentions

	Q4 2025	Q1 2026
Plant & Equipment – net balance	26	25
Building – net balance	12	15

- Outside of some natural quarter-to-quarter volatility, investment intentions continue to operate around a relatively high level.
- On balance, a net 25% of firms intend to increase plant & equipment spending over the next twelve months, while a net 15% are looking to increase building investment.
- These intentions are likely bolstered by more constructive evidence around new orders of late. But at the same time, the outlook for interest rates has shifted materially compared to last year – with ongoing inflation pressures, interest rates are expected to remain higher for longer, which may put some investment plans at risk over the course of this year.

Capacity utilisation

	Q4 2025	Q1 2026
Net balance	7	11

- Firms continued to operate at above-average levels of capacity in Q1, reflecting another solid rise in new orders and output, albeit with a somewhat more modest lift in employment and overtime.
- In the latest survey, slightly more firms reported operating at above-average capacity (28% up from 31%), while fewer reported below-average capacity (22% to 19%), resulting in a net 11% reporting overutilisation.
- While firms are increasingly optimistic about for future hiring, labour availability remains a key constraint. Material shortages have also become a larger concern of late. Together, these dynamics may see capacity tighten and hamper firms' ability to fully meet demand in a timely manner, adding to order backlogs.

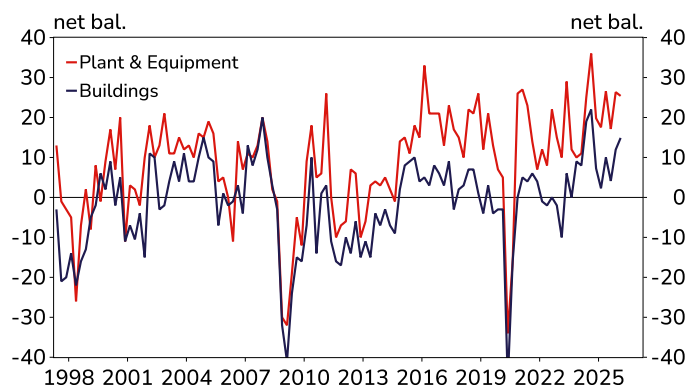
Profit expectations

	Q4 2025	Q1 2026
Net balance	38	43

- Manufacturers have become supremely confident on the year-ahead outlook for profits. A net 43% of firms are anticipating an increase in profits over the next twelve months – the highest since Q3 2017.
- This broad-based confidence in the direction for profits stems from manufacturers' very bullish expectations around output and new orders. This is despite a 'higher for longer' interest rate outlook amid ongoing inflation pressures.
- While the revenue outlook is more constructive, elevated cost pressures and margin compression could continue to weigh on profit growth near-term, especially if upside risks around energy costs materialise.

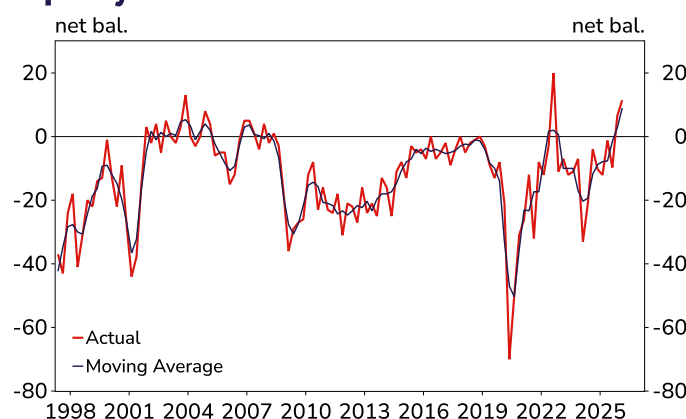
Investment Intentions

Next twelve months



Source: ACCI, Westpac Economics, Macrobond

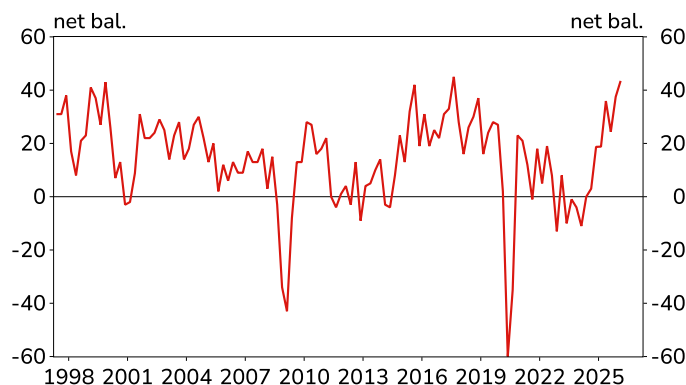
Capacity Utilisation



Source: ACCI, Westpac Economics, Macrobond

Profit Expectations

Next twelve months



Source: ACCI, Westpac Economics, Macrobond

The labour market

Numbers employed (seasonally adjusted)

	Q4 2025	Q1 2026
Actual – net balance	4	12
Expected – net balance	18	22

- Growth in new orders continue to build momentum, and as a result, manufacturers' views on hiring is finally starting to turn a corner, with a net 12% of firms reporting an increase in the size of their workforce.
- This marks a welcome shift away from around two years of readings broadly consistent with moderate job shedding, a trend that was also evident in official labour market data.
- Against the backdrop of tighter capacity and expectations of a further gains in new orders, a net 22% of firms anticipate an increase in employment over the next three months. Whether these expectations can be fully realised remains a key question, given manufacturers still report that skilled labour is very difficult to source.

Overtime worked (seasonally adjusted)

	Q4 2025	Q1 2026
Actual – net balance	0	13
Expected – net balance	10	8

- Manufacturers have typically relied on overtime to quickly adjust labour usage in response to shifts in demand, especially during times of acute labour shortages.
- While the last couple of years were defined by weaker demand and lower overtime, this now looks to be turning around, with a net 13% of firms reporting an increase in their use of overtime in Q1.
- Given rising capacity utilisation and lingering difficulty in finding labour, some further increase in overtime may be required in order to meet demand in the near-term, with a net 8% of manufacturers expecting to lift overtime over the next three months.

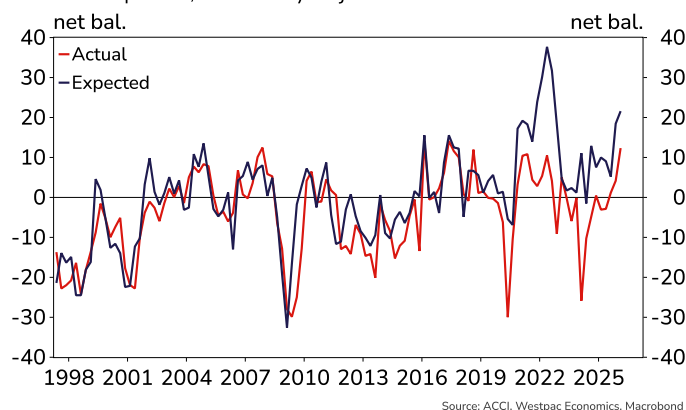
Difficulty of finding labour (seasonally adjusted)

	Q4 2025	Q1 2026
Net balance	21.1	28.2

- Historically, firms' views on the difficulty of finding labour tracks shifts in the Australian unemployment rate. In the latest cycle, however, strong labour demand in the care economy has obscured this relationship.
- In Q1, a larger share of manufacturers reported difficulty in sourcing labour, with a net 28.2% indicating labour was "harder to find" compared to three months ago.
- Official data points to a slowing of jobs growth in the care economy, alongside encouraging signs of a broadening recovery in the market sector. Yet, manufacturing employment is starting from a particularly weak base, and with labour supply growth slowing, availability is likely to remain a key concern for foreseeable future.

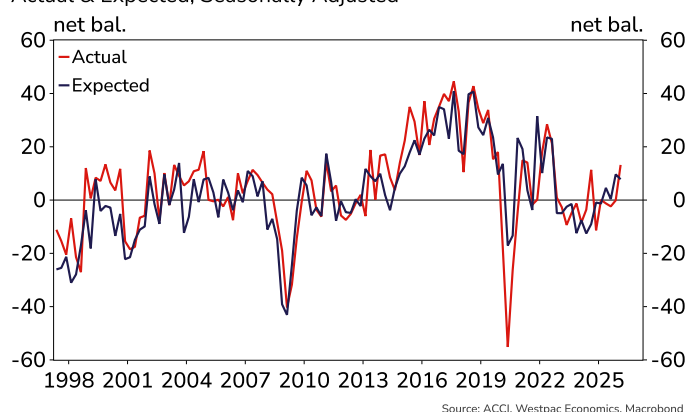
Numbers Employed

Actual & Expected, Seasonally Adjusted

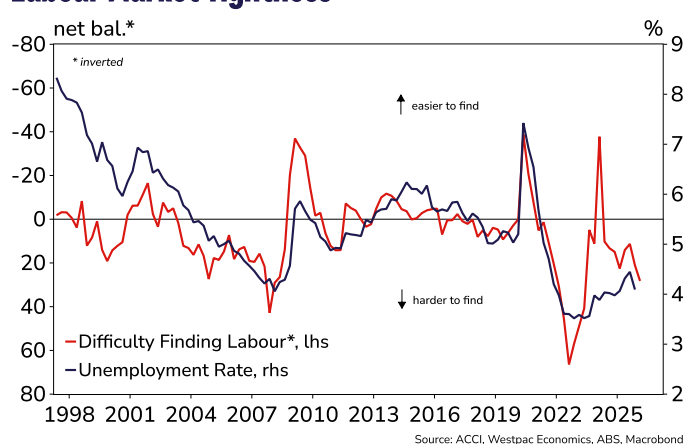


Overtime Worked

Actual & Expected, Seasonally Adjusted



Labour Market Tightness



Prices & inflation

Average unit costs

	Q4 2025	Q1 2026
Actual – net balance	35	37
Expected – net balance	39	40

- Manufacturers continued to cite elevated unit cost pressures in early 2026, with a net 37% of firms reporting an increase, up from a net 35% in Q4.
- While upward cost pressures have moderated significantly since 2022/23, the latest results remain around double the pre-pandemic average. Looking ahead, cost pressures are expected to remain elevated, with a net 40% of firms anticipating an increase in average costs over the next three months, little changed from a net 39% from Q4.
- Notably, these results largely pre-date recent developments in the Middle East, which pose additional upside risks to costs given the sector's high exposure to energy.

Average selling prices

	Q4 2025	Q1 2026
Actual – net balance	19	23
Expected – net balance	30	35

- The proportion of firms reporting an increase in average selling prices moved higher, rising from a net 19% in Q4 to a net 23% in Q1 2026.
- Actual outcomes continue to fall short of manufacturers' own expectations. Against the backdrop of lingering unit cost pressures and heightened upside risks, this suggests that manufacturers' may be overestimating their ability to pass on costs, resulting in ongoing margin compression.
- A net 35% of firms anticipate a rise in prices over the next three months. Given recent experience and still-elevated cost expectations, the risk is that margins could remain compressed for longer than manufacturers hope.

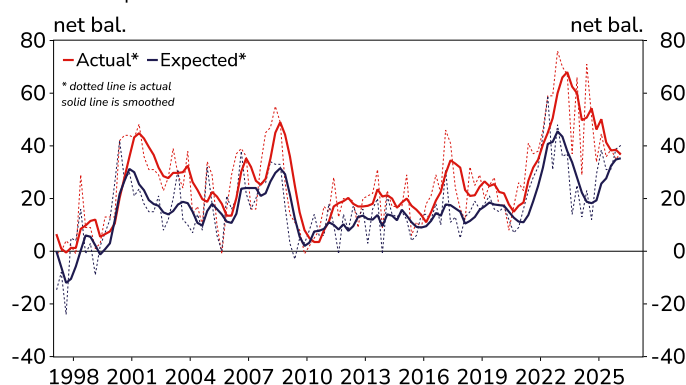
Manufacturing wages

	Q4 2025	Q1 2026
Net balance	35	42

- In Q1, a net 42% of manufacturers indicated they expect their next enterprise wage agreement to deliver an outcome higher than the previous one, the highest proportion since Q4 2023.
- This suggests firms remain concerned about future upward pressure on wages amid ongoing difficulties in finding skilled labour. These concerns are likely to intensify as growth in new orders and output are starting to recover more clearly.
- In contrast, official data on wage growth trends in the manufacturing sector point to a continued moderation, with wages growth now at 2.9%, or ½ppt below the national average.

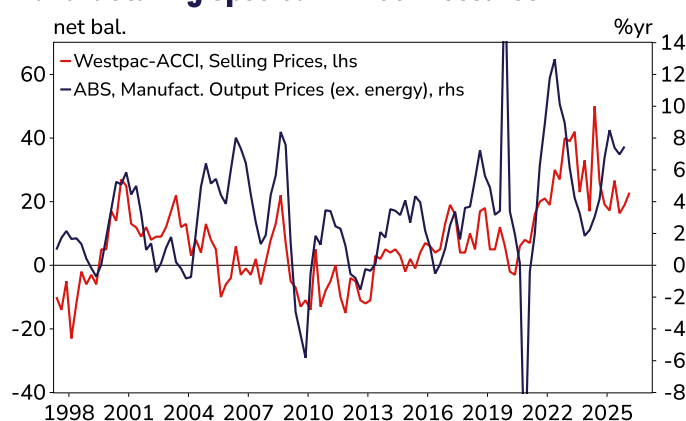
Average Unit Costs

Actual & Expected



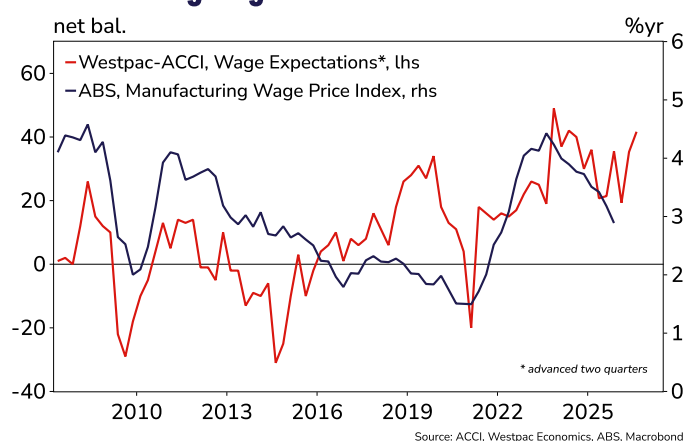
Source: ACCI, Westpac Economics, Macrobond

Manufacturing Upstream Price Pressures



Source: ACCI, Westpac Economics, ABS, Macrobond

Manufacturing Wage Growth



Source: ACCI, Westpac Economics, ABS, Macrobond

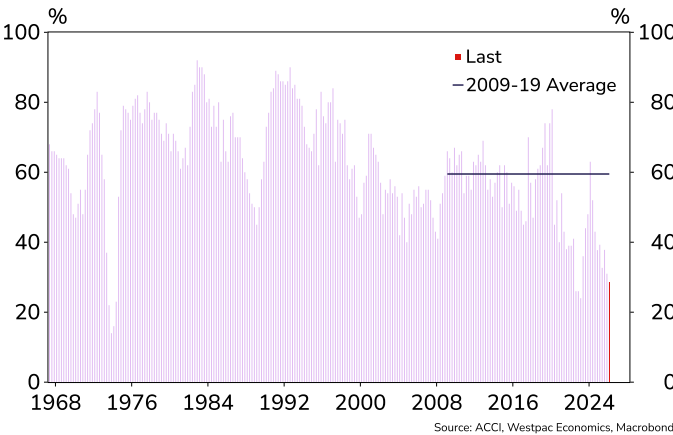
Factors limiting production

- Orders** have historically been cited by most manufacturers as the single factor most limiting production. At 29% in Q1, though, this is a well below average, reflecting the improvement in demand and relatively more pressing concerns around tightness around other supply factors.
- Labour** remains a key example here, with 24% citing it as the primary constraint, extending one of the longest stretches of acute labour shortages in the survey's rich history dating back to the 1960s.
- Materials** have become a more significant constraint of late, at 12% in Q1, well above the pre-pandemic average.
- Capacity** is still viewed as a moderate constraint, at 11% in Q1. While manufacturers are operating at above average levels of capacity at present, the concern is how long and how far above average manufacturers can continue to meet production before labour and materials constraints start to bite and capacity becomes a more binding limit.

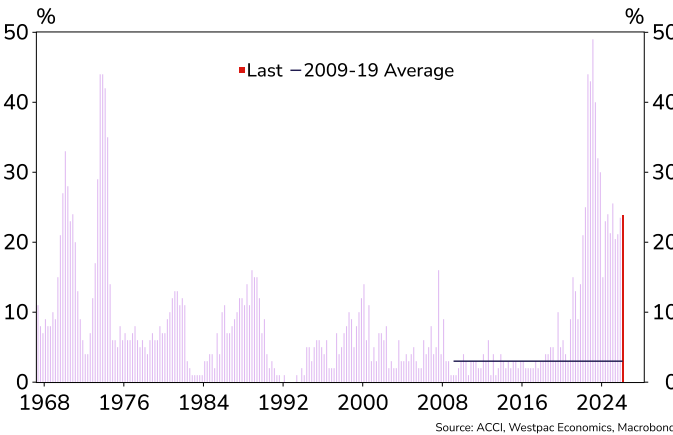
Single factor most limiting production

	Q3 2025	Q4 2025	Q1 2026
Orders (%)	38	31	29
Capacity (%)	10	10	11
Labour (%)	21	24	24
Finance (%)	10	13	12
Materials (%)	7	13	12
Other (%)	6	5	4
None (%)	7	5	8

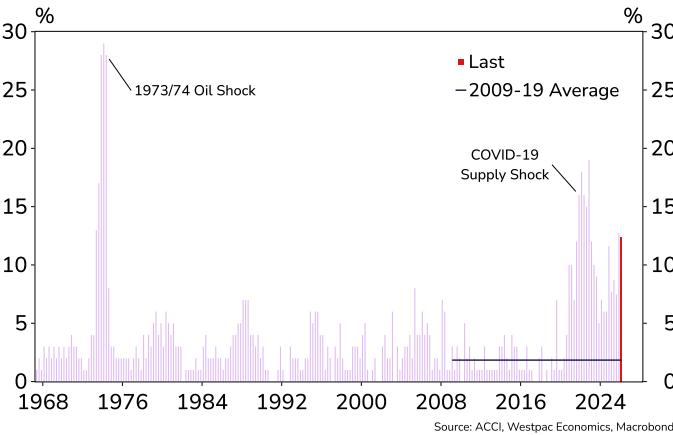
Factors Limiting Production: Orders



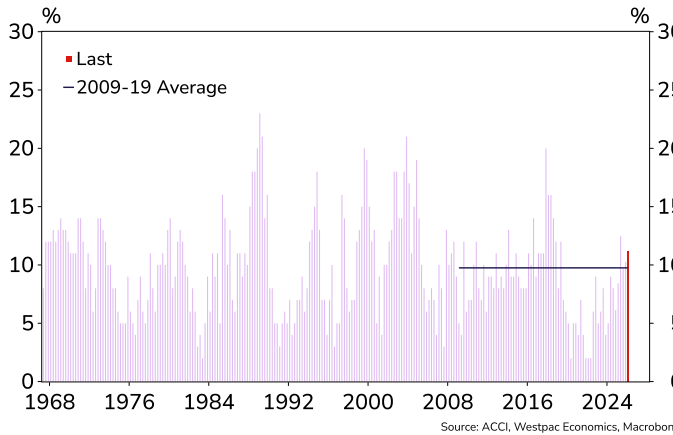
Factors Limiting Production: Labour



Factors Limiting Production: Materials



Factors Limiting Production: Capacity



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Summary of results (not seasonally adjusted)

1. Do you consider that the general business situation in Australia will improve, remain the same, or deteriorate in the next six months?

Net balance	Improve	Same	Deteriorate
22	43	36	21

2. At what level of capacity utilisation are you working?

Net balance	Above Normal	Normal	Below Normal
11	31	50	19

3. What single factor is most limiting your ability to increase production?

None	8	Orders	29
Materials	12	Finance	12
Labour	24	Capacity	11
Other	4		

4. Do you find it is now harder, easier, or the same as it was three months ago to get:

		Net balance	Harder	Same	Easier
(a)	labour?	22	35	51	13
(b)	finance?	16	28	60	12

5. Do you expect your company's capital expenditure during the next twelve month to be greater, the same, or less than the past year:

		Net balance	Greater	Same	Less
(a)	on buildings?	15	37	41	22
(b)	on plant & machinery?	25	45	35	20

Excluding normal seasonal changes, what has been your company's experience over the past three months & what changes do you expect during the next three months in respect of:

	Change in position in the last three months				Expected change during the next three months			
	Net balance	Up	Same	Down	Net balance	Up	Same	Down
6. Numbers employed	9	25	60	15	21	34	53	13
7. Overtime worked	7	30	46	23	9	31	47	22
8. All new orders received	13	34	45	21	37	48	41	11
9. Orders accepted but not yet delivered	8	24	60	16	18	35	49	16
10. Output	18	35	48	17	34	46	42	12
11. Average costs per unit of output	37	45	48	7	40	49	43	8
12. Average selling prices	23	34	55	11	35	44	47	9
13. Export deliveries	20	33	55	13	31	42	46	12
14. Stock of raw materials	8	24	59	17	16	32	53	15
15. Stocks of finished goods	14	30	54	16	19	36	48	16

Summary of results (not seasonally adjusted)

16. Over the next twelve months do you expect your firm's profitability to:

(a) Improve?	60
(b) Remain unchanged?	24
(c) Decline?	16
Net balance	43

17. Do you expect your firm's next wage enterprise deal will produce annual rises which vis-à-vis the previous deal are:

(a) Greater?	50
(b) Same?	42
(c) Less?	8
Net balance	42

A. Industry profile of survey:

	(% of respondents)
Food Product Manufacturing	16
Beverage and Tobacco Product Manufacturing	3
Textile, Leather, Clothing and Footwear Manufacturing	8
Wood Product Manufacturing	5
Pulp, Paper and Converted Paper Product Manufacturing	2
Printing (including the Reproduction of Recorded Media)	7
Petroleum and Coal Product Manufacturing	1
Basic Chemical and Chemical Product Manufacturing	7
Polymer Product and Rubber Product Manufacturing	4
Non-Metallic Mineral Product Manufacturing	3
Primary Metal and Metal Product Manufacturing	8
Fabricated Metal Product Manufacturing	10
Transport Equipment Manufacturing	4
Machinery and Equipment Manufacturing	15
Furniture and Other Manufacturing	5
Other	3

B. How many employees are covered by this return?

1-99	100-199	200-999	1000 or more
41	20	22	18

C. In which state (or states) is the main production to which this return relates? *

WA	SA	VIC	NSW	QLD	TAS	ACT/NT
17	10	25	27	17	4	5

In Questions 1-17, non-responses are excluded from net balance calculations and note that percentages might not add up to 100% due to rounding.

* In the state breakdown, note that percentages might not add up to 100% due to overlap.

The Westpac-ACCI Composite Indices

The Westpac-ACCI Actual and Expected Composite indices are weighted averages of the activity measures in the survey. The weights are as follows: employment 20%; new orders 30%; output 25%; orders accepted but not delivered 15%; overtime 10%.

The Westpac-ACCI Labour Market Composite is a function of actual employment, with a weight of almost 50%, as well as: expected employment; expected overtime; new orders; order backlog; and expected order backlog.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



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Cliff Notes: mixed messages

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By [Elliot Clarke](#)

Head of International Economics, Westpac

09:28 April 02 2026

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Key insights from the week that was.



At the turn of the week, [Chief Economist Luci Ellis](#) and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20%

of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the March Monetary Policy Board meeting minutes, the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, the Government's financial position is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. Cotality home values increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. Dwelling approvals remained volatile in February, a 29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%moth. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on

inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

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31 March 2026

A materially bigger and more persistent shock

Westpac Economics

- Longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil now expected to peak at an average \$120/bbl in Q2 and Japanese LNG prices at \$26mmbtu.
- Australian CPI inflation now expected to peak at 5.4%yr in June quarter, and even higher on the monthly series, despite the announced cut to fuel excise. Trimmed mean inflation peaks around 4% in 2026 H2. Food prices a particular concern through to 2028, but broader pass-through to non-energy prices also an issue.
- RBA now expected to hike rates three times (May, June, August), revised up from one more (in May) previously. Peak cash rate now 4.85%, above previous peak.
- Supply shock and tight monetary policy drag on demand, especially consumption and other interest-sensitive sectors. GDP growth forecast to trough at 1%yr in 2027; unemployment rate peaks at 5% end-2026.

Energy situation

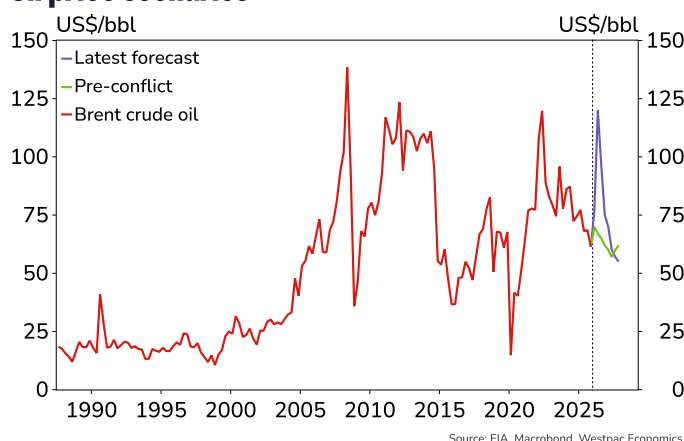
As previously highlighted, the key risk to our previous central case view (released on [March 17](#)) was that the Middle East conflict would prove to be more prolonged than assumed. With the conflict now entering its fifth week, it has become increasingly clear that the US/Israel–Iran confrontation is likely to result in a longer-lasting disruption to energy production in the Middle East and shipping through the Strait of Hormuz. We have therefore revised our baseline assumptions.

Specifically, we now assume the Strait of Hormuz remains effectively closed until the end of April, a total of eight weeks, and takes longer to reopen fully. This compares with our earlier assumption of a one-month disruption followed by a relatively rapid normalisation.

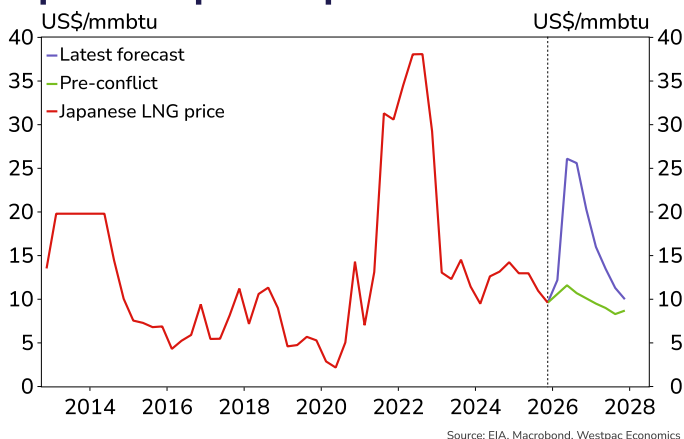
The slower recovery reflects several factors. Recent shipping traffic through the Strait has been limited to countries Iran deems friendly to it. Insurance premiums are expected to remain elevated given the risk of further attacks by regional factions. Shipping companies will also require time to re-establish vessel rotations and contractual delivery arrangements across energy and upstream industrial inputs.

As a result, we now assume traffic through the Strait reaches only around 20% of normal levels in May. Traffic is expected to continue to improve thereafter, although capacity is not expected to return to normal levels until end 2026.

Oil price scenarios



Japanese LNG price comparison



The extension of the conflict and slower normalisation will lead to more 'shut-ins' (temporary stops in production due to storage capacity limits) among smaller Gulf producers. Coupled with some oil infrastructure damage, we now project this to see a shortfall in global oil production of around 6mb/d on average in Q2. This assumes Saudi Arabia and the UAE continue to divert exports via operational pipelines to partially bypass the Strait, with an available capacity at around 1.6–5.5 mbpd, alongside the release of IEA emergency stockpiles.

Risks around this path remain clearly skewed to the downside, particularly if there is more damage to port and energy infrastructure and/or shipping via the Red Sea is also impacted now that Yemen's Houthi rebels have entered the conflict.

This would represent a sharp escalation, but it could also see a faster resolution as it would bring more Gulf state countries into the fray against Iran.

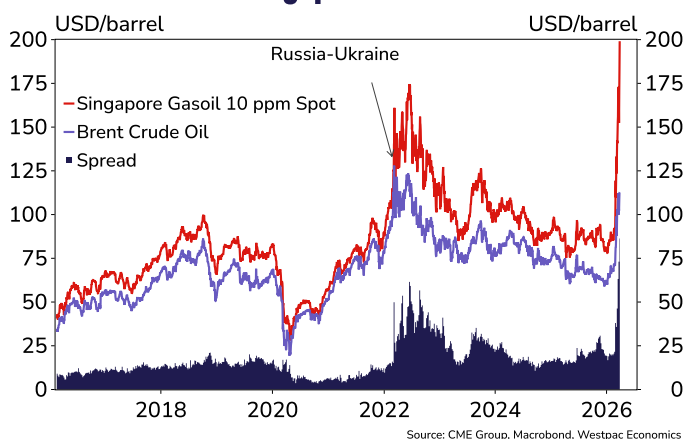
Overall, the changes to our baseline assumptions imply a materially bigger and more persistent energy price shock than previously assumed.

Consequently, we now expect Brent crude oil prices to average around US\$120/bbl in Q2, compared with US\$90 previously. Prices are expected to remain elevated for longer, reflecting both ongoing physical disruptions and a sustained risk premium linked to security and insurance costs. Under our revised base case, oil prices ease only to around US\$75/bbl in Q4, still US\$13 above our pre conflict baseline, and do not converge back to pre conflict levels of around US\$60/bbl until Q2 2027.

The impact on gas markets is even larger than for crude oil. LNG exports from the Middle East, particularly Qatar, have no viable alternative route that bypasses the Strait, leaving supply highly exposed to an extended disruption. Moreover, Qatar's Ras Laffan LNG plant has suffered extensive damage halting production, with reports that it will potentially take up to five years to fully repair. As a result, Japanese LNG prices have surged above US\$20mmbtu in recent weeks and are currently trading US\$10 above pre-conflict levels. We forecast further increases as supply tightens to a quarterly average price of around US\$26mmbtu over the next few quarters. Prices are projected to remain elevated even after oil markets begin to stabilise.

We have also made greater allowance for wider refinery margins than our previous forecasts. Disruptions to crude supply, combined with tight refined product inventories in Asia, have driven a sharp widening in the spread between Brent crude and Singapore Gas10, the key benchmark for Australian petrol and diesel prices. The spread has recently surged to around US\$70/bbl, exceeding levels seen following Russia's invasion of Ukraine. Given the importance of refined product availability and logistics, we expect margins to remain elevated even as the conflict eases, materially amplifying the pass through from higher crude prices to domestic fuel costs.

Brent Crude oil vs Singapore Gasoil 10



More acute pressures on supply chains

Given the prolonged closure, we now also assume supply chain pressures are more acute and persistent. Container freight rates have risen by 20% since the start of the conflict, reflecting longer shipping routes, higher fuel costs, insurance surcharges and booking constraints. While freight rates are still lower than the peaks in 2021–22, Iran is reportedly extracting additional charges from non-hostile vessels negotiating passage through the Strait, further increasing transit costs even where shipping through the Strait is allowed.

The Middle East is also a key upstream supplier of industrial inputs, including fertilisers, chemicals, polymers and metals. Around 33% of global fertiliser trade, particularly urea and ammonia, transits the Strait. Disruptions are already pushing up prices for these inputs, with Egyptian urea prices, a global indicator for fertiliser prices, particularly nitrogen fertilisers, reaching its highest level in more than three years. That said, at around US\$475/t, it is still significantly below its record of \$1050 following Russia's invasion of Ukraine.

Globally, manufacturing PMIs show a sharp re-acceleration in input cost growth, with energy, freight and intermediate goods cited as key drivers, alongside some lengthening in supplier delivery times. In Australia, the PMI manufacturing input price measure has risen to its highest level since August 2023.

However, while supply chain pressures are rising and are expected to remain elevated beyond the end of the conflict, they are expected to remain materially below the peak levels experienced in 2021–22. The port congestion, post-COVID reopening surge in demand and broad-based shortages that were features in this episode remain absent. The appreciation of the Australian dollar, both against the US dollar and on a trade weighted basis, will also provide a partial offset to imported cost pressures, reducing the local currency impact of higher global input prices. In contrast, the AUD/USD cross fell by 9% around during the 2022 episode, amplifying the rise in import costs.

Accordingly, while price pressures are rising, particularly for energy-intensive inputs such as fertilisers and aluminium, the impact on producer prices and the flow through to headline and core inflation is expected to be smaller than during the 2022 cost of living crisis.

Inflation impact

Both the Oxford Economics model and our bottom-up forecasts imply that higher energy, freight and upstream input costs are expected to lift headline inflation materially over 2026. The direct impact comes firstly through fuel and transport-related components before it broadens as higher distribution and input costs are passed on to a wider range of consumer prices.

Reacting to this, the Australian Government announced that from April 1, the fuel excise tax will be cut in half, reducing the pump price of petrol and diesel by 26¢/litre. We are now expecting headline CPI to peak at 5.4%yr in Q2 2026, up from 4.1% previously, with monthly inflation likely to be even higher breaking through 6%yr around April or May.

Fuel inflation is expected to contribute 1.1ppt to the headline figure by the June quarter with national weekly average petrol and diesel prices projected to peak at around \$2.65/litre and \$3.25/litre in early April – they would have both been much higher through April and into May were it not for the cut in the fuel excise. The excise only applies to fuels used on Australian roads and is not applied to fuel sold for farming, mining, other industrial purposes, including aviation and shipping.

Higher energy, freight and fertiliser costs are expected to flow through to agricultural prices and food prices with a lag. The pass-through is unlikely to be uniform across products; more energy-intensive production will see greater pass-through, along with products where production elsewhere in the world is constrained. At first glance, winter crops such as wheat would appear to come under pressures, but for now strong global supply balances will keep these prices contained and the risks of large price increases sit more in 2027. At this stage we have food price inflation of more than 4%yr by end 2026 and into the first half of 2028.

We have allowed for larger spillovers into services prices and wages than previously, based on early firm announcements as well as the higher profile for fuel prices. Higher fuel costs are feeding directly into transport prices, including airfares, with Qantas already announcing a 5% price increases in response to higher jet fuel costs. More broadly, higher transport and input costs will mechanically lift prices for items such as eating out and even new home construction, adding to core inflation pressures even as weaker real disposable income growth signals some limited scope for costs to be fully passed on.

We expect the Trimmed mean inflation to peak at around 4.0%yr by end 2026 and remain above 3%yr in 2027. That said, a key risk is that memories of the last global supply shock mean businesses react pre-emptively to increases in prices, something we are already hearing anecdotally. This time around, businesses could also be readier to pass on any actual cost increases to consumers. Indeed, there have already been calls from some Australian businesses to implement a fuel surcharge including the Australian Restaurant and Cafe Association proposing a 5% charge. Again, we see these spillovers as likely to be smaller than in 2022, when demand was recovering strongly, policy was expansionary and a wider range of supply chains were disrupted. They will, however, contribute to a slower normalisation in underlying inflation.

RBA response

We have changed our forecast for the RBA cash rate, adding in two more hikes, in June and August, on top of the increase we were already forecasting for May. The cash rate is now expected to peak at 4.85%, significantly above the previous peak of 4.35%. With trimmed mean inflation sitting around 4% in the second half of this year and only slowly declining thereafter, the Monetary Policy Board (MPB) will want policy to be clearly restrictive to keep inflation expectations anchored. It will be dismayed at the recent examples of rapid pass-through of energy costs to other prices, and

Despite the weaker economic outlook and potential undershoot of the inflation target implied by these revised forecasts, we think the RBA will be slow to reverse this policy

tightening and risks getting behind the curve in coming years. We push out the date for rate cuts and pencil in four rate cuts, one per quarter in February, May, August and November 2028. We have low conviction about the exact timing.

The main rationales for the slower reversal are that Australia already had relatively limited spare capacity at the point the conflict broke out, and that pre-emptive pass-through by firms could keep underlying inflation high into 2027. We also note that the RBA is likely to have something of a “once bitten, twice shy” approach even as inflation declines towards the 2–3% target range. Inflation kicked up shortly after it cut rates last year, and the MPB would want to avoid a repeat of the backtracking that induced.

GDP impact

The combination of a deeper energy shock globally and higher path for inflation and interest rates locally points to a more pronounced and prolonged slowdown in the Australian economy than we forecast in mid-March. The combination will place particularly intense strains on the household sector. We now expect real consumption growth to slow to just 1.2%yr in 2026, implying a renewed period of decline in per capita terms.

Higher borrowing and input costs will also weigh on other interest-sensitive parts of the economy, particularly dwelling construction and business investment in construction-related industries, including new commercial buildings.

Taken together, these forces are expected to see real GDP growth slow to just 1% in 2027 and remain subdued at 1.6% in 2027. With population growth running at 1.6%yr, activity is set to contract in per capita terms in 2026, holding flat in 2027. Beyond that, anticipated rate cuts in 2028 should mean that monetary policy no longer prevents a recovery in growth. With energy supply assumed to have recovered by then, demand growth can rebound to 2.8% over 2028, though there will still be considerable spare capacity at that point.

Australia's labour market is also expected to experience a more pronounced and extended weakening. The combination of slower employment growth and a slightly higher participation rate sees the unemployment rate rise from 4.3% currently to a peak of 5% by year end, holding near these levels through 2027. That additional slack will, in turn, accentuate the moderation in inflation expected to come through as energy price related pressures subside in 2028.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (30 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.70	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.08	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	68	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.40	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75

Exchange rate forecasts

	Latest (30 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.6861	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5739	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.72	156	155	154	152	150	148	146	144	142
EUR/USD	1.1506	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3254	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9103	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.1958	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.4
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.5

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Cliff Notes: a fork in the road

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By [Elliot Clarke](#) & [Ryan Wells](#)

09:15 March 27 2026

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Key insights from the week that was.



In Australia, [February's CPI](#) came in slightly below expectations, headline inflation ticking down to 3.7%yr from 3.8%yr, while trimmed mean inflation held steady at 3.3%yr. Constructive elements of the detail included: dwelling purchases posting its smallest increase in ten months; a below-expectations annual increase in education prices; and lower childcare costs, the result of increased take-up of the Childcare Subsidy following the introduction of the three-day guarantee. There were also a couple of

upside surprises, however, most notable were clothing and some food-related categories. The impact from electricity rebates has also now abated, bringing reported electricity prices back into line with actual prices.

The net result is that the inflationary pulse Australia was experiencing prior to the current surge in fuel prices was marginally softer than expected. While fuel will undoubtedly boost headline inflation from March, the trimmed mean pulse is likely to hold above but near the top of the target range through 2026. For a detailed view of how each state's economy is positioned to weather coming headwinds, see our latest [Coast-to-Coast](#) report.

The Q1 [Westpac-ACCI Survey of Industrial Trends](#) meanwhile showed that the long-awaited improvement in manufacturing conditions is finally materialising, the Actual Composite rising to 59.3 – a strong expansionary read. Underpinning the move was a surge in output growth, another solid lift in new orders and, encouragingly, a rise in employment and overtime. Note though, this survey was largely completed before the onset of the Middle East conflict. Australian manufacturing's acute exposure to fuel and energy costs is likely to see a partial reversal in Q2 and a degree of apprehension over the outlook.

Offshore, data released was inconsequential. The preliminary March S&P Global PMIs for the major advanced economies unsurprisingly pointed to softer momentum and heightened inflationary pressures in the initial weeks of the Middle East conflict. FOMC members Bowman and Waller meanwhile were focused more on labour market weakness than inflation, though they felt it prudent to wait-a-while to assess the implications of the current conflict for price risks.

Regarding the state of the Middle East conflict, equity markets took solace in news the White House had been involved in initial intermediated discussions over the path to a ceasefire, although uncertainty over who in Iran's leadership will take the lead in any formal negotiations has kept participants guessing on both the timing and potential success of these initiatives. The overnight extension of the 5-day reprieve for Iranian energy infrastructure by President Trump to 10 days is a positive step towards fruitful negotiations, however.

Iran's military actions have also been relatively contained this week, and safe passage through the Strait of Hormuz has been provided to several ships, consistent with prior communications from Iranian officials that ships operated by countries not involved in the conflict are free to transit if Iran's conditions are met. It is not clear if this includes a payment of up to US\$2 million per shipment as previously telegraphed. If Iranian authorities hold to this guidance, China's fleet and vessels from other non-aligned countries such as Malaysia (a key supplier to Australia who reportedly reached an agreement with Iran overnight) could slowly reduce the current global deficiency in crude and LNG supply, even if the US/Israel and Iran continue military actions against one another. The key risk remains the intentional, or unintentional, destruction of production and/or logistics facilities, turning a temporary loss of supply into an enduring one. The duration of this conflict and lost supply matters a great deal to both the persistence of global consumer inflation and the policy outlook.

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February Inflation – getting better then came war

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By Justin Smirk

Senior Economist, Westpac

09:20 March 26 2026

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A short video from Justin Smirk on inflation and the economic outlook.

The softest update on core inflation in just over half a year suggests that inflationary pressures were moderating at the start of 2026, prior to the Middle East conflict. This data predates recent Middle East developments which we see lifting inflation to around 5½%yr by mid-year. By contrast, the trimmed mean, which will exclude fuel volatility is likely to peak around to 3½%yr.

For more information please refer to our scenario analysis on the Middle East conflict, please click  here. (PDF 564KB) (PDF 564KB)

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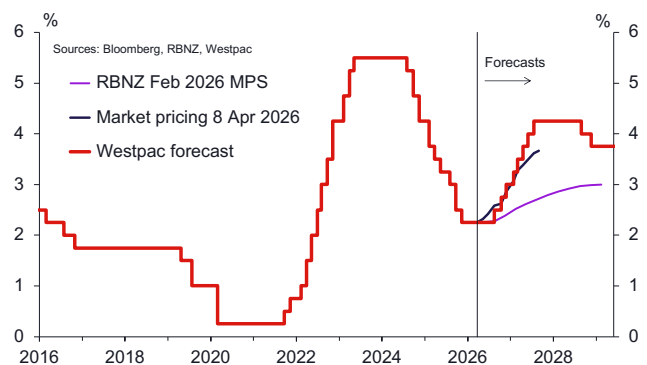
RBNZ April 2026 Monetary Policy Review and change of call.

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RBNZ to tighten in September

- As widely expected, the RBNZ retained the OCR at 2.25%. There was no vote, with the decision reached by consensus.
- The commentary was hawkish as concerns of rising second-round inflation pressures were quite prominent.
- The MPC debated the options of an earlier vs later beginning to interest rate normalisation. Interest rate cuts were not discussed.
- An earlier start was described as May or July. A hike was discussed as an option today, but the Governor said that the MPC was not close to hiking at this meeting.
- The RBNZ's short-term inflation forecast is now 4.2%/y in June 2026 – higher than before, but close to our 4.1% forecast.
- We have pulled forward our forecast for the first OCR hike from the RBNZ to September (previously December).
- The balance of risks is towards an earlier start to hikes than September, should evidence of second-round inflation impacts accumulate.

Official Cash Rate forecasts



OCR retained at 2.25% but coupled with a hawkish outlook.

The RBNZ kept the OCR unchanged at 2.25% as expected. There was no vote, with the decision reached by consensus. However, the Bank's commentary adopted a more hawkish tone than expected. There was no discussion of needing to cut the OCR despite acknowledging that, at least in the short term, there would be greater excess capacity than previously thought. Rather, the debate was between:

- a "a pre-emptive response to medium-term inflation pressures could guard against the risk of inflation expectations becoming unanchored"; or
- a gradual increase in the OCR towards "more neutral levels" to reduce the risk of "reacting to higher near-term inflation and accentuating weakness in the real economy and labour market".

In the press conference the Governor noted that the MPC discussed the possibility of raising the OCR at this meeting, but there had been "no strong advocate" for doing so.

We interpret the more gradual path as being something akin to the late 2026 lift-off date that we have been forecasting, and that the RBNZ largely had in mind at the February meeting. A pre-emptive response likely implies something faster that begins by September but could come sooner than that, should evidence of second-round inflation impacts begin to accumulate. Indeed, the Governor indicated that the pre-emptive approach could have been a tightening in May or July. More dovish members were uncomfortable with the risks of that.

Key evidence that the RBNZ seeks seems to be in the form of anecdotal evidence on pricing and wage setting behaviour combined with higher frequency evidence on price setting, costs and inflation expectations coming from monthly surveys. We think it likely that at least some evidence along these lines will accumulate given the broad-based cost shock that the economy is facing. As a result, an earlier than December beginning to the tightening cycle looks much more likely now.

Hence, we are bringing forward our existing 25bp per meeting tightening profile to begin in September. The OCR will thus end 2026 at 3% and reach the previously expected 4.25% peak earlier, in September 2027. Easing is forecast to begin a year later in September 2028 with the neutral OCR reestablished in December 2028.

An earlier start than September should not be ruled out. And given it's likely easier to explain the tightening profile in a Monetary Policy Statement meeting than the bias is likely for an earlier move to come in May versus July. The key question is: will sufficient evidence of second-round inflation impacts have accumulated by then? We think that's still an open question at this point.

Key quotes from the press release and Record of Meeting were:

"The Monetary Policy Committee is focused on ensuring that inflation returns to the 2-percent target midpoint over the medium term. This requires core inflation and wage growth to remain contained and medium- and long-term inflation expectations to remain around 2 percent. If these conditions are not met, decisive and timely increases in the OCR would be required."

"The outlook for medium-term inflation pressures depends on the size and persistence of the inflationary impulse stemming from higher oil prices and the extent to which it is offset by weaker demand in the economy."

"If the increase in near-term inflation is largely temporary, the Committee envisages gradually moving the OCR to more neutral levels as activity recovers and near-term inflationary pressures dissipate. However, any signs of significant second-round inflationary effects or increases in medium-

term inflation expectations would require decisive and timely increases in the OCR to re-anchor inflation expectations."

"On the timing of any increase in the OCR, members discussed that a pre-emptive response to medium-term inflation pressures could guard against the risk of inflation expectations becoming unanchored and reduce the extent of second round price increases."

"Conversely, the Committee noted the risk of reacting to higher near-term inflation and accentuating weakness in the real economy and labour market. Members noted that this could cause unnecessary volatility in output and employment if the conflict was resolved in the near term or if the economic outlook weakens by more than currently expected."

The RBNZ's initial thoughts on the near-term outlook.

The RBNZ provided updated inflation forecasts for the next two quarters. This is a change from their usual practice of not releasing updates to their forecasts at interim reviews and reflects that recent geopolitical developments have in the RBNZ's words *"materially altered the outlook and the balance of risks for inflation and economic growth"*.

The RBNZ now expects inflation of 3% in the March quarter (previously 2.8%), rising to 4.2% in the June quarter (previously 2.7%). Those updated figures are close to our own forecasts. The RBNZ did not provide forecasts further ahead.

The RBNZ has noted that higher energy costs will push up other prices in the economy. However, longer term impacts on wage and price setting (aka. 'second round impacts') are expected to be constrained by weak demand at this stage. This is a key area of uncertainty and one where the RBNZ will be watching closely for signs that longer-term inflation pressures are increasing. Indeed, the RBNZ went on to note that *"any signs of significant second-round inflationary effects or increases in medium-term inflation expectations would require decisive and timely increases in the OCR to re-anchor inflation expectations. The Committee is vigilant to these risks."*

While the RBNZ did not provide forecasts for other variables, they noted that the conflict and related increases in both operating costs and economic uncertainty will result in weaker activity in the near term. That's very much in line with our own thoughts.

Things to watch ahead of the next meeting.

The RBNZ's next policy review is on 27 May, when it will also publish a full Monetary Policy Statement (MPS) with refreshed forecasts (and probably some

alternative scenarios too considering the current level of uncertainty). How the RBNZ's stance evolves between now and then will depend on the path the Middle East conflict takes; what early indicators and anecdote suggest about the impact of the conflict on activity and inflation, both in New Zealand and abroad; and any developments in financial markets as a result of the conflict or other vulnerabilities triggered by the conflict.

As far as domestic economic indicators are concerned, we think the following are key ones to watch.

- **Q1 CPI** (21 April) and **April Selected Prices** (15 May): These pricing indicators will reveal the initial first-round direct and indirect impacts of the recent surge in fuel prices. They will provide some insight as to how high headline inflation might peak, but not about how long it will remain at elevated levels.
- **Q1 QSBO** (21 April) and **April/May ANZ Business Outlook** (30 April/27 May): Unfortunately, the data-rich QSBO survey was initially in the field very early in the conflict (it is unclear whether a breakdown of early and late responses will be released). Therefore, the ANZ surveys may provide a more up-to-date account of how businesses are responding to the conflict.
- **March/April PMI and PSI surveys** (mid-April/mid-May): These may provide some early insight regarding the likelihood of a contraction in GDP in Q2.
- **Q1 labour market surveys** (6 May): Employment and hours worked data from the HLFS and QES surveys will cast light on what momentum the economy had going into the conflict, while the LCI will cast light on underlying inflation pressures.
- **Budget 2026** (28 May): While the formal unveiling of the Budget comes the day after the release of the MPS, ahead of the Budget the RBNZ's MPC will receive a high-level briefing from the Treasury on what to expect at the macro level. Pre-Budget speeches and policy announcements may reveal more in the public sphere.

In addition to the above, we will be monitoring a range of other high-frequency indicators, such as monthly data on filled jobs, consumer spending, building consents, housing market activity and prices, job ads and consumer confidence. We will also be paying close attention to developments in prices for New Zealand's key export commodities. The RBNZ looks to also be focused on anecdotal evidence of business pricing and wage setting behaviour – although that will be harder to track.

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Week beginning 6 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Revised RBA rates view: two extra hikes, 4.85% peak, later reversal.

The Week That Was: Mixed messages.

Focus on New Zealand: Not hawkish. Not dovish. Balanced.

Forecast Update: we pencil in three more rate hikes this year and have posted our full baseline forecasts.

For the week ahead:

Australia: Household spending indicator, MI inflation gauge.

New Zealand: RBNZ Policy decision, manufacturing PMI.

Japan: Household spending.

China: CPI, PPI.

Euro area: PPI, retail sales, Sentix investor confidence.

United States: CPI, GDP, personal income, personal spending, PCE deflator, factory orders, consumer credit.

Global: Easter Monday, S&P Global Services PMIs.

Information contained in this report current as at 2 April 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Revised RBA rates view: two extra hikes, 4.85% peak, later reversal



Luci Ellis
Chief Economist, Westpac Group

We have revised our view of the outlook for RBA policy, adding two further hikes to the near-term profile and pushing out the eventual reversal. We now expect 25bp rate hikes at the 16 June and 11 August decisions, in addition to the 25bp hike we already expected at the May meeting. The peak for the cash rate is now expected to be 4.85%.

This shift reflects the longer disruption to and slower recovery in fuel supply assumed in the revised baseline forecasts we first published on [Friday afternoon](#), with the Strait of Hormuz essentially closed for eight weeks and traffic recovering only slowly after that. It also reflects the surprisingly rapid pass-through of higher fuel and other oil-derived product prices into other prices in Australia. We believe the RBA will respond to this pricing behaviour by tightening monetary policy by more than would have been needed absent that pass-through.

The halving of fuel excise, announced by national cabinet today, reduces the near-term outlook for headline CPI inflation, but a peak of 5.4%yr in June quarter remains likely. The announcement also does not affect prices of other oil-related products, including aviation fuel and various plastics, or any price increases from damage to gas and other production facilities in non-combatant Gulf states. Much of the second-round pass-through of prices is therefore likely to remain in place, and we continue to expect trimmed mean inflation to peak around 4%yr later this year.

The higher cash rate profile will weigh on Australia's economic outlook. Growth will be slower, especially consumption, and the labour market will be softer. We expect unemployment to peak around 5%, somewhat higher than the 4.7% peak we flagged last week. Headline inflation will dip below 2½% by mid 2027 and will remain in the lower half of the 2–3% target range through to 2028. Trimmed mean inflation will take a little longer to decline, but will be back in the target range in 2028.

A companion note, also to be released this afternoon, fleshes out the rest of the forecasts. The revisions incorporate the assumed longer closure of the Strait of Hormuz and other supply disruptions in the Middle East flagged last week. In addition, we have updated for the new profile for the cash rate, the changes to fuel excise and some other recent events.

Despite the weaker economic outlook and potential undershoot of the inflation target implied by these revised forecasts, we think the RBA will be slow to reverse this policy tightening and risks getting behind the curve in coming years. We push out the date for rate cuts and pencil in four rate cuts, one per quarter in February, May, August and November 2028. We have low conviction about the exact timing.

The RBA will have already been spooked by the way inflation kicked up late last year after it took back some of its earlier rate hikes (though the usual lags of policy imply that the cuts were not the cause of that increase in inflation). We therefore suspect that the unwind of the current policy tightening will involve something of a “one bitten, twice shy” mentality. Second-round pass-through to other prices and costs will only increase the RBA's reluctance to unwind the current policy tightening.

“we continue to expect trimmed mean inflation to peak around 4%yr later this year.”

We also believe the RBA's [evolving intellectual framework](#) will militate against an early reversal of these hikes. A supply shock such as the one the world is now facing should ordinarily be looked through to the extent possible, so long as longer-term inflation expectations remain anchored. Because it believes Australia is starting from a position of little spare capacity, though, the RBA sees the supply shocks as a potential reason to have both a restrictive stance of policy and to revise up its view of what constitutes restrictive policy.

The RBA has insisted that it retains its earlier strategy of holding onto as much of the post-pandemic employment gains as possible, subject to meeting the inflation target. While inflation was actually in the 2–3% target range for part of last year, underlying inflation did not get all the way back to the 2½% target midpoint before lifting again. This is clearly being interpreted in some quarters as inflation having been above target continuously. The Monetary Policy Board will therefore want to demonstrate its commitment to returning inflation back to target expeditiously and its willingness to do what it sees as necessary to achieve this.

As noted last week, there are risks on both sides of our revised baseline view. Iran is already letting some ships through the Strait, and it is possible that fuel supply recovers faster than we are currently assuming. It is also possible that a consensus forms domestically to resist second-round inflation, especially where the flow-on of higher costs to downstream prices could be construed as excessive. On the more inflationary side, it is possible that the war drags on longer, or domestic pass-through is stronger than we currently expect.

Forecast changes

- RBA now expected to hike rates three times (May, June, August), revised up from one more (in May) previously. Peak cash rate now 4.85%, above previous peak.
- Longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil now expected to peak at an average \$120/bbl in Q2 and Japanese LNG prices at \$26mmbtu.
- Australian CPI inflation now expected to peak at 5.4%yr in June quarter, and even higher on the monthly series, despite the announced cut to fuel excise. Trimmed mean inflation peaks around 4% in 2026 H2. Food prices a particular concern through to 2028, but broader pass-through to non energy prices also an issue.
- Supply shock and tight monetary policy drag on demand, especially consumption and other interest-sensitive sectors. GDP growth forecast to trough at 1%yr in 2026, and remain subdued at 1.6%yr in 2027; unemployment rate peaks at 5% end-2026.

Cliff Notes: mixed messages

Elliot Clarke, Head of International Economics

At the turn of the week, [Chief Economist Luci Ellis](#) and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20% of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the [March Monetary Policy Board meeting minutes](#), the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, [the Government's financial position](#) is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. [Cotality home values](#) increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. [Dwelling approvals](#) remained volatile in February, a

29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

“heightened inflation will remain an acute risk while transit and supply-chain disruptions persist”

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%mt. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

Not hawkish. Not dovish. Balanced.



Satish Ranchhod
Senior Economist

The RBNZ meets next week for its April Monetary Policy Review (Wednesday 8 April, NZ 2pm). As [discussed in our preview](#), in the absence of major developments in the Middle East over the coming days, the RBNZ is set to leave the Official Cash Rate (OCR) at 2.25%. However, rather than the immediate OCR decision, the key focus will be on how the RBNZ is balancing the significant challenges stemming from the conflict in the Middle East and what that implies for the longer-term policy outlook.

Since the RBNZ last met in February, the risks around the economic outlook have changed significantly. Economic growth in the final quarter of last year has already come in below the RBNZ's forecast. More significantly, disruptions stemming from the war in the Middle East mean that growth over 2026 is now also likely to fall well short of the RBNZ's previous forecast. We expect the economy to grow just 1.9% in the year to December, well below the February MPS forecast for growth of 2.8%. We also expect a higher track for the unemployment rate.

At the same time, inflation is set to run much hotter than the RBNZ had expected over 2026. [We're forecasting that inflation will peak around 4.1%](#) around the middle of this year before softening a little to 3.8% by year's end – well above the RBNZ's previous year-end forecast for 2.4%. Our stronger inflation outlook is mainly due to the direct impact of higher oil prices (i.e., higher prices for petrol and diesel). However, even if global oil prices were to drop back now, inflation is still set to linger above the RBNZ's forecast over the remainder of this year, as disruptions to supply chains and other related increases in costs of production will take time to dissipate.

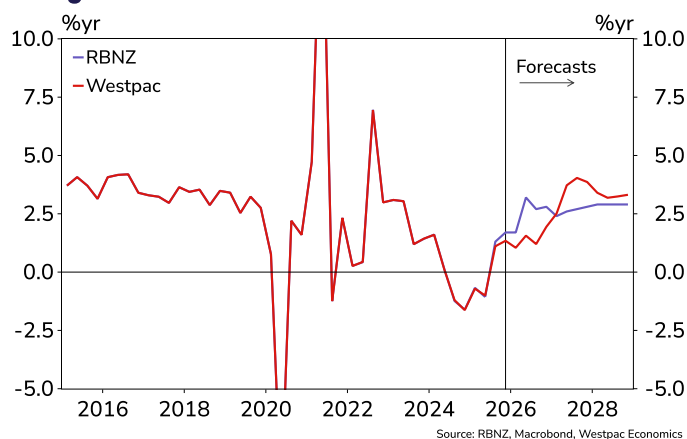
RBNZ Governor Breman has already outlined how she is thinking about those challenges in [a recent speech](#). That speech described an orthodox (and sensible) approach to monetary policy in the face of a supply shock, of which the current oil price is a typical example. The Governor noted that the RBNZ would not react to the immediate fuel-related lift in inflation. The RBNZ can't offset a rise in oil prices that has already occurred with higher interest rates now, but doing so would compound the downward pressure on growth. Furthermore, with interest rates taking around 12 to 18 months to have their maximum impact, hiking rates now would potentially result in an even deeper fall in inflation at the same time as the eventual falls in oil prices will naturally pull it lower.

Instead, the focus for the RBNZ will be the longer-term outlook for inflation. And this is where things start to get murky. The key issue for the RBNZ is whether the current

sharp rise in prices will have lingering effects, resulting in higher inflation even when oil prices eventually ease. That could occur if businesses come to expect continued large increases in operating costs and raise their prices accordingly. There's also the risk that we see demands for higher-than-normal cost-of-living increases as workers try to recoup the current loss of spending power. Both of those risks are very plausible given that we've recently been through an extended period of high inflation and related pressure on businesses' operating costs. And if those risks do materialise, the current uplift in inflation could end up being much more protracted.

It will take some time before we know whether those longer-term inflation risks (sometimes referred to as 'second round' impacts of an oil price shock) are manifesting. The starting point for the economy is important on this front and provides some cause for optimism. Soft activity in recent years has left the New Zealand economy with a high level of spare capacity, including a higher-than-average unemployment rate. That will limit the ability to push through larger increases in output prices or wages (though that does also imply related pressure on margins and households' purchasing power).

GDP growth forecasts



We are already seeing reports of businesses raising their prices due to the direct impact of increases in fuel prices on their operating costs (e.g., higher airfares and fuel surcharges within the land transport industry). Perhaps of more concern for the RBNZ, the latest ANZ Business Outlook Survey (which was conducted following the outbreak of the war) showed a sharp rise in inflation expectations, along with increases in the number of businesses who said they are planning to increase their prices. That said, given the outlook for inflation, it would

be surprising if surveyed inflation expectations did not rise in the near-term. Some comfort might be taken from firms' expectations for wage growth. These remained muted in the survey, suggesting that firms are not expecting current cost increases to feed a wage-price spiral.

The RBNZ's discussion of how its balancing the impact on growth and near-term inflation will be crucial for how markets react next week. Markets have been very focused on the rise in inflation pressures and related hawkish comments from other central banks. That's seen financial markets also pulling forward expectations for rate hikes here: at the time of writing, market pricing was consistent with an 60% chance of an OCR hike in July, and just over two hikes are priced in before the end of the year.

In its communications on 8 April, the RBNZ will balance a desire to avoid a further tightening of financial conditions with the desire to not sound complacent about the medium-term inflation risks that come with an energy price shock. Reinforcement of the approach communicated in Governor Breman's speech guidance should continue to lean against the market's current pricing for earlier rate hikes, especially as liquidity issues in the domestic market continue to ease. We continue to forecast just one 25bp hike this year, but also that significant tightening will occur in 2027 once the activity implications of the energy shock begin to dissipate.

The RBNZ's guidance about what to expect at future meetings will also likely echo the Governor's speech. In crafting this guidance, the MPC will aim to reassure markets that it will not overreact to the shock, which could cause markets to further tighten financial conditions. At the same time, the RBNZ will need to ensure it sounds credible to households and businesses about its willingness to tighten policy if inflation expectations and pricing behaviour evolve in a manner inconsistent with achieving the inflation target over the medium-term. While monetary policy should look through a temporary spike in energy prices, the MPC will need to be vigilant – and be seen to be vigilant – against the risk that inflation becomes persistent.

As we discuss in our latest [Hawks, doves, and kiwis](#) note, there are clearly risks on both sides for the OCR. Governor Breman's recent speech did draw on feedback from other MPC members, but there could still be a range of views among the Committee. Furthermore, this is a fast-changing situation. And with inflation pressures continuing to build over the past few days, even more dovish or balanced members of the MPC could start to change their assessments of risks. With that in mind, the Record of Meeting accompanying next week's interest rate review will be monitored closely to see where the members of the Committee see the risk. Key areas where the views of the Committee could diverge include the likely duration of the conflict, the impact on the economy, the likelihood of second-round effects driving persistent inflation over the medium-term, and the appropriate course

for monetary policy over time. Such discussions might provide some insight into how the consensus view of the MPC might evolve as more is learnt about the evolution of the conflict and its economic impacts.

As part of her efforts to improve central bank transparency, Governor Breman has introduced a full press conference at interim reviews, and this will be the first review under that new framework. Historically, the RBNZ has not released updated forecasts at review meetings, and instead released them at the more complete quarterly updates. However, given the large changes in the economic landscape in recent weeks, the RBNZ is likely to discuss the risks around their previous forecasts. And we wouldn't rule out the chance that they could release some initial forecasts of key variables, like GDP, inflation, and the OCR.

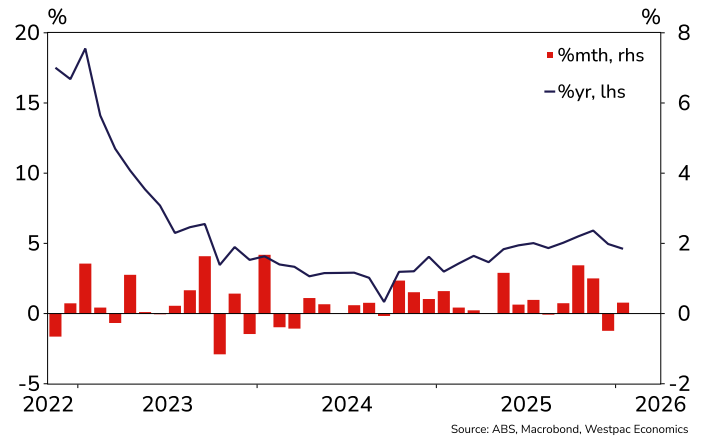
AUS: Feb Household Spending Indicator (%mth)

Apr 7, Last: 0.3, Westpac f/c: -0.2
Mkt f/c: 0.2, Range: -0.2 to 0.4

The Household Spending Indicator rose 0.3%_{mth} in January, in line with its average monthly pace over the past two years. Annual growth eased back to 4.6%_{yr}, having averaged just over 5%_{yr} through the second half of 2025.

The detail from our **Westpac-DataX Card Tracker** suggests the ABS spending indicator will show a dip for the February month. Our forecast 0.2% decline in the month would take annual growth to 4.2%_{yr}. With population growth tracking at 1.6%_{yr}, the 2.6%_{yr} pace in per capita terms this points to a slight decline in real, inflation-adjusted terms. Of course, all of this pre-dates the Middle East conflict and associated fuel price surge. Our card tracker shows this has already seen significant disruptions to activity in March (see [here](#)).

Monthly household spending indicator

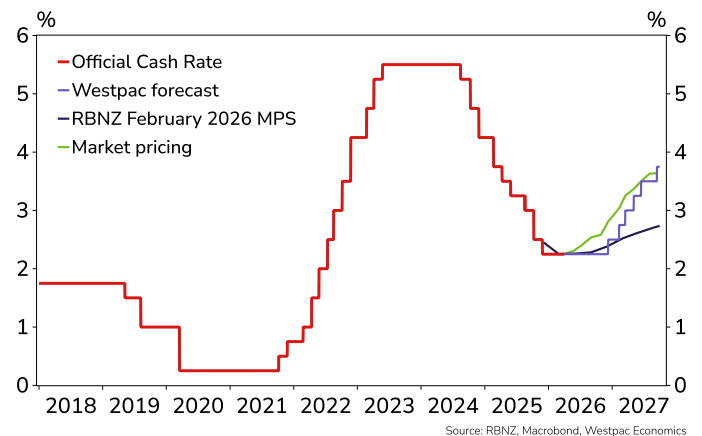


NZ: RBNZ Monetary Policy Review

Apr 8, Official Cash Rate – last: 2.25%, Westpac: 2.25%, Market: 2.25%

We expect the RBNZ to hold the OCR at 2.25% at its 8 April review. We expect the RBNZ to emphasise that it will not react to the first-round impact of higher energy prices on near-term inflation, but that it will respond should there be evidence of second round effects that might create persistent inflation. The Bank is not scheduled to present revised economic projections at this meeting. However, it is possible that the RBNZ will provide some guidance of the likely magnitude of the upward revision to near-term inflation and downward revision to GDP.

RBNZ Official Cash Rate



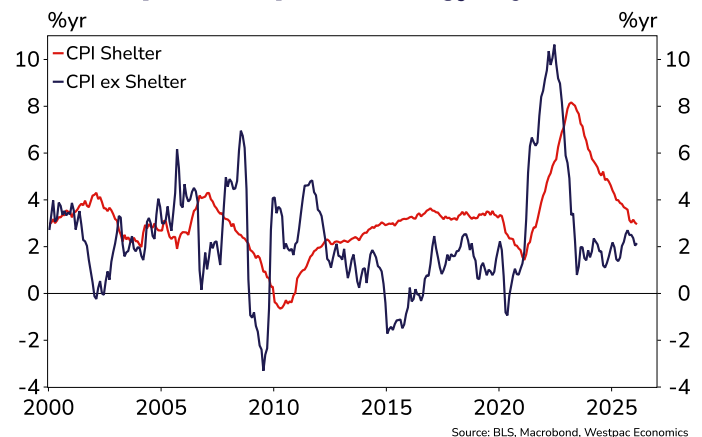
US: Mar CPI

Apr 10, %m/m, Last: 0.3%

February saw a 0.3% increase in headline consumer prices as both food and energy contributed to the aggregate impulse. The gain for core prices was measured at 0.2%, although that means underlying inflation continues to run meaningfully above the FOMC's 2.0% target on both an annual and annualised basis.

March is likely to see a material step up in headline inflation as the Middle East conflict shocks energy prices higher. Firms may also take the opportunity to push through additional increases to strengthen margins. All the while, capacity pressures continue to hold up price growth for services, and the weaker dollar and tariff costs support core goods pricing. Inflation risks will remain a lasting concern for the FOMC.

Domestic pressures persist; energy to jolt



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 06							
US	Mar	ISM Services PMI	index	56.1	54.9	–	Confidence shock could arrest the upturn in services activity.
World		Easter Monday	–	–	–	–	Markets closed.
Tue 07							
Aus	Mar	MI Inflation Gauge	%ann	3.6	–	–	Will kick materially higher given the fuel price shock.
	Mar	ANZ–Indeed Job Ads	%mth	3.2	–	–	Labour demand is stabilising, but outlook is cloudy.
	Feb	Household Spending Indicator	%mth	0.3	0.2	–0.2	Card activity suggests momentum is pulling back in early-26.
NZ	Mar	ANZ Commodity Prices	%mth	4.2	–	–	Overall index up due to dairy prices, others mixed.
Jpn	Feb	Household Spending	%mth	–1.0	–1.3	–	Households on fragile footing, even before Middle East.
Eur	Apr	Sentix Investor Confidence	index	–3.1	–5.2	–	Global inflation and growth risks do not bode well for confidence.
US	Feb	Durable Goods Orders	%mth	0.0	–	–	Businesses may delay investment plans amid uncertainty.
	Mar	NY Fed 1-Yr Inflation Expectations	%ann	3.0	–	–	Surge in fuel prices will have a salient impact on expectations.
	Feb	Consumer Credit	\$bn	8.1	–	–	On a firmer trend compared to this time last year.
		Fedspeak	–	–	–	–	Goolsbee.
World	Mar	S&P Global Services PMI	–	–	–	–	Final estimates for Eurozone and UK.
Wed 08							
NZ		RBNZ Policy Decision	%	2.25	2.25	2.25	Key focus will be the discussion of longer term risks.
Eur	Feb	PPI	%ann	–2.2	–	–	Producer price deflation may reverse over coming months.
	Feb	Retail Sales	%mth	–0.1	0.2	–	Choppy over recent months, but annual growth is lifting.
US		FOMC Meeting Minutes	–	–	–	–	Deliberations around conflict risks will be a key focus.
Thu 09							
US	Feb	Personal Income	%mth	0.4	–	–	Income growth continues to outpace inflation, allowing ...
	Feb	Personal Spending	%mth	0.4	–	–	... real consumption to maintain stable growth, but the war ...
	Feb	PCE Deflator	%mth	0.3	–	–	... poses a material risk to both these trends near-term.
		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
	Q4	GDP	%ann'd	0.7	–	–	Final estimate closely watched given downward revisions.
Fri 10							
NZ	Mar	Manufacturing PMI	index	55	–	–	Watching for signs of easing as global pressures mount.
Chn	Mar	CPI	%ann	1.3	1.1	–	Temporary boost from Lunar New Year spend will abate ...
	Mar	PPI	%ann	–0.9	0.6	–	... overcapacity and subdued demand back in spotlight.
US	Mar	CPI	%mth	0.3	–	–	Authorities will be focused on second-round effects.
	Feb	Factory Orders	%mth	0.1	–	–	Conflict may put some investment plans on the back burner.
	Apr	Uni. Of Michigan Sentiment	index	53.3	–	–	Flailing sentiment puts consumer spending at risk.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (2 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.30	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.03	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	66	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.38	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.51	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.43	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.72	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	34	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (2 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.6878	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5701	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.35	156	155	154	152	150	148	146	144	142
EUR/USD	1.1536	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3236	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9099	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2047	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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By [Kelly Eckhold](#)

Chief Economist, Westpac New Zealand

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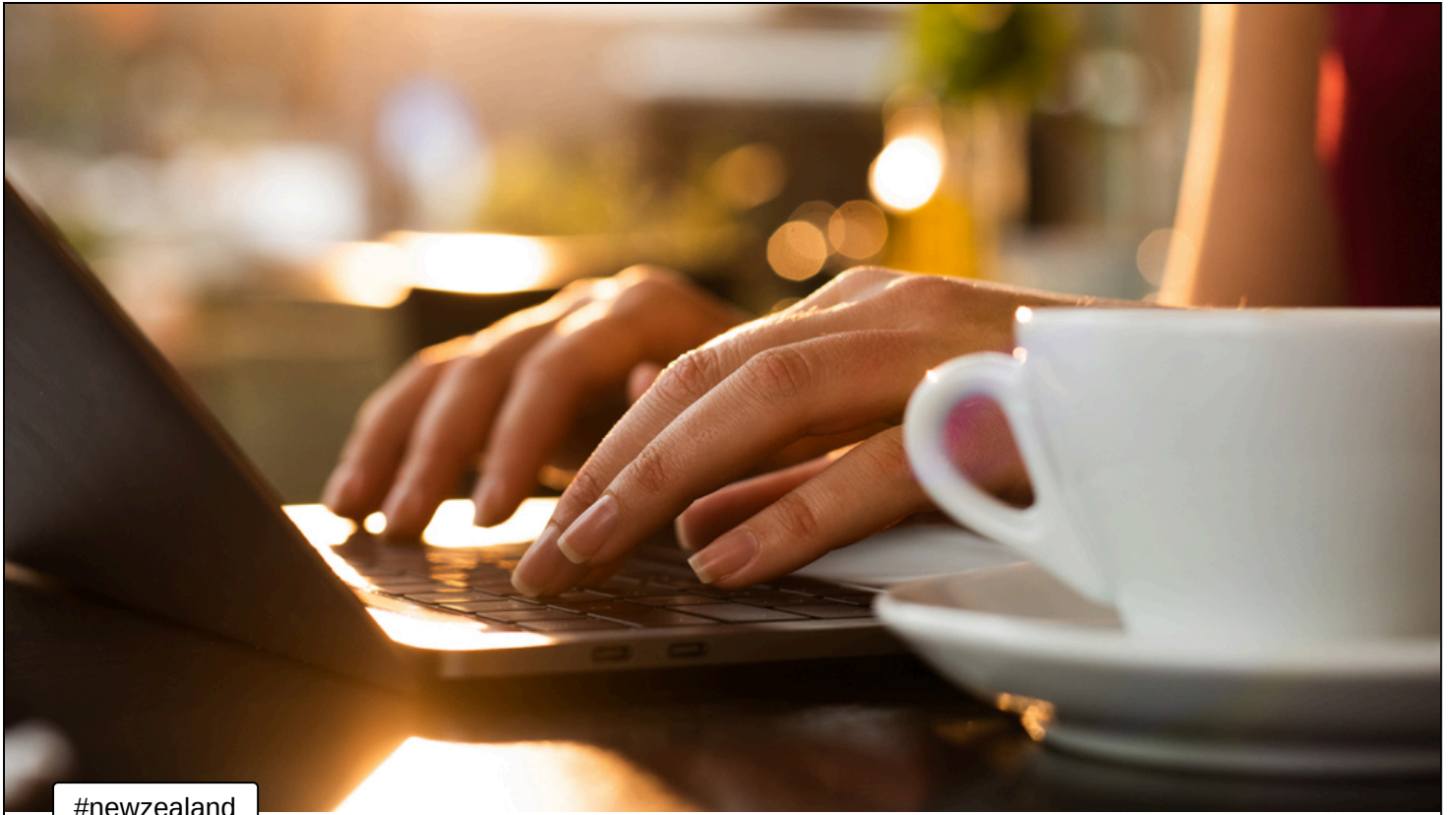
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ECONOMIC BULLETIN

Hawks, doves, and kiwis.



2 Apr 2026 | **Westpac Economics Team** | westpac.co.nz/economics | economics@westpac.co.nz
Kelly Eckhold, Chief Economist | +64 21 786 758 | kelly.eckhold@westpac.co.nz | X: @kellyenz

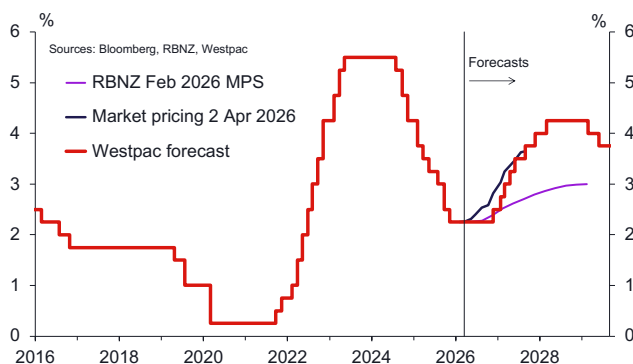
Overview.

As discussed **in our preview this week**, the outcome of the upcoming Monetary Policy Review seems certain – an OCR maintained at 2.25%. However, looking further ahead, we think there is likely to be a diversity of views across the Monetary Policy Committee (MPC) about how the Middle East conflict is likely to play out; the likely impact on the economy and inflation; and the appropriate monetary policy response.

In this edition of our regular “Hawks, Doves and Kiwis” note, we survey some of the arguments that might be advanced by MPC members as they seek to tease out the implications of this shock. Some of those arguments would push the RBNZ in a more “hawkish” direction, while others would counsel a “dovish” response.

We expect to see at least some of these perspectives raised in the Record of Meeting that will be published after next week’s meeting. However, it will likely take some time before it becomes clear which path the economy and monetary policy will take.

Official Cash Rate forecasts

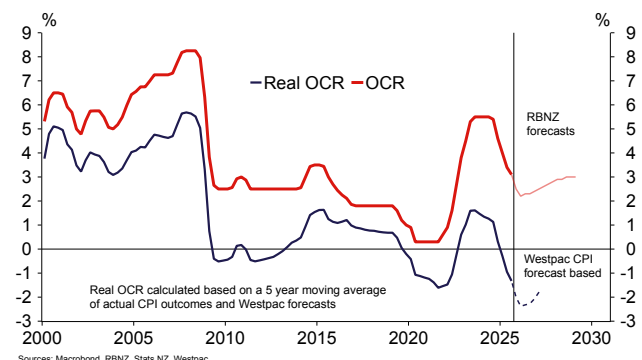


The Hawk’s Eye View.

The Middle East conflict is both large and possibly long lasting. The current 2.25% nominal OCR was set with a view to a very different outlook. More neutral settings will soon be appropriate while we assess the size and duration of the inflation shock.

- Inflation is likely to rise to the 4-5% range at the very least. And the shock could be long lasting, reflecting the significant supply chain disruptions at play.
- The OCR was set based on a forecast of a high level of excess capacity which still seems relevant. But it also envisaged an inflation rate that would soon move back inside the inflation target range. This is unlikely now.
- Hence the real OCR is now much lower than was anticipated would be the case in late 2025/early 2026. Indeed, the real OCR is now likely in deeply negative territory and will fall a lot further as inflation rises.
- We would need to make heroic assumptions to think inflation expectations will remain low enough to think that real interest rates are not now low and falling.
- This inflation shock comes after a long period of above target inflation. This further challenges the idea that inflation expectations will remain unimpacted.

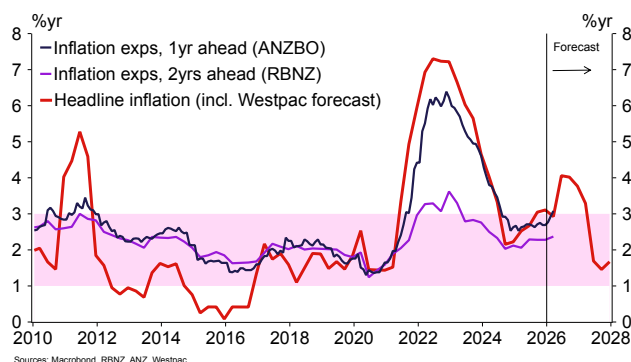
RBNZ forecasts of the nominal OCR and estimated real OCR



Significant risks to inflation expectations and wage setting behaviour could result from the inflation shock. This requires a proactive response to avoid a later OCR overshoot.

- The shock to the inflation rate is extreme and the duration of the shock unknown.
- Price setting behaviour could quickly adjust to reflect the shock. Pricing intentions were already high, and costs are increasing in a visible way. Customers are likely to accept a price rise given the Iran war.
- Labour market conditions are not uniformly loose. Skilled labour remains hard to get and there are considerable costs for firms to replace lost skilled workers. These firms may opt to compensate those workers given the broad-based nature of the inflation shock.
- Given the risk of a lift in inflation expectations, it's no longer appropriate to retain stimulatory conditions. Policy should be at least neutral in the current circumstances. A quick adjustment of the OCR above 3% is appropriate.

Inflation and inflation expectations



Many central banks will likely be forced to tighten monetary policy in response to the inflation shock. The RBNZ will need to follow suit or exchange rate depreciation will be a significant risk.

- Most of the move up in market interest rates has reflected global dynamics.
- Global rates are rising reflecting the inflation shock and an expectation that central banks won't accommodate the shock.
- If the RBNZ retains relatively low short-term rates then downward pressure on the exchange rate will occur. This will add to inflation pressures.
- Some rise in the OCR to compensate for rising foreign rates is thus appropriate – likely towards the 3.5-4.5% range now likely for the US and Australia.

Even if the Iran war is quickly resolved, a legacy of high inflation will remain. It would be better for the OCR to

be positioned much closer to neutral levels to bring that inflation down to 2%.

- Even if the war ended tomorrow, inflation would be much higher than thought when the 2.25% OCR was last considered by the MPC.
- While doves can argue that accumulating excess capacity means an accommodative stance is appropriate, growth could quickly be restored if the war ended.
- The uncertain situation argues for a more neutral policy stance. Certainly, the odds of an undershoot of core inflation in the next 2 years looks remote.

The Dove's Tale.

Good central bank practice is to look through the direct impact of supply shocks.

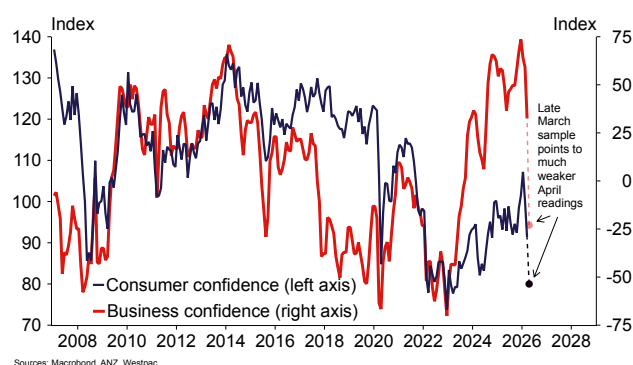
- The RBNZ cannot offset with higher interest rates the impact on near-term inflation of an increase in oil prices that's already occurred.
- As interest rates usually take around 12 to 18 months to have their full effects, interest rate hikes now could compound the downwards pressures on activity just as inflation will naturally be falling back, thus amplifying rather than dampening the cycle in inflation.
- Monetary policy tightening would only be appropriate if there were clear evidence of second-round inflation pressures that would not be addressed by the additional surplus productive capacity created by the shock.

The impacts on activity from the Middle East conflict are likely to be large, especially considering the fragility of New Zealand's recovery.

- GDP growth disappointed last year, with the recovery seemingly interrupted by uncertainty associated with US tariff policy. Many smaller firms will be poorly positioned to cope with a further year of disappointing growth.
- Consumer and business confidence has already taken a significant hit, and next month's surveys seem likely to be weaker again. Firms already report the curtailing of some activity.
- Uncertainty will lead to delays in making major decisions (such as hiring and investment proposals); a reduction in discretionary purchases due to a squeeze on household disposable incomes; and downward pressure on asset prices (including housing).
- In this environment, even a 2.25% OCR is unlikely to stimulate activity. While the real OCR this year will be lower than forecast previously, it is absurd to suggest that financial conditions have been eased by this shock.

- Long haul travel to New Zealand is likely to be lower than forecast previously due both increased costs associated with travel, physical disruptions through major hubs and perhaps travellers' reluctance to travel long distances.
- There is a risk that the conflict is protracted, and that the related disruptions cause a larger and more enduring lift in inflation than expected. However, in such circumstances, there is likely to be an even sharper downturn in economic activity. Tightening policy in such circumstances would be unnecessary.

ANZ consumer and business confidence



The output gap is already sufficiently negative to place the required downward pressure on inflation over the medium term.

- Some countries will likely need to tighten monetary policy. This is because they will need to generate the excess capacity required to ensure that a near-term spike in inflation does not lead to persistent inflation over the medium-term.
- By contrast, New Zealand's economy already has significant spare capacity and that capacity is now unlikely to be absorbed this year given the weaker outlook for growth.
- The current level of spare capacity proved sufficient to normalise pricing setting behaviour – including wage growth – in the wake of the huge Covid inflation shock.
- It is unclear why even greater spare capacity would be required to dampen inflation this time, especially with fiscal policy providing a more supportive role than during the Covid shock.
- Tightening now will needlessly generate even greater spare capacity – probably including an unemployment rate over 6% – adding to the real cost of this shock to the New Zealand economy.

Unemployment rate and wage growth



The oil price shock could expose other much-discussed weaknesses in the global economy, leading to a generalised tightening of financial conditions. The RBNZ needs to be wary of tightening into what could be a sharper global slowdown than currently assumed.

- Stresses caused by the oil shock could expose other vulnerabilities in the global economy, such as concerns about equity market valuations, private credit and structural weaknesses in China's economy.
- Some central banks will have little choice but to tighten policy (e.g., the RBA). This will weigh on trading partner growth and feed back into the outlook for both the demand for and prices of New Zealand's exports.
- The RBNZ needs to consider these risks especially given the weak starting point for the recovery.

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Economic Calendar

April 2026



MON	TUE	WED	THU	FRI
		1	2	3
		AUSTRALIA Cotality Home Price Index Mar exp 0.7% prev 0.6% (12:01am) Building Approvals Feb exp 5.0% prev -7.2% (11:30am) CHINA RatingDog Mfg PMI Mar exp 52.5 prev 52.1 (12:45pm) EURO ZONE Unemployment Rate Feb exp 6.1% prev 6.1% (8:00pm) JAPAN Tankan Large Manufacturers Index Q1 exp 16 prev 15 (10:50am) NEW ZEALAND Building Permits Feb prev 1.9% (8:45am) UNITED STATES ADP Employment Change Mar prev 63k (11:15pm) Retail Sales Feb exp 0.4% prev -0.2% (11:30pm) Fedspeak – Musalem (12:05am) Fedspeak – Barr (12:10am) ISM Mfg Mar exp 52.3 prev 52.4 (1:00am) Business Inventories Jan prev 0.1% (1:00am) GLOBAL S&P Global Manufacturing PMI Mar (F)	AUSTRALIA Goods Trade Balance Feb exp \$1.5bn prev \$2.6bn (11:30am) Job Vacancies Q1 exp 3.0% prev -0.2% (11:30am) UNITED STATES Trade Balance Feb exp -\$66.0bn prev -\$54.5bn (11:30pm)	CHINA RatingDog Services PMI Mar exp 53.7 prev 56.7 (12:45pm) UNITED STATES Employment Report Mar (11:30pm) Nonfarm Payrolls Chg exp 51k prev -92k Unemployment Rate exp 4.4% prev 4.4% Avg Hourly Earnings exp 0.3% prev 0.4% S&P Global Services PMI Mar (F) (12:45am) GLOBAL Good Friday – Markets Closed
6	7	8	9	10
UNITED STATES ISM Services Mar exp 55.0 prev 56.1 (1:00am) GLOBAL Easter Monday – Markets Closed	AUSTRALIA MI Inflation Mar y/y prev 3.6% (11:00am) ANZ-Indeed Job Ads Mar prev 3.2% (11:30am) Household Spending Indicator Feb exp -0.2% prev 0.3% (11:30am) JAPAN Household Spending Feb y/y prev -1.0% (9:30am) UNITED STATES Durable Goods Orders Feb prev 0.0% (10:30pm) NY Fed 1-Yr Inflation Expectations Mar y/y prev 3.0% (1:00am) Fedspeak – Goolsbee (2:35am) Consumer Credit Feb prev \$8.1bn (5:00am)	EURO ZONE Ger. Factory Orders Feb prev -11.1% (4:00pm) PPI Feb y/y prev -2.2% (7:00pm) Retail Sales Feb prev -0.1% (7:00pm) JAPAN Current Account Feb prev ¥941.6bn (9:50am) NEW ZEALAND RBNZ Policy Decision prev 2.25% (12:00pm) UNITED STATES FOMC Meeting Minutes (4:00am)	CHINA Credit & M2 Data Mar (9–14 Mar) New Yuan Loans ytd prev CNY5610bn M2 Money Supply y/y prev 9.0% EURO ZONE Ger. Industrial Production Feb prev -0.5% (4:00pm) UNITED STATES Personal Income Feb prev 0.4% (10:30pm) Personal Spending Feb prev 0.4% (10:30pm) PCE Deflator Feb prev 0.3% (10:30pm) GDP Q4 (F) ann'd prev 0.7% (10:30pm) Wholesale Inventories Feb (F) prev -0.5% (12:00am)	CHINA CPI Mar y/y prev 1.3% (11:30am) PPI Mar y/y prev -0.9% (11:30am) NEW ZEALAND BusinessNZ Mfg PMI Mar prev 55.0 (8:30am) UNITED STATES CPI Mar y/y prev 2.4% (10:30pm) Factory Orders Feb prev 0.1% (12:00am) UoM Consumer Sentiment (P) Apr (12:00am) Durable Goods Orders Feb (F) prev 0.0% (12:00am)

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April 2026



MON	TUE	WED	THU	FRI
13 UNITED STATES Existing Home Sales Mar prev 1.7% (12:00am)	14 AUSTRALIA RBA's Hauser – Fireside Chat (8:45am) Westpac-MI Consumer Sentiment Apr prev 91.6 (10:30am) NAB Business Survey (11:30am) Conditions prev 7 Confidence prev –1 CHINA Trade Balance Mar prev US\$91.0bn JAPAN Industrial Production Feb (F) (2:30pm) NEW ZEALAND Net Migration Feb prev 4460 (8:45am) UNITED STATES NFIB Small Business Optimism Mar prev 98.8 (8:00pm) PPI Mar y/y prev 3.4% (10:30pm)	15 EURO ZONE Industrial Production Feb prev –1.5% (7:00pm) JAPAN Core Machinery Orders Feb prev –5.5% (9:50am) UNITED STATES NY Empire Manufacturing Index Apr prev –0.2 (10:30pm) Import Price Index Mar prev 1.3% (10:30pm) NAHB Housing Market Index Apr prev 38 (12:00am) FOMC Beidge Book (4:00am)	16 AUSTRALIA RBA's Hauser – Panel Participation (6:00am) Consumer Inflation Expectations Apr y/y prev 5.2% (11:00am) Labour Force Survey Mar (11:30am) Employment Change exp 25k prev 48.9k Unemployment Rate exp 4.2% prev 4.3% Participation Rate exp 66.8% prev 66.9% CHINA GDP Q1 y/y prev 4.5% (12:00pm) Activity Data Mar ytd y/y (12:00pm) Retail Sales prev 2.8% Industrial Production prev 6.3% Fixed Asset Investment prev 1.8% EURO ZONE CPI Mar (F) (7:00pm) UNITED KINGDOM Monthly GDP Feb prev 0.0% (4:00pm) UNITED STATES Philadelphia Fed Manufacturing Index Apr prev 18.1 (10:30pm) Industrial Production Mar prev 0.2% (11:15pm)	17 EURO ZONE Trade Balance Feb prev €12.1bn (7:00pm) NEW ZEALAND Selected Price Indices Mar (8:45am) Retail Card Spending Mar prev 1.4% (8:45am) UNITED STATES Washington's Birthday – Markets Closed
20 NEW ZEALAND Trade Balance Mar prev –NZ\$257mn (8:45am) UNITED KINGDOM Rightmove House Prices Apr prev 0.8% (9:01am)	21 EURO ZONE EU ZEW Expectations Apr prev –8.5 (7:00pm) NEW ZEALAND CPI Q1 (8:45am) q/q prev 0.6% y/y prev 3.1% UNITED KINGDOM ILO Unemployment Rate Feb prev 5.2% (4:00pm) UNITED STATES Retail Sales Mar (10:30pm) Business Inventories Feb (12:00am) Pending Home Sales Mar prev 1.8% (12:00am)	22 AUSTRALIA Westpac-MI Leading Index Mar ann'd prev +0.08% (10:30am) EURO ZONE Consumer Confidence Apr (P) prev –16.3 (12:00am) UNITED KINGDOM CPI Mar y/y prev 3.0% (4:00pm)	23 UNITED KINGDOM Public Sector Borrowing Mar prev 14.3 (4:00pm) UNITED STATES Chicago Fed Nat Act Index Mar prev –0.11 (10:30pm) Kansas City Fed Manufacturing Index Apr prev 11 (1:00am) GLOBAL S&P Global PMIs Apr (P) Manufacturing Services	24 EURO ZONE Ger. IFO Business Climate Survey Apr (6:00pm) JAPAN CPI Mar y/y prev 1.3% (9:30am) UNITED KINGDOM GfK Consumer Sentiment Apr prev –21 (9:01am) Retail Sales Mar (4:00pm) UNITED STATES UoM Consumer Sentiment Apr (F) (12:00am)

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are Westpac forecasts and for other countries are Bloomberg consensus forecasts as at the time of publication. Westpac forecasts are subject to change in subsequent publications. (P) refers to preliminary or first estimate; (S) refers to second estimate; (F) refers to final estimate.

Economic Calendar



April 2026

MON	TUE	WED	THU	FRI
27	28	29	30	1 May
CHINA Industrial Profits Mar y/y prev 5.3% (11:30am) UNITED STATES Dallas Fed Manufacturing Index Apr (12:30am)	JAPAN Jobless Rate Mar (9:30am) BoJ Policy Decision prev 0.75% NEW ZEALAND Employment Indicator Mar (8:45am) UNITED STATES FHFA House Prices Feb (11:00pm) S&P CoreLogic CS House Prices Feb (11:00pm) Richmond Fed Manufacturing Index Apr prev 0 (12:00am) Conf. Board Consumer Confidence Index Apr (12:00am)	AUSTRALIA CPI Q1 (11:30am) Headline q/q exp 1.4% prev 0.6% Headline y/y exp 4.1% prev 3.2% Trimmed Mean q/q exp 0.9% prev 0.9% Trimmed Mean y/y exp 3.5% prev 3.4% Monthly CPI Mar (11:30am) Headline m/m exp 1.1% prev 0.0% Headline y/y exp 4.5% prev 3.7% EURO ZONE M3 Money Supply Mar y/y prev 3.0% (6:00pm) Economic Confidence Apr (7:00pm) Consumer Confidence Apr (F) (7:00pm) UNITED STATES Wholesale Inventories Mar (P) (10:30pm) Durable Goods Orders Mar (P) (10:30pm) Housing Starts Mar prev 7.2% (10:30pm) Building Permits Mar prev -4.7% (10:30pm) FOMC Policy Decision prev 3.625% (4:00am)	AUSTRALIA Private Sector Credit Mar (11:30am) Trade Price Indices Q1 (11:30am) Export Prices prev 3.2% Import Prices prev 0.9% CHINA NBS PMIs Apr (11:30am) Manufacturing Non-Manufacturing RatingDog Mfg PMI Apr (11:45am) EURO ZONE CPI Apr (P) (7:00pm) GDP Q1 (P) prev 0.2% (7:00pm) Unemployment Rate Mar (7:00pm) ECB Policy Decision (Deposit Rate) prev 2.00% (10:15pm) JAPAN Industrial Production Mar (9:50am) NEW ZEALAND ANZ Business Confidence Apr (11:00am) UNITED KINGDOM BoE Policy Decision prev 3.75% (9:00pm) UNITED STATES Personal Income Mar (10:30pm) Personal Spending Mar (10:30pm) PCE Deflator Mar (10:30pm) Employment Cost Index Q1 prev 0.7% (10:30pm) GDP Q1 (F) (10:30pm) Chicago PMI Apr (11:45pm)	AUSTRALIA PPI Q1 prev 0.8% (11:30am) NEW ZEALAND ANZ Consumer Confidence Apr prev 91.3 (8:00am) Building Permits Mar (8:45am) JAPAN Tokyo CPI Apr (9:50am) UNITED STATES ISM Manufacturing Apr (12:00am) GLOBAL S&P Global Manufacturing PMI Apr (F) ISM Manufacturing Apr (12:00am)

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AGRI BITES

Expect the unexpected.

31 March 2026



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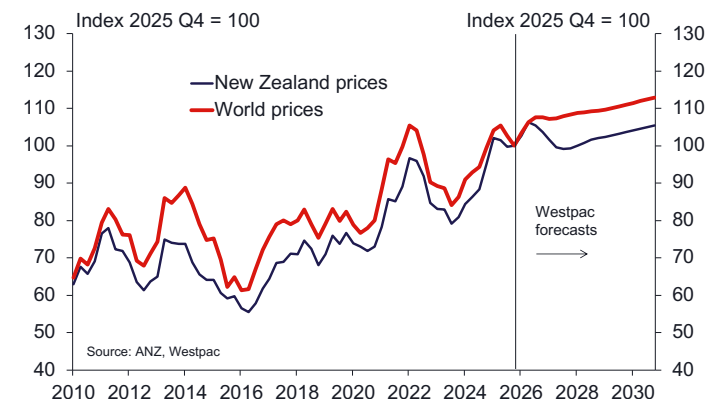


SUMMARY

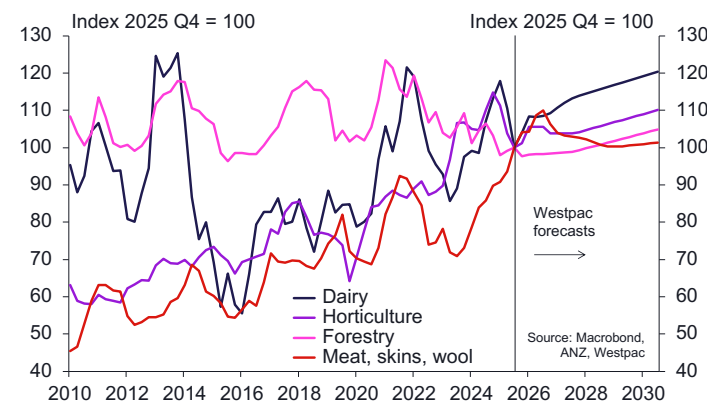
Despite uncertainties, agricultural export prices to remain elevated.

- The impact of war in Iran is likely to be broadly supportive of prices. The key issue is whether war-induced costs can be passed on. In the near term, the scope for passthrough is likely to be limited, which implies some pressure on margins. Should hostilities persist, the potential to pass on higher costs increases, providing more support to prices, and a recovery in margins.
- We've revised up our farmgate milk price forecast for this season by 40 cents to \$9.80/kg, which is slightly higher than the midpoint of Fonterra's forecast range. While global supply remains ample, that's been matched by strong demand for protein. That said, with the war introducing new uncertainties, we have kept our milk payout forecast for the 2026/27 season at \$9.20/kg.
- Beef and lamb export prices are set to remain elevated. Key considerations include the war in Iran, how quickly the US beef herd rebuilds, the resilience of US consumer beef demand, ongoing weakness in the Chinese market, and price resistance in the UK and EU markets for lamb.
- Meanwhile, kiwifruit and apple export prices are set to plateau at high levels as supply catches up with demand in key offshore markets.
- Log export prices are expected to remain rangebound, showing little upward momentum. Rising freight costs imply margin squeeze, which could result in corporate action.

Commodity prices – World and NZ dollar denominated



Commodity prices by category

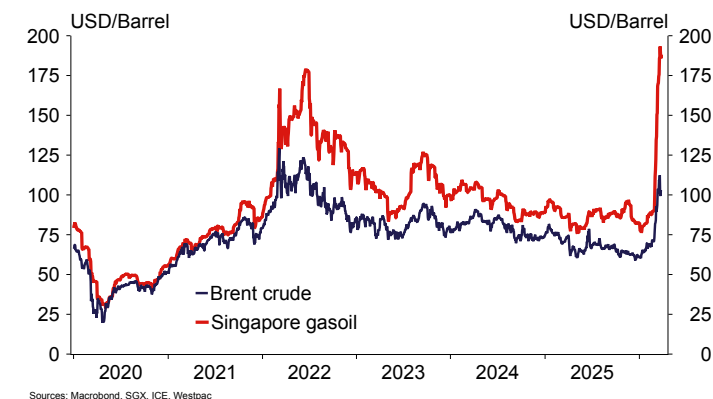


IMPACTS OF WAR IN IRAN

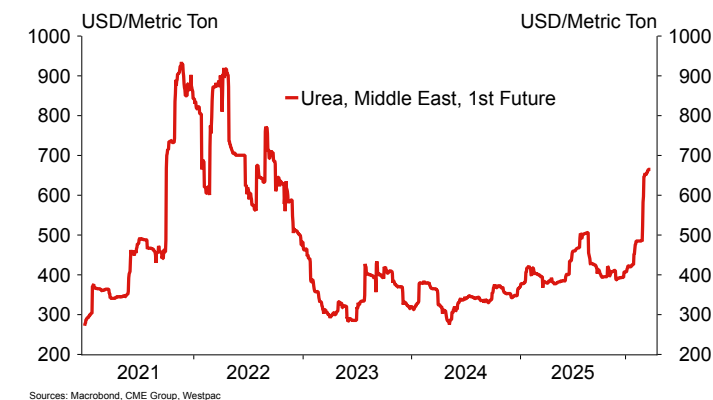
Ability to pass on higher input costs to increase over time.

- Prior to the conflict with Iran, the IMF had forecast 3.3% global growth for 2026. Hostilities are set to trigger downgrades, with worldwide economic output expected to drop 0.2% for every 10% sustained increase in oil prices.
- Even so, we think the conflict in Iran will be broadly supportive of New Zealand commodity export prices, and that support will be reinforced over time. That will be less about demand, and more about the ability of farmers, orchardists and exporters to pass through higher input costs arising from the conflict.
- The closure of the Strait of Hormuz has led to a lift in energy prices more generally, resulting in sharply higher diesel prices. It has also disrupted urea exports, which in turn has spurred on fertiliser prices.
- Higher diesel and fertiliser prices translate directly into higher on-farm and on-orchard costs, that can either be absorbed or passed down the value chain. Processors and exporters face similar pressures through higher freight costs.
- In the short term, the passthrough of higher input costs is set to be constrained by existing supply contracts. Already-elevated prices and growing buyer resistance further limits scope for passing on costs. However, if the conflict persists and higher input costs are sustained, a growing acceptance by buyers and greater scope for renewing supply contracts should increase passthrough, resulting in prices that restore export returns.

Crude oil and diesel prices



Urea prices

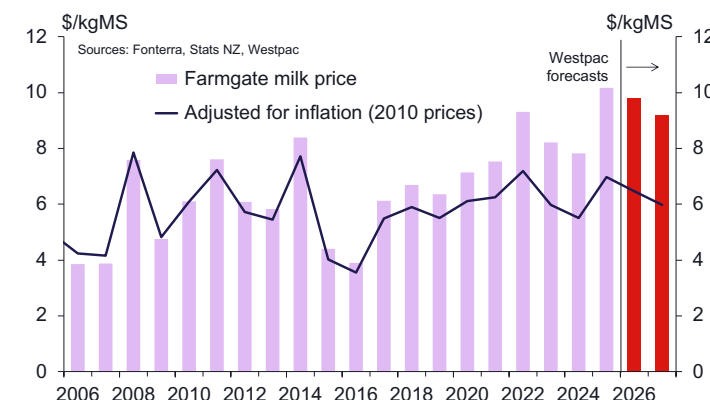


DAIRY

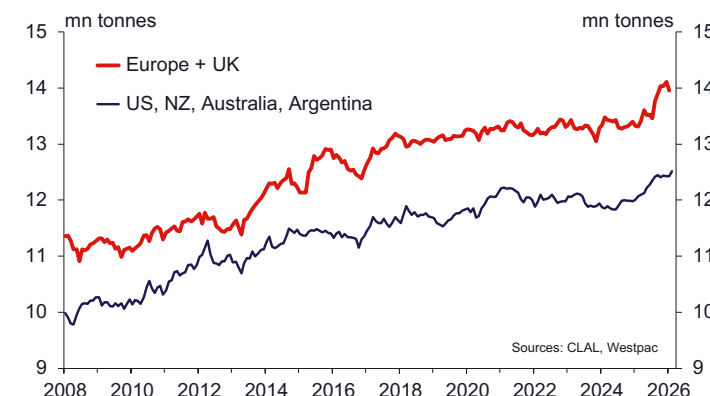
Current season forecast revised up to \$9.80/kg.

- World dairy prices rebounded rapidly from the price falls seen through late 2025. We've revised up our farmgate milk price forecast for this season by 40 cents to \$9.80/kg, which is slightly higher than the midpoint of Fonterra's forecast range of \$9.40-10.00/kg.
- The global milk supply remains ample. Collections among the main exporting countries are up about 4% on a year ago, though with some signs that they have plateaued in recent months. This is being matched by strong global demand for protein, which is benefiting skim milk powder prices in particular (less so for whole milk powder, which is our major export product).
- The Iran war creates new uncertainties around the outlook for dairy prices. On one hand, disruptions to shipping and the cost shock faced by global consumers could weigh on demand. However, the global dairy industry is facing pressures of its own, such as rising costs and limited availability of fertiliser and fuel. European dairy systems are perhaps the most exposed to these risks – milk production could be scaled back significantly in regions that were already grappling with low margins.
- This two-sided uncertainty about the year ahead means that our forecast for the 2026/27 season remains at \$9.20/kg. Fonterra's opening forecast at the end of May is likely to come with an appropriately wide range – probably similar to the \$8.00-11.00/kg range that they started with for this season.

Farmgate milk prices



Milk production by top 5 exporting regions

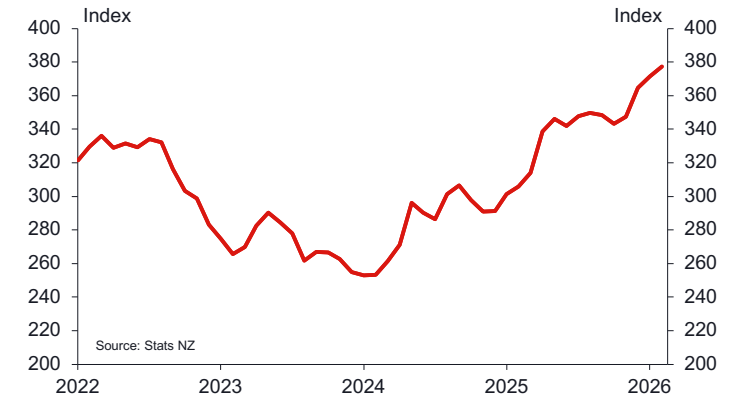


BEEF

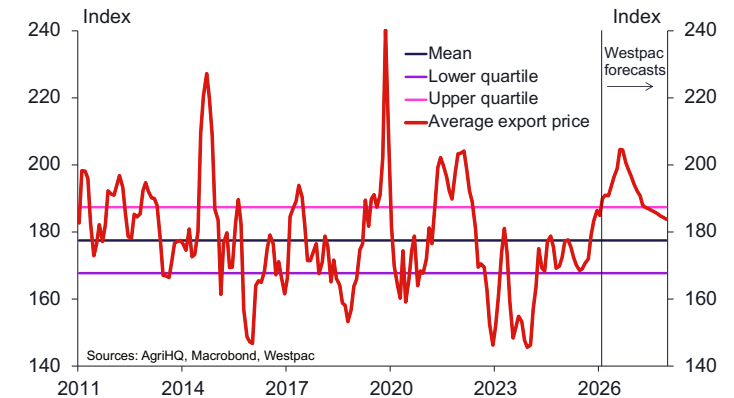
Structural, cyclical and systemic shocks to keep beef prices elevated.

- Global beef supply to remain tight in 2026, reflecting low cattle inventories in the US, Brazil and parts of Europe.
- New Zealand beef output is expected to lift modestly, supported by favourable pasture conditions and stronger prices. Slaughter volumes should also benefit from increased dairy-beef supply.
- Export prices are likely to remain firm, underpinned by strong US demand for high-quality protein. Wholesale beef prices in the US – especially premium cuts – have risen faster than retail prices for everyday beef, suggesting retailers and processors are absorbing some of the costs.
- With US supply chains already wearing the cost of elevated beef import prices, it seems unlikely in the near-term that New Zealand's beef farmers and exporters will be able to pass on higher costs they incur as a result of the war.
- However, the longer hostilities continue and as buyers look to confirm supply agreements, the greater the scope for passing on these costs, which could lead to a tick up in beef export prices and a recovery in margins.
- New Zealand is also set to benefit from a larger beef quota into China in 2026, improving market access, while Brazil and Australia face relatively tighter conditions following quota reductions.

Average monthly beef export prices - nominal



Average monthly beef export prices - real

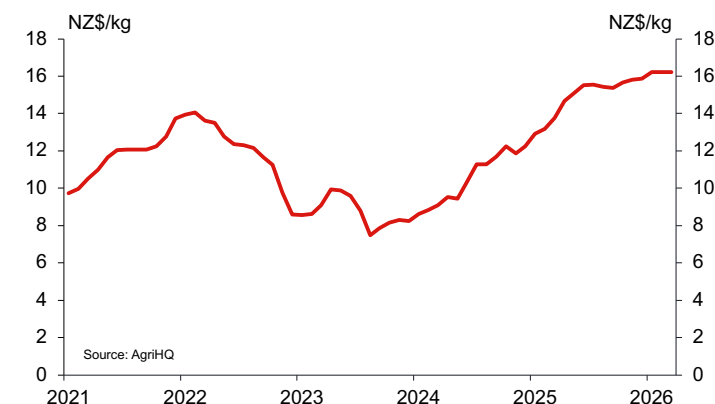


SHEEP MEAT

Lamb export prices to remain elevated despite some resistance.

- Our key assumption is that the global supply of lamb will remain constrained. This partly reflects structural change in New Zealand, including ongoing destocking and a smaller breeding flock, as seen by fewer breeding ewes.
- More importantly, supply dynamics in Australia point to tighter global availability. Australia is the key swing supplier in the global sheep meat market, and after a very high sheep and lamb slaughter last year, the Australian flock is now moving into a rebuild phase, reducing near-term export supply.
- Export demand from the EU, UK and US remains relatively robust, supported by declining domestic production in those markets. However, cost-of-living pressures and cheaper protein substitutes are creating resistance to further price increases, effectively capping prices at current levels.
- The conflict in Iran is unlikely to materially affect lamb export prices in the near term. An inability to pass on higher energy costs in an environment where lamb prices are already high is likely to result in margin compression. If hostilities are prolonged, the scope to pass on higher input costs should improve, resulting in higher export prices and wider margins.
- Meanwhile, demand in China – the world's largest market for lamb – is holding steady rather than expanding rapidly.

Average monthly lamb export prices - nominal



Average monthly lamb export prices - real



HORTICULTURE

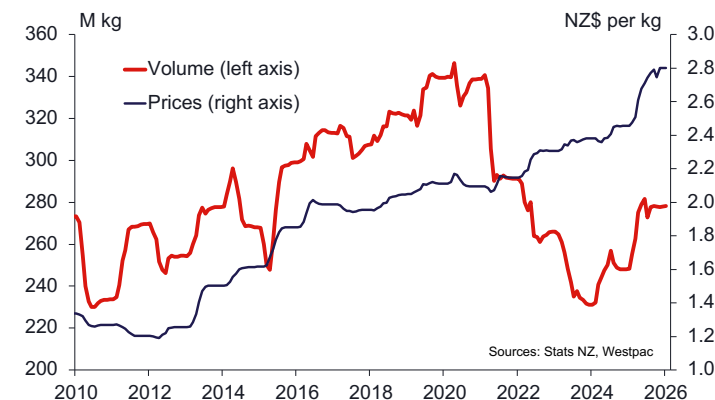
Prices to remain elevated, but largely moving sideways.

- Europe remains the strongest market, while NZ kiwifruit continues to see solid growth at the premium end in urban China and in the big US market.
- Demand in Japan and parts of Asia is stable to softening due to weaker real incomes, and in China more generally, growth is being constrained by rising domestic supply, making competition and price sensitivity more important.
- Export prices for kiwifruit should stay high but largely flat over coming years with strong demand and premium branding helping to support prices, while expanding supply caps further upside, implying a high price plateau rather than continued increases. That said, we also think that prices could lift temporarily to reflect higher war-induced energy price hikes.
- Meanwhile, improving fruit quality, a shift toward premium varieties, and solid demand in Asian markets are supporting stable to modestly higher NZ apple export prices.
- Increasing production from maturing orchards and high export volumes in 2026 continuing into 2027 are likely to keeping prices stable or rising only modestly year to year.
- Any improvement in average prices is more likely to come from a greater share of IP-protected premium varieties and a still favourable exchange rate, rather than tighter global supply or stronger consumer markets.

Kiwifruit – average export prices and volumes



Apples – average export prices and volumes

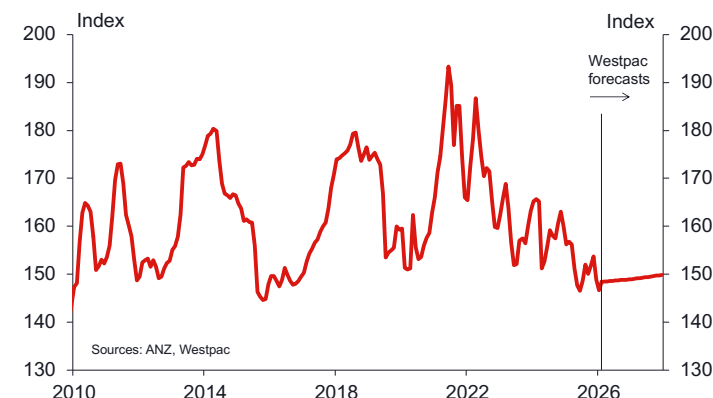


FORESTRY

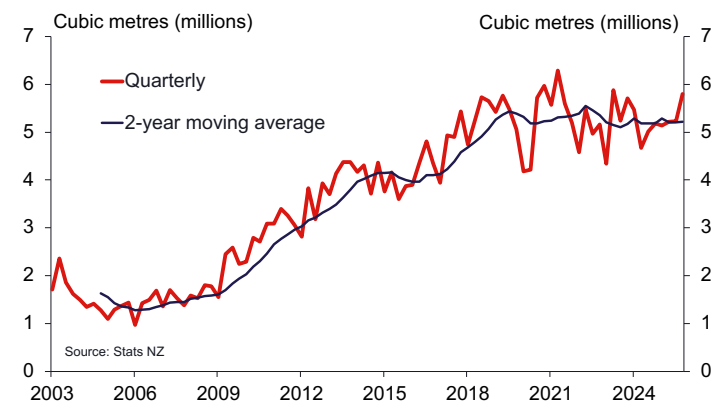
Log export prices display inertia, with marginal gains expected in 2026.

- China is still absorbing large volumes of NZ logs. But with that country's housing market still firmly in the red and construction activity subdued, demand remains well below the historical high.
- Chinese demand for logs is mainly supported by furniture, refurbishment and the manufacture of engineered wood products.
- Port inventories in China are comfortable (around 50–60 days' supply), reducing buyer urgency and capping upward price pressures.
- NZ log supply has eased gradually, preventing further sharp price falls but not tightening enough to drive a rebound. Lower NZ production may help to prevent further price declines over the coming year.
- Meanwhile freight and fuel costs have risen in early 2026 mainly because of the war in Iran. This in turn has squeezed at-wharf-gate returns for New Zealand exporters and eroded forest-gate margins.
- Looking forward, the most likely outcome is broad price stability rather than recovery, with limited upside unless Chinese construction activity improves materially.
- With prices set to move sideways, a continuance of the conflict in Iran is likely to squeeze exporter and plantation margins, heightening the risk of closures.

World forest prices



Log export volumes



FARM INPUT EXPENSES

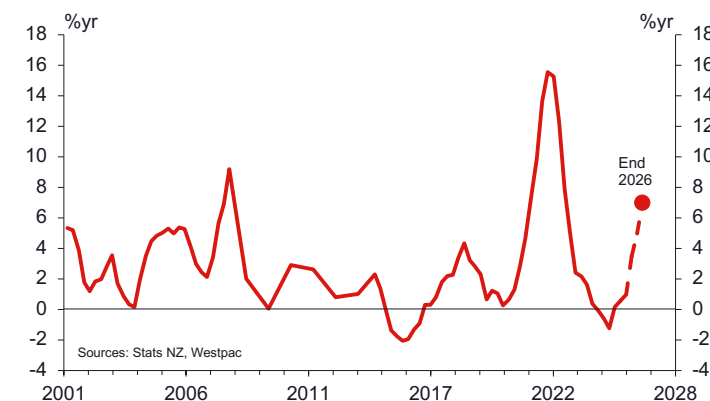
Rising farm input expenses to squeeze on-farm margins.

- We think that farm input cost inflation will rise sharply this year to around 7%yr.
- Global prices for crude oil have risen by more than 50% since the start of the conflict in the Middle East. This impact has been compounded by a significant rise in refining spreads. Combined, these developments have pushed the local price for diesel up by around \$1.60/ltr.
- The continuing conflict in the Middle East does mean that oil prices could swing around a bit over the coming months. However, at this stage it's looking likely that local fuel prices will remain elevated for some time.
- Those higher fuel prices and other disruptions related to the conflict are also pushing transport and other costs higher. We estimate that about 15% of farm costs have some exposure through higher on-farm production costs and freight transportation costs. Notably, prices for urea (a key ingredient in fertiliser production) have risen by around 50%.
- The key question is to what extent farmers will be able to pass on these input costs? In the near term, many operators may find they are unable to raise prices due to factors such as existing contractual arrangements, and that signals a squeeze on margins. However, if the increase in input costs is sustained, we're likely to see those higher input costs flowing through to higher output prices as time progresses.

Change in prices – Start of Iran war to now

Commodity Price (US\$)	Price change
Brent crude oil	~50%
Singapore gasoil	~80%
Urea	~50%
NZD/USD	~-3%

Farm input expenses

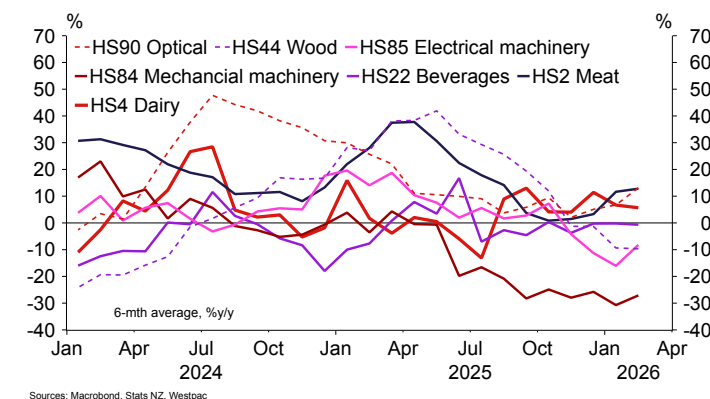


US TARIFF UPDATE

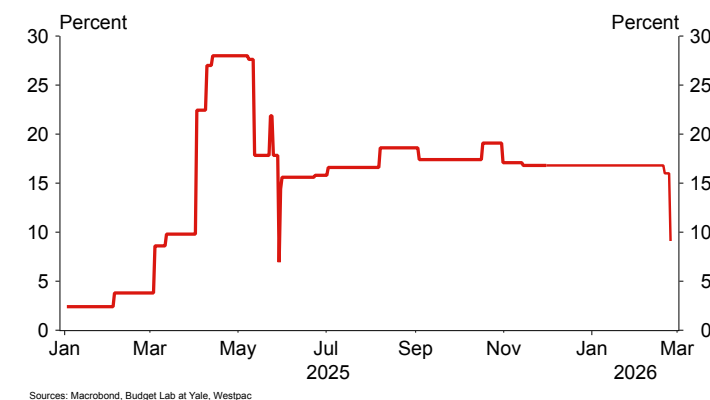
Tariffs facing primary exporters little changed by Supreme Court ruling.

- After the Supreme Court's ruling that the Trump Administration's earlier tariffs (issued under "IEEPA" legislation) were illegal, most NZ goods entering the US now face a new 10% "Section 122" tariff. However, authority to implement tariff's under Section 122 is limited to 150 days unless approved by Congress.
- Key NZ agricultural exports (including dairy product, beef, kiwifruit and some fresh produce) are exempt from the Section 122 tariffs, as was the case before the Supreme Court's ruling. Even so, the ruling was good news as it did remove the legal basis for expanding blanket tariffs, reducing the risk that agriculture is swept into future economy-wide measures.
- Future product-specific actions remain possible. New Zealand is on a list of 60 countries under a Section 301 (unfair trade) investigation related to allegations of the use of forced labour. It remains to be seen if these will hold water.
- Several NZ export-relevant sectors (e.g. timber, pharmaceuticals) are under active US investigations, creating upside tariff risk. And US sheep meat producers continue to call for an investigation into New Zealand exports into the US, citing unfair competitions.
- Export data suggests that the largest negative impact of the tariffs to date has been faced by manufacturers, with exports of mechanical and electrical machinery well down on pre-tariff levels.

Major exports to the US



US effective tariff rates



FORECASTS

New Zealand commodity prices (end of period)

	Latest	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
NZ commodities index	394	403	407	407	406	406	408	410	412	413
Dairy price index	332	342	342	342	345	349	353	357	359	361
Whole milk powder USD/t	3,863	3,500	3,450	3,400	3,500	3,600	3,670	3,750	3,790	3,830
Skim milk powder USD/t	3,243	3,100	3,020	2,950	3,000	3,050	3,100	3,150	3,180	3,210
Lamb price index	631	656	679	651	633	622	621	620	617	612
Beef price index	391	407	427	413	404	398	398	397	396	395
Forestry price index	148	149	149	149	149	149	149	150	150	151

New Zealand commodity prices (annual averages)

	Levels				% change			
	2025	2026f	2027f	2028f	2025	2026f	2027f	2028f
NZ commodities index	390	402	408	413	9.2	3.1	1.4	1.2
Dairy price index	348	338	351	361	9.7	-2.8	3.8	2.9
Whole milk powder USD/t	3902	3525	3594	3829	13.5	-9.6	1.9	6.5
Skim milk powder USD/t	2702	3052	3054	3216	0.7	12.9	0.1	5.3
Lamb price index	587	657	626	609	27.0	11.8	-4.6	-2.7
Beef price index	337	407	400	394	19.1	20.6	-1.7	-1.4
Forestry price index	152	148	149	151	-4.9	-2.1	0.6	1.2

Forecasts as at 30 March 2026.

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Australia and NZ Weekly 30 March 2026

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Forecast Update: our new baseline incorporates a 2-month closure of the Strait of Hormuz.

For the week ahead:

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New Zealand: employment indicator, business confidence, building permits.

Japan: CPI, jobless rate, industrial production, manufacturers index.

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Euro area: HICP inflation, unemployment rate.

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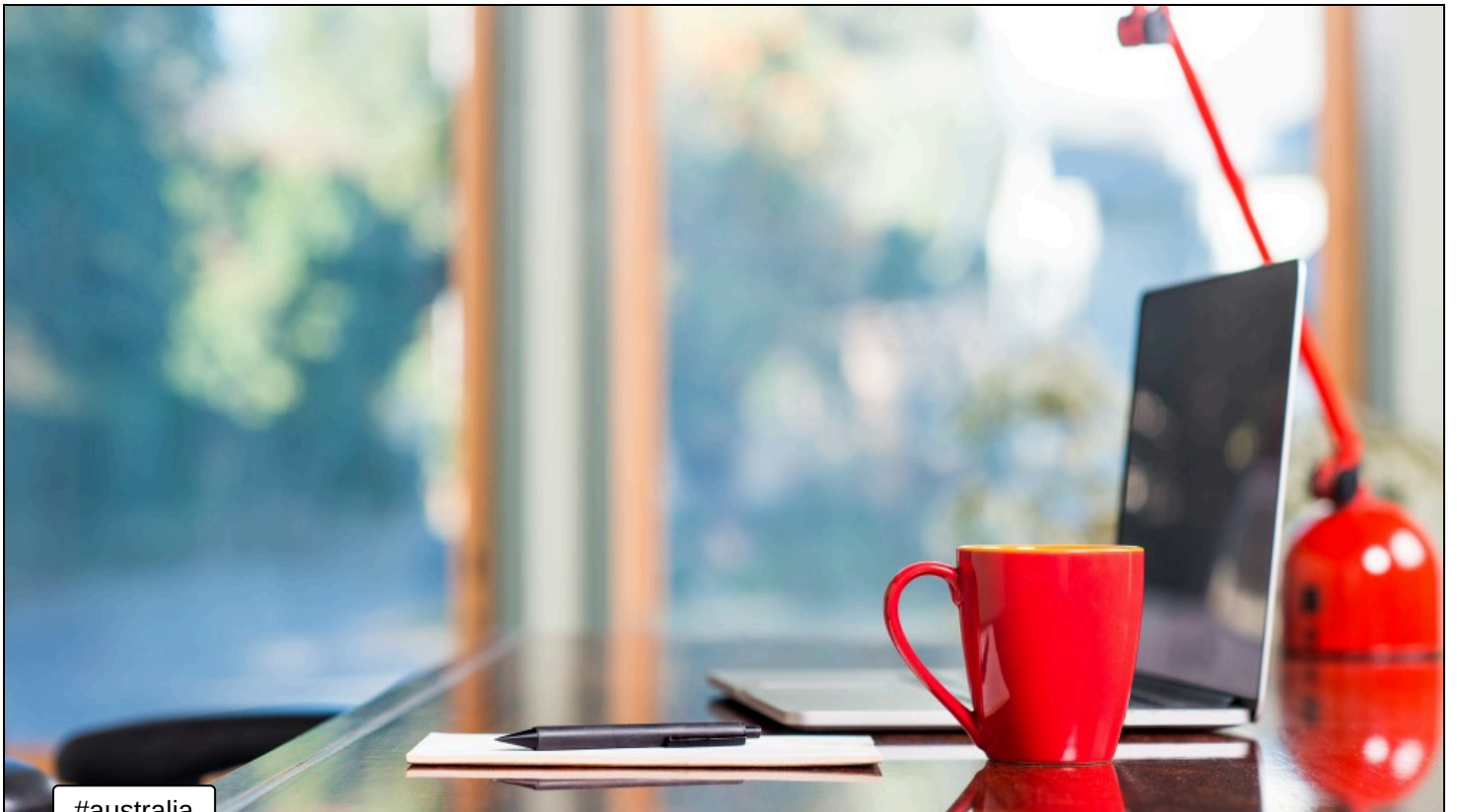


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On hoping you'll be wrong

April 10 2026 • ⌚ 8 mins

By Luci Ellis



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Australia and NZ Weekly 30 March 2026

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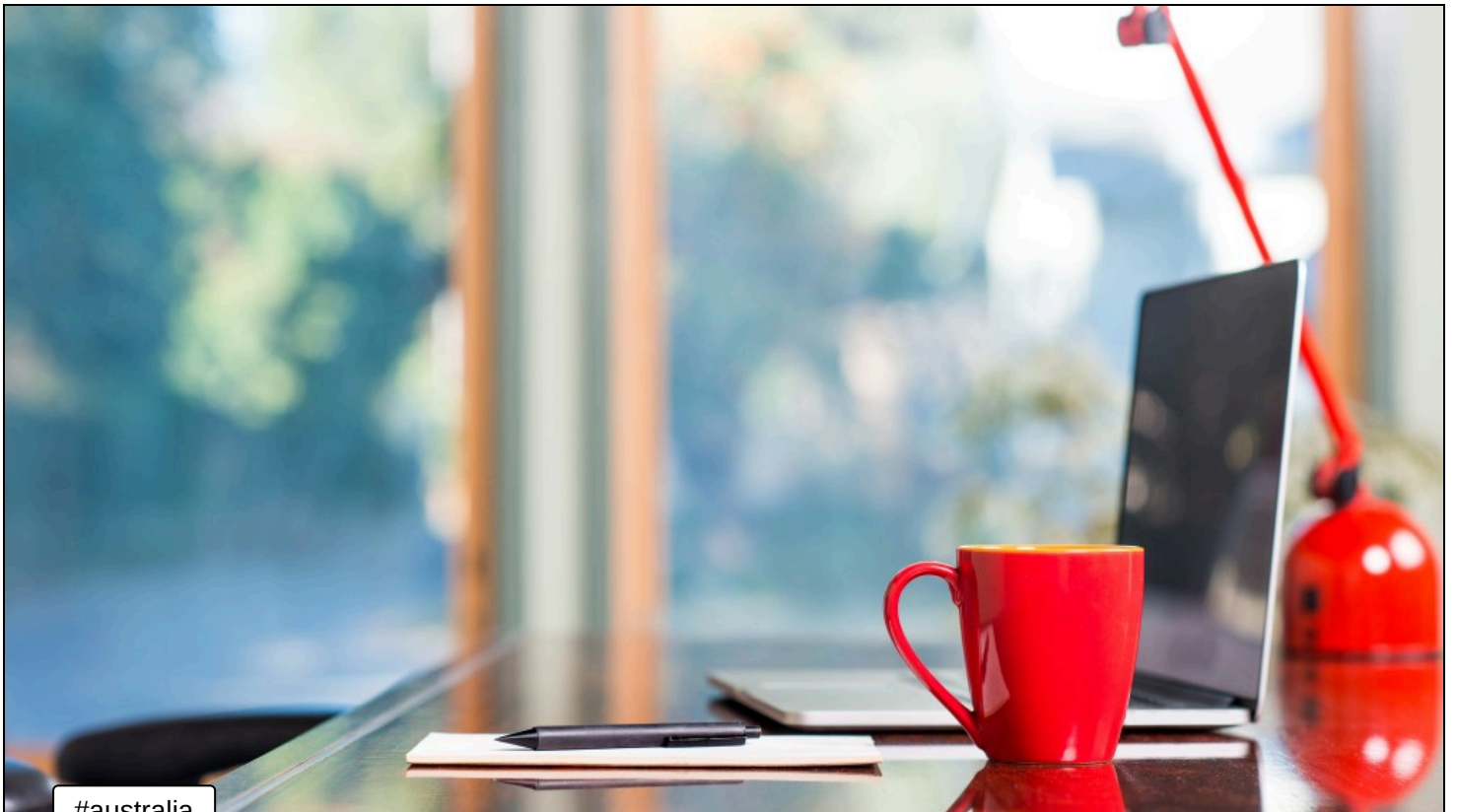


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WESTPAC-DATAX CARD TRACKER

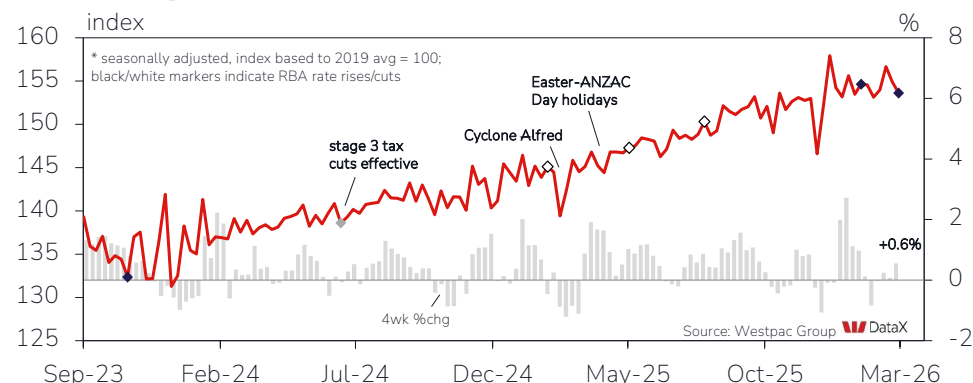
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Card activity shows fuel disruptions starting to impact

- The **Westpac-DataX Card Tracker Index*** softened slightly in the first three weeks of March, dipping 0.4pts to 153.6 as at the week ending March 21.
- Quarterly momentum has been mixed, the last two weeks showing a lift back to 1.9%qtr, up from 1% in late February, but with growth rates affected by the weak reads just prior to Christmas, which are now in the base for comparisons. The quarterly growth rate is likely to settle back into the 1-1.5%qtr range as this noise drops out, well below the 2-2.5% pace seen through much 2025 H2.
- Monthly growth momentum is much softer, having slowed into the 0-0.5% range since February. Moreover, all of the gains over the last four weeks have come from a sharp rise in fuel spend, up 8.2% compared to the previous four weeks. Non-fuel card activity dipped slightly, by 0.2%, over the same period.
- The surge in fuel reflects sharply higher prices and volumes. In seasonally adjusted terms, the first two weeks of March saw the highest number of card transactions across the 'operation of motor vehicles' sub-category since the data began in 2019, the average transaction value up 7.9% vs February.
- The softening in non-fuel card activity has centred on discretionary services, led by accommodation and recreational services but with a notable weakening in international transactions as well. Notably, there have been no real signs of weakness around discretionary goods with card activity in this segment over the last four weeks up 1% vs the previous four weeks, durables up closer to 2%.
- State-wise, the rise in fuel spend looks to have been slightly more pronounced in Qld and slightly less so in Vic and SA. For total card activity, the quarterly growth pulse remains firmer in Tas, WA, SA and Qld and noticeably slower in Vic.
- Overall, with available card data now covering over 85% of Q1, the quarter looks to be tracking a 1-1.5%qtr rise in nominal card activity. While that is likely to be only marginally firmer than the Q1 CPI gain (due to be released on April 29), the total spending measure in the Q1 national accounts will see a positive effect from the end of electricity rebates.

“... all of the gains over the last four weeks have come from a sharp rise in fuel ...”

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p11 for a detailed explanation.

This report is produced by Westpac Economics.

Matthew Hassan, Head of Australian Macro-Forecasting

Email: economics@westpac.com.au

This issue was finalised on 30 March 2026.

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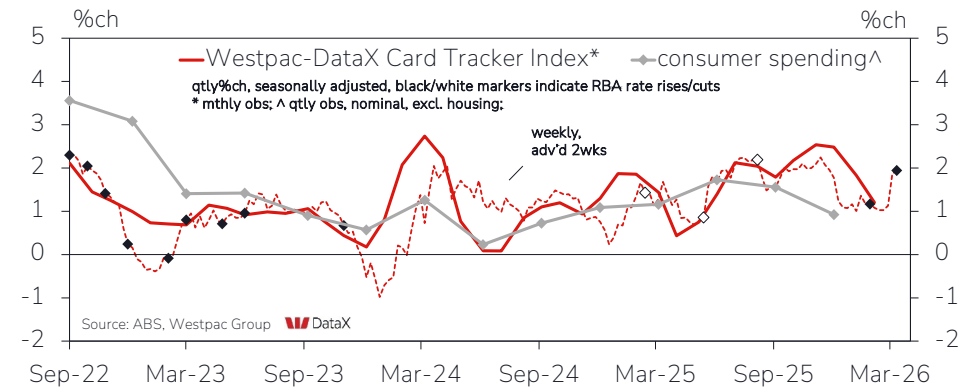
Underlying momentum slows

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. Note that all estimates are adjusted for regular seasonal variations.
- As noted, quarterly growth momentum has ticked up over the last two weeks due to a mix of weekly volatility and increased fuel spend. At 1.9%qtr, the latest weekly pace has lifted from the 1.0%qtr seen late last year but still off the 2-2.5% growth rates recorded in Q4 and through much of last year. Fuel accounts for about 0.25ppts of the latest up-tick.
- Monthly measures are likely giving a more accurate picture of momentum shifts at the moment. These have shown a very clear moderation, activity rising just 0.3% in December, 0.4% in January and 0.1% in February. While the latest weekly pulse is running at 0.6%mtl, all of this is coming from a sharp lift in fuel activity with non-fuel activity dipping by 0.2%mtl.
- As discussed in our [last report](#), the Q4 national accounts showed nominal consumer spend (ex housing) up just 0.9%qtr undershooting the signal from our card data. The difference partly related to electricity rebates which will become a positive in Q1. Our card data is tracking a 1-1.5%qtr rise for Q1.

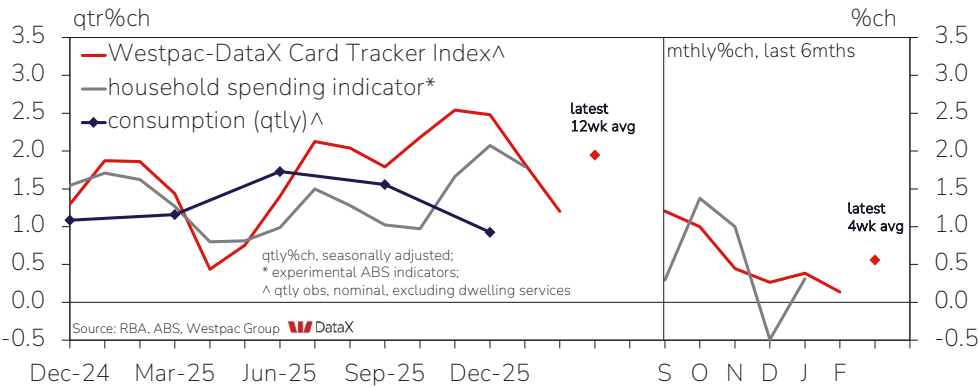
qtrly%ch	Q2	Q3	Q4	latest
Westpac-DataX Card Tracker	1.4	1.8	2.5	1.9
ABS monthly household spending indicator*				
Nominal	1.0	1.0	2.1	n.a.
Real*	1.0	0.1	0.9	n.a.
ABS consumer spending (qtrly)#				
Nominal	1.7	1.6	0.9	n.a.
Real	1.2	0.6	0.2	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p11 for more details.
 * ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
 # Consumer spending excludes housing costs.
 Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



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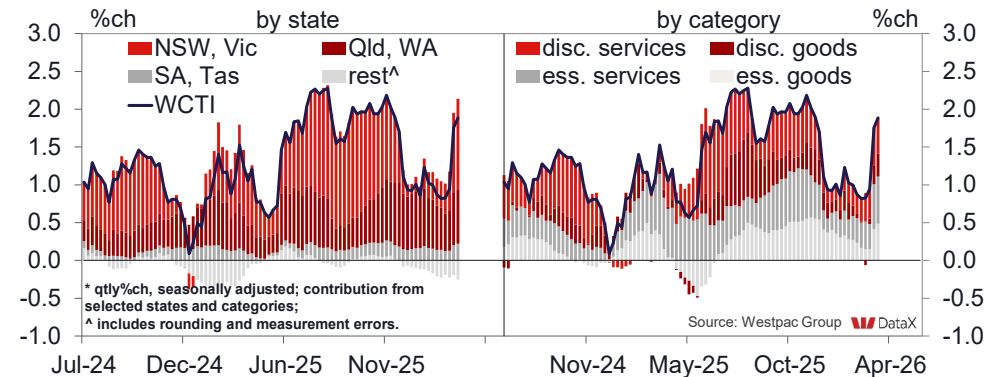
Fuel surges, discretionary services slows, rest mixed

- Chart 4 shows the category and state contributions to quarterly growth in domestic card activity week-to-week (i.e. excluding international transactions).
- The quarterly growth pulse has shown a broad lift across states and categories, reflecting the common factors of weekly Christmas-related noise affecting the base for comparison and surging fuel spend. In quarterly terms, essentials growth has lifted to 2.3%qtr, while discretionary spend has firmed to 1.5%qtr. By state, Tas continues to lead (+3.5%qtr) with WA (2.8%qtr) and SA (2.3%qtr) also tracking slightly firmer, NSW (2.1%qtr) more in line while Vic (1.8%qtr) is slightly softer.
- Chart 5 shows quarterly growth in card spending broken into four groups: fuel, hospitality, other domestic and international. Markers show the quarterly pace based on the last four weeks, three of which follow the outbreak of conflict in the Middle East.
- The material lift in fuel spend is clear, this segment currently tracking towards a 4%qtr pace. As detailed on p6 the rise is coming from both prices and volumes. Across other categories, there has been a significant moderation in international transactions and accommodation, hospitality and recreational spend. Other domestic activity has also slowed a touch. The charts on p8 given more detail.

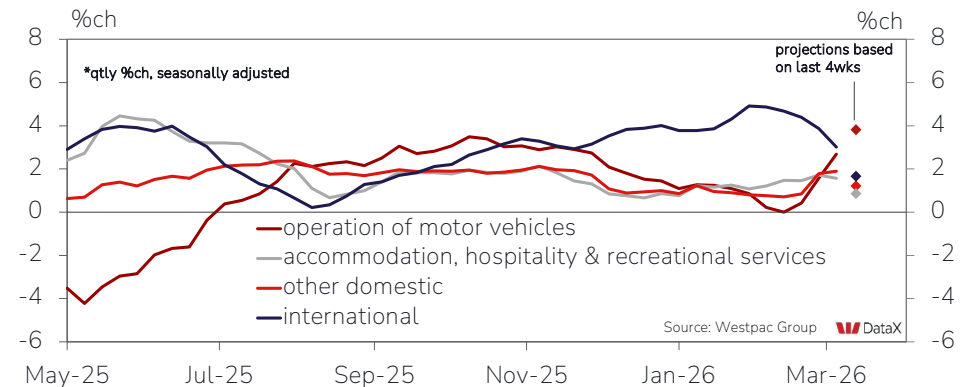
	Dec	Jan	Feb	21/3
Westpac-DataX Card Tracker	154.0	154.6	154.8	153.6
By category				
– discretionary*	156.1	156.4	156.0	153.8
– essential*	148.4	149.3	149.6	152.5
By state				
– NSW	148.2	148.2	147.5	149.0
– Vic	145.2	145.2	144.8	146.1
– Qld	169.3	167.9	165.7	167.5
– WA	169.0	169.5	170.6	170.3
– SA	161.5	160.5	159.9	164.2

All indexes based on the value of spending-related transactions, seasonally adjusted, 2019 avg=100, see p11 for more details including classifications.
 * indexes revised due to re-classification.
 Sources: ABS, Westpac Group

4. Card activity: contribution by state, broad category



5. Card activity: fuel, hospitality, international vs rest

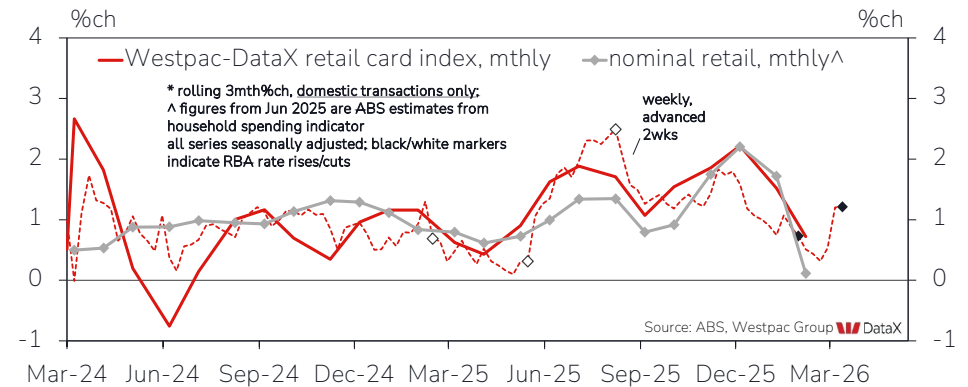


Retail still lagging and sensitive to non-fuel slowing

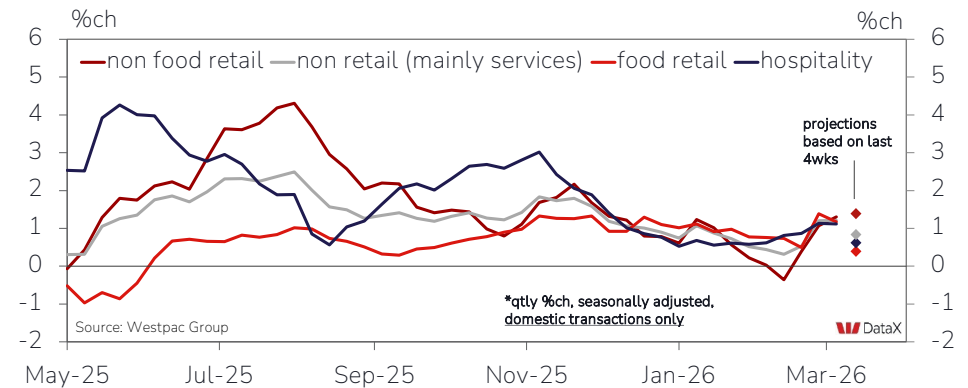
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both the MHSI and retail card indexes have seen a lift in quarterly growth momentum in line with the lift in total card activity but with the pace of growth a touch softer. The MHSI card index is running at 1.6%qtr, 7.3%yr while the retail card index is growing at 1.2%qtr, 6.4%yr. That compares to WCTI growth of 1.9%qtr, 7.3%yr.
- The sub-category split shows a re-convergence in quarterly growth, food, hospitality and non-food retail all in the 1.1-1.3%qtr range. Annual growth is more varied, ranging from 3.3%yr for food retail to 8%yr for non-food retail and 9.3%yr for hospitality. Non-retail card activity (including fuel) is tracking at 2.6%qtr, 11%yr. All retail sub-categories have slowed over the last four weeks.
- The ABS monthly household spending indicator for January came in at 0.3%mt with quarterly growth slowing a touch to 1.8%qtr, 5%yr (see [here](#)). The February update will be released on Apr 7.

	Dec	Jan	Feb	21/3
MHSI card index	150.5	150.9	150.6	151.3
– qtly%ch	2.2	1.6	0.8	1.6
– qtly, ann%ch	6.0	5.6	5.5	6.1
ABS MHSI				
– %ch	-0.5	0.3	n.a.	n.a.
– qtly%ch	2.1	1.8	n.a.	n.a.
– qtly ann%ch	5.4	5.0	n.a.	n.a.
Retail card index	150.9	151.1	150.7	149.9
– qtly%ch	2.2	1.5	0.7	1.2
– qtly, ann%ch	5.6	5.5	5.3	5.7
ABS retail sales*				
– %ch	-1.5	0.4	n.a.	n.a.
– qtly%ch	2.2	1.7	n.a.	n.a.
– qtly ann%ch	4.9	4.7	n.a.	n.a.

6. Card activity: retail



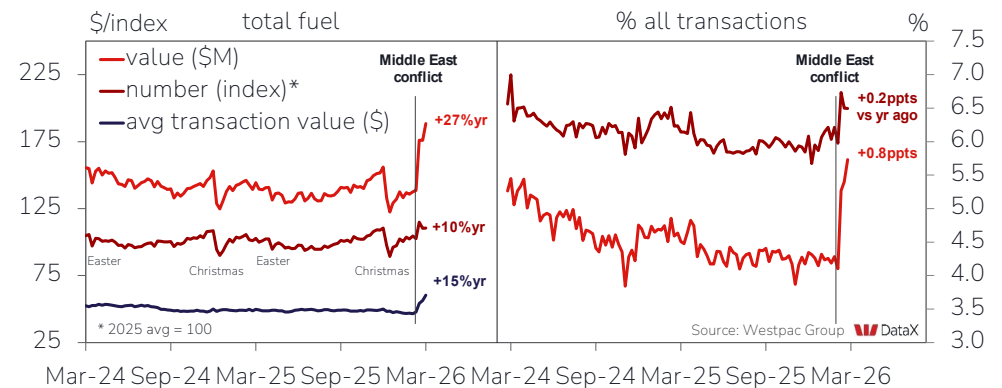
7. Card activity: broad retail and non-retail groups



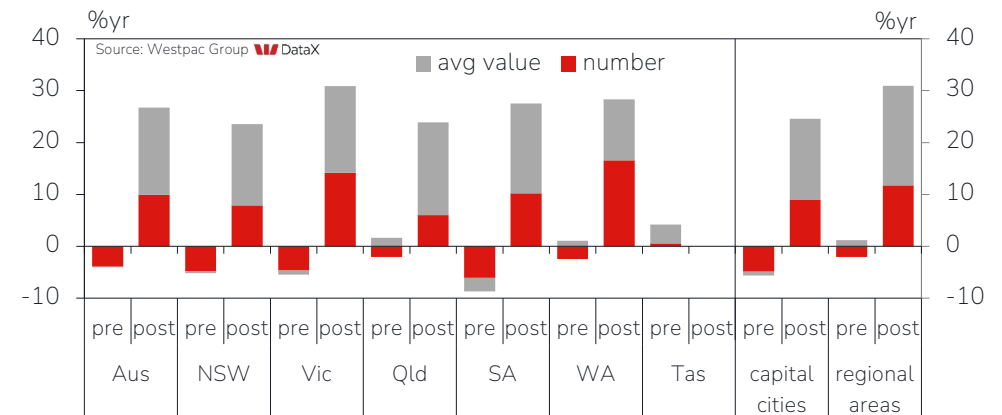
Middle East energy shock: fuel spending patterns in detail

- Westpac data provides a near real-time view of how the global energy shock is unfolding across the economy. As well as the weekly card activity presented in this report, daily activity and customer-level measures provide valuable insight into both behavioural shifts and cost and price effects. This section takes a closer look at recent trends. To date, the main theme has been a sharp rise in retail fuel costs and a rush in demand as buyers seek to secure fuel ahead of further price rises and potential supply shortages. It should be noted that this is occurring before actual physical supplies have seen any drop off.
- Chart 8 shows card activity across a sub-set of the 'operation of motor vehicles' category referred to elsewhere in this report, that is more specifically capturing activity across petrol stations. The left panel tracks the total value of transactions, the number of transactions and the implied average value. Note that the average value will broadly track pump prices but is also affected by shifts in average litres purchases, the fuel mix (diesel vs petrol) and non-fuel purchases.
- All have spiked sharply since the onset of the Middle East conflict, transaction values up 27%yr, numbers up 10%yr and average transaction value up 15%yr.
- The increase in average transaction value compares to a 21.5%yr increase in average terminal gate prices for fuel (weighted average of petrol and diesel).
- Fuel has been accounting for around 6.5-7% of all transactions by number and 5.3-5.7% by value – up 0.2ppts and 0.8ppts compared to a year ago.
- It should be noted that annual changes are likely understating the rise slightly as growth was running negatively prior to the shock (-3.9%yr in value terms).
- The more granular information shows: March 3 was a clear peak for purchase volumes in most jurisdictions; that the main change for individual purchases has been an increase in average fill size rather than frequency but with around 200k purchases per week in March coming from cardholders that did not purchase fuel in February. There has also been a significantly bigger ~30%yr lift in the volume of large purchases (>\$150).
- Chart 9 shows how annual growth in card activity pre and post-crisis varies across state and across capital city and regional areas combined. Charts 10 and 11 on the next page provides the post-crisis growth at a local area level for major cities and regions.

8. Card activity: fuel

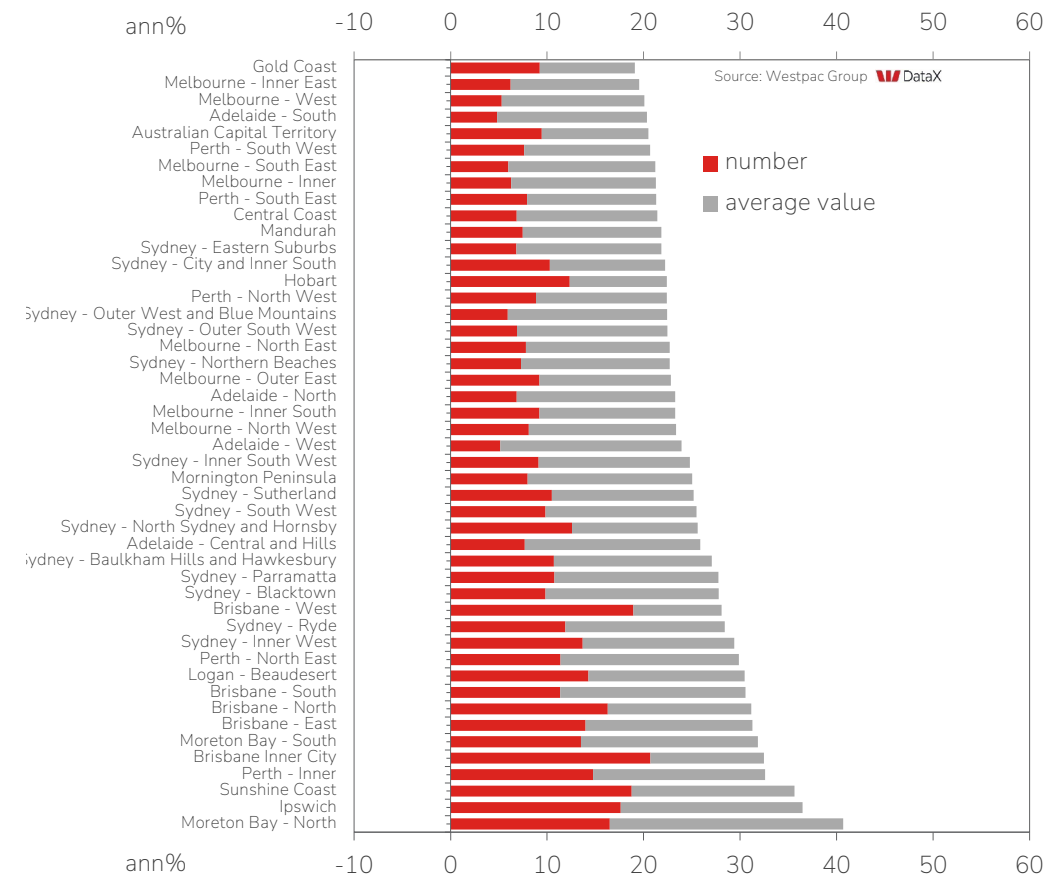


9. Card activity: fuel by state, capital city vs regional

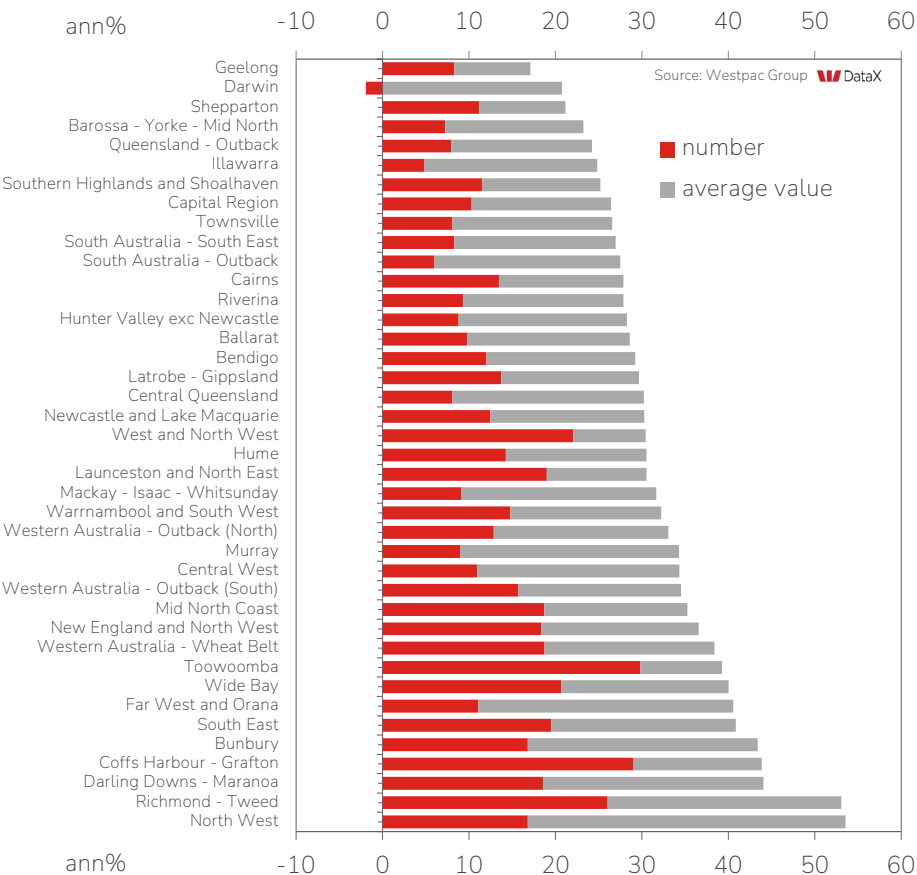


Card transactions: regional detail

10. Card activity: fuel by local area, capital cities

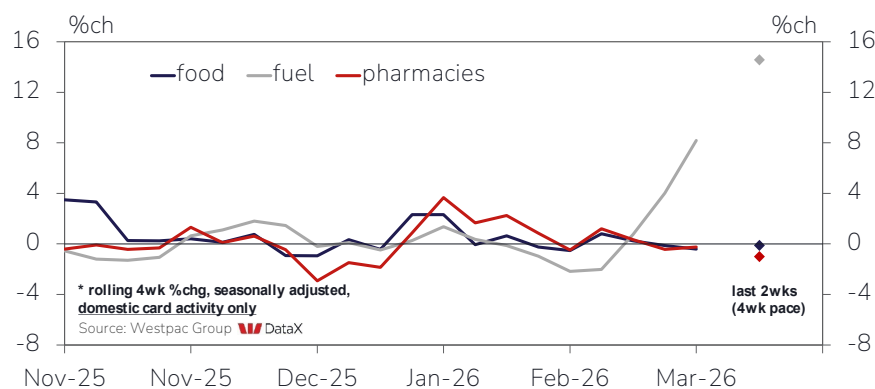


11. Card activity: fuel by local area, rest of Australia

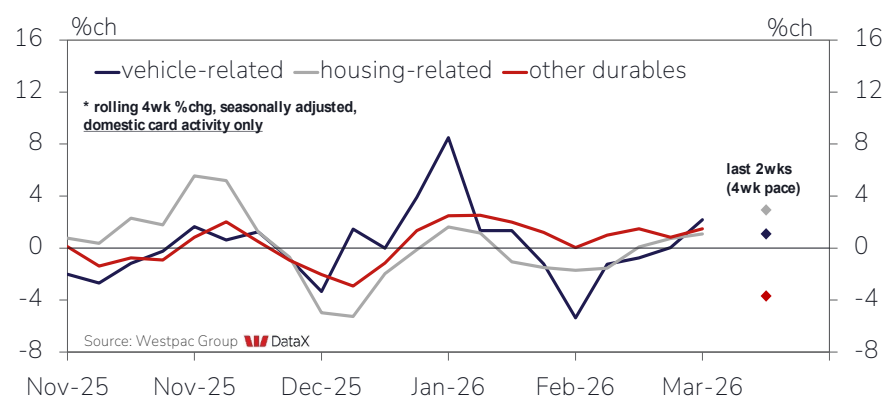


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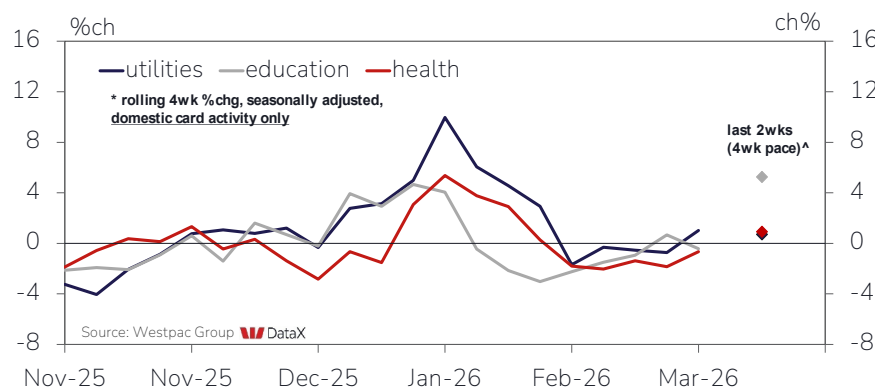
12. Card activity: essential goods



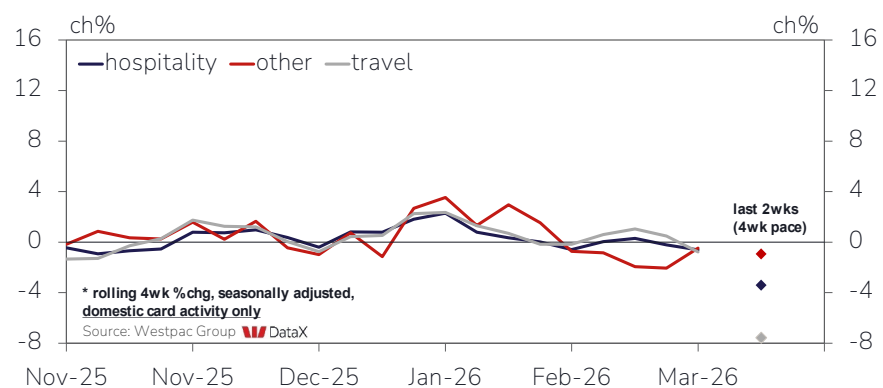
13. Card activity: discretionary goods



14. Card activity: essential services

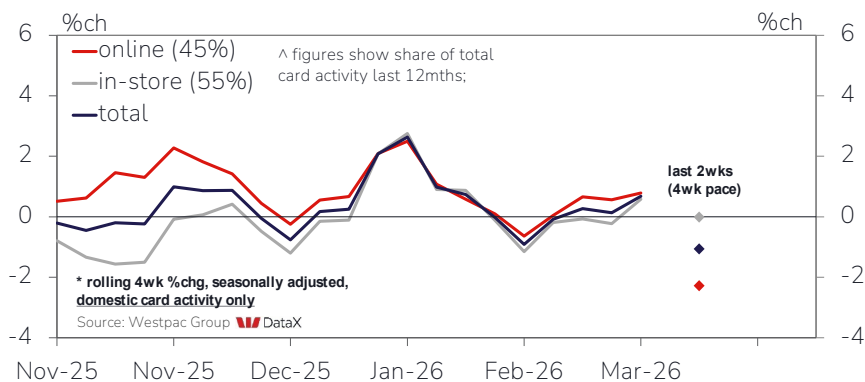


15. Card activity: discretionary services

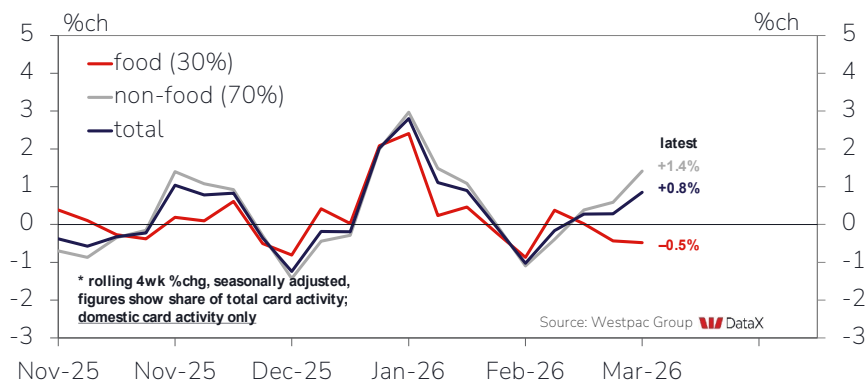


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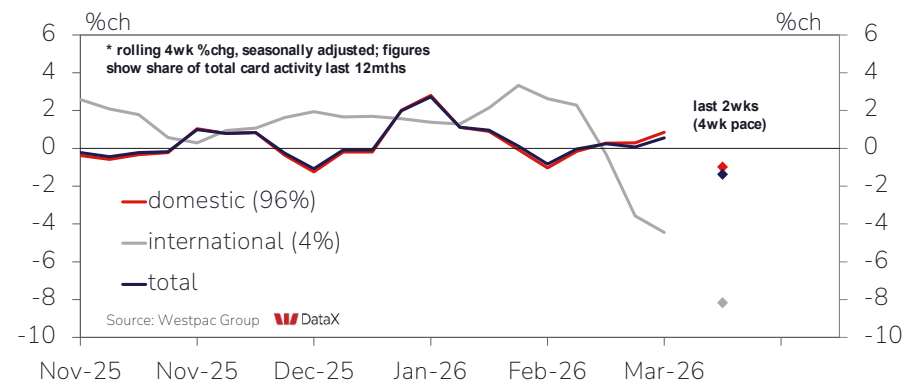
16. Card activity: online and in-store



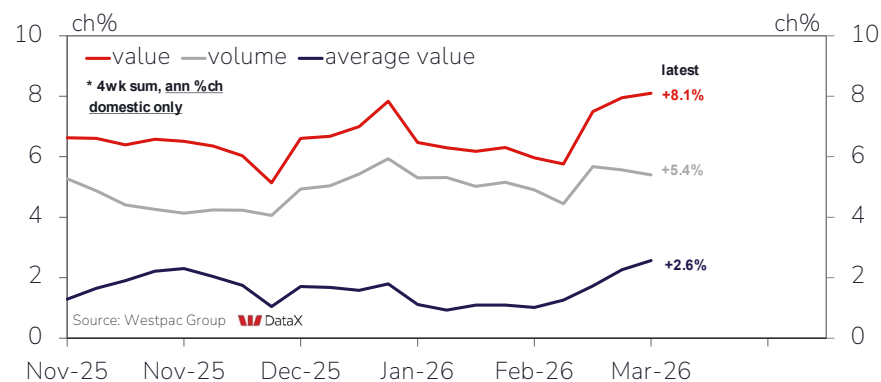
18. Card activity: food and non-food



17. Card activity: domestic and international



19. Card activity: value and volume



	2024				2025				2026		week ending:				
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Dec	Jan	Feb	28/2	7/3	14/3	21/3
Westpac–DataX Card Tracker Index	139.6	139.7	141.3	143.1	145.1	147.2	149.8	153.5	154.0	154.6	154.8	154.0	156.7	154.9	153.6
qtly%ch	2.7	0.1	1.1	1.3	1.4	1.4	1.8	2.5	2.5	1.8	1.2	1.0	1.1	1.9	1.9
qtly, ann%ch	5.0	4.1	4.1	5.3	4.0	5.3	6.1	7.3	7.3	6.7	6.7	6.7	7.2	7.6	7.3
By category															
– discretionary^	141.8	141.1	143.3	145.7	146.4	149.1	151.2	155.5	156.1	156.4	156.0	156.0	157.7	154.7	153.8
– essential^	136.2	137.5	138.0	138.6	141.6	143.1	146.1	148.4	148.4	149.3	149.6	149.9	154.1	153.7	152.5
services	143.6	145.1	147.7	150.5	153.4	156.1	160.1	164.1	164.9	165.9	167.0	165.7	168.1	165.0	163.1
– discretionary services^	148.1	147.3	151.1	154.7	155.4	158.3	161.2	166.4	167.6	167.9	168.6	167.1	168.5	165.2	163.2
– essential services^	137.2	141.8	142.9	144.6	150.5	152.8	158.4	160.9	160.9	162.9	164.8	163.8	167.5	164.8	162.8
goods	135.4	134.6	134.9	135.3	136.4	137.9	139.3	141.9	142.0	142.2	141.1	142.4	145.8	145.2	145.0
– discretionary goods	134.9	134.2	134.7	135.8	136.6	139.0	140.3	143.6	143.6	143.9	142.4	143.9	146.0	143.3	143.6
– essential goods	135.8	134.9	135.1	134.9	136.1	137.0	138.4	140.5	140.6	140.7	140.0	141.1	145.7	146.7	146.2
MHSI card index*	139.1	138.9	140.3	141.7	142.9	144.9	147.0	150.2	150.5	150.9	150.6	151.3	153.8	152.1	151.3
qtly%ch	2.7	–0.2	1.0	1.0	0.8	1.4	1.4	2.2	2.2	1.6	0.8	0.6	0.8	1.5	1.6
qtly, ann%ch	4.0	3.5	3.6	4.7	2.8	4.4	4.8	6.0	6.0	5.6	5.5	5.4	6.0	6.3	6.1
retail card index*	140.7	139.6	141.2	142.6	143.5	145.8	147.4	150.6	150.9	151.1	150.7	151.1	152.8	151.0	149.9
qtly%ch	2.7	–0.8	1.2	1.0	0.6	1.6	1.1	2.2	2.2	1.5	0.7	0.3	0.5	1.2	1.2
qtly, ann%ch	3.3	2.5	3.0	4.1	2.0	4.4	4.3	5.6	5.6	5.5	5.3	5.1	5.6	5.9	5.7
By state															
– NSW	135.0	136.0	136.7	137.8	139.9	142.8	144.0	147.8	148.2	148.2	147.5	150.1	150.5	149.7	149.0
– Vic	135.0	134.9	135.1	136.4	138.2	139.9	141.9	144.8	145.2	145.2	144.8	144.9	146.3	146.8	146.1
– Qld	148.5	148.9	151.3	153.3	154.7	158.9	162.5	168.0	169.3	167.9	165.7	168.5	178.4	167.4	167.5
– WA	145.7	148.5	151.3	153.6	157.1	159.5	163.2	167.8	169.0	169.5	170.6	171.7	173.8	175.2	170.3
– SA	145.5	147.2	148.0	149.8	151.9	154.5	157.0	160.5	161.5	160.5	159.9	162.8	164.7	166.4	164.2

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p11 for more details.

* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

^ indexes revised due to re-classification.

Sources: ABS, Westpac

Group

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About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID-19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact-less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending-related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle-related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.



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